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"Archean Chemical Industries Limited Q4 FY23
Earnings Conference Call"

May 29, 2023

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MANAGEMENT : M R. RANJIT PENDURTHI – MANAGING DIRECTOR
MR. RAGHUNATHAN RAJAGOPALAN – CHIEF FINANCIAL OFFICER
MR. RAJEEV KUMAR – DEPUTY GENERAL MANAGER, FINANCE
MR. DAXESH MANKAD – EXECUTIVE DIRECTOR

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Moderator: Ladies and gentlemen, good day and welcome to our Archean Chemical Industries Limited Q4 & FY23 Earnings Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to the Management Team for "Opening Remarks." Thank you and over to you.

Ranjit Pendurthi: Good afternoon, ladies and gentlemen. We wish you all a warm welcome to our Q4 & FY23 Earnings Call. I hope you're all keeping safe and healthy.

On this call, I'm joined by Mr. Raghunathan – our CFO; Mr. Rajeev Kumar – DGM (Finance), Mr. Daxesh Mankad – our Executive Director and SGA, our Investor Relations advisors.

I hope everyone had an opportunity to go through the financial results over the weekend and investor presentation which has been uploaded on the stock exchange and our company website as well.

I'll give you a quick snapshot of the industry overview and the Company's recent developments and then Mr. Raghunathan – our CFO, will walk you through the operational and financial highlights of the company.

So starting with the industry as such, we're happy to say that we have closed the financial year on a positive note. It has been an eventful year for the Archean team, where we got listed on the BSE and NSE exchanges, and we redeemed the entire NCDs and reported a strong business performance for the full financial year.

On this occasion, I would like to thank all the stakeholders for their trust and support and for our own team at Archean, who have held the hand and supported the journey to get listed. We all have been a spectator of many uncertain events during the year and have curtailed the growth momentum of many industries across the globe and the chemical industry in which we are was no exception. China, the world's largest producer and consumer of various goods, has been facing multiple hiccups due to restricted COVID -19 policy in the last couple of quarters

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and that disrupted the overall supply chain as well across industries, resulting in a demand/supply mismatch and instability in the prices.

Coming to our own company performance, we're glad to inform you that the company was able to report a healthy performance for the year, registering a revenue of Rs.14,852 million or Rs.1,485 crores for FY23 growth of 30% year -on-year basis.

Just to reiterate, we are the leading manufacturer of marine chemicals from India and specialty marine chemicals from India. Bromine, industrial salt and sulphate of potash are the key products in our portfolio. We are majorly export -oriented and the key geographies which we export to are Japan, China, South Korea, Qatar, Belgium and the Netherlands and many other geographies both in the Middle East as well as Far East.

Coming to the segment wise updates, to start with bromine, bromine is our primary product and contributes nearly half the total revenue. As you are all aware, we hold the leadership position in India's bromine merchant sales and are the largest exporter from India. We continue to hold that position as of FY23 as well.

It is important to note that bromine is widely used in pharma, agrochemicals, water treatment, flame retardants, additives and oil and gas segments. These industries, but only a handful of

companies manufacture this product in India.

Demand continues to be strong for bromine in the first half of FY23, which has been partly negated, no doubt by staggered shipment in second -half of FY23. Due to the large client base that we have, we were able to divert the business to the domestic market, which continues to witness a healthy growth. We witnessed some aberration in the bromine price for the last couple of quarters as we discussed even during the January call. We believe the spot prices of bromine have been normalized to pre -COVID levels. Any sharp volatility in the price of bromine will have minimal impact on us due to contract -based business that we have engaged in and this varies from client -to-client based on size and scale of business of particular clients. For FY23, overall bromine business grew by 17% on year -on-year basis and production volumes stood near 19,000 MT.

Moving on to industrial salt. Industrial salt is another main product, and nearly another half of the total revenue comes from this product. So industrial salt, as you again may be aware primarily finds its application in caustic soda and soda ash on a global basis. The year gone by, industrial salt has performed well compared to the other segments due to higher volumes and improved contracted prices. Volume offtake for salt has been strong from all existing customers. We've also added a few customers in FY23, thereby increasing the volume vis -à-vis FY22 notably and we've received quite a few new enquiries as well.

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The capacity utilization for salt has been more than 100% for FY23 and is expected to sustain the growth momentum in coming quarters given the order book.

We're the only manufacturers of Sulphate of potash, natural sea brand in India. We are negotiating with a few customers and expect to increase production, which will reflect in next year's business performance.

On the capacity expansion, we continue to invest in expanding our capacity and capability. We are pursuing an existing plan and expect to commence to set projects within the planned timelines. We will be expanding our product portfolio of bromine performance derivatives like flame retardants, clear brine fluids and bromine catalyst at Jhagadia. This Greenfield site and expansion at Jhagadia is on track and expected to commence production by the end of FY24. Coming to industrial salt, we will be adding additional capacity on the washing lines and increase by another 250 tons per hour capacity and is expected to come in the latter part of FY24.

So that's it from my side. Now I would request our CFO, Mr. Raghunathan, to run through the financial performance.

Raghunathan R: Thank you, sir, and a very good afternoon to all the participants on the call. We are pleased to report a notable performance for this quarter that had just ended and also for the full year FY23.

Both bromine and industrial salt have reported reasonably good performance during the period as our M.D. has said.

To give a summary on the performance of Q4 of FY 2023, total revenue for this quarter was at 3,909 million and that's around 391 crores, a growth of 4% on year -on-year basis. Export market contributed around 70% and the remaining 30% is from the domestic market.

To say about the business mix, Bromine contributed around 45% and industrial salt contributed around 55%.

EBITDA for the company for the quarter of FY23 was at around 2,031 million, that's around 203 crores, giving a growth of around 24% on YoY basis. EBITDA margin stood at 52%, it is higher due to better realization in industrial salt as well as in bromine.

Net profit after tax for the quarter was around 1,368 million, growth of 67%, higher growth in PAT when compared to EBITDA growth is due to reduction in interest cost as a result of

redemption of NCDs.
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Moving

to the full year performance, total revenue for FY23 was at 14,852 million, a growth of around 30% on an annual basis. Export market contributed 73% and the remaining 27% is towards the domestic market.

Take you through the business mix for the full year, bromine contributed around 49% and industrial salt contributed 51%. EBITDA for the company for the full year stood at 6,785 million, a growth of 41% on a year -on-year basis and the margin was at around 46%. Net profit after tax for the year stood at 3,837 million, a growth of 103% on YoY basis. Net profit growth has almost doubled due to reduction in the interest cost coupled with better realization in liquid bromine as well as industrial salt.

Moving on to the other updates, the net debt -to-equity stood at zero for the period as a result of the redemption of our NCDs with IPO proceeds.

And return on equity was 45% and ROCE stood at 39% for the financial year FY23.

I conclude the speech and open the floor for Q&A session.

Moderator: We will now begin the question -and-answer session. The first question is from Sudarshan Padmanabhan of JM Financial PMS. Please go ahead.

S Padmanabhan: So I have three questions. The first two questions will be kind of a circular reference. The first question is we talked about the bromine prices, being lower and that is primarily stemming from the higher the BFR inventory is what I've heard from the industry sources, I mean what I would like to understand from you is we have a long term contract which is helping actually. But as we move towards newer contracts, do we see the risk of prices being much lower than what it is today? And second is since our derivatives capacity is coming in later on this year in the third quarter, do we have visibility in terms of offtake or do we see risk on that?

Ranjit Pendurthi: Thank you for the question. So I think you're right in your observation. The results obviously were coming from better prices of bromine. But having said that, the reality also is, as I mentioned, there are headwinds across the entire chemical industry. So, I think bromine is no exception. There is a large amount of destocking that is going on in the overseas market. And I believe that will continue through the next three to five months. Now, having said that, I think the domestic market continues to be firm. Yes, there is some pricing pressure on the product, but nevertheless, I think we've always maintained that our focus continues to be on maintaining the EBITDA margins, and at the moment, we don't see a problem with volume.

On the second question regarding the derivatives, we have started addressing the market from a customer perspective on the offtake of derivatives. The plant is still in early stages of construction, so it will gather momentum for the marketing of these products, I think towards

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September, October of this year, so that will be at least give us four to five months before we start commercial production, so that would give us enough time to do that marketing.

S Padmanabhan: Two parts to it. One is, clearly we've seen the margins going up substantially and I think we are seeing transportation cost which is very critical for us and power cost coming down. So I would assume that partly your guidance of margins being healthy is also because of that. And second is on the SOP side. While the outlook looks quite encouraging, we have hardly been able to book anything this year. Is there anything that is going to be visible in the first quarter and what could be the quantum one can expect in the second half of this year?

Ranjit Pendurthi: So I think our margin just to reiterate, I think we've always said this in the past and we continue to maintain that. I think our margin target has always been in the 40%, 45% range give or take. So that I think we'll continue to aim to maintain that. Regarding Sulphate o

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potash, the market continues to be firm on the product demand side. We do have about 8,000 odd tons in stock that we will look to liquidate ASAP. We get in touch with a few customers and I think later on towards the year we will pick up the production again.

Moderator: The next question is from Sanjesh Jain of ICICI Securities. Please go ahead.

Sanjesh Jain: Few questions. First on the volume, can you give us the FY23 as well as Q4 volume for all this?

Raghunathan R: Bromine production for Q4 is at around 5,078 tons versus 5,121 tons in the previous year. And for full year the total production is around 18,900.

Sanjesh Jain: Your voice is actually going low.

Raghunathan R: For the full year, bromine production is around 18,950 as against 20,200 in the previous year. And coming to salt, yes, for Q4, total production is at 1.2 million tons versus 1.01 million tons for the previous year's quarter and for the full year, it's 4.02 versus 3.59 million tons.

Sanjesh Jain: : And for SOP this quarter?

Raghunathan R: SOP for this financial year produced around 8,840 tons versus 2,400 in the previous year.

Sanjesh Jain: The second on the salt side, phenomenal performance, I think the realization is upwards of \$22 now. How should we see this salt demand and the growth with the new washery we can achieve what 5 mn metric tons per annum, that should be doable in FY25 full year, because I think it will start at the end of the '24. And what is driving this realization and how sustainable is it?

Ranjit Pendurthi: So thank you for the question Sanjesh. So, I think as you rightly said, our capacity expansion will come on towards the end of by FY24. So the benefits of that will probably accrue in

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FY25. Our intention is the capacity should match the demand at that point in time and given the fact that we have a very strong position in that segment in the Asian market, we would like to see that we're able to utilize it again at 100% in terms of production and sales. The second part of your question, I think the market is strong because the end user industry is I think continued to perform as caustic has a wide variety of uses, some major ones, some minor ones, but across the board, I think there's a good offtake because of the chlorine byproduct use in Far East and Middle East. Chlorine is a basic building block. A lot of the downstream pet chem products and plastic. So I think that's primarily the driver there and the fact that we have a long term relationship with many of the clients, I think able to see us perform both on delivery and on quality on a consistent basis. Our market share with each customer is something that we are trying to increase as we go forward.

Sanjesh Jain: I was more concerned from the realization because if you look at the caustic prices are down from Rs.60 to now Rs.35 a Kg and if you look at soda ash also then multiple news and multiple locations, there is a pressure on soda ash prices. Considering that the end market is seeing the huge pressure on the realization, do you expect salt prices to sustain at the levels where we are today?

Ranjit Pendurthi: I think more than half of volume is contracted out. So I think the realization will hold. The other half where we have shorter term nature contracts as has been typical in the past I think again the chemical industry itself is facing some headwind on the prices. So I suspect be some sort of a moderation, but nevertheless I think one point to keep in mind is what drives the requirement for our business in Asia, primarily the Far East is the use of chlorine. I think that's the driving factor here. So you have a lot of these guys who have expanded capacities on the downstream side. So I think we don't see too much of a challenge on that front.

Sanjesh Jain: No, even there I think the prices are a massive stress, but point taken. Second on the bromine

side of it, because your peers have really not changed materially their guidance on the bromine business for this calendar year. So how should we see for us in terms of bromine prices, because they have an advantage of selling downstream, the prices are less volatile, while we are largely into the elemental bromine, how should this year end for us, are we confident that we will be a flattish realization versus last year or do you think our realizations will come down to \$4? And what is the anticipation on the new contract signing for the long term in the bromine?

Ranjit Pendurthi: So I think a fair question. Like we said, I think in the last couple of quarters, we have seen a fair amount of volatility as I mentioned during my introduction. So I think that headwind we will continue to face. But I think the good thing is again it's all about managing the customer and the expectations on one side domestic and the other one is the export market. Export market I suspect take at least four or five months to pick up. We will be doing some reasonable volume. But having said that, I think on the domestic front is where we are focusing more of the bromine volume at the moment. The average realization I think we expect it to be what we

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have said during the investor presentations in the past should be in line with that I think what you've indicated.

Sanjesh Jain: One last bookkeeping question, this employee cost, I think there is a fair bit of mix in terms of the ESOP and Chairman Commission and all. So can you just report and tell what is the recurring part of the employee cost for this year and is this for this year or elevated employee cost will also be there for FY25?

Raghunathan R: Employee cost, as I said, we have ESOP and the M.D. Commission also coming into it and the ESOP as a provision will continue for next couple of years. And so if you look at it as an average cost, it will be close to around Rs.75 crores per annum.

Sanjesh Jain: So that Rs.75 crores is the continuing which we should be build in the model, right?

Raghunathan R.: Yes.

Moderator: The next question is from Krishan Parwani of JM Financial. Please go ahead.

Krishan Parwani: So firstly a couple of clarifications on the salt business. I think we mentioned more than half of

our business is contracted. So just wanted to check whether this realization jump that you've seen in salt, so this contracted part has also seen a jump and so that means for the next because I think you have two years contract, right so should we see a higher realization for this part for the next two years?

Ranjit Pendurthi: Thanks for the question. I think the prices that I mentioned that we have contracted have kicked in only in the fourth quarter of this year because the prices are generally contracted on a calendar year basis. So, yes, it would be out two years from there.

Krishan Parwani: So basically, your long term customers have agreed for the price like, great. And for the other half you have taken any price cuts or what have you done there?

Ranjit Pendurthi: I think we have some ongoing contracts which are still being executed over the next quarter or so. And then I think like I said, some of these are long term customers. So broadly we don't see the variation being too much on those contracts vis -a-vis the long term contract.

Krishan Parwani: So that was on salt. And on bromine, just a couple of clarifications. So I think we wanted to understand as in let's say the spot price of bromine is \$4 right and when you are renewing your contract, let's say the what discount you would be kind of getting into the contract, not the specific, but just a ballpark number should do?

Ranjit Pendurthi: Ideally, I think our executive director doesn't like to give any discounts, but having said that, I think at the moment we're not seeing a pressure for people to discount beyond

the range I have

indicated. I think of course as any business would have, you'll have certain larger customers

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with a longer offtake. So I think for them there may be something given there. But I would imagine I would imagine all of it to be within a single digit range.

Krishan Parwani: Just one clarification in terms of the volume front of bromine. So you mentioned 5,078 for this quarter, right?

Raghunathan R: Yes, that's the production number.

Krishan Parwani: And the sales number?

Raghunathan R: 4,400.

Krishan Parwani: And what was it in the previous quarter like 3Q '23?

Raghunathan R: 4,000, yes.

Krishan Parwani: So basically you've seen a jump in bromine volumes. Then that's entirely because of the domestic volumes you're saying?

Ranjit Pendurthi: Primarily.

Krishan Parwani: So what was it in the 4Q'22, the same number, just so that it's comparable?

Raghunathan R: 5,500.

Moderator: The next question is from Amar Mourya of AlfAccurate Advisors. Please go ahead.

Amar Mourya: Sir, if you can help me with the yearly sales volume for FY23 for bromine and FY22 for bromine as well as for the salt?

Raghunathan R: For FY23 bromine sales is around 18,700 tons as against 20,250 in the previous year and coming to salt it's around 3.75 million tons for FY23 as against 3.58 million tons in the previous year 12 months.

Amar Mourya: How do we see the volume offtake basically in FY24, I mean is it going to remain flat or do we see some growth in the bromine part of the business?

Ranjit Pendurthi: I think we will see growth. I think we're hopeful that the current trend will continue but maybe like I said, post 4 -5 months, it should pick up.

Amar Mourya: So full year basis at least a high single digit kind of a growth possible or -?

Ranjit Pendurthi: I think we will possibly be looking a little bit more than that.

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Amar Mourya: So you're saying more than high single digit? And sir, in terms of the pricing of the bromine at what prices we had contracted let's say for next one year, if you can give?

Ranjit Pendurthi: I think since you're asking us to talk about a forward -looking this thing, I would possibly say that I think the earlier gentleman who asked the questions, I think the price indication they've given, I think those ranges are probably what you're looking at going forward for the next 12 months.

Amar Mourya: Sir, how about the salt volume we see for next year?

Ranjit Pendurthi: Same, I think the volume growth should be in more than a single digit. We will continue to be quite aggressive on that front.

Amar Mourya: We are confident that pricing will remain at this level for the salt?

Ranjit Pendurthi: Yes, I think so. I believe as we spoke about a few minutes ago, I think we talked about longer term contracts. So I think the prices will be visible on that front.

Amar Mourya: This Sulphate of potash, this 8,000 MT, which we are talking about, we'll be able to sell that in FY24 on a full year basis?

Ranjit Pendurthi: Yes.

Amar Mourya: On overall basis, what should be the volume we are looking for sulphate of potash on total basis?

Ranjit Pendurthi: If not the same volume of 8,000, I think we're looking at least a bit higher.

Moderator: The next question is from Pritesh Chheda of Lucky Investment Management. Please go ahead.

Pritesh Chheda: Sir, can you tell us what is the value addition of bromine derivatives over base bromine, if bromine is \$4, then some of these products and derivatives what is their range of prices?

Rajeev Kumar: So to answer your question on the market prices of bromine, we expect to make EBITDA between 25% to 30% in derivative segment.

Pritesh Chheda: Sorry, I didn't understand your answer.

Rajeev Kumar: So whatever is the market prices of bromine if you take that as your input cost, we will

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making 25% to 30% of margin.

Pritesh Chheda: And what will be the realization of those products?

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Rajeev Kumar: It depends because there will be different derivatives which we will be making and input of bromine is different. So, it will all depend upon what kind of product mix we are selling, that will determine the end product value.

Pritesh Chheda: Any range you want to share, any case you have three products right, which is mentioned on the PPT?

Rajeev Kumar: So, for example, flame retardants will have between 0.60 to 0.65 bromine input. So you can take that as a reference point, (+30%) on bromine prices you can do EBITDA there. Similarly, for brine fluid, it will be 0.25 to 0.30 bromine and for the other PTS catalyst synthesis, it will be around 0.45 to 0.5.

Pritesh Chheda: You mentioned that half of your bromine is long term contract and the other half is spot. On the other side, you mentioned that you expect prices to sustain for your business. But these two things don't match, right? So if half of it is contractual and half of it is spot, so at least on the spot, you will see lower bromine prices flowing through, right?

Ranjit Pendurthi: So I think this goes back to a question that was asked earlier in the call. Let me clarify that for you. So I think the contracted prices that have come over the last quarter or so a couple of quarters so there has been I think a revision in the pricing and the spot contracts are pretty much mostly domestic which are holding firm compared to the export market. So I think what we mean is that... I don't recall the analyst who had asked the question, but he had given an indication of, is it going to be around the \$4 mark I think we said that's a reasonable assumption.

Pritesh Chheda: So you had a \$4 realization last year and you see a \$4 realization this year and what is the spot selling at currently?

Ranjit Pendurthi: I don't think we sell spot in the typical nature of spot like for example, I think if you're asking me somebody who wants one tank of bromine which is let's say 20 tons tomorrow, we don't do that. So I think when we say spot, it means a bit different spot means what someone who's asked for the next four months, right.

Pritesh Chheda: So you'll have a three monthly or a four monthly spot nature, which gets reviewed every three or four months, what is that selling at, \$4?

Ranjit Pendurthi: Same range that we have indicated on an average.

Moderator: The next question is from Amish Kanani of JM Financial Services.

Amish Kanani: Sir, if you can give us a flavor of why the market is so volatile and who is destocking? I just want to understand whether there are new producers from China who has come back to the

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market or clients are destocking because they were running higher than usual inventory, if you can give us some flavor of the market why it's changed and why it's so volatile?

Ranjit Pendurthi: So thanks for the question. So I believe that the combination of factors, but primarily it's got to do with destocking. I think we had a team out in China last month. That's the first visit that anyone managed post the lockdowns being lifted. So on one hand you have an industry that's downstream industries are slowly picking up post these lockdowns, etc., being lifted, returning to normalcy, that's a good part. But having said that they have procured bromine at very high prices. In fact, during my investor road shows last year, we had said that those prices were not sustainable, the \$7 -8 prices, we said that's not normal and I think that's happened across a lot of industry groups, not just bromine, not just the chemical industry across everything like auto, etc., So people have possibly even more stock in many cases simply because of the supply chain disruption. So I think it's just a matter of ti

me where this destocking is a natural process and people are not used to situations that have happened in the last couple of years. So just returning to normalcy. I don't see it as abnormal, which is why I use the specific word in my introduction, I said it's an aberration, so we just have to wait for that evenness to come off for the next four or five months. The industry fundamentals still remains strong. I think that's important to note. The flame retardants, for example, not going away anywhere. Electronics are not going away anywhere. Car tyres are not going away anywhere. So I think some of the users of these products will continue. And so far as the Indian industry is concerned, I think you all are more aware than I am about the strength of the agrochemical industry. Some headwinds will always happen. But I think the ultimate focus is on how the demand growing, as an overall industry. I think that usage of bromine still continues to be strong. That's our view.

Amish Kanani: Sir, in terms of understanding the nature of spot versus long term contract and what I understood based on your response also there are some few short term contracts which say three months which you might consider to be spot from your perspective. But if you can give us some sense of how globally how the spot price influence is in our realization?

Ranjit Pendurthi: I think spot price unfortunately gives a knee-jerk reaction and I think that's something we have to be careful of. So the customers generally we have the smaller ones do are more sensitive. The larger ones have a much larger timeframe of outlook. So I think it is only fair to expect the small ones to have a more pressure on price and the longer ones possibly will have a little bit less pressure on price but look to a more even pricing over the course of six months or even up to a year.

Amish Kanani: I understand that you are the cost leaders globally, but are other players were above our cost curve, are they making money at these prices or you think it is really not sustainable and hence these pressures will die down quickly?

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Ranjit Pendurthi: I would hope that they are doing business and making money and I think everyone is probably making money would be my best guess. The reason being that I think margins are there, the market is there. Again, it's not about having a one quarter or two quarter outlook, but I think fundamentally industry needs to be seen in that context. So I think people are making money. How much money? I think that's everyone's choice about how they do the pricing or what kind of strategy they use.

Amish Kanani: Absorbing the technology, we have not been into manufacturing of chemical and plus one stage. And you did mention about we are making the markets ready about say 3 -4 months advance by doing some work. But if you can also give us some sense of how well are we positioned to quickly absorb the technology because it's new for us in a way? And how is our technology partners helping us to do that quickly?

Ranjit Pendurthi: A fair question. I think whenever you start a business, I think you'll be likely as an entrepreneur starting a product for the first time. So I think we're comfortable with doing something the first time and the reason we're comfortable is one, I think we have the right team, I think we have good R&D team like I mentioned on the call earlier, we have an executive director, Mr. Daxesh will come on board in January, he comes with an with a hardcore agro chemical background. So I think in terms of chemistry, we're well equipped to handle the technology, and also from I think a market perspective I think we have all the right places that we've been in business with already. So it's a little bit more of an extension of the market we are in. And I think we continue to discover that there's enough and more interest in these products that

we're going to make and we're comfortable in seeing the progress on ground. And I think from a marketing perspective, I think we don't want to put the horse before the cart too much in advance. I think we need to wait until the plant can see some readiness in terms of structure, etc., So clients also have not only visibility, but have comfort that you're promising them some products four months or five months down the line and it's fairly visible to them. So I think we got time in that way and which is why I said September, October is when we'll start on a serious marketing effort, but at the moment we're already in touch with potential customers.

Moderator: The next question is from Rohit Nagraj of Centrum Broking. Please go ahead.

Rohit Nagraj: First question is that as I understand, and please correct me if I'm wrong, globally, there are limited number of producers for bromine. So structurally, how the pricing is decided, I mean, except for the last couple of years where there has been an aberration, prior to this, what were the variables which were used in terms of pricing for bromine and generally those prices go up with inflation adjusted basis or probably the largest player usually dictate the prices and others will follow, just wanted some dynamics from the pricing perspective.

Ranjit Pendurthi: That's a good question. I think there is no one who really sets the price. As you yourself mentioned, it is a restricted commodity and trade. It's only sold by a handful of people
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especially at the volumes that we kind of do. So in that context, I think no one really fixes a price and expects everyone to follow it. Everyone fixes their price depending on the customer that they have and the volume that each one buys. So, I would say it's not an established benchmark or index like the more commonly traded chemicals or hard goods.

Rohit Nagraj: And just an allied question to this, in terms of margins, so bromine margins usually are higher than salt margins or vice versa given that probably there would be players who are just producing bromine and not salt?

Ranjit Pendurthi: Are you asking that people who produce bromine and salt, the salt has a lower margin than bromine?

Rohit Nagraj: I mean, is there any difference between the margins of bromine and salt for a pure bromine player who is not producing salt, the margins would be higher and vice versa.

Ranjit Pendurthi: I think our strength has always been as a specialty marine chemicals company to be an integrated producer of bromine, salt and potash. So that's how we see our strength being able to supply three products from our asset. So I believe that the margins that we're talking about, which is why we have a composite margin, I think the 40%, 45% range margin, I think that's sustainable because there are quarters where you have bromine doing better and there are quarters salt doing better and in the near future we hope SOP also comes on stream in terms of contribution. So I think that makes a lot of sense from a company perspective having three products instead of just one.

Rohit Nagraj: One last question on the contract which we spoke about earlier. So currently for bromine and for salt, if I'm not wrong, it is almost half of the quantities or volumes are being contracted.

Can you just give us the timeline till when both these volumes have been contracted for the next one and half years or two years, anything on that?

Rajeev Kumar: So for bromine, it is for the next one year. For salt, we have contracted for next two years.

Moderator: The next question is from Agam Shah as an individual investor. Please go ahead.

Agam Shah: Majority of my questions answered, just a quick question on the lease part renewal at Rann of Kutch, that you already have, anything have you renewed your contract?

Ranjit Pendurthi: Thank you for the question, sir. I think it's un

der progress.

Agam Shah: Going as per process right?

Ranjit Pendurthi: Yes, it's going out for process as we've indicated in the past.

Moderator: The next question is from Yash Dantewadia of Dante Equity Research. Please go ahead.

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Yash Dantewadia: So what I understand is from your Greenfield expansion is the bromine derivatives are obviously downstream products, right, high end flame retardant, clear brine fluids and the PTA.

Ranjit Pendurthi: Can you repeat the question?

Yash Dantewadia: I'm saying the Greenfield expansion of 250 crores is basically a downstream derivative expansion, right? So what kind of asset turnover are you expecting from that particular plant?

Rajeev Kumar: So, we had indicated it in our last call also we're expecting it to be in the range of three times.

Yash Dantewadia: Also, what percentage of your production is going to be used in this Greenfield expansion, basically what I'm asking you is what percentage of the bromine production will be used in the downstream production for this Greenfield plant?

Ranjit Pendurthi: So at peak capacity utilization, we expect about 40% -odd percent to be used captively.

Yash Dantewadia: I know you've explained it, but I'm a fairly new investor, so I just want to understand is how are you able to maintain these margins even when bromine has declined by 30%, 40% odd?

And second part is could you give a short term guidance at least, I know it's difficult to give a long term guidance for chemical margins, if you could give maybe give a guidance for the next quarter, where do you see your OPM?

Ranjit Pendurthi: So I think the reason why we have good margins I think is we managed to get the best prices given our performance and our delivery and quality with customers over a long period of time.

And second is we've very efficient in what we do. I think someone referred to this in the earlier conversations about us being in the lowest cost quartile. I think we've been able to maintain that position where we are in terms of cost of manufacturing. And I think the third question is, I would at this point would like to refrain from giving you a short term guidance because it becomes a guidance and I would be happy if you could infer from the conversations in the past hour or so; I think we've indicated where we would be in the next 12 months.

Yash Dantewadia: Yes, the 12 months you've indicated is I think around 40% to 45% odd if I'm not wrong.

Ranjit Pendurthi: We would like to maintain at that range, yes.

Yash Dantewadia: So also if you have 40% is going in the bromine derivative production, then how after the Greenfield expansion, comes online, do you see your OPMs expanding?

Ranjit Pendurthi: Ideally yes, because as my colleague mentioned on the call when the derivative project is up

and running, we are expecting 25% to 30% margin there. But that takes into account the market price of bromine as an input cost.
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Yash Dantewadia: So I'm just contemplating that basically what you're telling me is that if you look at the company from a two year, three year perspective after this Greenfield expansion comes online, would it be safe to say that your OPMs won't decline at least?

Ranjit Pendurthi: That is our endeavor, sir to make sure that it doesn't decline because we need to maintain that robustness in both cost control as well as product pricing.

Yash Dantewadia: And also just confirming this, three times of the 250 crores odd, so we're expecting sales close to 700 crores, which basically means it's highly possible for you to do 2x, 3x your sales in the next two to three years, right?

Ranjit Pendurthi: Apologies, I did not follow the question clearly.

Yash Dantewadia: I'm saying your asset turnover for the Greenfield expansion is basically 3x, right?

Ranjit Pendurthi: Yes.

Yash Dan

tewadia: So you're basically expecting sales close to 600 to 700 crores from that plant?

Rajeev Kumar: Yes, that would be a fair assumption.

Yash Dantewadia: So would it be safe to assume that in the next two to three years or so your overall top line should grow by at least two times?

Ranjit Pendurthi: It should, yes. That's the aim.

Moderator: The next question is a follow up from Amar Mourya of AlfAccurate advisors. Please go ahead.

Amar Mourya: Sir, in terms of this Sulphate of potash, what kind of pricing we should assume?

Ranjit Pendurthi: I think we had modeled \$450 as the price during our roadshows and I think we're maintaining that as a safe assumption.

Ranjit Pendurthi: So thank you everyone for joining us in this earnings call. We appreciate your time and showing interest in our company and we hope that you continue to repose faith in our company and us. In case of any queries you can get in touch with us or SGA, our Investor Relations advisors. We look forward to meeting all of you over the next call and have a good day.

Moderator: On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Archean Chemical Industries Limited

Life's good with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR

August 19, 2023

Dear Sir/Madam,

Subject: Transcript of Earnings Call.

Reference: Regulations 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, please find enclosed herewith the transcript of the earnings call held on August 14, 2023 post announcement of financial results of the Company for the quarter ended June 30, 2023.

The above information shall be made available on the website of the Company at www.archeanchemicals.com

We request you to take the above on records.

Thanking you

Yours faithfully
For Archean Chemical Industries Limited

S. Balasundharam
Company Secretary and Compliance Officer

Encl: A/a

The Manager The Manager
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Tower Bandra-Kurla Complex, Bandra (E)
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Q1 FY '24 Earnings Conference Call ”
August 14, 2023

Disclaimer: This document is subject to errors and may or may not contain words which have been included / omitted due to human error while transcribing the conference call. Any and all information should be verified with the company by the reader.

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR – ARCHEAN CHEMICAL INDUSTRIES LIMITED
MR. RAGHUNATHAN R – CHIEF FINANCIAL OFFICER – ARCHEAN CHEMICAL INDUSTRIES LIMITED

MODERATOR : STRATEGIC GROWTH ADVISORS PVT. LTD.

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY24 Earnings Conference Call of Archean Chemical Industries Limited. This conference call may contain forward -looking statements about the company, which are based on the belief, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranjit Pendurthi, Managing Director of Archean Chemical Industries Limited. Thank you and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, ladies, and gentlemen. We wish you all a warm welcome to our Q1 FY24 earnings call. Today I am accompanied by our CFO, Mr. Raghunathan, and Mr. Rajeev Kumar, DGM Finance and SGA, our Investor Relations Advisor. I hope everyone had an opportunity to go through the financial results and investor presentation which has been uploaded on the stock exchange and on our company website as well.

I will give you all a quick snapshot on the industry and recent developments of the company. Post that Mr. Raghunathan our CFO will walk you through the operational and financial performance data of the company. So to start with the industry highlights, the quarter gone by has been a fairly challenging period for the entire chemical industry, as you all may be well aware. There are headwinds across the chemical sector, as large amounts of destocking is happening across the board, across geographies as well, and in the overseas market specifically. Just like any other product, Bromine and Bromine derivative products are not an exception to these challenges.

Global players are liquidating their inventory across sectors, and the inventory levels have been coming down, so we believe that there will be some green shoots in the coming period and the current trend will reverse. Some industry may take more time to recoup as overall consumption of China, which is a large consumer of many chemicals as well as an exporter of end products is also slower than expected. And same is witnessed in the business performance of many of our domestic manufacturers.

Most of the manufacturers are reassessing their market strategy and cost structure due to this uncertainty and so are we as a company. Nevertheless, despite this global turbulency, with all the other geopolitical issues going on, India is still doing very well and incurring significant capex for long -term growth opportunity, and we believe that that is a strategy that suits us best as well. It is worthy to note that the demand from domestic market has remained firm despite pricing pressure and we believe that this will continue as we go forward.

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Coming to our company performance, we are glad to inform you that the company was able to report a healthy performance for the quarter, registering a total revenue of INR3,543 million for Q1 FY24. We did see some moderation in business due to gradual pickup from global customers and also due to the cyclone in June, as you're aware in Gujarat. A plant was shut for a few days in order to protect our employees and assets.

We resumed our operations within a week's time and normalized the operation in phases. The team at the facilities performed a great job in normalizing the situation in quick time. I would like to acknowledge and thank the entire

team and staff at our company for their grit and commitment.

Coming to the segment wise performance. Bromine specifically, revenue contribution from Bromine in Q1 FY24 was about 40% as INR1,331 million. Realization of Bromine has been trending down for the last couple of quarters led by overall destocking, which I mentioned a few minutes ago, which we have also highlighted in our earlier call.

Demand, however, from domestic clients continues to be firm despite pricing pressure. Puritane bromine is very important and very limited players like us are meeting the global demand at the specification level. We are seeing some green shoots as many customers have liquidated a large part of the inventory and the export market is picking up again. We expect a steady business in the coming quarters.

Moving on to the industrial salt segment. Industrial salt contributed nearly 59% to our top line during Q1 FY '24 with a revenue of \$1,983 million. Demand for this business is primarily driven by chlorine in the Asian market, so many players have expanded their production and expanded the chlorine usage and its downstream product capacities. Hence the demand continues to remain robust and we do not see a challenge to this.

Coming to the pricing aspect, since more than half our industrial salt business is on long-term contract basis, volatility in the spot doesn't get echoed on our business performance. We also have ongoing contracts with few customers as well, and also expanding the client base by adding new customers. We're maintaining the quarterly volume run rate of a million tons and expect the same momentum to continue in the coming period.

On sulfate of potash segment, this continues to be an important business for us. This product has its own gestation period before it fully picks up. We have started seeing some traction from few clients, and also the domestic market is being aggressively marketed to and believe that the volumes will pick up domestically as well. And we expect to stabilize this in the current financial year.

That's it from my side. Now I request, our CFO, Mr. Raghunathan Rajagopalan to run through the financial performance.

Raghunathan R: Thank you, sir. And a very good morning to all the participants on the call. We are pleased to report a reasonable performance for this quarter.

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To give a summary of Q1 of FY '24, the company registered a total revenue of INR3,543 million. Of course, you could see a drop of 13% on a Y-on-Y basis. As highlighted by MD, the drop is predominantly due to headwinds across the chemical industry on the demand trend. Export market contributed around 66% and the remaining 34% came from the domestic market. Coming to the business mix, bromine contributed 40% of the total revenue and the industrial salt 59% and the balance from SOP.

Moving on to the sales volume, around 4,273 metric tons of bromine was sold in this quarter against 5,729 in the same quarter in previous year and in the industrial salt the sales volume was around 1.06 million tons.

EBITDA for the companies stood at INR1,460 million and EBITDA margins stood at 41%. Various operational efficiency measures that were taken have increased the output, coupled with lowering of the input cost, transportation, and power and fuel have really supported us to hold on to this margin of 41%.

Net profit after tax for the quarter stood at around INR942 million, a growth of 11% on a Y-on-Y basis. With this we conclude the speech and open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

We have a first question from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my question. So my question is going a little deeper on your comment on the bromine market. When I'm looking at the second half specifically of July and more so in August, we are noticing that the bromine prices in China have improved. And primarily because of the reasons that you mentioned. In that context, I am trying to understand, one, the demand from export and long-term contracts.

You know, given that the prices were volatile, my assumption would be that clients would be vary, you know, to come and discuss on longer term contracts. But with that, is the worst over and do you see, you know, start seeing some kind of a demand coming in from the export client as well on the program?

Ranjit Pendurthi: So thank you for the question. I think some of your observations are correct. We do see the demand picking up overseas, although it's not the speed that we expect, but we are happy that it's coming back. So some of the clients who've been sitting on the side lines, I think they are re-engaging to pick up the contracted volumes again.

And we think, which is why we feel that in the coming quarters, some of this demand would come back. The overall market, of course, continues to be healthy. I think it is not a question of is bromine required or not. It is required. It will continue to be required for various

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derivatives on the agrochemical side, pharma side, and various other end uses. So I think largely with the theme and the chemical sector of de-stocking happening, I think we believe that some of these customers will come back.

Sudarshan Padmanabhan: So in the context of the derivative that has been given up, new capacity coming in the fourth quarter, I mean do you think that primarily as we start negotiating even for the derivative, more or less things will become more rationalized and normalized and probably we should have a good platform to start selling the derivative as and when the capacity comes on stream?

Ranjit Pendurthi: Yes, I believe our strength will get more solid as we become a fully integrated player, which is why I think our capex into the Bromine Derivative Project continues. I think that the real strength will come on board when we commission this in the coming quarters. And the engagement on the competitive side also remains strong.

We have started marketing to some customers about the potential products that we will start making, and I think the feedback is very good.

Sudarshan Padmanabhan: So on the cost side, I mean, you didn't talk about some of these players talking to you about the cost and we are also looking at it. Can you give a little bit more color? I understand that partially you would have benefited in the quarter by lower power and transportation. Should we see more benefits going forward on that context? And also quickly on the SOP, I mean, when should we see the liquidation of the 8,800 funds that we had created?

Ranjit Pendurthi: So I'll start with the second question first. I think the liquidation has already started. And like I said, the domestic market, interestingly, has been a good surprise for us. We are moving consistent volume month on month and increasing our local sales. And also the consignment for the exports also have started as we speak. So the entire quantity should be liquidated within this year very comfortably.

Coming to your first question on the cost rationalization and optimization, I'll ask Mr.

Raghunathan to shed some light on that.

Raghunathan R: Yes, as we have mentioned in our speech, we have done some rational in our cost, about some cost reduction measures. And we could see that in the overall on aggregate basis on raw material transportation as well as on power and fuel we could see a savings of close to around INR14 crores to INR15 crores in this quarter and we could see that

this trend will continue.

And we still see that there are a lot of opportunities and bring down the cost going forward.

Moderator: Thank you. We'll take our next question from the line of Sanjesh Jain from ICIC I Securities. Please go ahead.

Sanjesh Jain: Good morning, Ranjit. Thanks for taking my question. I've got a couple of them. First on the Salt side, can I get the volumes of all the three segments by sales for this quarter?

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Raghunathan R: Yes, Sanjesh, good morning and to look at the sales quantity for Q1, bromine is 4,272 metric tons.

Sanjesh Jain: 4272.

Raghunathan R: Yes, the sales quantity and the salt is around 1.06 million. The SOP that was sold is around 380 tons.

Sanjesh Jain: 382 tons. And what are the numbers for the preceding quarter last year for the same quarter? Preceding year sorry?

Raghunathan R: On bromine it is 5,730. Salt is 0.96. And SOP is...

Sanjesh Jain: SOP is zero?

Raghunathan R: 65.

Sanjesh Jain: Just looking at the bromine realization for this quarter was close to 320. How do you see these prices for us in, say, for this year and next year? Do you see there's an opportunity for the prices to harden from here, or do you think the prices can remain stable at these levels? I have another question related to bromine.

Construction is a very large part of flame retardant in China and other part of the world, and construction seems to be a sector which is facing a lot of headwinds in China. In this context, do you still believe that a full recovery in the bromine demand is possible for this year? These are my first questions. Thank you.

Ranjit Pendurthi: Thank you, Sanjesh. I think the first question on price, I think in the last few months, we have seen a bottom on the price. And I think on the recovery front, well, it's a bit unclear on how much the price will recover, but I think what we are happy to see is that the demand remains firm, and thereby, like I mentioned in the introduction, we are seeing some of the Chinese customers come back on the buying side, so we think that will continue.

On the second question that you had on the construction industry sector itself in China, yes, I

think they are going through a fair bit of churn and a downturn. However, I think all reports that we read and the news that we are getting from some of the customers, I think the government is planning to step in in a large way and support these infrastructure projects, etcetera, which I think the Chinese government has traditionally done. When required, they've stepped in to support the market. And I think real estate is a very crucial market for them. So construction, we believe, we know will pick up. The timing of which remains a bit uncertain, but nevertheless, I think our customers are not necessarily only on derivatives that are focused on the construction aspect. I mean, a lot of them have in other places as well, auto electronics, textiles, etcetera. So the advantage being a diversified market for the derivatives, I think is a good thing.

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Sanjesh Jain: Fair enough. Second, again on the bromine derivative side, do you think as sluggish demand, your ramp up in derivative will be slower than anticipated or you think once we start producing and we have a contract to supply at least a flame retardant to an existing buyer, the ramp-up will not be a problem at least on the flame-retardant side?

Ranjit Pendurthi: I think if you may recall, we are doing our downstream project in two phases. So Phase 1 does not involve flame retardants. That's Phase 2. So the Phase 1 is brominated clear brine fluids, PTA synthesis catalyst, etcetera. So there I think we've started some groundwork on the marketing side. And as I said, we're getting very good feedback on people wanting to either buy on a tie up or on a long-term basis so that endeavour will continue.

On the flame retardant itself I think the fact that we will be an integrated producer I think that gives us a lot of competitive strength and edge most importantly. So I think the pricing itself would be of some concern but I think in terms of being able to sell what we make as and when the plant is up and ready, I think we don't see too much of a challenge at this point.

Sanjesh Jain: Got it. Just a clarification there. We said that the entire plant to be operational by end of this fiscal year. That also includes Phase 2 or you think Phase 2 could slip to FY '25?

Ranjit Pendurthi: No, I think the plant itself will be ready. I think the commissioning itself we will do it in two phases. So the second phase will be the flame retardant. That one we will probably do it in the first quarter of next financial year.

Sanjesh Jain: Got it. And in the presentation, I can see the pictures of the R&D setup. It's operational or it's just the building has come up and can you help us understand what's happening on the R&D side for us?

Ranjit Pendurthi: So I think the initial setup of R&D is ready so I think the trials for the end products are already going on. And we probably will start sending out some samples in post Diwali.

Sanjesh Jain: Got it. And what is the strength of R&D right now for us and are these restricted to the product we are starting initially and what are the plans for the R&D in FY25?

Ranjit Pendurthi: I think R&D at the moment is a four-member team, and we are briefing that up as we go along. And I think by FY'25, again, if you may recall earlier conversations, I think we plan to have up to a 10-member team for R&D, specifically with industry application and...

Sanjesh Jain: Got it, got it. The second question is on the salt. We're looking to add another two conveyor or washeries, are they in the progress and when can we expect that to be commissioned?

Ranjit Pendurthi: Well, we are still targeting to, as we discussed or mentioned on the calls earlier before March 24, but give or take this may be a month simply because I think the ground remains wet from all the excess rain Gujarat has had across the state. I think, there's been a 60% excess rain this year. So, I think we need some amount of dry weather to come continuously to start the piling,

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etcetera. But as such, the drawings and engineering everything is ready. So, once we start the work, we wouldn't take too much time. It's something we're very familiar with.

Sanjesh Jain: Do you think there could be a risk to the salt volume considering that the caustic and soda ash prices are now significantly corrected if you look at the results of the peer, hardly anybody is making any money in the caustic right now. Can this be a challenge for an off take in the salt volumes?

Ranjit Pendurthi: The moment we're not seeing it, because I think, again, given that all of you have a lot of expertise in this area, I think the export market works a little bit differently, as you may be aware. They are primarily chlorine driven end users, not caustic driven, unlike the domestic market here.

So, I think the chlorine side, I think things are still a bit healthy, because it's just not about only

PVC as a chain, but there's a lot of other end chlorine derivatives that a lot of companies make. So I think at the moment we're not seeing any let up in the shipments or the contract and volumes.

Sanjesh Jain: Got it. My last question is on the SOP. What are the expectations for KTMS harvest this year and so that conversion of SOP, how do you see that happening for this year?

Ranjit Pendurthi: I think our engagement with our technology supplier continues and I think they've done the first two levels of testing and I believe that they're going to

do the third one sometime post the

summer holidays in Europe. So, we hope to get some feedback. So far, it's been positive in the right direction, as we had hoped for.

And I think in September, we should have a fairly clear plan on what we will do with the KTMS and also the conversion ratios. This testing is all a part of that endeavour. So, I think we'll probably have a better update for you on our next call.

In the interim, the SOP volumes, whatever we had in stock, I think we're successfully getting it sold both domestically and export has started as well. So, I think we're happy about that. So the domestic market actually has found, we found a good market in the domestic.

Sanjesh Jain: And in this testing, is the improvement significantly better than the existing harvesting technique which we use?

Ranjit Pendurthi: We do expect significantly better conversion ratios, yes.

Sanjesh Jain: But KTMS we have to still produce, right? Conversion is more of a plant you're telling or the salt itself?

Ranjit Pendurthi: The plant. KTMS we already have what we have in stock as well. So, I think the KTMS is not the immediate concern at the moment. We would like to see how to get the ratio on the conversion sorted out first.

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Sanjesh Jain: Fair enough. Thanks, Ranjit, for answering all my questions.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. We have a next question from the line of Krishan Parwani from JM Financial.

Please go ahead.

Krishan Parwani: Yes, hi. Thank you for taking my question. I have like two, three clarifications. So, firstly on bromine, I think you are kind of able to hold on to the USD4 per kg guidance price range. So, just on the volume front, do you kind of see FY'22 kind of a sales volume in FY24 or would that be too aggressive of a number?

Ranjit Pendurthi: I think given the domestic demand as well as the export market coming back, I think we are confident of holding to the guidance that we have given, but I think it's still early days a bit, but at the moment we don't see any specific reason to have to change it.

Krishan Parwani: Okay, got it. Thanks for that. For the flame retardants side, I think since 90% of our volume is going to be contracted, was it on a customer's request that we have delayed the flame retardants plant to let's say the first half of 25 from the second half of 24?

Ranjit Pendurthi: No, I don't believe so. I think you have to keep in mind that being an integrated manufacturer like the likes of – you have the overseas players like Albemarle or ICL right? I think that advantage always remains. So, it's a question of just pricing, but even at a very conservative price, I think the demand still is there as well as the margin can still be held. So, we have not done any deference.

I think we'd always said that the capex is going to go at one time, and the commissioning is going to happen in two phases. First, we'll have the clear brine fluid and the PTA synthesis and the other allied products, and then the flame retardants. Flame retardants are slightly more technical products. So, in terms of customer evaluation, etcetera, there's a little bit more time that happens. So, it's not just about competing on price.

Krishan Parwani: Understood. And lastly on the phase one of your, let's say, the derivatives project, what kind of a utilization you expect from, let's say, the clear brine fluids or PTA synthesis catalysts in this current fiscal year?

Ranjit Pendurthi: I think in the first year, we have set ourselves up to target about 70% odd utilization because as I just said a few minutes earlier on earlier questions, post-Diwali we start aggressively marketing the products. So, we should have all the tie-ups done. So, we'll have a better visibility not to be able to get that utilization rate going at 70% in the first year.

Krishan P

arwani: Okay, that's great. And just the last bit from my side, on the margin front, do you expect to see an uptick despite let's say the aggressive marketing from the second half? So, whatever, let's say margin that you have done in the first quarter, let's say 3.9% deducting the other income, do you expect to see the margin going upwards from here on?

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Ranjit Pendurthi: I think 39% is pretty good. So, obviously any higher margin will be welcome, but I think we've always said that this 37 to 42 that's the space that we are happy to look at as a margin and I think that's what we're holding on. And I think we're holding on mid-range, possibly the upper range of that. But that's ideally where we would like to be no matter what we have to do.

Krishan Parwani: Got it, got it. Thank you for answering my questions and all the best for the coming quarters.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. We have a next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Yes, sir. Thank you for the opportunity. A few clarifications from the capacity that you are adding and the expansion which are coming in. So, from the presentation, we are adding about 32,000 -ton capacity in the bromine side and the derivative side is about 28,000 tons. So, is it first of all fair to assume that the incremental bromine capacity will be – is largely set to the bromine derivative, that is the first question.

My second question is from incremental volume in bromine will be, only bromine will be about 4,000 tons, 5,000 tons versus whatever we are doing about 20,000 tons, 21,000 tons.

Then on the derivative side we mentioned that the brine fluid capacity will come from quarter 4 of this year. I did not understand when the flame -retardant capacity will come and both these capacities to hit 100% utilization, will it be FY'26 is my other question?

Ranjit Pendurthi: I am going to attempt answering all the questions and if need be, please help me with repeating a question if I do not get to answer it. So, the first one I think is that yes, your observation is correct a large part of the expansion will go into our captive views and the downstream facility. So, that is what will happen. So you're right in that observation.

The second one is, I think, on the commissioning of the flame retardant that will happen. We will, I mean, conservatively, we will try to get it done in the first quarter of FY'25. However, as I said, capex is going in for all of them at one time. So, on an aggressive basis, we will see if we can commission it in FY'24 itself, but that I would say is a touch and go on the flame retardant.

Pritesh Chheda: On the full capacity utilization of bromine derivatives, do you think it is FY'26 considering whatever approvals, product, etcetera that you need to get in place?

Ranjit Pendurthi: Yes, 25 end we anticipate it should happen.

Pritesh Chheda: Okay. And lastly, sir, on the bromine derivatives, on the bromine side, for the 32,000 -ton capacity that you are adding, what is your capacity in the system then?

Ranjit Pendurthi: Sorry, can you just clarify that question, how do you mean capacity in the system?

Pritesh Chheda: What is your capacity in bromine, after this 32,000 -ton capacity that you are adding?

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Ranjit Pendurthi: Understood. Okay. It is 42,000 and change.

Pritesh Chheda: So, you add 10,000 which is growing to 42.

Ranjit Pendurthi: Right.

Pritesh Chheda: And you are doing 20,000 ton already kind of a number. So, then the bromine needed for the derivative there would be more capacity expansion in bromine because bromine derivative you are adding 28,000 tons?

Ranjit Pendurthi: So the 28,000 tons of bromine derivatives do not necessarily consume 28,000 tons of bromine.

It will be not necessarily a linear ratio of 1 is to 1.

Pritesh Chheda: Okay.

Ranjit Pendurthi: It could anyway range between 0.2 tons of bromine for a product to up to 0.9 tons of bromine to a product. So, the product mix will determine how much bromine will grow.

Pritesh Chheda: But the larger part of the incremental bromine is meant for bromine derivatives only?

Ranjit Pendurthi: Yes, largely yes.

Pritesh Chheda: Largely yes. Okay, thank you. I will come back for more questions if I have sir.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. We have our next question from the line of Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: Hi, sir. I just have one question. Can you please provide revenue split for 1Q FY23?

Ranjit Pendurthi: Revenue split for what?

Viral Shah: Yes, segment -wise, revenue split for 1Q FY23 that is last quarter, same quarter last year?

Raghunathan R: Yes, the salt has contributed around 1,960 million and bromine 2,038 million.

Viral Shah: 2,038 million. Yes, thank you.

Moderator: Thank you. We have our next question from the line of Shantanu from IRF. Please go ahead.

Shantanu: Yes, thank you. Hi, Ranjit. Ranjit, you spoke about the China market. Can you give us a sense of where the India market is both in terms of the bromine pricing because it sort of tracks to the China market and also in terms of the domestic demand on bromine, that's question number one.

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The question number two is, in so far as China is concerned, do you see any supply side uptake both on the bromine and industrial salts from the China producers?

Ranjit Pendurthi: Thanks, Shantanu. I think if I understood the first question, you're asking about the pricing in India and China on bromine.

Shantanu: Yes, how is the India pricing tracking based on where the China bromine pricing lies? Do you think there is a lag or is it tracking exactly as China, so if China is bottomed out, do you think that India is also bottomed out on the bromine pricing for the domestic market?

Ranjit Pendurthi: I think that happened in the last couple of quarters. I think the Chinese price obviously has come down faster simply because it rose much faster. And I think now they're finding pretty much a balance between the two and we're seeing that.

Shantanu: So, there's no significant difference in China and India pricing in the spot market?

Ranjit Pendurthi: At the moment, no. There's not any real difference. I think it just comes down to certain customers, how you price it with them, vis-a-vis export.

Shantanu: And how do you see the demand, the domestic demand?

Ranjit Pendurthi: Domestic demand, I think, is good. Like I said earlier, I think it's pretty firm. I think the Ag Chem guys and the Pharma guys are fairly more resilient. And I think there are certain companies that are having product portfolio differences between each other. So, there are certain ones that are doing better than some, but I think overall it's still firm.

Shantanu: And the second part of the question is, in so far as China is concerned, have you seen any supply uptake from domestic producers of bromine or salt?

Ranjit Pendurthi: Nothing significant. I mean, I'm going by the fact that our business continues quite firm on the salt side. Bromine, of course, I think summer always is where the small domestic producers in China do a little bit more. It's warmer, so they can produce a bit more, but nothing out of the ordinary.

Shantanu: Thank you. We have our next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Yes, thanks for the opportunity. Sir, my questions are on bromine derivatives. So in clear brine fluids, you have mentioned that the technology tie-up includes a 90% off take from the Chinese technology provider So,

here are we going in a cost-plus basis model or how the pricing of the product is done for this?

Rajeev Kumar: Hi, Rohit Rajeev here. So, just to clarify our 90% off take is for flame retardant, not clear brine fluid. Clear brine fluid, we are actually doing the project with our own R&D inputs. And also the marketing of clear brine fluid will not be on the cost-plus model.

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Rohit Nagraj: Sure. Unfortunately, I think in the presentation on 19 number slides, it is mentioned in clear brine fluids column. So I don't know, maybe it might be.

Rajeev Kumar: Maybe it's an alignment issue, but the 90% of the case on flame retardant side.

Rohit Nagraj: Right, got it. And second question is again on the PTA synthesis catalyst. So, as of now, is it a replacement for the existing catalyst, or how does it work? So I mean, I understand that existing PTA players must be using some catalyst. So our bromine catalyst will be a replacement of it or we'll have to go in for only the newer capacities which are coming in to market this catalyst?

Rajeev Kumar: So, essentially it is not a replacement. The catalyst which we will be making will be from virgin bromine. Generally a lot of manufacturers make it from the recovered bromine. So, the PTA catalyst that we are attempting to will have a good demand and we, like our MD said, we are already starting to reach out to potential customers and that marketing activity will pick up pace from Diwali onwards.

Rohit Nagraj: Right, so we will be displacing some of the existing players in terms of the quality of the product, is that understanding right?

Rajeev Kumar: So we'll see when it comes but our PTA catalyst will be based on purity. Purity will be very

high for it, for the product.

Rohit Nagraj: Right sir. Got it. Thanks for answering the questions and best of luck.

Moderator: Thank you. We have next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Yes, sir one more clarification. So, when these capacities come on stream fully and we had utilized what will be the bromine plus – what will be the bromine volume sold and what will be the bromine derivatives volumes. So, the bromine volume, which is about, let us say, 20,000, 21,000 tons give or take whatever we see on the quarterly swing what should be that number in FY'26 and what would be the bromine derivative number in FY26?

Ranjit Pendurthi: I think when all the plants are up and running and let us assume 90% capacity utilization conservatively, I think we expect pure bromine to be anywhere between 25,000 to 28,000 and the bromine derivatives to consume anywhere between 13,000 to 15,000, 16,000 tons.

Pritesh Chheda: Bromine derivatives to consume bromine of 13,000 to 15,000 tons, right?

Ranjit Pendurthi: Right.

Pritesh Chheda: Then what will be the derivative volume itself because that includes a part of bromine, so your derivative capacity is 28, so we should take 90% of that 28 to about 24,000, 25,000 tons of derivative?

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Rajeev Kumar: So, Mr. Pritesh we had answered this question in our previous earning call, but just to reiterate the capacity of our bromine derivative is 28,000. 28,000 of bromine derivative will require around 13,000 to 14,000 tons of bromine and as and when we further increase the capacity of downstream, we will have to expand our bromine capacity.

Pritesh Chheda: Okay sir.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Ranjit Pendurthi: Thank you everyone for joining us in this earnings call today. I appreciate your time and showing interest in our company. We look forward to me

eting all of you over the next call. We

wish you a Happy Independence Day. Jai Hind.

Moderator: Thank you sir. On behalf of Archean Chemical Industries, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 10, 2023

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Listing Operations

Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street

Mumbai-400051 Mumbai-400001

Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015 ("Listing Regulations")

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 as amended, please find enclosed herewith the transcript of the

earnings call held on 08th November 2023 post announcement of financial results of the Company for the second quarter and half year ended 30th September 2023.

The above information shall be made available on the website of the Company at

www.archeanchemicals.com

Kindly take the same on record.

Thanking you

Yours faithfully

For Archean Chemical Industries Limited

S Balasundharam

Company Secretary & Compliance Officer

M. No. A-11114

Encl: A/a

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"Archean Chemical Industries Limited

Q2 FY '24 Earnings Conference Call"

November 08, 2023

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR –

ARCHEAN CHEMICAL INDUSTRIES LIMITED

M R. RAGHUNATHAN RAJAGOPALAN – CHIEF

FINANCIAL OFFICER – ARCHEAN CHEMICAL

INDUSTRIES LIMITED

M R. RAJEEV KUMAR – DEPUTY GENERAL MANAGER

FINANCE – ARCHEAN CHEMICAL INDUSTRIES LIMITED

SGA, INVESTOR RELATIONS ADVISORS

MODERATOR : STRATEGIC GROWTH ADVISORS

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 8th November 2023 will prevail

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Moderator: Ladies and gentlemen, good day and welcome to Archean Chemical Industries Limited Q2 FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. The statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranjit Sir, Managing Director of Archean Chemical Industries Limited. Thank you and over to you, sir.

Ranjit Pendurthi: Thank you, Seema. Good morning, ladies and gentlemen. We wish you all a very warm welcome to our Q2 FY '24 Earnings Call today. I'm accompanied by our CFO, Mr.

Raghunathan Rajagopalan, Mr. Rajeev Kumar, DGM Finance, and SGA, Investor Relations

Advisors.

I hope everyone had an opportunity to go through the financial results and investor presentation, which has been uploaded on the Stock Exchange and other company website as well. I'll give you a quick snapshot on the recent developments of the company. Post that, Mr. Raghunathan will walk you through the operational and financial performance of the company. As you know, it's been an interesting time for the entire chemical industry. There's been some headwinds, no doubt. I think all of you are aware of that across the sector and something specific to our business as well. So some of the recent developments, I'll give it segment-wise, which will give better clarity to the larger community. To start with, on the bromine business itself, as you know, it's an important business for us, especially the chemicals company. It's estimated that the industry size of the bromine is nearly \$3 billion annually and is expected to grow at mid-single digits due to the rising consumption of derivative products across the world. China is obviously a big market, so bromine and most of the growth will be echoed from this market due to the rising fire safety norms in electronic products such as smartphones, TVs, wires, cables, electronics, etcetera. China, as you're all aware, is the biggest supplier of these products in the global market, and any slowdown in consumption will hinder the sourcing of key raw materials like bromine, apart from many other products that they buy. We're seeing this temporary blip over the last couple of quarters due to rising stockpile at different levels. As you're aware, the entire chemical market industry is working with destocking at various product portfolios across the board, and bromine is not an exception to that particular headwind at the moment. However, despite these uncertainties and changing global landscape, the company has maintained a steady performance during this quarter. We saw some moderations from the select customers as they have deferred some of their buying due to the ongoing liquidation of their excess inventory, and this is happening as we

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speak, and this also gives us an insight into how the next few quarters will be. This moderation has lingered over the last couple of quarters, especially on the bromine business.

Further, we would like to also let the investors know that as of now, we have not seen any significant impact on the bromine industry due to the recent ongoing tension in the Middle East.

However, in the last few weeks, we have seen some signs of uptick in demand, but there's m

ore of restocking rather than demand supply mismatch. We foresee the second half of the financial year to be better than the first half, and demand will flow from the end customers, especially from the clients who are sitting at low inventory levels. On the industrial salt business next, we're pleased to report that we have been consistently maintaining our quarterly volume run rate of a million tons each quarter.

So industrial salt has been used in wide end-user industries, and we serve mostly chlorine and chlorine-derivative manufacturers in the Asian market. We have seen a firm demand and a continuing firm demand, in fact, for industrial salt from these manufacturers, and we foresee this momentum to continue in the upcoming periods because of our long-term contracts as well.

Next, on the sulphate of potash, what we call SOP side, we are seeing some traction from a few clients and have done a meaningful business during the quarter. We're conducting multiple trials in the market for further diversification of the product profile itself, and we will be able to serve our domestic customers as well and foresee this business to grow in the next financial year. Just to add, the domestic market is something we've entered in the last couple of quarters, and we're seeing a healthy demand from various end-users here as well.

It's important to note, of course, that most of our business contracts are bilateral in nature, which underline the stability and predictability of our business operations. Commercial terms of these bilateral contracts vary from customer to customer, depending upon the size and scale of the requirement. We continue to have a deep engagement with them for their future requirements and are closely monitoring it. We believe this recent, prudent approach by customers is momentary and will not adversely impact in medium to long term.

We are delighted, of course, to inform you that we have expanded our client base with a balanced mix of global customers and domestic customers. We went into longer term contracts with larger customers as well. Our company has built a strong foundation over the years in the marine chemicals space, and we're in a good position to leverage our technical know-how in the bromine-derivative products along with our primary focus. It means an establishing enduring collaborations with customers across all our key products.

That's it from my side on the overall view of the business. Now I'd like to hand it over to our CFO, Mr. Raghunathan Rajagopalan, to run you through some financial performance and other

numbers as well. Thank you.
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Raghunathan R: Thank you, sir. And a very good morning to all the participants on the call. We are pleased to report reasonably a good performance for this quarter, despite the continuing turbulence across the globe, as our MD has indicated.

To give a summary of Q2 of FY '24, total revenue that we have registered for this quarter is at INR3,020 million, a marginal drop in the growth by around 3% on a one-on-one basis. Export market contributed around 72%, and the balance of 28% comes from the domestic market. Coming to the volumes, bromine sales for this quarter of Q2 of FY '24 should near about 3,400 levels, and Industrial salt was close to 1 million level. EBITDA for this quarter was at 1,072 million, a drop of around 22% on a YoY basis. And this drop is predominantly due to a drop in the average realization of the bromine price.

EBITDA margin stood at 35%. Continuous efforts in achieving our operational efficiency by way of increased output, coupled with lowering of raw material costs and other input costs, such as transportation, power, and fuel, have contributed to achieve this EBITDA margin. Net profit for the quarter stood at around 663 million. A growth of 4% on a one-on-one basis. Net debt

to equity is nil and returns on equity and returns on capital employed were at 21% and 25%, respectively.

In line with our dividend distribution policy, as approved by the Board of Directors, the Board has declared an interim dividend of INR1, which is around 50% of the paid-up share capital per equity share of INR2. That will entail a cash outflow of 123 million.

Having this, we conclude the speech and open the floor for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Thank you.

We take the first question from the line of Sanjesh Jain from ICICI Securities. Please go ahead, sir.

Sanjesh Jain: Yes, good morning. Thanks for taking my question. First on the bromine derivative side, in the last con-call, we said that we will be starting sampling closer to Diwali. Any more update you want to share on how many products we have trailed and have the samples started going in? So, what are the initial developments on the derivative side you want to share? And where are we in terms of building the plant? Are we in line to commercialize it between Q4 of this year and Q1 of next year?

Ranjit Pendurthi: So, thank you, Sanjesh, for the question. So, the Bromine derivative business, I think, is on track. The market remains healthy. We see a lot of potential requests from clients for various products. So, we have started discussions with them. And the plant itself is under construction, as you know, and we anticipate that in the timeframe that you mentioned to start up. And we are on track on that front.

Sanjesh Jain: Okay. And on the sampling, we have started that or its post-Diwali kind of a phenomenon?

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Ranjit Pendurthi: No, the sampling has started. So, I think the trial of course, the trial batches as such haven't started because the plant is still under construction. But I think the sampling and test samples, etcetera, being done in the R&D, I think they have been, we're almost ready with those to start sending out to customers, maybe starting in the new year.

Sanjesh Jain: Got it. Got it. On the Bromine side, I think we have a sharp decline in the realization from last quarter to this quarter that also tells that a lot of the older contracts are now renewed. How are we looking in terms of volume for in the coming year? And does this political situation, geopolitical situation, has helped us to find more contracts, add more customers, any more color that you want to add?

Ranjit Pendurthi: I think on the customer front, I think our engagement continues. We do have some newer customers as well. And I think, like I mentioned in my introduction, we're not seeing too much of a fallout from the Middle East issues right now in terms of supply disruption. However, at the same time, I think as any prudent customer who's buying from that region would like to kind of have a plan B.

So, I think we are seeing some requests coming from customers who would like to possibly safeguard some of the volumes and are talking to us. And we're engaging with them to be able to have an alternate source. So, we do see a positive, if I can say that, from our perspective.

Sanjesh Jain: So, next year we should see a healthy volume growth because of restocking and adding more customers and customers themselves looking to de-risking the geographical concentration.

Will that be a fair assumption?

Ranjit Pendurthi: I wouldn't dispute that assumption.

Sanjesh Jain: Good. And on the SOP, where are we in terms of location technology, the progress we were trying to make with the technology partner?

Ranjit Pendurthi: I think we're making very good progress. I think the last but one trial has been conducted. So, I think we have a team. We're hoping with all the visas and all that sorted out, we have a team hopefully going in the first quarter. Actually, let me rephrase that. Going

in the next quarter,

the last quarter of the year to visit and do the last batch trials and tests under our supervision.

And I think post that, we will possibly look at putting some infrastructure on the ground and making some changes to the plant.

Sanjesh Jain: Will that involve a significant capex or because of the change in the way we are processing now?

Ranjit Pendurthi: We have discussed with the technology providers, the German people, to accommodate whatever we have and minimize the capex spend or technology spend. So, we don't anticipate anything significant as an outflow.

Sanjesh Jain: Got it. One last question. A quick question to Raghu, sir. What are the SOP volumes for this quarter? We said 3,400 for Bromine, a million for salt. And what is for the SOP? Change volume?

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Raghunathan R: SOP, yes, it's around 3,800 levels.

Sanjesh Jain: 3,800, okay. Got it. That's it from my side. Thanks, everyone, for answering my question. And best of luck for the new quarters.

Moderator: Thank you, sir. We take the next question from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead, sir.

Sudarshan Padmanabhan: Thank you for taking my question. So, just taking forward from Sanjesh, so when I look at the prices of Bromine as well as the volumes, there has been a dip. One is, the Bromine prices have improved towards the end of the last quarter, and you had also mentioned that newer contracts are getting signed. So, if you can give some clarity with respect to prospectively, you know, are we looking at better prices than newer contracts?

Second is, has there been any shipment delay in the sense we have dispatched the volumes on Bromine or salt but not accorded as yet?

Raghunathan R: Mr. Sudarshan, I think if I understood your question right, I'm probably going to answer them, give the answer accordingly. I think, yes, as I mentioned, there is some positive in terms of the volume uptake given the situation going on in the Middle East or West Asia. So, I think that will flow through to us, for sure. And in terms of, I think, the pricing, as I said, there's no real supply disruption as such. So, the pricing, I think we have not seen any material uptick on that front.

However, I would say that whatever decline that we have seen, we have seen possibly, I would say, I haven't seen a further decline that happened over the last couple of months. So, that's on those two aspects. The last part of your question, if you could repeat. I couldn't understand what exactly you were asking.

Sudarshan Padmanabhan: So, these Bromine volumes have dropped from the usual levels of 4,000 to 4,500. So, has there been any shipment that has happened but not booked as sales? I mean, which is probably explaining why there has been a drop. Or is it just that there has been lower demand and they should pick up going forward?

Raghunathan R: No, generally, this question...

Ranjit Pendurthi: I think, Raghunathan sir, maybe you can answer from the accounting perspective.

Raghunathan R: Just to take the question, yes, both the elements have influenced. But coming to our revenue recognition policy, as we see that the documentation process for the sale process is not complete, it generally follows some deferrals. And we had a deferral, of course, to around INR4 crores on this.

Sudarshan Padmanabhan: Sure, sir. And just to understand a little further, while the prices might be down, and as you mentioned the temporary dip, should we expect more or less the volume off-take to improve, say, in FY '25 as even discussed by the earlier participants? That should offset more or less the kind of temporary impact that we are seeing on the prices on the bromine side. Just trying to

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understand, whether there can be a surprise in the volume, specifically one drive

n by the

interim loss? And second is the prices itself has corrected quite sharply.

Raghunathan R: I think, I mean, between the last earnings call and this earnings call, again, geopolitical situation is turned for the worse. And along with that, as I made in my introductory remarks, the chemical industry as a whole is facing some headwinds. But for us specifically, the silver lining would be that, we would be possibly given that we are going to commission the derivative facility in the next few months, some part of our bromine is anyway planned to be used actively in our derivative plant. So there would be a movement of or increase of the overall volume.

Sudarshan Padmanabhan: Just one final question before I join back the queue is, we talked about signing more clients, I mean, more inquiries from clients. And on the derivative side, if you can throw a little bit more colors with respect to, versus, say, a month ago or a couple of months ago, given the Israel war, as you mentioned, Israel Plus One, opportunity that is staring at us. Are we seeing more and more clients, qualitatively on the elemental side and the derivative side, engaging with us? And should that benefit be seen, say, in FY '25?

Ranjit Pendurthi: Regrettably, given the situation, in adversity also lies opportunity. So, we do see a better dialogue and a more meaningful dialogue with some new prospects. And on the derivative side, for sure, we do have some customers that we are engaging with, possibly a little bit more actively today than a few months ago.

Sudarshan Padmanabhan: Sure. So we should see a faster off-take of the new capacity on the derivative side.

Ranjit Pendurthi: That is the plan, yes.

Sudarshan Padmanabhan: Sure. Thanks a lot. I'll join back in the queue.

Ranjit Pendurthi: Thank you.

Moderator: Thank you, sir. We take the next question from the line of Jainam Ghelani from SVAN Investments. Please go ahead, sir.

Jainam Ghelani: Hi, sir. Thanks a lot for this opportunity. As we had mentioned earlier that we usually sign one-year contracts for the bromine chemicals. So since the prices were down over the last past two quarters, do we see that – like have we signed contracts at the lower price and would that affect our margins for the next, for the next year or so?

Ranjit Pendurthi: I think our target has always been, some previous earnings calls as well and other conversations that we've had with the larger investor community. We've always said that our margins, we hope to retain, in the 37%- 40% range. So even in the tough pricing quarter that we have gone by, we are close to that range. So I believe that, we're already operating on a price level that, like I said, has not deteriorated over the last couple of months.

Jainam Ghelani: Okay, sir. And, sir, any updates on the lease of our salt fields?

Ranjit Pendurthi: That continues to be a work in progress.

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Jainam Ghelani: That's it from my side. Thank you.

Ranjit Pendurthi: Thank you.

Moderator: Thank you, sir. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead, sir.

Krishan Parwani: Yes, hi. Thank you for the opportunity, sir. Just one question from my side or rather a clarification. So you mentioned you've started sampling. So that would be for PTA synthesis and clear brine fluids, correct? Or the flame retardant sampling has also started?

Ranjit Pendurthi: No, on the formal. The PTA synthesis and the clear brine fluids.

Krishan Parwani: Okay. So what's the progress on flame retardant side? I mean, when would those sampling get started and what's your expected kind of off-take timeline for the flame retardants?

Ranjit Pendurthi: I think that's always been phase two of our derivative plant. So, we need to first get this up and running. The sampling making in the lab, etcetera, I think it's an ongoing process. But we haven't yet started

making batches to send to customers for testing. So that's, a few months away.

Krishan Parwani: Okay. Thank you so much for answering my question. Wish you all the best and a Happy Diwali in advance.

Ranjit Pendurthi: Thank you. You as well..

Moderator: Thank you, sir. The next question is from the line of Omkar from IndiaRF. Please go ahead, sir.

Omkar: Hi. I just want to know average realizations for bromine and salt for Q2?

Ranjit Pendurthi: So possibly that information, I'm not sure if we have it offhand. Maybe Mr. Raghunathan can send that to you separately.

Omkar: Yes. That's it from my end. Thanks.

Moderator: Thank you, sir. The next question is from the line of Levin Shah from Motilal Oswal AMC. Please go ahead, sir.

Levin Shah: Yes. Thanks for the opportunity, sir. My first question is on volume. So if you see volume this quarter, 3,400 in bromine, which are down significantly as compared to last quarter as well as last year. So in the last call's commentary, we had highlighted that exports market is seeing some softness and deferment, but at the same time, domestic demand continues to be very healthy. So just I'm trying to understand what happened during this quarter. Are we seeing domestic demand also falling? And what has led to this kind of drop in volumes?

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Ranjit Pendurthi: Well, I think, one, we're coming up the cyclone quarter. So I think that's – I think we spoke about that maybe in the last one's call. So I think the primary market, you know, being Gujarat and Maharashtra, I think there's been some lag effect.

And also, I think the Indian companies also are sitting on higher stocks of goods. I think that's a known fact, the agrochemical companies, et cetera. So there's some amount of destocking happening there as well.

But at the same time, I think the last couple of months, we've seen an uptick in our export volumes, which possibly will be reflected in the next couple of quarters because some of those contracts have started moving. And as I said, I think on the pricing side, we've been able to deliver a 35% margin with, I think, pricing at pretty much a lower level, which again is not deteriorated in the last month and a half. So I think we should be able to – you know, we would not be too far to say that we would be able to maintain this level.

And I think the domestic market continues to be strong. And I think that's picking up as well in line with the export market. But also to keep in mind, we have a twofold objective here.

One is to maintain the margin, protect that. At the same time, to not drop our prices too far below. So there will be obviously a mix of orders that we would like to maximize the revenue from as well as keep the margin intact.

So there will be some orders that we will sacrifice where the price expectations are not in line with our desire to keep the prices at a certain level.

Levin Shah: Sure. So as I understand that you would look out for pricing as well and will not take – just chase volumes is what you're trying to explain, right?

Ranjit Pendurthi: Yes, we wouldn't necessarily chase volume if it's going to impact the margin.

Levin Shah: Sure. So then secondly, if you look at full year's volumes, so last year also we had some degrowth. But how do you see this year full year number? Will we be able to make up for the demand softness we had in first half or will still end up lower than last year's volumes for bromine?

Ranjit Pendurthi: I think our business, generally if you see our history, the third quarter and fourth quarter are generally the strongest.

Levin Shah: Yes. No, I understand that, sir. But when I look at last year's third and fourth quarter, we had volume softness and there was degrowth. So the base itself for this year's second half is soft.

On that base, do we see that we will continue – we'll report volumes at that level or some

improvement on that?

Ranjit Pendurthi: At the moment, we're not revising what our outlook should be for the year in terms of volume. So we should be able to, I think, meet that expectation.

Levin Shah: Sure. And my – okay. And my last question is on the inventory. So when we look at our inventory levels have gone up versus last year, same time. And some of it was to do with

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building up of inventory that we explained on the bromine side to take advantage of the contracts that were to come up. So how do we see this inventory situation now and still it continues to be higher on the higher side?

Ranjit Pendurthi: Well, I think the holding inventory, I think, is again a two-part, I think, if you can call it strategies. One is that, as I mentioned, we're not willing to sell at prices below what we want. So that inventory is holding. Second one is the inventory holding also is helping with what's happening in West Asia. You know, customers will suddenly want material. I think we're the only ones who are having the ability to supply from the inventory we have.

So it's worked in our favor in that context. And as I said, some of the export customers have come back online, and I think we're able to meet that demand pretty quickly when someone's asking for shipments immediately. So I think in that context, the holding inventory is helping us.

Levin Shah: Got it. Thanks a lot, sir.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. We take the next question from the line of Archit Joshi from B&K Securities. Please go ahead, sir.

Archit Joshi: Thanks a lot for the opportunity, sir. Sir, I just have one question about the global supply situation on the bromine front. Sir, there have been some Chinese companies who have been trying to establish their base in countries like Laos and Djibouti, about 10,000 tons of plants coming up there. Sir, do you think that this could have a balance being created or maybe an oversupply sort of a situation going ahead with these new capacities coming in? And if you would have any idea about what the source of the elemental bromine they're extracting from those countries? Thank you.

Ranjit Pendurthi: I think competition is a reality. What you make, you cannot be one of the few that will be making it for a long time. So part of that also requires us to keep looking forward and keep looking at other options that we can do, that we must continue doing. So I think us going downstream in the derivative business is a part of that overall strategy that we started even prior to listing. So I think we are on track to do that, which also means that we will be consuming a fair amount of bromine ourselves internally, just like other global majors do, like IAEA Chemicals or Albamarle and Lanxess. So I think overall, we'll fit into that bucket. The second part is the bromine that is being made in Laos is coming from seawater, which means it is not exactly the same concentration levels. In fact, it's far lower than I think what we have or definitely lower than what Israel has for sure. So in that context, I think there's going to be our analysis that we will make, but we're not very sure that we need to worry about that at the moment.

Archit Joshi: Sure, sir. Just a follow-up on that. Is it that these Chinese companies are setting up bases outside of China, given that their own production is in doldrums, so would this be largely to Archean Chemical Industries Limited
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cater to the Chinese market only because now they seem to have become more of net importers over the last few years, or this would also come into the global trade? Ex of China.

Ranjit Pendurthi: Our assessment is that China continues to be import-dependent from our country, for bromine, and will continue to remain so. I think the Chinese companies that have set up the facility in Laos, for

example, I think it's all catering to the Chinese market. It's not meant to come onto the global market.

Archit Joshi: Got it, sir. Thank you. Thanks a lot. All the best.

Ranjit Pendurthi: Thank you.

Moderator: Thank you, sir. The next question is from the line of Mr. Ranjit from IIFL Securities. Please go ahead, sir.

Ranjit: Hi, sir. Thank you for this opportunity. One question, you have mentioned that there was an impact due to cyclone on our user industries. Also wanted to get a sense of how did we face the impact? The brine solutions, are they diluted? Was there any significant impact to us due to the cyclone?

Second, just a clarification, you said you are also in talks with the potential clients for the offtake of bromine derivatives. Again, here, I believe this is again largely for PTA and brine fluid, because we believe that flame retardants is largely tied up with the Chinese supplier. Thank you, sir.

Ranjit Pendurthi: So I think the cyclone impact for us was minimal in terms of damage to any structures, etcetera. I think given the severity of the incident, we were fortunate to have had far less damage than one would imagine. So I think that we thank God for that.

The second thing in terms of the dilution itself, of course, water always dilutes anything that's concentrated, so that's natural. But having said that, I think we also said in the past that our brine fluid is designed to be able to come back to production very quickly, and that's what we were able to do. So in that sense, the real impact, I think, was not severe.

The third part of what you asked, the brine, I think, derivatives plant is on track. And yes, I think I mentioned this before. We are looking at the PTA products and the pure brine products first, and the flame retardant products have been tied up. But having said that, we are also having the flexibility to sell it to others where we may see a better opportunity in terms of price or market. Thank you, sir.

Moderator: Thank you. We take the next question from the line of Aditya Khetan from SMIFS. Please go ahead, sir.

Aditya Khetan: Yes, thank you, sir, for the opportunity. Sir, first question is post-expansion of bromine derivatives. So at peak utilization level, how much of bromine we are planning to consume in-house? Any rough figures would help.

Ranjit Pendurthi: I think, Rajiv, you can take this question.

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Rajeev Kumar: Yes, thanks for the question. For our bromine derivative, we are looking at consuming around 13,000 tons to 14,000 tons per annum.

Ranjit Pendurthi: At peak utilization level, sir?

Rajeev Kumar: At peak utilization level, yes.

Ranjit Pendurthi: Sir, suppose if it's a bromine, like it is commanding a spread of ex-dollar. So, sir, any guidance or any idea, like, if you can give some bromine derivatives, would be like ex-dollar-plus how much improvement in spread, like 15%, 25% or?

Rajeev Kumar: So we had given this indication on our previous call as well. We said that on the market prices of bromine, we are looking at a margin of around 20% to 25%.

Ranjit Pendurthi: Okay. Thank you, sir.

Moderator: Thank you, sir. The next question is from the line of Pooja from Avendus. Please go ahead.

Pooja: Thank you for the opportunity. Sir, if any sense on what percentage of our bromine production would get consumed in flame retardant would be helpful?

Rajeev Kumar: So, Pooja, out of 13,000 tons to 14,000 tons of captive bromine that we will consume at peak, around 40% of that will get consumed in our flame retardant.

Pooja: So that is helpful. Thank you. And I joined the call very late. So if you could enlighten us, you know, what impact is the Israel-Hamas conflict likely to have specifically on the ICL and bromine pricing in general? And would this conflict hamper ICL's ability to ship bromine?

You know, any sense would be helpful.

Ranjit Pendurthi: So, I'll take

this question. So I think, interestingly enough, I think, the country has been pretty resilient in terms of industrial production. I think, like I said, we're not seeing any meaningful uptake in pricing because of the supply disruption. I think it's happening more on the shipping side with vessels having to go in and out of Israel. So the impact of that is, I think, yet to be felt. But that's what we're hearing. So we have to see what happens over the next few weeks. But having said that, I think, like I said, I think our exports have picked up.

Pooja: Got it, sir. Thank you. One last question. I mean, if you could share the current status of our lease renewal and what is the total area of land available for harvesting bromine? Any scope for expansion there?

Ranjit Pendurthi: I think a large part of that, I think, was covered in our prospectus. So there's that to guide you. And the second thing is, I think someone else had this question, and I mentioned that it's a work-in-progress, and we continue to monitor it.

Pooja: Got it, sir. Got it. Thank you, sir. I'll come back in the queue.

Ranjit Pendurthi: Thank you.

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Moderator: Thank you. We'll take the next question from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh: Yes, hi, sir. Good morning. So we understand early days, but if you can elaborate on how big can this flow of battery opportunity be for us, and how are we looking to capitalize it?

Ranjit Pendurthi: That's an interesting question. I think the battery space and energy storage space, I think more-and-more people have spoken about it. We have intentionally not spoken too much about it, because I think we would like to deliver something on it before we talk about it. So at the moment, I think we're keeping that as it is. But all I can add and say is that progress is being made, and we're really happy with the progress.

Rushabh: Okay. And secondly, sir, we have certain cost rates and excesses, that we spoke about earlier. So on a full year basis, what is the cost sharing that we can see, say, this year or FY '25? If we just give some ballpark number on that?

Ranjit Pendurthi: I think we're primarily targeting cost savings on power and fuel. And I think some of it we have seen, as our CFO mentioned, on some raw material input costs. But having said that, these are all very volatile, because they're very globally benchmarked in terms of whether it be coal, chlorine, or sulphur, for example. So I think we continue to monitor that. And as and when we see a chance to lock in some prices that we believe would be low in our view, temporarily at least, we are doing that. And we continue to work on switching to gridline power.

That should happen hopefully this quarter. And that should, again, see a substantial reduction in both our carbon footprint, which is very important for us from an energy perspective, and also importantly from a power cost perspective, which will be brought down significantly. And

that savings will obviously go to the bottom line.

Rushabh: Okay, thank you. And just last clarification. We had incorporated certain new subsidies in the month of October. If you just share what the purpose of the subsidies are?

Ranjit Pendurthi: The subsidies have been incorporated with a specific purpose. And I think, there are opportunities that we're looking at. And ideally, we would want different vehicles for those opportunities related to the specialty chemical space.

Rushabh: Okay. Do you want to talk more about it, sir, or later on, sir, the opportunities that you're talking about on the specialty chemical side?

Ranjit Pendurthi: I think I don't want to put the horse before the cart. So I would, like I said, I think most of the time we would like our work to speak for itself. So I think at the appropriate time, I think we will talk about it.

Rushabh: Okay. Thank you,

sir. All the best.

Ranjit Pendurthi: Thank you.

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Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question. I now hand the conference over to Mr. Ranjit for closing comments. Thank you, and over to you, sir.

Ranjit Pendurthi: Thank you, Seema. So thank you, everyone, for joining us on this earnings call. We appreciate your time and showing interest in our company and continued interest as well. We look forward to meeting you over the next call, and we wish you all a very happy festive season ahead. Happy Diwali and a happy New Year as well. And God bless and stay safe and see you all on the next call. Thank you once again. Thank you, SGA, as well.

Moderator: Thank you. On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
February 09, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015 ("Listing Regulations")

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, please find enclosed herewith the transcript of the earnings call held on 06th February 2024 post announcement of financial results of the Company for the third quarter and nine months ended 31st December 2023.

The above information shall be made available on the website of the Company at www.archeanchemicals.com

Kindly take the same on record.

Thanking you

Yours faithfully
For Archean Chemical Industries Limited

S Balasundharam
Company Secretary & Compliance Officer
M. No. A-11114

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"Archean Chemical Industries Limited
Q3 and 9M FY'24 Earnings Conference Call"
February 06, 2024

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR –
ARCHEAN CHEMICAL INDUSTRIES LIMITED
M R. RAGHUNATHAN – CHIEF FINANCIAL OFFICER –
ARCHEAN CHEMICAL INDUSTRIES LIMITED
M R. RAJEEV KUMAR – DEPUTY GENERAL MANAGER
FINANCE – ARCHEAN CHEMICAL INDUSTRIES LIMITED
SGA -- INVESTOR RELATIONS ADVISORS – ARCHEAN

CHEMICAL INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Archean Chemical Industries Limited Q3 and 9 months FY24 earnings conference call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to the management team. Thank you and over to you.

Ranjit Pendurthi: Thank you. Good morning, ladies and gentlemen. This is Ranjit Pendurthi. We wish you all a very warm welcome to our Q3 FY24 earnings call today. I'm joined by Mr. Raghunathan, our CFO, Mr. Rajeev Kumar, DGM Finance and SGA, our Internal Investor Relations Advisor.

I hope everyone had an opportunity to go through the financial results and the investor presentation which has been uploaded on the Stock Exchange and on the company website. I'll take this opportunity to give you a quick snapshot on the industry and recent developments of the company. Post that, Mr. Raghunathan, as usual, will walk you through the operational and financial performance of the company.

To start with, the industry highlights. Over the last few quarters, there's been some moderation in the business performance across the chemical industries at large. As you all know, the sector has faced some headwinds over the last three, four quarters, and we believe that continues to happen as well.

China, of course, the large player on the domestic impact as well as overseas, continues to encounter hurdles as the recovery in domestic consumption is slower than expected, resulting in an overall downturn in end-user industries. As you're all aware from news and various other sources, their economy is struggling, especially on the construction sector and thereby impacting many downstream industries as well.

However, in recent times, we observed some stabilization in certain end-user industries, restoring and sustaining demand for specific chemicals like bromine. China, as you're all aware, is one of the largest manufacturers of downstream bromine derivatives. Despite the current industry-wide destocking phase and demand moderation, Archean Chemicals has not only withstood these external obstacles, but has also recorded consistent performance.

Coming to the performance highlights, we're glad to inform you that the company was able to report a healthy performance for the quarter, registering a total revenue of INR4,227 million for Q3 FY24, a growth of 13% year-on-year basis.

On the bromine side specifically during the quarter, we did see some demand pickup in bromine, as well as some of the clients have started pushing back their inventory levels to limited demand and are now restocking. In the domestic market, it's been more resilient.

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We did some business with agrochemical players who are facing headwinds at the moment, and offtake is lower than usual. We see that as well, moderating shortly.

Due to, of course, the global geopolitical tensions, we have seen some additional inquiries from various customers. However, we believe this to be momentary and not sustainable in the longer term.

On the pricing front, bromine prices have moderated, as you're aware from the numbers, but they remain around the \$2.75, \$3 mark. In the long term, we are confident to generate steady business. This is the contr

acts we have and the relationships we maintain with our global customers.

On industrial salt, we are delighted to inform you that our quarterly volume rate has remained steady at more than 1 million tons. Industrial salt, as you're aware, finds applications in a vast array of end user sectors. However, our primary clientele consists of chlorine and chlorine derivative manufacturers in Asian market who require grade one industrial salt.

There are limited players of this quality in the world and we are one of the handful producers of the same and able to deliver such large volumes as well. The derivative industry is witnessing

the advent of new areas, especially in the Middle East, and our geographical spread continues. Based on our strategic location, we are well positioned to serve this ongoing growing global demand.

The third one is on sulphate of potash. We're getting some new business clients and have done a good amount of business this quarter. We're doing several trials in the market, both domestic and overseas to make the product profile even more varied. We'll also be able to serve our domestic clients, and we expect this business to grow meaningfully in the latter part of the next financial year.

Coming to a greenfield project, the bromine derivatives facility coming up in Jagadia, Gujarat. The project is progressing as per schedule and we anticipate starting the first phase in this quarter, subject to obtaining necessary clearances from the regulatory authorities.

That is it from my side. Now I will request our CFO, Mr. Raghunathan, to run through the financial performance. Thank you.

Raghunathan: Thank you, sir and a very good morning to all the participants on the call. We are pleased to report a notable performance for this quarter. To give a summary of Q3-FY24, as MD has indicated in his speech, the company has registered a total revenue of INR4,227.2 million and this giving a growth of close to around 13.5% on a YoY basis. Bromine has contributed around 27% of the total revenue. Industrial salt has around 68% and the balance 5% has come from SOP. These are the product mix.

Moving to EBITDA. EBITDA for this quarter stood at around INR1,559.8 million with a margin of around 37%. Net profit after tax stood at around INR1,021.9 million, a growth of around 4% on a YoY basis.

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Moving to the business mix, bromine contributed around 32%. Industrial salt is around 64, and the balance four has come from SOP. Export market has contributed around 75%, and the balance 25, of course, is from the domestic market. EBITDA for nine months stood at around 4,090.9 million, with a margin of around 38%. The net profit is around [2,627.1], a growth of around 6.5, and when compared to the nine months of the previous year.

We are also happy to share that the board of directors have declared a second interim dividend of INR1 per equity for this FY24, amounting to INR12.34 crores. It is further to be noted that the company had already declared a first year interim dividend in the previous quarter, and thus with this second interim dividend, the total amount disbursement by way of dividends aggregates around INR24.38 crores.

With this, we conclude the speech, and the floor is open for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sudarshan Padmanabhan from JM PMS. Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my question. Sir, my question is, we have seen that the downward spiral of the bromine prices got arrested, say, about three, four months ago. And broadly, the assumption was that we will be able to get a little bit more firmer contracts in the longer term, business. So if you can give some colour with respect to prospectively, when we look at this business, how do we see the contracts getting signed?

And

as you mentioned, \$2.9 also seems to be lower than the long term average. So how do you see the demand scenario kind of pushing the prices, especially in the light of the Israel situation at this point of time?

Ranjit Pendurthi: So thank you for that question, Mr. Sudarshan. As I said in my commentary, I think there is a demand moderation. So a couple of factors contribute to the bromine pricing. Specifically to us, we are performing on our long term contracts. So I think that is continuous. We have a backlog of almost 4,000 tons of orders.

So fulfilling that, itself keeps us on a fairly even path. But with regards to the pricing of bromine, yes, I think in the context of the bromine prices coming down, it's got more to do with end user industries. It's not so much about the requirement of bromine as a critical specialty chemical into what processes these companies do, especially in China.

I think we anticipate that the pricing will continue maybe at current levels, give or take few cents here and there. But having said that, I think the longer term picture will emerge when the Chinese are able to stabilize on the export front, the Chinese are able to stabilize their end user industries, especially on the derivatives aspect.

With Israel, I think I said this maybe a couple of quarters ago when this question came up or in some other conversations with investors or shareholders, that we really didn't see too much of an impact from the Israel situation. And I don't think we are seeing much of an impact today either. I think shipments out of Israel are happening.

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Maybe [inaudible] are slightly more expensive because insurance premiums, marine insurance, etcetera, have gone up. But as such, we don't think there has been too much of a disruption to the supply chain as such. So as we have been competing before, I think we'll continue to compete even now. So our focus remains on ensuring that our market stays intact and grows.

Sudarshan Padmanabhan: And with respect to the derivatives as the capacity is coming up, have we been able to get some contracts or visibility to this business?

Ranjit Pendurthi: As I said in my last earnings call, we anticipated to start doing trials with customers in January this year. And I think we've stuck to that schedule. So we've started doing some sampling and trials with both domestic and overseas customers. So I think we're on track. And hopefully once the trials are done, I think that's when we will start moving towards firmer negotiations on contracts and offtake.

Sudarshan Padmanabhan: And in terms of costs, we had embarked on some cost savings. Are we largely done with it? And can we start seeing the benefits from FY25 onward?

Ranjit Pendurthi: I think given the environment, I think all industries today are focusing on a continuous exercise of cost savings. I'm not sure how much of it is cutting because at the same time, we need to keep getting talented people on board. So I think our cost-saving exercise is an ongoing process.

Certain things have kicked in just this past month or so. So I think we'll start seeing some benefits in the coming quarters for sure. But I think it's an ongoing exercise always. It's about cost savings versus efficiency.

Sudarshan Padmanabhan: One final question before I join back is, we have seen a change in inventory to the tune of about INR37 crores this quarter. I mean, what is it specifically towards SOP or derivatives? Can you throw some colour on that?

Raghunathan: Sir, I'll take this question, sir.

Ranjit Pendurthi: Mr. Raghunathan will take the question.

Raghunathan: So, sir basically, we have to see the operation for Q3 where our sales in all the three products in terms of quantity is much higher than the production. That means we are eating the opening stock. We're using the opening stock to do our sales. And so we can see that the entire

cost that

is coming up from the opening is sitting in the increase or decrease in inventory.

Moderator: Thank you. Our next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Good morning, sir. Thanks for taking my questions. I got a few of them. First, probably start with the bookkeeping question. Can you help us with the volume, sales volume for all the three products during this quarter?

Raghunathan: Good morning. For this quarter, the sales from salt is around 1.3 million. Bromine is around 5,000. And SOP is around 4,300 tons.

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Sanjesh Jain: Thank you. That's helpful. Second, starting on the -- again, picking up on the bromine pricing, we said that \$2.75 to \$2.9 is what you see as a steady state pricing. And if you look at the bromine prices for last, say, seven, eight years, the prices have averaged at about \$3. Any reason why do you believe the prices will be lower than the long-term median in the bromine for us?

Ranjit Pendurthi: I think it's a view that we've taken, Sanjesh, that I think if you recall over the last couple of years in various discussions, we've always said, I think the pricing should be about \$3.5-odd over a period of time. So we're not too far away from that, I think, trend. I think we've taken a bit of a conservative view, as we always do, and we've pegged it to the levels that I mentioned, you know, \$2.75-odd.

So during the quarter, there may be some changes, a little bit up, a little bit down, but I think broadly we're comfortable with that range. So it all flows back into us maintaining all the other parameters to ensure the margins remain intact, and I think that's our endeavour, to be on the conservative side and deliver numbers on that basis.

Sanjesh Jain: Fair enough. Second on the long-term contract, we generally have a long-term contract, given that the demand situation remain muted. Are you seeing longer-term contract being signed lower than what we have done historically?

Ranjit Pendurthi: I think definitely below the historical record prices. I think that's across all chemicals, not just bromine.

Sanjesh Jain: No, not prices. I was looking from the volume perspective.

Ranjit Pendurthi: Volume, I think, some part of it, I think, will continue. We're not seeing too much of, I think, a problem on the volume. I would say that some part of that also will start increasing when we do

a downstream plant commissioning. As you're aware, we're going to consume some part of the bromine there also. So we don't see too much of a challenge on volume.

Sanjesh Jain: Got it. Now that we have already hit 5,000 mark in this quarter, do you believe that consuming the 28,000, 29,000 of elemental bromine now looks possible in FY'25?

Ranjit Pendurthi: I think that's our endeavour. If we do get a boost from external customers, not just consuming ourselves, I think we will definitely look at doing that. But having said that, as it is today, if you ask me, I would probably take a more conservative number than that.

Sanjesh Jain: Got it. One question on the acquisition we announced on the Oren carbon, which is largely into barites and bentonites, while we are largely into the bromine, salt, and SOP. Can you help us understand what excites you about this business? What has led to the decision making of buying out this business?

Ranjit Pendurthi: Sure, good question. So I think Oren Hydrocarbons was a company that was started in 1990 by the promoter who was a part of Schlumberger oil drilling. And subsequent to that, they had some financial difficulties and we've just acquired that company.

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So that company is primarily into oil drilling fluids, which ties into our bromine derivatives business, where we also are going to be making oil drilling products, as you're aware. S

o I think

the synergy there is a right fit. And also, it allows us to expand our product portfolio while going into oil drilling companies and contracts.

So we're able to today not only offer pure bromine-related products, but also other specialized chemical products into oil drilling. So I think that expands our basket of product portfolio when we approach oil drilling customers.

Sanjesh Jain: And I guess this company has been shut for now, what, multi years, right? How do we plan and what is the kind of investment this company may require to come back into the shape so they can again start producing that mud chemicals they have been there historically?

And second, follow up again on the talent. I guess with such a long, the talent would really would have moved out of the company. How do we are looking at bringing that talent back into the company in terms of employees, manufacturing, construction, and what is the level of investment from our side required to bring that operation say to their historical levels?

Ranjit Pendurthi: Sure. So I think with any acquisition, I think people is probably the most important thing that we need to focus on, followed by the funds required. So I think on the people front, there is already an existing team.

We need to obviously -- we have used the top grade diligence people to evaluate prior to us doing the acquisition. So I think we're also in the process of signing with, I think, shortly for integration exercise of Oren with the company. And I think we've already recruited the people to lead it.

The ex-promoter is also going to be advising us on some of these products, certifications, etcetera. So I, so I think we've covered most of those bases. The plants, as you said, have been, I think, largely in operation for a couple of years, but some of them are brand new.

So we don't anticipate too long to start up some of these facilities and get the products recertified with all the drilling companies. And I think from our perspective, we will be spending maybe between INR20 crores and INR30 crores on the revamp. So it's not a large sum of money.

Sanjesh Jain: It's very small, INR20 crores, INR30 crores is fairly. And Ranjit, what was the peak revenue for this company historically? You have any?

Rajeev Kumar: Yes, Sanjesh, it was around INR430 crores.

Sanjesh Jain: And which year was this?

Rajeev Kumar: This was 2016.

Sanjesh Jain: 2016. Okay. And what was the EBITDA margin then for this entity?

Rajeev Kumar: Around 15%.

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Sanjesh Jain: Around 15%. We should be doing better than this because...

Rajeev Kumar: Allow us some more time to work on this and maybe a quarter later we'll answer this.

Sanjesh Jain: No, no, that's fine. That's fine. I'll come back probably next quarter to get more details. One last bit on the bromine derivative side. Can you help us understand where are we in the entire process as the initial run, pilot run has been done or we are still in that process in terms of sampling?

What is your internal assessment of the sample of the products which we have produced at the lab level? And where are we in the TBBA, capex and commercialization?

Ranjit Pendurthi: So as you're aware, phase one is not having the retardants and that phase one, as I said earlier, I think we have started doing the sampling with customers already in January as we had projected in our earlier call. And feedback I think is very good because we've always said this from day one that being an integrated producer gives us an advantage in terms of how we are positioning the bromine derivative. And I think that strength is going to play out as we've always said. And the customers have given good feedback on the product, on the quality. So now I think we, as I said a few minutes ago in the earlier question, as we move forward, we will start trying to get more contract driven, I guess, p

rejection going. But we hope that we will be able to commission that this quarter and then start doing the sales.

Sanjesh Jain: And on the TBBA, when it...

Moderator: Sorry to interrupt, sir. May we request you to rejoin the question queue? There are several participants waiting for their turn, sir.

Sanjesh Jain: Yes, I know. It's just a follow-up for my existing question, then I'm done.

Ranjit Pendurthi: Sorry, Sanjesh, can you repeat, repeat?

Sanjesh Jain: So we said that Q1 is when we are expecting TBBA plan to come up. Is that on the schedule?

Ranjit Pendurthi: I think at the moment Q1 is what we're targeting for, but we anticipate, I would say, between Q1 and Q2 to be safe.

Sanjesh Jain: Okay, Q1 and Q2 to be safe. Done. Done. Thanks, thanks for answering all the questions. And best of luck for the coming quarter.

Moderator: Thank you. Our next question is from the line of Rusmik Oza from 9 Rays EquiResearch. Please go ahead.

Rusmik Oza: Thanks for the opportunity, and sir, congrats. Number you have in the comment...

Moderator: Sir, may I request you to use your handset, sir? Your audio is muffled.

Rusmik Oza: Yes, congrats on the good set of numbers, sir, because the chemical and specialty company numbers haven't quite beaten down in the last quarter. I have two questions, sir. One is the first phase of capex, once it gets commissioned and what kind of revenue we can expect in FY25

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from the first phase, and what kind of revenues can come in the second phase from the bromine derivatives?

Ranjit Pendurthi: So, I think, thank you for the question. So, I think, we've always had, I would say, a conservative view on how the business would shape up. And we've, I think, consciously avoided being too aggressive in how we see business growing, because our intention is not to compete quarter-on-quarter basis.

I think our intention is to compete on product portfolio over a period of time, because some of these things take time to be able to generate, I think, substantial revenues. So, the business entry is primarily into promising fields and new fields that, people from India are not in right now. So, that's the endeavor of being in the bromine derivative business, right, to become a fully integrated manufacturer. So, we compete globally.

So, I think, more specifically to your question, I think in FY25, we are targeting between INR200 crores to INR300 crores on the lower end from the derivative plant. And subsequently, I think, as a previous question, Sanjesh asked, when we ramp up and add the second phase of the flame retardant part of the project, then the revenues obviously go up correspondingly.

Rusmik Oza: Okay. So, a related question, what kind of margins we can, you know, expect from this bromine derivative as compared to a normal bromine business, which we are doing as of now?

Ranjit Pendurthi: So, I think the bromine business obviously, colors the margins part. But I think, on a combined basis, we've always said that, we will be in that 35 to 40 mark. So, I think that is what we'll continue to endeavor. I think Rajeev also wanted to add something.

Rajeev Kumar: Yes, exactly. So, the numbers which Ranjit sir gave was on a capacity utilization of around 70% for the first phase of product. And like we have said in our previous interaction, that margin over and above the market prices of Brumman, we are expecting around 20% to 25%.

Rusmik Oza: Okay. And my second question is related to the lease, because as a shareholder, with the big concern for us, is that renewal of lease actually. So, if you can give us some clarity on where we are right now, and how do you see this, lease renewal going forward for the company?

Ranjit Pendurthi: Yes. So, I think, as we continue to operate in Gujarat, as you know, they do have one of the most robust industrial policies and support of industry. And I think we continue to be

lieve that

government is evaluating the whole industry, not just our lease. There are many pending. And we think the government is working on, I think, sorting out and closing a lot of these open points. And we get a lot of support from them as well, the administration. So, it is a work in progress. That's the pointed answer. And we know it will be done sooner than later. Because like I said,

it's just not us. There's a lot of them pending.

Rusmik Oza: Okay. But based on interaction, the authorities, any timelines, actually, you would like to actually, share that by when this can be, you can hear some outcome on this?

Ranjit Pendurthi: As I said, I think it's always been a productive dialogue with the government and administration.

This is not a new industry as such. I think the subject the government has dealt with for many

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decades. And they continue to support all businesses on the ground level from a state perspective.

So, I wouldn't venture in putting a timeline on it. But I would say that we remain confident that, it will happen sooner than later.

Moderator: Thank you. Sorry to interrupt, sir. May we request you to rejoin the question queue, please?

Thank you, sir. Our next question is from the line of Alok Ranjan from 360 ONE AMC. Please go ahead.

Alok Ranjan: Yes, thanks for the opportunity. So, just a clarification on this foreign hydrocarbon. Although you have indicated quite a lot of the business, but this INR20, INR30 crores which will be needed to invest into the company for the revamp, whether this business is more capital intensive or how is it any coming from that? Like, how is the asset terms in this business?

Ranjit Pendurthi: So, I don't think it is capital intensive. Rajeev wants to take the answer. Okay, question.

Raghunathan: Yes, I'll take this question. So, it is like I said, it is not capital intensive, Alokji. For this INR20 crores, INR30 crores of investment, which will be required to refurbish the plants and make most of the assets operational, the day-to-day maintenance, capex requirement won't be much.

Alok Ranjan: Got it. And last question is, we have also created a new subsidiary company, SICS and Private Limited, which is under this new NEUN INFRA Private Limited. Any color that you can give, like what will be the purpose of this company? Anything that you can share at this point?

Ranjit Pendurthi: I think we'll probably, I think, wait for some things to happen. Then we'll provide clarity. But it has been incorporated with the purpose, as you know, similar to what we had done with Idealist when we created that subsidiary. So, there is a plan. And I think at the moment, it's a bit premature for us to talk about it. But in due course, we will inform all stakeholders appropriately, not to worry.

Alok Ranjan: Sure, sir. Thank you. That's all from me.

Moderator: Thank you. Our next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Thank you for the opportunity. Sir, my first question was on to the flame retardant side. So, almost around 90% of the volumes are contracted. So, whenever the business starts, so during the first year itself, so we can see that business explant so reaching peak utilization level?

Ranjit Pendurthi: I think on the flame retardant business, that is phase two. So, I think if I were you, I would expect revenues to start kicking in conservatively in FY'26.

Aditya Khetan: Correct, sir. So, whenever that starts, so just my point was that so, will it run at around 90%, 95%?

Raghunathan: So, I'll take this question. We have indicated that we, for the current year, inorganic chemicals, we expect it to start at 70%. And flame retardant also, we expect that from the first year, it will start at 60%, 70% capacity utilization, and then it will ramp up from there.

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Aditya Khetan: Okay. Okay. So, second question was on to the de-stocking side. So, still many of the agrochemical companies are indicating that, so de-stocking is going on, and they are still struggling on to the numbers. Have we also like face that any sort of headwinds?

Ranjit Pendurthi: I think agrochemical companies obviously have a very large setup. They have a very large geographical exposure to around the world. And I think some part of it is related also to weather and seasonal patterns around the world. So, I think we are in context, a smaller subset player.

So, I don't really know about the de-stocking part per se, about their own products.

But at least from what we hear from our buyers, I think it's stabilized far better now than over the last couple of quarters. And I think the worst-case scenario would be that it continues at this level. The best-case scenario would be that there is some tailwind from either weather or from demand, or a combination of both. So, I think we have to see how it plays out.

Aditya Khetan: Any near-term views that you quick and share? So, this will continue or this is the end, like we're standing at the bottom. Just a view from your side?

Ranjit Pendurthi: I think I'm very wary of sharing a view, simply because I think it is easy to be mistaken as reality. So, I think, like I said, I think our own view as a company is to be conservative. We plan for the

worst-case scenario and prepare ourselves accordingly in terms of how we run our business on cost, production, efficiency, etc.

So, I think, like I said in my earlier comments on this call, I think that will continue to be our focus. Our focus is on what we do and how we do it well and keep delivering on what we are doing.

Moderator: Thank you, sir. Sir, may we request you to join the question queue, please? Thank you. Our next question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Yes, thank you for taking my question, sir. Congratulations on a good set of numbers. So, one question, if I have heard correctly, in your initial remark, you have indicated about there have been some additional inquiries about the business in the growing side, but you said that it is not sustainable.

So, just wanted to understand why we cannot capitalize on that and what is the competition level we have in terms of capitalizing those inquiries?

Ranjit Pendurthi: No, I think all inquiries will be pursued, obviously, vigorously, because today, everyone's competing for the business. So, I don't think there's going to be any shortage of effort and action on our side. I think I was merely referring to the fact that we can't base the business on what could happen and how good the prices could be.

I think our business has always been a large part of this contract, but we do leave some part, percentage of our production into the stock market. So, I think if there were an upsurge in the prices, we do have quantity to be able to take advantage of in such uptake in those prices. So, we don't leave anything on the table as such.

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Rohit Sinha: Okay. And second, on the domestic and export side, I would say we are into a lot of other chemical companies also looking at their numbers. I mean, indicating that the domestic part is quite good as of now, as we are seeing a lot of disturbance in the global market.

And since we have a higher exposure on export side, how we are looking at this domestic market for us, especially for industrial salt also, because currently 100% is for the export market. So, is there any scope for us to expand in the domestic market also, and how basically we are seeing the opportunity in the domestic market?

Ranjit Pendurthi: So, I think for us, the domestic market will primarily be bromine related and potash related. We don't have any intention of doing a

ny industrial salt in the domestic market. So most of our

volume is already contracted for exports And as a company, as an entire company, I think we will continue to be predominantly export oriented.

So, I think that will continue, that won't change. There won't be a greater domestic mix as a company. Product portfolios, like I said, salt will not be domestic.

Rohit Sinha: Okay. Any specific reason for that? I mean, why we are not looking at domestic market for this?

Ranjit Pendurthi: I think the grade that we supply is preferred by the overseas markets, not necessarily required locally. And I think, as I said, most of our volumes are already contracted out. So, we have never positioned it as a domestic supply. So, I think we are comfortable with what we produce and what we sell in the export market.

Rohit Sinha: Okay. And last question on this margin side. I missed out at currently around what 35%-40% kind of EBITDA margin is what we are indicating. And with this derivative segment coming up, what should be the overall combined margin level we will be looking at?

Ranjit Pendurthi: I think as my colleague Rajeev mentioned, I think overall combined we will stay within that range.

Rohit Sinha: Okay. Fair enough. Thank you. That's it for my side.

Moderator: Thank you. Next question is from the line of Krishnan Parwani from JM Financial. Please go ahead.

Krishnan Parwani: Yes, thank you for taking my question. I have two questions. The first is on the salt business.

So, the salt transit of this quarter is about 1.3 million metric tons that you mentioned. So, is this a sustainable run rate going into FY '25 or was there, let's say, order for this quarter specifically?

Ranjit Pendurthi: I think – thank you, Krishnan, for the question. I think the run rate should be maintained, give or take a couple of hundred thousand tons. Like I said, salt is largely contracted out. So, generally, if you see the quarter-on-quarter performance in monsoon season, there will generally be a little bit of a dip. And then third quarter, fourth quarter, generally, it peaks. So, if you normalize it, I think the 4 million tons plus is, I think, sustainable per year.

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Krishnan Parwani: Understood. And on the ORN hydrocarbon, I think the liquidation reserve price was about 90-odd. So, how much did we pay for that?

Ranjit Pendurthi: So, I think it failed on the first liquidation, but I think Mr. Raghunathan maybe can specify what we have done.

Raghunathan: The bidding price was INR76.55 crores.

Krishnan Parwani: Sorry?

Raghunathan: 76.55.

Krishnan Parwani: 76.55, I believe.

Raghunathan: Yes.

Krishnan Parwani: Okay. Thank you. These are the two questions and wish you all the best. Thank you.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to the management team for closing comments.

Ranjit Pendurthi: So, thank you, everyone, for joining us in this earnings call. We appreciate your time and showing interest in our company, as always. We're happy with the questions we got and the clarifications we have provided. We hope it's the same for you.

In case of any further queries, of course, you can always get in touch with us, RSJ, our investor relations advisors, and we look forward to meeting all of you over the next call. Thank you.

Moderator: Thank you. On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
May 23, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015 ("Listing Regulations")

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, please find enclosed herewith the transcript of the earnings call held on 17th May 2024 post announcement of financial results of the Company for the fourth quarter and year ended 31st March 2024.

The above information shall be made available on the website of the Company at
www.archeanchemicals.com

Kindly take the same on record.

Thanking you

Yours faithfully
For Archean Chemical Industries Limited

S Balasundharam
Company Secretary & Compliance Officer
M. No. A-11114

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"Archean Chemical Industries Limited
Q4 FY'24 Earnings Conference Call"
May 17, 2024

MANAGEMENT : M R. RANJIT PENDURTHI – MANAGING DIRECTOR – ARCHEAN CHEMICAL INDUSTRIES LIMITED
M R. RAGHUNATHAN RAJAGOPALAN – CHIEF FINANCIAL OFFICER – ARCHEAN CHEMICAL INDUSTRIES LIMITED
M R. RAJEEV KUMAR – DEPUTY GENERAL MANAGER, FINANCE – ARCHEAN CHEMICAL INDUSTRIES LIMITED
SGA -- INVESTOR RELATIONS ADVISORS =

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 17th May 2024 will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to Archean Chemicals Industries Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on of this date. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranjit Pendurthi, Managing Director of Archean Chemicals Industries Limited. Thank you, and over to you, sir.

Ranjit Pendurthi: Thank you. Good afternoon, ladies and gentlemen. We wish you a very warm welcome to our Q4 FY '24 Earnings Call. Thank you all for being here today. Today, I'm joined by our CFO, Mr. Raghunathan Rajagopalan; and Rajeev Kumar, DGM, Finance; and SGA, our Investor Relations Advisor.

I hope and assume everyone had an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange and on our company website as well.

I will run through you -- I'll run with you a quick snapshot on the industry and recent developments at the company. Post that, Mr. Raghunathan, our CFO, will walk you through the operational and financial performance of the company.

I'll start with the broad industry highlights in the segment that we operate as well as the chemical industry as such.

Over the last few quarters, as you all may be well aware, the Indian chemical industry at large as well as globally, we have experienced some headwinds as China is still yet to come out of its economic challenges and to fully revive their domestic consumption. Although we are seeing some green shoots there on the ground, which in turn has impacted the overall downstream industries.

For a few periods, we saw some stabilization and restoration of select products, but there have been other challenges on the ground with regards to some demand issues as well as some supply chain issues with regard to freight costs. And these have, on occasion, delayed the overall supplies from our end, which in turn have impacted the business temporarily.

If you see at an organization level, we have withstood these challenging conditions and maintained a healthy operational performance, showing resilience in both performance and managing costs. We have been constantly reviewing our internal measures to mitigate an impact of any rising cost and shipment delays, ensuring that our supply chain remains stable as well our customers and contracts are fully honoured.

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On this occasion, I would like to thank the Archean team for their commitment and dedication to withstand and come up and rise to all these challenges.

Coming to the performance highlights specifically, despite the uncertainties, we are pleased to report a resilient performance for the financial year 2024, registering a total income of INR13,763 million.

Coming to the product itself, the first one on the bromine side. Overall, demand from end-user market of bromine derivatives or bromine compounds continues to remain on stream, albeit a bit slower than we expected, however, stable. Throughout the year, price of bromine stood near above \$3 mark. Consequently, our bromine segment experienced a drop in business only when you

compare it to last year.

In last few quarters, we have seen a steady demand from the domestic market, which all goes well for the demand scenario. And we have also ramped up our supply. And the volume offtake from end-user industries like Agrochem and Pharma has started picking up gradually over the last few months.

The same can be said of the export market, and we are gradually ramping up our shipments there as well. To reiterate, most of our business associations and relationships are bilateral. And based on our engagement with them, we have good demand visibility for the next financial year as well.

As most of you may be aware, most of our contracts are done on a long-term basis and thereby giving that stability and visibility as well. We are confident, of course, to do better business from the Bromine segment specifically and expect a healthy growth in FY '25.

The second segment is our Industrial Salt segment. As you all are aware, Industrial Salt is an important product for us and at the moment, contributing nearly 65% of our total revenue. This chemical being a grade 1 category is primarily manufactured by very few players around the world. We are one of those and one of the largest in the world in that segment.

For the year, we have crossed the 4 million mark in terms of volume, 4 million tons per year, that is. We did see some price moderation. But in the last quarter, however, that only saw specific spot shipments of a certain category and grade, but largely our volume and long-term contracts run at a higher rate and are intact.

We continue to remain optimistic in the Salt segment and expect to sustain our growth momentum in FY '25. Our focus will continue to be on leveraging market opportunities and to do more improvements on the ground in terms of our process and cost efficiencies to drive sustainable growth.

Sulphate of Potash, as we have been briefing you the last couple of quarters, this is a work in progress. We are seeing encouraging results on the trials and the labs by our technology partner in Europe, and we expect it to contribute meaningfully in H2 FY '25.

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Coming to our capacity expansion. Phase 1 of our greenfield expansion at the bromine derivative plant at Jhagadia, GIDC has been undertaken through our subsidiary, Acume Chemicals Private Limited, and has successfully commissioned in March 2024. This phase is dedicated to manufacturing bromine performance derivatives and clear brand fluids, which will enhance our product offerings and market presence.

We have started engaging with end customers of both segments and have received a very encouraging response. And samples have been tested and approved in certain cases and trials are on elsewhere.

The next phase of the same Phase I would be commissioned by the end of H1 FY '25. This phase will focus on producing a high range of demand products. These products are essential for various industrial applications continuing to be on the bromine performance side, and the production will significantly boost both our capability and market reach.

A further update that's happened over the last few months is oren hydrocarbon, this we have acquired through our wholly owned subsidiary, Idealis Chemicals Private Limited. This company, we are waiting for the NCLT approval and that is pending at the moment. We're actively engaged in the process and are closely monitoring the situation. While we await these approvals, we remain optimistic about the potential of this project and its contribution to our portfolio. We have started doing some groundwork in restarting the plant, and that will keep going as we move forward.

Of course, we understand the importance of keeping our stakeholders informed, and we'll provide more detailed updates in the upcoming quarters. Once approvals are secured, we anticipate that this project will enhance our market p

osition and also our capability in the segments that we sell in.

We're looking forward to engage with new clients, expand our product offerings, penetrate new markets and stabilize the new sites. We welcome the new financial year with renewed hope and are confident to deliver sustainable growth.

That's it from my side. Now, I would request our CFO, Mr. Raghunathan, to run through the financial performance in broad numbers. Thank you.

Raghunathan R.: Thank you, sir, and a very good afternoon to all the participants on the call.

I'm pleased to report a notable performance for this quarter to give a summary of Q4 of FY '24.

The total revenue for this quarter stood at around INR 2972 million. Bromine contributed around 36% of the revenue from the product, and Industrial Salt has contributed around 64%.

EBITDA for the company stood around INR1,019 million for this quarter with a margin at 34%.

And net profit for the quarter stood at around INR596 million.

Coming to 12 months' highlights. The total revenue stood at around INR13762.8 million.

Bromine contributed around 33%. Industrial Salt is around 64%, and the balance 3% of the

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revenue came from SOP. 74% of the revenue is from the export market, and the balance 26%

that was the domestic market.

EBITDA for 12 months stood at around INR5,110.3 million with a margin at 37%. Net profit for the financial year stood at around INR3,223.5 million.

Returns on capital employed and the returns on equity stood nearly at around 24% and 21%, respectively, for the full year.

We also wish to inform and are happy to inform you that the Board of Directors have recommended a final dividend of INR1 per equity share of INR2 each for the financial year amounting to INR12.34 crores. It is further to be noted that the company had already declared 2 interim dividends in the year. And thus, with this, the total amount disbursed by way of dividend aggregates to around INR37 crores.

With this, we conclude the speech and open the floor for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Sir, I have a couple of questions. Firstly, if you can throw some light on how are you seeing the contracts for bromine, both long term and short term, to be panning out for this year for FY '25? I think last quarter, we had mentioned that we endeavour to reach close to 28,000, 29,000 tons of volume. Do you think in the current state and form of the demand environment, would that number be achievable? And more so, would that be more back-ended towards the second half of FY '25?

Ranjit Pendurthi: Thank you for that question. I think generally, if you see the pattern in our business, the second half generally tends to be stronger than the first half. But having said that, I think we remain on target. I think the recent -- as I mentioned in the introduction, I think we are seeing a healthy demand offtake. So there is no challenge on being able to sell more.

So I think we'll continue to maintain that balance between the domestic and the export because the domestic also now with the monsoon coming generally, Agrochem players start getting a bit more active in terms of their production and stocking for the monsoon -- post-monsoon period, etcetera. So I think we don't see a challenge in meeting what we have suggested for FY '25.

Archit Joshi: Sure, sir. And if you could throw some light on the pricing bit as to at what prices would have our company lock the bromine contracts at? I think even despite, sir, the conflict geopolitically that we saw, we haven't seen much of a rise in the commodity prices, including that

of bromine.

So would we be higher or lower compared to last year with bromine, if you can share some of that on the long-term contracts that we usually tie up for?

Ranjit Pendurthi: I think I was asked this question maybe 1 quarter or 2 quarters ago. I said the geopolitical issue, we are not seeing any impact as such on the bromine business globally, although I think there's a little bit more pronounced effect maybe now. But nevertheless, I think supplies are still happening from that part of the world.

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And we've always competed, I think, with the global players. So we don't see any reason for us to not be able to continue to compete. And I think bromine pricing, I think the pricing specifically, I think pricing is around the -- I think our last quarter average, maybe I would say about INR220 per kilo. I think that's a fair number to assume.

Archit Joshi: Understood, sir. Sir, one last question. We've said that we'll be having our new Phase 2 plants coming in the second half FY '25. Now assuming the ramp-up of all these 3 derivative plants, what would be the internal consumption of bromine with the existing capacity that we have towards these derivatives that we intend to ramp up over a period of time? That would be my last one.

Ranjit Pendurthi: I think the bromine ramp-up, also just to clarify, I think our Phase I is broken up in 2 parts. So I think largely, the Phase II that we're talking about is the FR related project. So that we have not yet started work on that because we have discovered that in our Phase I itself, there's a lot of products that now actually have a healthy offtake in demand. So instead of committing more capex, we want to be able to utilize the capex that we already spent and hence, we have expanded the portfolio of products that we're going to make in Phase I itself beyond pure PTA catalyst products or clear brand fluids.

So I think in that aspect, we will ramp up. I think we've already started testing and sending for trial and samples almost 8 or 9 new products. So we expect to commercialize and start those sales over the next few months.

Archit Joshi: Sir, my question was more about knowing all the capex plans, assuming that, once we ramp up to, let's say, a peak utilization, how much bromine will be internally consumed? That was my question rather.

Ranjit Pendurthi: Okay. So I think we remain on target. I think we consume between 10,000 to 15,000 tons of bromine.

Archit Joshi: Right. So this assumes the fact that all the capacities, all the derivatives will be more or less at peak utilization, and we might require 10,000 to 15,000 tons of bromine?

Ranjit Pendurthi: Yes. That's Phase 1, yes.

Archit Joshi: Phase 1 only, not assuming Phase 2 here. Only for Phase 1?

Ranjit Pendurthi: Not assuming FR, yes.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, my question is on to the volume growth. So more or less, sir, we are -- we have told that we would be setting up the Phase II plant in the second half and Phase I has been started. So for FY '25 and for '26. So cumulatively, what sort of volume growth you're looking at?

Ranjit Pendurthi: So I think we are looking at, at least 30% growth from the FY '24 volume.

Aditya Khetan: 30% growth. And sir, in FY '26?

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Ranjit Pendurthi: FY '26, that's -- in today's context, that's a long way off. But I will have a guess here. I think we should at least be able to double from where we are today.

Aditya Khetan: Okay. Sir, on to the capex side, sir, if you can tell us, sir, how much capex of this INR250 crores has been completed? And how much is remaining in the pipeline?

Ranjit Pendurthi: Mr. Raghunathan will answer that.

Raghunathan R.: Yes, we have incurred close to around INR110 crores.

Aditya Khetan: And

remaining would be done before the second half?

Raghunathan R.: No, no, not necessarily or not fully. As we have said, for the purpose of completing our -- the so-called Phase 1, we'll be incurring an additional INR30 crores, INR40 crores.

Aditya Khetan: Okay. Okay. Sir, my last question, sir. Sir, post-expansion into this bromine derivatives. So considering your domestic export split is somewhere around 25 to 75. So with this bromine expansion, how the split would change more towards the export side?

Ranjit Pendurthi: We would -- our initial efforts are towards the export side. So I would imagine that it will translate into numbers showing the same. It would be a more focused on exports.

Aditya Khetan: 75% exports would remain at 75% post the bromine derivative expansion?

Ranjit Pendurthi: I mean, I think to be honest, I think give or take a few percentage. But by large, generally, at least 70% plus is generally where we export. So our product portfolio shouldn't undergo too much of a change in export versus domestic.

Aditya Khetan: Okay. Sir, just one last question. Sir, on to the import side, are you witnessing any sort of increase in imports in India? So from China or from any other countries, are there any news of capacity expansion, which you have heard?

Ranjit Pendurthi: In bromine?

Aditya Khetan: Yes, sir.

Ranjit Pendurthi: No, I think there's no new capacity as such. I think everyone is may be trying to tweak capacity what they have depending upon the market situation. But imports, I think largely over the last few years anyway, have reduced quite a bit. But there will be certain spurts in imports simply because there are some customers who have been buying from the foreign companies for a long time. They're relationship-based. So they continue to import some part of the requirement, but I would say largely, there's no big user of bromine who is not our customer at the moment.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Apologies if it's a repetition, I joined late in the call. First, on the bromine itself, how are you seeing demand scenario? Because it appears that the last few quarters have been very tough for

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us. How is the bromine market looking up? And when do you see volumes actually normalizing in the market, say, bottoming out in terms of pricing competition and the volume demand?

Ranjit Pendurthi: So thank you for the question, Sanjesh. So I think volume normalization is happening as we speak. I think our order book is full for our capacity, what we have planned for this year. So I think in that context, we see some demand having come back, the domestic market and the export market. And I think there are larger commitments per customer on a per-order basis.

So we believe that large segments of the customers also are quite encouraged by the signs that they are seeing in their end-user market. So we believe that it will continue to look that way. I think I mentioned this over the last call or the 2 calls before this, I said I'm not too familiar with how much destocking, etcetera, is happening. But from our industry perspective, we see more stability today as we speak than we did over the last 2 quarters.

Sanjesh Jain: That's fair enough. That's fair enough. But now that we have a full order book for the year, how

does the pricing look like for this year? Because we generally do pricing plus volume contracts.

How does the bromine realization for this year looks like?

Ranjit Pendurthi: Yes. So I think that -- yes, so that question, I think someone else had asked when you were not on the call. So no issues. So it's, I think, no, no problem. I think we're looking at between the 220, 225 mark per kilo, and I think we're comfortable with that range as well.

Sanjesh Jain: That's great. Second number, on the -- this downstream products. Clear brine fl

uid -- clearly, we

can see INR50 lakhs of revenue being booked in the subsidiary, which is your console minus standalone. That means we have already started doing some sales in the subsidiary. How has been the response from the customer? And what kind of customers are we right now talking? And will that also have a beneficial impact on our expansion oren hydrocarbon?

Ranjit Pendurthi: Very good question. You've tied all the 3 companies together. So I think you're right. I think our aim from 2 years ago was always that we'll continue to grow in the bromine space and the downstream space. So 1 step towards that was Acume, the subsidiary that's producing the bromine derivatives. And as you said, we have started the exports of the Clear Brine Fluids from that subsidiary as intended.

And we've already invoiced and billed And I think those are the first few batches of product. So I think, as you understand, we will be 2, 3 months of stabilization, but I think our response is very encouraging from the market. Specifically, since you asked the question, I think today, we have on the table almost 60-plus clients that we have started talking to. And we've given almost a majority of them have already taken our sample. And I would say about 1/3 of them are testing it for approval and about 10 of them have already approved it.

So we are making good progress. Like we always said, it's a slightly more technical product than elemental bromine. So there's a lot more engagement with the customer and certain testing and specification requirements are there. So as we fine-tune those, we anticipate the response will continue to be encouraging.

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Sanjesh Jain: Got it. And how this you tie up with Oren? When is that going to start? And will it be the same customer?

Ranjit Pendurthi: So Oren incidentally also deals in the hydrocarbon space. They do make some products, not necessarily only bromine related, but the end-user industries are largely oil and gas and drilling industries. So that is where our derivatives are going already. So we do see a proper fit and hence, the acquisition.

And some of these products are complementary, not competition per se. So we'll be able to approach these customers with a bigger basket of products than just only a clear brand fluid product. So that was the intention.

Sanjesh Jain: Got it. Got it. And next on the TBBA, the flame retardant part of it. How is that market looking? Like you don't think another 6 months is the right time for us to get in or it will take more than that?

Ranjit Pendurthi: I think the TBBA market specifically, I think, has been weak for a bit. But it's primarily, I think, more of a concern for those who buy bromine and make the product. For integrated manufacturers, at the end of the day, TBBA is still being sold, maybe at lower prices. But I think for integrated manufacturers like ourselves, TBBA will still make return on the investment. However, at this point, we see the other products on the inorganic side, where we've already invested some capex, building that portfolio out with the newer products. I think we'll make equally good return, if not slightly better, and still consume equal amounts of bromine.

So I would say we have taken a pause, but I think we keep reevaluating it every month and seeing when is the right time for us to commit that capex because the money has already been raised and is available with us. So we don't foresee a problem deploying that fund. It is that we need to get the timing right in terms of when we want to comment on the capex.

Sanjesh Jain: Clear, clear. Just last 2 questions, one on the Salt and one on the SOP. On the Salt, how does FY '25 look like? Should we grow volumes over FY '24, which was stronger? And number two, any more update to share on the SOP flotation technology, which you were trying to do?

Ranjit Pendurthi: Sure. I think on

the Salt, our endeavour is to build on the volume that we crossed in FY '24. I

think the market is there. And as you know, we are a pretty dominant player in the market in the Asian space itself, not just on the domestic business anyways in Salt. So there is ample scope to improve that volume.

On the SOP itself, I think the tests have been encouraging. It's a work in progress. We have made good headway over the last few months. And we recently commissioned the pilot plant trial at the technology provider's lab, which basically means the larger sample has been shipped and a

larger test is being conducted. So I think, as I've said on earlier calls, I think we are almost there, and we are very encouraged seeing results of the test. So SOP is a bit of a patience gain, but I think we are getting there.

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Sanjesh Jain: Got it. Will there be any sale of SOP volume in FY '25? Because I think we have exhausted that one batch, which we manufactured last year?

Ranjit Pendurthi: So we've also now started making a second-grade SOP. And this also has a market, and we are seeing some demand and some inquiries for that. So we are now in the process of getting that certified locally within the Indian market domestic, but we're also seeing some encouraging signs on the export side. So that material, we have enough to process and manufacture raw material for that particular grade. So you will see some production and volumes this year.

Moderator: The next question is from the line of Dipak Saha from DR Choksey Finserv Private Limited.

Dipak Saha: Sir, few housekeeping questions. Can you share the value for Bromine and Industrial Salt for the quarter and the volume for the sale?

Ranjit Pendurthi: Sorry, can you come again? It was -- we can hear you, but you're not very clear.

Dipak Saha: I'm asking for the value and volume while Bromine and Industrial Salt number for the quarter and the full year.

Raghunathan R.: Okay. For the quarter, the revenue from Salt is around INR179 crores and for bromine is around INR102 crores. As far as the volume goes, it's around 930,000 in Industrial Salt and 4,800 tons in Bromine.

Dipak Saha: Sir, thanks for the numbers. And what is the total production for Bromine and Industrial Salt for the full year, the production number, sir?

Raghunathan R.: Okay. For the full year, Bromine production is around 17,300 tons. And if it comes to Salt, it's around the 4.25 million.

Dipak Saha: Sir, one thing. Earlier, you said that for the full year FY '25, you're targeting 28,000, 29,000 odd volume for bromine. This is excluding your captive consumption for the bromine derivative, right?

Raghunathan R.: No. The number that we have set for these financial year is , excluding the captive number.

Dipak Saha: For FY '25, you highlighted why you are targeting...

Ranjit Pendurthi: Yes, FY '25 includes captive consumption as well. Going forward, all the numbers will include captive consumption because the plant is up now.

Dipak Saha: Okay. So within that captive consumption, I think you highlighted will go 10,000 to 15000-metric-ton-odd, right?

Ranjit Pendurthi: Depending on the product mix that we choose in the downstream plant, yes.

Dipak Saha: Okay. And sir, what is the outlook...

Moderator: Sorry, there is a break in your voice. Can you repeat the question?

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Ranjit Pendurthi: Yes, we can't hear, either.

Dipak Saha: I'm asking you, sorry for inconvenience, sir what...

Moderator: The audio is still not clear. May I request you to rejoin the queue again? The next question is from the line of Krishan Parwani from JM Financials.

Krishan Parwani: Firstly, if you could give the sales volume of SOP during the quarter because I think I might have missed that number if you have given already.

Ranjit Pendurthi: Thank you, Krishan, for the question

.

Raghunathan R: We have done around 8,200 tons of SOP.

Krishan Parwani: In the quarter?

Raghunathan R: For the full year.

Krishan Parwani: Okay. For the full year. Okay. We'll probably calculate that. And secondly, just one clarification. I think in your presentation, you have mentioned Phase II to get commercialized by 1H FY '25.

And I think in our earlier commentary, you mentioned that BFR will be done probably in the second half of FY '25. So if you can give some clarity on that. I mean...

Ranjit Pendurthi: Yes, I think I was -- that's what I was talking about earlier when I clarified. So we've broken up our Phase 1 into 2 parts, right, given the change in the market. We have added a larger number of product portfolio products into the Phase 1 itself. And within that same capex, we've expanded the number of products that we are going to be making, and we are seeing enough and more customer demand coming from there. So with the INR130 crores, INR140 crores capex that Mr. Raghunathan had mentioned that we've already spent, we are saying to ourselves that we will

assess the market on TBBA and the other FRs over the next few months. And then we will see if you need to commit more capex to that Phase 2 larger product portfolio of including FR as well.

So we'd also like to see how the pricing works out in the FR market. Of course, having said that, since we are an integrated player, we are better positioned to make the complete chain of FR products. But at the moment, given that our Phase 1 itself is showing encouraging results and signs of business, so we feel that it may be better utilized our -- the capex to expand that portfolio that we've already spent on.

Krishan Parwani: Understood. So just a follow-up on that. So the capacities, like 13,000 for CBR and 5,000 for PTA, still stand or that can be higher?

Ranjit Pendurthi: That can be increased as well. Because as you are aware, we've spent INR130 crores, INR140 crores on the capex, and we have a sizable reactive capacity today. And this allows us to -- there's a lot of flexibility in the mix and match of product portfolio that we can do, including volume and types of products.

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Krishan Parwani: Noted. So probably if we were to take in, we can probably take in 20,000 tons of CBR and PTA both put together. Is that a fair to put in?

Ranjit Pendurthi: Yes, if the demand realizes at the right pricing, yes.

Krishan Parwani: Noted. And just one last clarification on this, Oren Hydrocarbon. So I think in your press release, it is mentioned that NCLT on April 30, '24, NCLT heard the argument for ADLS and the order is reserved. So what does that mean? I mean I think given you mentioned that NCLT is still to pass the resolution, so can you just...

Ranjit Pendurthi: So I think the legal -- yes, so the legal language, I think, says order reserved. But as for the arguments have been heard from our side, there's no other side as such because there's no other entity on the other side.

From what we understand, the judgment is likely to be in our Favor, and NCLT will endorse this post-vacation and resuming off the port after the summer holidays. So when they come back, there may be a 30- to 45-day timeline for getting the order in hand. But like in all things, we'd like to see it before we check the box and say it's all done and dusted.

Krishan Parwani: So if I may just ask the follow-up on that. If -- I mean, what kind of then revenue would you expect to do from Oren Hydrocarbon in F '25?

Ranjit Pendurthi: I think our first year, we are looking at a conservative outlook. Because once we get the order is when we will put some capital expenditure to refurbish and restart the plants, although the work has started in a small way. And I think you may only see at best three full quarters of operations and at the very minimum, two quarters of operation. So given that the reven

ue may fluctuate.

But I think you can assume safely, I would say, anywhere between INR100 crores to INR250 crores band.

Krishan Parwani: Well, that's a very broad range.

Ranjit Pendurthi: It's a very conservative range. It's a broad range because these products and plants, the ramp-up is pretty fast, right? So they don't take too much time to start producing more volume. And I think if the market continues to hold and we continue to develop that anyway as it is. So we think we should be able to see the higher range of what I just told you.

Moderator: The next question is from the line of Rushabh from RBSA Investment Manager.

Rushabh: Incorporated subsidy call some time back, any updates about what are we planning to do here?

Ranjit Pendurthi: So I think, Rajeev, my colleague will take that question.

Rajeev Kumar: Thank you, sir. So Sicsem Private Limited, we have created under volume, sir. We are looking to develop a subsidiary and operation there on Power Electronics segment. As and when we have more development, we'll update you.

Rushabh: So FY '25, '26, what we can expect? Or what is any product segments that we identify, what is the market?

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Rajeev Kumar: Development is useful -- as and when we have some development, we'll update you.

Rushabh: Okay. And sir, any update on the flow batteries that we are doing some research on earlier?

Ranjit Pendurthi: Rajeev, can you answer that question?

Rajeev Kumar: Yes, yes. So flow batteries, also, we have some encouraging results. But since it is R&D project, generally, it takes its own time until we have a path to commercialization. But as on date, there's some positive development on flow there.

Moderator: The next question is from the line of Arpit Tapadia from IGE (India) Family Office.

Arpit Tapadia: I just wanted to ask when we can see meaningful revenue coming from the derivative products?

Ranjit Pendurthi: Apologies. Can you repeat that question?

Arpit Tapadia: What I want to say is, have we started any contracts for bromine derivative products? And when we can see it ramping up and getting a meaningful revenue for the company?

Ranjit Pendurthi: Thank you for that question. Yes, we've started building products from that subsidiary. Bromine derivatives, we have started selling them. It is -- I think at the moment, since it's just commissioned the plant, we are still working on stabilizing the production quality, etcetera. But we have started the exports already.

The ramp-up, I think, a meaningful ramp-up will be post first quarter. And like I said earlier, we're already engaged with 60-plus clients, 10 of them have already approved the samples. And I think almost 20 to 30 of them are under testing the -- qualifying the product. So we're making good progress on this.

Moderator: The next question is from the line of Parth Mehta from Vallum Capital.

Parth Mehta: I just wanted to understand that you mentioned -- you've identified some movement, more products for the Phase 1 of our derivatives. So what are these products? And what would be their applications?

Ranjit Pendurthi: Can you repeat the last part of your question, Parth?

Parth Mehta: Yes, yes, yes. So what would be the -- like which are these products? And what would be their applications and potential size of these applications?

Ranjit Pendurthi: On the derivatives?

Parth Mehta: Yes, yes. The new 8, 9 products that you've identified under derivatives, sir.

Ranjit Pendurthi: So I think we're going to oil and gas drilling, which obviously is a robust sector. The second one is they're going their intermediates in some ways to agrochemicals. And finally, some of them are a part of the petrochemical chain. So they go into some of those aspects as well.

Parth Mehta: And what would be the potential size that you are looking on?

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Ranj

it Pendurthi: I think our first size -- you're talking about quantity?

Parth Mehta: Quantity and value both.

Ranjit Pendurthi: Yes. So I think we're looking at anywhere between 15,000 tons to 20,000 tons in the first year and possibly giving us revenue between INR200 crores to INR300 crores.

Parth Mehta: Okay. Great. So INR200 crores. And if I look at the capacity that we have ramped up for Phase 1, what would be expected in revenue for the FY '25 from Phase 1 derivative?

Ranjit Pendurthi: I think we'd be closer to the lower range. But at the end of the year, I would expect us to be at the top of the range.

Parth Mehta: Any ballpark figure?

Ranjit Pendurthi: Yes, around the 200, 250 mark on the conservative.

Moderator: Ladies and gentlemen, due to time constraint, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Ranjit Pendurthi: So thank you, everyone, for joining us today and for your faith in the company, and we appreciate you joining us on this earnings call, the time and showing interest in our company as well. In case of any queries, please do feel free to get in touch with us or SGA, our Investor Relations Advisors. And we look forward to meeting all of you on the next call. And meanwhile, have a pleasant evening and a good weekend. Thank you.

Moderator: On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Aug 2024

Archean Chemical Industries Limited

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Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
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Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015 ("Listing Regulations")

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, please find enclosed herewith the transcript of the earnings call held on 05th August 2024 post announcement of financial results of the Company for the first quarter and three months ended 30th June 2024.

The above information shall be made available on the website of the Company at www.archeanchemicals.com

Kindly take the same on record.

Thanking you

Yours faithfully
For Archean Chemical Industries Limited

R Raghunathan
Chief Financial Officer

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"Archean Chemical Industries Limited Q1 FY25
Earnings Conference Call"

August 05, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 05th August 2024 will prevail."

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR,
ARCHEAN CHEMICAL INDUSTRIES LIMITED
MR. N. R. KANNAN – EXECUTIVE DIRECTOR,
ARCHEAN CHEMICAL INDUSTRIES LIMITED
MR. RAGHUNATHAN - CFO, ARCHEAN CHEMICAL

INDUSTRIES LIMITED
MR. RAJEEV KUMAR – DGM (FINANCE), ARCHEAN
CHEMICAL INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to our Archean Chemical Industries Limited Q1 FY25 Earnings Conference Call.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranjit Pendurthi - Managing Director of Archean Chemical Industries Limited. Thank you and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, ladies, and gentlemen. We wish you all a warm welcome to our Q1 FY25 Earnings Call. Thank you all for being here today.

Today, we are joined by Mr. N. R. Kannan - our Executive Director; Mr. Raghunathan - our CFO; Mr. Rajeev Kumar - our DGM (Finance) and SGA, our Investor Relations Advisor.

I assume everyone had an opportunity to go through the Financial Results and Investor Presentation which has been uploaded on the Stock Exchange and on our company website.

I will further give you a quick snapshot on the industry and recent developments of the company as well. Post that, Mr. Raghunathan - our CFO, will walk you through the operational and financial performance of the company.

To start with the industry highlights:

The chemical industry has been seeing some green shoots recently and after a brief period, we are also witnessing the same. There is some restoration and stabilization of demand in the chemical industry in the last few months. Although it seems momentary as demand across the end user industry remains a bit weak and China continues to struggle to revive its economy, we on the other hand has experienced some delays on availability of vessels, containers and increased freight costs which pose some challenge for Indian manufacturers. This has impacted the overall dispatch and business momentum across the board. The same, of course, has affected many major Indian exporters, especially in the chemical industry.

As you may already know, export accounts for more than 70% of our total business. This recent logistics-related challenge has had a bearing on the delivery schedules as well as some impact on shipments. However, to note, we continue to have healthy enquiries across all the products

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and expect to have a good recovery in the coming quarters. We have been consistently reviewing our internal measures to mitigate any rising cost as well as to stabilize dispatches in a timely manner. Our team, of course, is in constant touch with all our clients and is grateful for their support.

To give you a quick glimpse on the recent developments on respective products:

To start off with Bromine, we continue to see a steady demand from the domestic market as well as encouraging market pickup on the export side from all end users like Agro Chemicals, Pharmaceuticals and Flame-Retardant manufacturers overseas. Export market as well had an uptake in demand in this quarter and should gradually improve in the coming quarters. We aim to produce nearly 22,000 to 25,000 metric tons of Bromine for the year, including captive requirements.

On the Industrial Salt front:

Industrial Salt suffered some dispatch delays in Q1 FY25 and as you are aware, export markets account for the majority of this business, greater than 95%. To give you more insight on the same, a large fleet of trucks are being engaged

on a daily basis for movement of Industrial Salts

from the plant through both Jakhau and Mundra ports for exports and vessels. The quarter gone by had been difficult to manage due to shortage of trucks as well as non-availability of berthing schedules at Mundra and Jakhau. This switchover generally happens before the monsoon period starts in April and we lost a couple of weeks in the shipment movement from switching from Jakhau to Mundra, hence the dispatches were reflected in the quarter being lower than similar

quarter last year. However, the demand remains firm, and customer contracts continue to be in place, and we only believe this to be temporary. We continue to remain optimistic in the Salt segment and expect a good recovery in FY25. However, this growth will be contingent on how these external challenges ease out in the coming quarters. Here, we will focus more on improving our processes and cost efficiencies as well as the logistics.

SOP, the third product that we produce:

The SOP we continue to make significant headway over the last few months and recently have commissioned the pilot plant at the technology provider's lab with a larger sample size. And we continue to contemplate to make a second-grade SOP and are seeing some enquiries from both the global and domestic markets, so we should start seeing some sales in the third quarter. So, it is a work in progress as we have said before and we continue to expect meaningful contributions in H2.

Moving on to Acume:

Our subsidiary for the Bromine derivative business, the Clear Brine Fluids, and the PTA Synthesis business. The response to CBF and PTA Synthesis is very encouraging and has already
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received approval from around 10 odd clients. We are in discussion with more than one-third of our total client base. Given that this product is more technical than elemental bromine, we are actively engaging with clients to conduct trials and determine specific requirements. We have seen favorable progress in these products and expect a healthy contribution in FY25.

The fifth part is Oren Hydrocarbon:

We received the NCLT order on 9th of July 2024 for acquiring this unit. This unit focuses on the Hydrocarbon space and serves the Oil & Gas and drilling industries. The key rationale behind this acquisition was to offer a product basket to clients by adding Specialty Mud Chemicals and CBF products. This will help to build a long-term relationship with them because these derivative products are complementary to each other as well as to our Bromine derivative business. We have made some investments in these units to refurbish them and restart the plants and we will expect business to start from H2 FY25.

Going forward, we will be establishing relationships with new clients, broadening our product portfolio, and ensuring the stability of our new manufacturing site. We are certain that we will grow gradually in the coming years.

That's it from my side. Now, I would request our CFO – Mr. Raghunathan to run through the Financial Performance.

Raghunathan: Thank you, sir, and very good morning to all the participants on the call.

We are pleased to report a notable performance for this Quarter.

To give you a quick Financial Summary of Q1 of FY25:

On a standalone basis, the total revenue for this quarter should at around Rs. 2,234 million with the drop of around 37% on Y-o-Y basis. As highlighted by MD, the drop is predominantly due to the logistics challenges at the ports. Export market accounted for around 72% and the balance 28% there from the domestic market. Bromine contributed around 44% of the total revenue and Industrial Salt contributed around 55%. The balance of 1% has come from SOP. (Numbers rectified which was earlier stated erroneously)

EBITDA for this Q1 stood at around Rs. 849 million with a margin of 38%. Various operational efficiency measures have been

undertaken across all activities to hold on to this margin range.

Net profit after tax for this quarter stood at around Rs. 485 million.

With this, we conclude the speech, and the floor is open for Q&A. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

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Sanjesh Jain: First, I want the breakup of the revenue and volume for the Salt, Bromine and SOP for this quarter, what is the sales of revenue as well as volume sales?

Raghunathan: The revenue of Salt for this quarter is around Rs. 1,172, Bromine is around the Rs. 937 and SOP is around 2.

Sanjesh Jain: And volume?

Raghunathan: Volume, the sold quantity of Salt around 660,000, Bromine is around 4,700 plus and SOP is around 66 tons.

Sanjesh Jain: This is Ranjit, the entire lower volume in Salt is attributed to the dispatch problem or this is a significant pressure on the caustic and soda ash player in terms of realization, has that also started catching up?

Ranjit Pendurthi: So, as you all will be aware, we have fixed contracts on Salt and those contracts continue to run. So, there is no challenge for us on the sales side. All those contracts have already been signed and continue to come through. Our challenge has purely been on the fact, as I mentioned in April, we had a switchover from Jakhau to Mundra as we do every year. However, in this particular case, we lost almost two weeks because the weather turned abruptly bad, and monsoon has come a bit early in there as well in that region. So, we had to move to Mundra, and we had some delay. Hence, there was a drop in volume as I also indicated, but having said that, there is no issue with regard to all our exports on the customer side. All of them continue to offtake the contracts as signed.

Sanjesh Jain: And again, precisely on the monsoon, this time monsoon has been very good particularly in the western part and you have said that the monsoons were early as well, are we seeing any weakness for the second-half, we generally get impacted by the monsoons and production get a little bit slower than other quarters?

Ranjit Pendurthi: I think monsoon has been extra good this year, so I think it bodes well for the country and the economy considering that it has a large impact on the agricultural sector and if the agriculture sector does well, the agrochemical sector does well and thereby we do well, I think that is the run up to us also coming through with better performance. So, I think as that sector improves its outlook over the next few quarters, I think we will probably run parallel to that improvement in what we do as well. So, coming to you specifically on the second half, yes, historically it is a bit weaker simply because of the rain and there is some amount of dilution in the concentration levels in the brine. But I think we are prepared for that as we are every year, and I don't think we will deviate too much from what we set out as targets even historically.

Sanjesh Jain: The next on the Bromine side of it, last quarter we were looking at a volume of 25,000 to 28,000 metric ton for this year and now in your opening remarks, Ranjit, you said 22 to 25, there is a small dip in the expectation of the Bromine volume. Any particular reason you are seeing a little

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softer first half impacting the volume, or you expect the recovery should be more gradual than what you thought earlier?

Ranjit Pendurthi: I think on a volume basis, I think we have done better than we did last year, same period. So, I think we are a bit ahead. I wouldn't say largely ahead, but marginally ahead. So, I think that is the healthy side. I think as a derivative plant ramps up, I think we will start consuming a bit more there. I think we

have just been a bit conservative on what we have said in the beginning, what I have mentioned in fact, 22,000 to 25,000, I think we just, like I said, being conservative and not being unnecessarily aggressive. Just to clarify, I think on the demand side, we have no issue because as you would see, the exports have come back on stream. We are doing quite a bit on export and domestic market as I mentioned remain healthy.

Sanjesh Jain: On the Acume side, it has been two quarter, we have been manufacturing and you rightly said that we have 10 approvals from the 10 clients, when should we expect the supplies to accelerate, it is more second-half and do we still stick to that 50% kind of capacity utilization for this FY25?

Ranjit Pendurthi: I think the sales will start coming through in H2 as I indicated. At the moment, I think we would probably be in a better position to tell you maybe on the next call or over the next couple of months, the ramp up is going on and on the demand side, I think we remain encouraged seeing the response we are getting. And also, I think it is giving us a chance to do some specialty products that others are not doing. So, I think you will start seeing the sales come through over the next couple of months starting maybe September, but again, on the same side, I think from October the second half.

Sanjesh Jain: One last question on the Oren, now that we have all the approvals, when should we start the plants there? I believe there are some 5 or 6 plants, are we commissioning all the plants, or it will be more phased way?

Ranjit Pendurthi: I will take the second part first. I think it will be in a phased manner because they are different plants. So, they would, we are exercising caution. We don't want to jump in and start spending money everywhere. So, I think we would like to be a bit more pragmatic in what we think we should start. So, we are starting the two plants that have direct connection to the Oil & Gas, Drilling industry, as well as the Clear Brine Fluids products. So, I think we are going segment wise. That is why we are going fast.

Sanjesh Jain: And from the product, it will be all Starch, Barrett, and Bentonite, all will be there, or it will be more of a Starch?

Ranjit Pendurthi: It will be Starch and Barrett.

Moderator: Thank you. The next question is from the line of Yashita Banka from Ratnabali. Please go ahead.

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Abhinav Chandak: This is Abhinav Chandak here from Ratnabali. I have one clarificatory question on the volumes that you said, so I wanted to know your Salt volumes you said was 6,60,000 tons for the quarter, correct?

Ranjit Pendurthi: Yes.

Abhinav Chandak: So, why this dip is something you said because of logistics. So, you assume that, or you feel that next quarter the volumes would pick up and the loss for the current quarter would be made for?

What is your guidance for the Salt volumes?

Ranjit Pendurthi: I think we don't necessarily see quarter to quarter in terms of how we do the business because the contract by nature are long term, one year, two years. So, I think we measure what we are delivering to customers and really backlog, and any certain customers and those shipments will also be completed. So, our contractual obligation is to complete the contract we have in place before March, so we will do what is required to ensure that we stick to that overall volume.

Abhinav Chandak: Are you giving any overall volume guidance for the year also for the Salt like you gave for Bromine 22 to 25, is there anything for Salt also?

Ranjit Pendurthi: I believe we have given in the previous calls, but.

Abhinav Chandak: Still maintain that?

Ranjit Pendurthi: But I think, yes while we don't see a reason to change it at the moment.

Abhinav Chandak: Sir, I had one more question on one of your subsidiaries, which you have recently formed in some semiconductor

business. Can you throw some light on what exactly they are doing? What acquisition they have done and tie-up with Odisha Government, what exactly is it? Can you throw some light on that?

Ranjit Pendurthi: I think it is a work in progress. We do have a tie-up that we signed with IIT Bhubaneswar. We just started some ground work on silicon carbide crystal growth, which is in the semiconductor space. But I think over the period of the next few months, we will probably have more to speak about that beyond what I have mentioned now.

Abhinav Chandak: What exactly we will be doing there, sir?

Ranjit Pendurthi: With IIT, all projects generally are research and development in nature, R&D. So, I think we clicked off in R&D like I said, I think what we do with it will probably be clearer over the next few months.

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Abhinav Chandak: As far as this Oren acquisition is concerned, you mentioned that from H2 FY25 the numbers would start to come in. How much of a delta would this give to our margins if you could give some guidance on the margin also for the year?

Ranjit Pendurthi: At the moment, I don't have guidance on the margin because the plants we just got the NCLT order only in July. So, we have effectively been able to only start work on plants, refurbishment, renovations, etc. So, our team actually has got to site physically into the sites only post NCLT order because that only gives us the legal basis to get in there. So, I think the business we hope, like I said, will start in H2. So, that is I think what we are maintaining. Specifically guidance, I think we will probably have to wait.

Abhinav Chandak: I have one last question and there are two sides to that question. So, one question is on the guidance on the Bromine prices, the way you see Bromine prices from here, say next 1-2 years from now? The other question is, are there any large serious players who are also entering the run because what I read from articles that a couple of players have got sizable land parcels allotted in run, do you see some significant competition or large competition coming and hitting this space or the allotment is for some other purpose?

Ranjit Pendurthi: I think competition in any industry is going to happen. It is just about having a first mover advantage. So, there are I think couple of more people who are producing. I think the question will always remain the capacity that we have, the infrastructure that we have and the ability to deliver the volumes that we have. It is similar to Salt. I think Salt is an 8-year-old industry, many players in it, but I think today if someone has a large contract for supply that they would want, I think would be one of the very few that would be able to do that on a consistent basis on a one year, two-year contract, so same with Bromine. I think Bromine is not going anywhere. Having said that, end users I think are increasing and continue to be some critical end users. And in terms of I think first part of your question on pricing, I won't hazard a guess on price, but I think I have said this even maybe over the last couple of years whenever the calls have happened that I think the pricing that we are seeing now, I think is stabilized over the last couple of quarters and I don't see a reason for it to drop.

Moderator: Thank you. The next question is from Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, my first question is on the project that we have held back for some time, which was the Phase-2 of our derivatives expansion Flame Retardants bit, any progress on that account, sir?

Ranjit Pendurthi: I think that the process of finalizing the technology, and I think it goes back to my last call or

the previous one before that where I said we are going to do it in a realistic way in a measured manner. The market as such is not going anywhere, given that we have ca

ptive Bromine. So, I think we will take a time to do this. The first thing is I think goes back to someone else who asked on the call earlier. We want to get the first phase up and running and hit the volumes there. And I think we will continue to progress on the Phase-2 in a measured manner. But we are getting all the permissions and all those other things in place as we speak for Phase-2.
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Archit Joshi: Any timelines that you might venture out over here with respect to commissioning of the plant?

Ranjit Pendurthi: For sure, we won't do it before March '25.

Archit Joshi: Sir, speaking of the same, Flame Retardants as an industry, even though there is some bit of a derailment with respect to our plant, could you comment on how the global dynamics are working out to be, I think a large part of Bromine is consumed in Flame Retardants globally and the industry volumes, I think if I take a year-on-year look for the last maybe 3 or 4 years, at least our Bromine volume off take has been pretty much similar. Would you allude that to the global challenges in Flame Retardants, are they on the verge of an improvement? Any comment that you might want to give out globally?

Management: I think you have asked me a very global question, so I will like to also give you a global answer, not a specific one. The industry I think will stay intact. We don't see the Bromine industry or end use changing too much. I think the agrochemical use and the Flame-Retardant use both I think continue to be healthy. Of course, each one is dependent on a different set of factors. But having said that, I think we are ideally positioned from India context to be a strong producer and supplier of Bromine both domestically and export. So, I think our leadership position on that front, we expect to hold on to that.

Archit Joshi: A short global question again, sir. Sir, has there been any shift with respect in the supply chain rather when it comes to us having a stronger hold in the Chinese markets, India as a country when it comes to Bromine exports into China? And some of the reports suggesting that because they have found their own reserves in Laos, Djibouti, and some of these geographies, they have kind of shifted away from that earlier phenomena which was driving our exports growth for India as a country. Is this holding true even now? What would be your opinion on that?

Ranjit Pendurthi: I think there are some new geographies that are producing, but I think logistics is challenge for them. Some of these are not in the easiest of places to evacuate from or connectivity or probably you only have a port in their own country. So, I think on that front we will continue to have an advantage and of course the geopolitical situation from Middle East etc., I think with uncertainty there, no matter what the price is, at least the buyers will know that it is certain to be supplied from India. So, I think it is positive in one sense for us as a country and I think neutral in terms of no downside, I think from any other source affecting the supply.

Archit Joshi: One last, I would like to squeeze in, the press release by IIT Bhubaneswar saying that the estimated cost of this SIC crystal is approximately Rs. 45 crores. Would that funding entirely be done by Archean Chemicals?

Ranjit Pendurthi: Not entirely. I think it is a collaboration with IIT Bhubaneswar. So, working with government institutions have various components, but safe to say a large part of it will come from us. But there will always be some amount of I think government grants or any such thing that IIT will also be able to access.

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Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Just a couple of clarifications. So, can you please give bre

k up of Bromine exports and domestic in this quarter and last quarter, please?

Raghunathan: Give me some time. I will just close the numbers for you.

Krishan Parwani: And the second is on the Bromine derivative side, can you please indicate the CAPEX for Bromine derivatives? This is ex of Flame Retardants that you have incurred till now and what is the remaining CAPEX?

Raghunathan: So, the total project cost is around 252 of which we have spent around 140 plus till date.

Krishan Parwani: 140 plus and how much is remaining. This is ex of Flame Retardants I am asking?

Raghunathan: So, the balance that we have to spend will be around Rs. 10-Rs. 15 crores to meet our CBF, and catalyst to PTA products to produce.

Krishan Parwani: So, the rest, let us say, Rs. 100 crores is kept for the Flame Retardants, correct?

Ranjit Pendurthi: Yes.

Raghunathan: Coming to your first question, my domestic sale of Bromine is around Rs. 58.8 crores and exports around Rs. 34.9 crores.

Krishan Parwani: And the pricing is same, or pricing is different for the domestic and export market?

Raghunathan: Almost the same.

Krishan Parwani: So, just follow up on that, so if you look at the China spot prices, they have been around \$2.83 or so. So, are we seeing any uptake in our Bromine pricing or will there continue to be a disconnect between that?

Ranjit Pendurthi: I think the spot price is something that we feel happy seeing, but not necessarily we sign out those rates. I think the way we see the spot price is that it is a good sign that the demand is healthy, but from a contract's perspective, the contracts probably are signed before movement in these prices. So, sometimes they go down, sometimes they go up as you are aware. But our prices are little bit lesser than the spot prices. These are long term contract prices, right, so.

Krishan Parwani: And just small bit on Oren Hydrocarbon. So, I think you mentioned in your opening remarks or probably in one of the answers earlier that you would be making some investments to let us say, refurbish the plants. Can you please highlight the quantum that you would be spending apart

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from the Rs. 70 odd crores that you have already invested to acquire through NCLT? So, what will be the quantum for them?

Ranjit Pendurthi: So, I think we anticipated that we would spend maybe at the outermost about Rs. 40 odd crores. So, I think we are well within budget and that was for all the plants, but at the moment we are only starting with two. So, we consider the less.

Krishan Parwani: And in terms of Salt, how much I think volume probably, is it 4.5 million metric ton or how much is it for the year?

Ranjit Pendurthi: Yes, it has been in 4.5 range.

Krishan Parwani: In that range, right, 4.5?

Ranjit Pendurthi: Yes.

Moderator: Thank you. The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Sir, my question is on to the Bromine derivative side. Sir, you mentioned in your presentation also that some new products you are planning to add as a Part 2. So, sir, just wanted to know if the new products are into the CBF and can you highlight these new products and when we add these new products, will there be an increase in capacity, or it will be the same capacity only of 13,000 tons?

Ranjit Pendurthi: Sorry, you mean that we are adding new products in Phase-2?

Aditya Khetan: No, sir, Part 2, you have mentioned it, so I believe this new products you are adding into the CBF only, right?

Raghunathan: So, those products are not CBF or PTA Synthesis, they are other specialty products on Bromine. So, there is a CBF category, and then there is a PTA Synthesis Catalyst category. So, apart from that, there are other products that we are adding as well that we already have the permissions for. So, I think those are Bromo related derivative

s. So, those also the trials and tests have been done with customers. So, those also will start when we start ramping up.

Aditya Khetan: Sir, I was asking on to this Bromo related derivative. So, this construction has been started and what is the timeline we are looking for this expansion?

Ranjit Pendurthi: Construction has already finished. It is part of the plan that we have already commissioned in March, so there is no new additional construction for these products.

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Aditya Khetan: And sir, excluding the Flame Retardants, sir I believe earlier, you had stated that the Bromine consumption would be around 12,000 to 15,000 ton, now for ex of Flame Retardants, so what is the guidance for internal consumption of Bromine?

Ranjit Pendurthi: I think that we will probably have as we move forward through the year over the next couple of quarters as we ramp up the derivatives business, I think it will become clearer, but we would think that we should probably be a little bit less than what you have mentioned.

Aditya Khetan: Sir, just one last question, sir, on to the Oren Hydrocarbons. So, we are investing Rs. 40 crores for the refurbishment, what sort of revenue we are targeting for FY25 and FY26?

Ranjit Pendurthi: So, I think just to be clear, we are not investing Rs. 40 crores at one time. That is for all the plant's refurbishment. So, we are only taking up 2 right now. So, it will be considerably less.

And having said that, I think we are still hoping to reach the 200 plus mark on the sales and I think that is what we are endeavoring to. But given that like I said earlier in the call that we are

only starting with two plants, right, the revenue obviously will be dependent upon that as I said, given all that is going on in the chemical industry, we are just being conservative and taking a very measured approach.

Aditya Khetan: Sir, just one last question, so generally on to the export side, we do the contract on FOB basis or in CIF basis?

Ranjit Pendurthi: Salt is a combination. Bromine is all CIF, insurance included.

Moderator: Thank you. The next question is from the line of Dipak Saha from DR Choksey Finserv Private Limited. Please go ahead.

Dipak Saha: Sir, my first question is, in one of the previous calls, you alluded to the fact on Bromine derivatives, you have engaged with 50-60 clients and out of those 10 have already approved. So, two parts, now those 10 you have already approved, how many of them are part of the existing client set? And on the remaining 20-30, I think you said in the previous concall that the response is favorable. So, what is the progress on that remaining 20-30 where you got good response overall? So, these are the first two parts on the first question?

Ranjit Pendurthi: So, I think majority of the customers will be new. There is only a few that will overlap because these are all I think companies that deal in different specialty chemicals sector. So, I think the customer base is not necessarily the same largely. And the second part of your question, on the other customers that you have approached, I think that is a work in progress. I think everyone is just including us, we want to start doing the first deliveries to some of these customers and then I think the traction picks up. Then, we have a better leverage with marketing the products. So, the dialogue remains active, and we want to start some deliveries, then I think they will start converting into orders.

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Dipak Saha: Sir, on the Oren part, I think in the previous call, you said around Rs. 250 crores odd, you can attain the range was 100 crores to 250 crores and right now you are saying (+200). So, how should we read it? It is like you are a little bit getting conservative with the number and that Rs. 250 crores might be out of the park right now and

next year that we should target, like if you can share some color on this?

Ranjit Pendurthi: So, I think those who have been investors or shareholders with us for a long time, I think know that we are quite conservative right now to see how things perceive in the market and what we convey. So, in that context, I think the last time when I did speak, the number was taken into account that we would have earlier start up to the plant. But the NCLT order only has come now mid-July and legally speaking right from what do you call activating the company in ROCE, getting power connections, etc., all only possible post NCLT order, so the startup is delayed on account of receiving the NCLT order. So, accordingly I think we get pushed back a bit. And in that context, I have said 200.

Dipak Saha: And on the margin front, if you see sequential basis, there are certain considerable improvements. So, whatever the driving factors on the EBITDA margin front and going ahead, do we see improving ourselves here on compared to where we delivered on Q1?

Ranjit Pendurthi: I think EBITDA margin improvement is the aim of ours. We consistently and constantly keep an eye on cost for sure ensuring that stays within whatever we have planned for. And the second one is other improvements in efficiencies etc. So, I think things like turnaround times, downtime management, plant efficiency management, raw material consumption management, I think all those play a factor, but an important part also in the last quarter I think has been power. As I indicated in my earlier calls, we are trying to move away from the core generation plant to a grid system. So, half the capacity now comes from the grid. That savings is what you are seeing also help improve the EBITDA margin and subsequent quarters you will see a better improvement as we further enhance the grid capacity and take most of the power from the grid, which is cheaper than the co-generation plant. Plus very importantly, also helps with the carbon footprint because we move away from the coal co-gen.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Just one question I had, which was regarding the leasehold land, I have not followed your last two quarter con calls that leasehold land that you had with the Government of Gujarat, has that been renewed and if yes, for how many years?

Ranjit Pendurthi: So, I think that is a work in progress. The position has not changed since the last call. I think we continue to actively engage with the government and we are hoping sooner than later on that front.

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Moderator: Thank you. The next question is from the line of Vaibhav Sabu from Nippon AIF. Please go ahead.

Vaibhav Sabu: As per revenue opportunity, just one thing, so you have mentioned that the reason for decline which we saw in the end-use is primarily on account of logistical issues, but just want to check that our export business would be I think primarily impacted by that. But if I look at the revenue mix, we still continue to have around 72% which you mentioned exports and 28% domestic, which does show that there was pressure on our domestic side of the business also. So, any comments on that?

Ranjit Pendurthi: I will answer the question assuming that I have understood correctly. So, if I am not answering it, please feel free to ask the question again. So, I think the slippage in the volume on the Salt has come because of the shift reacting abruptly due from Jakhau Port to Mundra port because of the weather change and hence the volume came below what we had planned for the quarter. But the overall for the year, we still are aiming to do what we set out to do. And on the revenue mix, the Salt is all 100% exported, Bromine has a domestic and export mix. So, if there is a slight dip in the export percenta

ge, it is because the Salt volume has dropped a bit.

Vaibhav Sabu: So, that is the point that the exports percentage, if I look at it like exports the percentage of revenue that has remained constrained more compared to the previous quarter, in fact, if I look at it in quarter 4, 69% of our revenue was from export and this quarter, it is 72% from exports.

Ranjit Pendurthi: That is because the Bromine exports have increased. May and June, there is a larger volume of Bromine export. In February-March, it was minimum, in fact negligible.

Vaibhav Sabu: But sir, just want to clarify, if I look at it in Q1 of last year we had done around Rs. 113 Cr of sales in domestic and Rs. 92 Cr in the last quarter. So, this quarter if I look at your number, this comes out to around Rs. 60 Cr for domestic sales across the segment. So, that so I wanted to understand if we are having any pressure?

Ranjit Pendurthi: No, there is no pressure. I think it is primarily due with maybe the value has dropped on the Bromine pricing. So, if you are comparing quarter to quarter, last year to this year, that will be quite a significant change.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we have reached the end of the question-and-answer session. I would now like to hand the conference over to Mr. Ranjit Pendurthi for closing comments.

Ranjit Pendurthi: Thank you, everyone for joining us in this earnings call today. We appreciate your time and showing interest in our company, and we continue to remain encouraged by all the feedback we receive, and we will continue to work hard for all our shareholders as we go forward. In case of any queries, please do get in touch with us or SGA, our Investor Relations Advisor. And we look forward to meeting all of you very soon. Thank you.

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Moderator: Thank you. On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: Nov 2024

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
20th November 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015 ("Listing Regulations")

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, please find enclosed herewith the transcript of the earnings call held on 12th November 2024 post announcement of financial results of the Company for the quarter and half year ended 30th September 2024.

The above information shall be made available on the website of the Company at www.archeanchemicals.com

Kindly take the same on record.

Thanking you

Yours faithfully
For Archean Chemical Industries Limited

R Raghunathan
Chief Financial Officer

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"Archean Chemical Industries Limited
Q2 and H1 FY'25 Earnings Conference Call"
November 12, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th November 2024 will prevail."

MANAGEMENT : M R. RANJIT PENDURTHI – MANAGING DIRECTOR – ARCHEAN
CHEMICAL INDUSTRIES LIMITED
M R. RAGHUNATHAN – CHIEF FINANCIAL OFFICER – ARCHEAN
CHEMICAL INDUSTRIES LIMITED
M R. RAJEEV KUMAR – DEPUTY GENERAL MANAGER FINANCE –
ARCHEAN CHEMICAL INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Archean Chemical Industries Limited Q2 and H1 FY '25 Results Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call.

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These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ranjit Pendurthi from Archean Chemical Industries Limited. Please go ahead, sir.

Ranjit Pendurthi: Thank you. Good afternoon, everyone. We wish you all a very warm welcome to our Q2 and H1 FY '25 earnings call. Today, we are joined by Mr. Raghunathan, our CFO, Mr. Rajeev Kumar, DGM Finance; and SGA, our Investor Relations Advisor.

I hope everyone had an opportunity to go through the financial results and investor presentation, which has been uploaded on the Stock Exchange and our company website. I will give you all a quick snapshot on the recent developments of the company. Post that, Mr. Raghunathan, will walk you through the operational and financial performance of the company. Thank you. The past quarter has been quite vibrant for the leadership team as multiple projects have witnessed healthy progress. The company has reached an inflection point taking decisive steps to diversify and derisk its product portfolio.

This strategy reflects extensive planning, dedication and adaptability from the entire team at the company as we navigate evolving needs of the market. At the heart of this journey is also our R&D initiatives, a cornerstone of our efforts working tirelessly to drive breakthroughs in chemistry and expand into new downstream markets.

Archean Chemical Industries Limited stands out as a prominent manufacturer of marine specialty chemicals such as elemental bromine, A-grade industrial salt and Sulphate of Potash through a natural sea brine as most of you are aware. However, our company is poised for expansion by disrupting and capitalizing on synergies between its core business of marine specialty chemicals and its strategic investments in high-growth sectors such as compound semiconductors and energy storage solutions. However, the core business remains the mainstay of the company's growth strategy for the next few quarters and years.

Coming to the performance highlights and the recent developments on respective products are as follows: Firstly, elemental bromine. It has been somewhat of a mixed quarter for the company as we have seen some broad recovery on the demand side, primarily from the domestic market, whereas demand from export market remains a bit soft.

We expect steady demand in the bromine business with end-use applications either stable or recovering. With the recent stimulus in the Chinese market, we foresee China economy to pick up gradually and the demand for our key products recover as well. We aim to produce in excess of 20,000 metric tons for the year of bromine, including requirements for our own use.

Second, Industrial Salt. Industrial Salt faced a bit of a challenge in Q2 FY '25, primarily due to the monsoon season, as you all know, which was quite extended and extensive in terms of

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rainfall. As you all also may be aware, the second quarter typically is a slow quarter for us as the export business remains a bit affected by monsoon.

The prolonged time required to finish product, coupled with difficult transport growth conditions made exports from our side to the ports very difficult. The company also faced a temporary challenge as Cyclone Asna dropped quite a bit of heavy rain and disrupted operations at the production site. However, due to the effort of the team, we continue to operate

despite this

cyclone. This, however, did lead to some inventory damage, especially on the Industrial Salt side.

As highlighted earlier, we have over 300 trucks involved in loading and unloading from our stockyards for export to the ports. Hence, overall volume stood at 7.5 lakh tons for the quarter. H2 is generally better for our business, and we expect more than a million ton volume run rate

in the coming quarters. Our focus will be on enhancing processes and cost efficiencies, while we have historically concentrated on exports, we have started exploring new opportunities to meet growing domestic demand on in salt as well.

Third, Sulphate of Potash. On the SOP side, we continue to see encouraging results in our trials, and we have also taken steps to produce a second grade of Sulphate of Potash, which we're seeing encouraging inquiries from both global and domestic markets. At present, there's a work-in-progress, and we expect meaningful contributions in the next year.

Coming to Acume , our subsidiary for bromine derivative products such as Clear Brine Fluids and PTA synthesis products. Clear Brine Fluids, the initial response on CBF is encouraging, and we have already dispatched a few trials and small orders to clients. We're actively engaging with clients to conduct further trials and define their specific requirements. So we have seen some favorable progress in these products and expect a healthy contribution in coming quarters.

On the PTA synthesis side, polyester derived from PTA synthesis has extensive applications across various industries, particularly in textiles and packaging. As this industry grows and economies expand and the polymer usage rises, we anticipate growing demand for our PTA synthesis products to support these industries.

Oren Hydrocarbons. After receiving the NCLT order in the month of July '24, our team has been actively working on refurbishments and renovations at various production sites of the company. We expect two plants to be fully operational within the next few weeks with meaningful business contributions than anticipated from the Q4 of this financial year. These sites are strategic for our future growth, enabling us to expand our product offerings by adding speciality mud chemicals and CBFs products to serve clients in the oil and gas and drilling industry, which with the recent turn of events, appears to be more attractive or has a more attractive future and a more comprehensive portfolio for our company.

Investments in Clas-SiC Wafer Fab Limited U.K., a U.K.-based company specializing in silicon carbide MOSFETs and device manufacturing. Our company will be investing to the tune of GBP 15 million for a 21.33% equity share capital with a primary subscription of GBP 10 million and secondary purchase of GBP 5 million.

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As a part of this diversification strategy, ACIL is making strategic investments in Clas-Sic Wafer Fab Limited, a U.K.-based dedicated silicon carbide wafer foundry with manufacturing capability for SiC devices. This investment aligns with the company's broader semiconductor initiatives through SiCSem Private Limited and secures technology exclusivity in India.

It is a moment of pride for our company as we are the first Indian company to invest in the company with silicon carbide MOSFET devices production capability and will be in the future serving industries like electric vehicles, renewable energy systems, industry power electronics, data centers, et cetera, in both domestic and export markets.

ACIL's core competency in specialty chemicals creates natural synergies with this SiC semiconductor business. The road map from concept to commercialization will take between 2 to 3 years as a part of the first phase of this new initiative.

Investment in Offgrid Energy Labs Inc., Delaware U.S., an IP-led company specializing in zinc-bromide battery techno

logy. We will invest nearly USD12 million in series A fund for the subscription of 21% stake. This investment aligns with ACIL's broader strategy to enter the energy storage sector, particularly focusing on applications in renewable energy, industry storage, et cetera.

The company's bromine business has a direct synergy with ZincGel batteries, which using bromide chemistry for the battery. ZincGel scope zinc bromide batteries offer superior cycle life, safety and cost effectiveness when compared to existing battery technologies in the market, making them ideal for daily discharge charge cycles in commercial and industrial solar applications as well as utility scale grid stability projects.

We will initially support the establishment of a pilot manufacturing facility in the U.K. with an intention to establish a giga factory in India in the near future to scale up the zinc-bromide battery production. Again, road map from concept to commercialization will take 2 years' time, and we will obviously keep our shareholders updated in due course.

Update on the existing capacity expansion. Our company has built a solid foundation over the years in the marine chemicals industry, positioning us well to leverage our expertise in bromine derivative products and new incoming products. Our primary focus continues to remain on establishing lasting collaborations with all customers across all products. We are confident and remain confident to grow gradually in the coming years and will be well equipped to utilize the opportunities that keep evolving with the market as well.

That's it from my side on the update. Now I will hand over to Mr. Raghunathan, our CFO, to run

through the financial performance.

Raghunathan: Thank you, sir, and good afternoon to all the participants on the call. To give you a financial summary of Q2 FY '25 on a standalone basis.

Our company registered a total revenue of INR2,521 million. There's a drop of around 17% on a Y-o-Y basis. The drop is primarily due to logistics-related challenges, which MD also has indicated in his speech.

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Our export market contributed around 77% and the remaining 23% that came from the domestic market. This overall revenue, bromine contributed around 38% and Industrial Salt...

Moderator: Sorry for the interruption, sir. May I request you to please come closer to the mic. Your voice is a little muffled.

Raghunathan:

Bromine contributed around 38% of the total revenue and Industrial Salt is around 62%.

EBITDA for the company stood at around INR898 million for this quarter, Q2, with a margin of 36% and net profit stood at around INR219 million.

We also want to inform you that in this Q2 results, we reported an exceptional item due to the impact of Asna cyclone in Gujarat that occurred in the month of August and in the beginning of September. So almost it prevailed for more than a week or so, which resulted in a loss of 472,000 metric tons of Industrial Salt, which amounts to around INR40.18 crores. We have initiated a necessary claim process with respective insurance companies.

Moving on to H1 results.

Total revenue for H1 FY '25 stood at around INR4,754 million with a drop of around 28% on a Y-o-Y basis.

Export market contributed around 75%. The remaining 25% came from the domestic market.

Bromine contributed around 41% of our total revenue and Industrial Salt is at around 49%.

EBITDA for the company stood at around INR1,747 million for the 6 months period with a margin at 37%.

Net profit was around INR703 million.

With this, I conclude the speech and open this floor for a Q&A session. Thank you.

Moderator: The first question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: I have a couple of questions. Sir, first question is on to the salt business. Sir, into your initial commentary, you have stated that you are expe

cting so around 10 lakh ton of salt volumes run

rate quarterly. So in this assumption, sir, so we are taking all the problems to be resolving like the -- so the Red Sea crisis, which was impacting us and was, secondly, so there was some one-off issue in last quarter also. In this quarter also, there is a one-off. So all these issues seems to be resolving so from the next quarter itself?

Ranjit Pendurthi: So this is Ranjit here. So thank you for your question. So I think a lot of our salt business, in fact, I would say, majority of it, if not all of it, is focused on the Far East and Asian exports. So the Red Sea crisis as such, I don't think has too much of an impact, maybe a little bit on the freight because that's a global industry. But having said that, I think our customer demand

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remains intact. Our long-term contracts remain intact, and we continue shipping under those contracts.

In the last quarter, there were some delays, which obviously we adjusted with the customers.

But as such, we don't see any impact going forward. And as you rightly put, I think the last quarter was a one-off. We do have sufficient stocks and none of our contracts have been canceled. We've only taken some adjustment in the delivery dates in the last quarter. But now things are back on track, and the shipments are being done as per the delivery schedules committed to customers.

Aditya Khetan: Got it, sir. Sir, my second question is on to the bromine part. Sir, into the domestic market, we had witnessed that some of -- so some of the new players have also expanded the capacity. And so they are planning up with a big -- so they are coming up with a big capacity in the next 2 to 3 years. And into your initial commentary, you have stated that -- so the recovery in the domestic market is good and the export market remains soft. So with the new capacities coming in, so don't you feel the competitive intensity would go up in domestic also?

Ranjit Pendurthi: Well, I think I have said this on earlier occasions as well. The competition is bound to happen in any industry. You can only be a first-time entrant when you discover something new. And I

think that's been our position till now. And while the local other players expand, I think part of our derisking and diversification into further value-enhanced chemistries and products, I think this was envisaged a couple of years ago, which is what we have implemented.

So I think I credit the management team and also our on-the-ground site team for implementing these projects. And I think this will probably add to our strength and distinguish us or differentiate us from other players.

Aditya Khetan: Okay. Sir, but the market of bromine that still remains subdued only. For the last 6 to 8 months, we had witnessed that the price also have been normalized, and it is trading at the lowest levels.

And there is no recovery, which is seen in demand in the global markets. Sir, what is the outlook for the next 2 to 3 years? So you see now the pain is over and with ramp-up of volumes, we can see some better days ahead? And what would be the guidance of volumes for FY '25 and FY '26?

Ranjit Pendurthi: So, I personally refrain from saying the worst is behind us because I think the global market is evolving in ways that most of us have not anticipated or seen. So, I think we have to be taking a step at a time. What we need to focus on is what we are doing. I think our volumes in bromine certainly need to pick up. We have the capacity. We have the customers. These are relationships almost a decade old on the export side and on the domestic side as well.

So one of the, I think, encouraging things is that even the local players on the end user industries are expanding. China is stabilizing. Are we in a comfortable position from a market growth perspective? I think we are not there yet. But at the same time, a

s a company, are we in a position

that where we believe that what we make, we can sell, I think we can, and we are doing that.

Aditya Khetan: And sir, what would be the expected volumes for bromine, we can touch for '25?

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Ranjit Pendurthi: I think, as I mentioned in my commentary, I think we're aiming at in excess of 20,000 tons for the year. So hopefully, I think we are working diligently towards crossing that figure comfortably.

Aditya Khetan: Got it. Sir, my third question is on to the CBF and on to the PTA synthesis business. How is the ramp-up, sir, over there? And is it possible to share the volume figure for these two businesses?

Ranjit Pendurthi: So I'll speak about the ramp-up. I think the ramp-up has been satisfactory. Obviously, we can always do a better job than we have done in the last couple of quarters, but it's taking a bit of time because oil and gas industry -- drilling industry is also subject to a lot of global factors. But at the same time, I think the industry on the oil and gas drilling side, remains healthy. And with recent demand in U.S., etcetera, we think this will continue to be a good area. I think markets like the U.S. probably, given their reemphasis on more drilling, I think will be good for the company in terms of the product portfolio that we are building.

So I believe that I think we're in a good position. And like I said, the trials, I think we have conducted with certain customers for end user industries have been encouraging. Most of them have passed. So we're adding more products, even with Oren Hydrocarbons acquisition. Those plants are getting refurbished or renovated. And I think those products also will add to a bigger basket to cater to the oil and gas drilling industry.

And on the other derivatives side, I think we are making progress, non-oil and gas, like PTA synthesis, et cetera. And I think we started shipping out and exporting some volumes. So overall, the trend is, I think, encouraging, but we have to keep at it. I don't think we can take it easy. We need to keep pushing, and that's what we are doing.

Aditya Khetan: And sir, so the expansion, which we were planning earlier...

Moderator: Mr. Khetan may we request you return to the question queue for follow-up questions as there are several participants waiting for their turn. The next question is from the line of Rushabh from RBSA Investment Managers.

Rushabh: So we are planning to start manufacturing of this high-quality SiC power devices in the next 2 to 3 years. Can you just give a sense what is the domestic market size of these products? And what is the targeted return on capital we are targeting, including the incentives that we may get from the government?

Ranjit Pendurthi: Well, I think the subject is quite large to take on a short earnings call. So -- but I will probably defer it to Rajeev and maybe Rajeev can answer this question as best as he can.

Rajeev Kumar: Thank you, sir. Thanks, Rushabh for the question. The first part of the question was the domestic market size. So SiC devices or compound semiconductor devices, the market is growing. Right now, overall global market size would be around \$2 billion to \$3 billion, and we expect this to grow at a very good CAGR of more than 25% till 2030. So we do expect that in the next 5 to 6 years, the market will increase from the current size of \$2 billion to more than \$10 billion.

The second part of your question, did you ask the government support for this?

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Rushabh: Asking the targeted return on capital on this manufacturing venture.

Rajeev Kumar: So, Rushabh, I think we will wait to answer this, maybe a couple of months because while we have stitched together the project plan, we have submitted it to government and waiting for the necessary approvals. So a lot of that will dep

end on what quantum of the government incentives, et cetera, we get, which will have an impact on the return ratios. So we will definitely answer the return ratios once we get the clarity on the approval process.

Rushabh: And the second question, just on the broad semicon initiative. There are other companies also in talks to acquire stake in this Clas-SiC Wafer Fab? Why did the company choose us and why did we choose them? I just want to understand the thought process here.

Rajeev Kumar: No. So the thought process is we have seen and we have been at this Clas-SiC investment initiative for a few months now. Right now, we have the exclusivity of the technology agreement in India, which will continue to be so.

Rushabh: Okay. And sir, regarding investment in the Offgrid ventures, we have invested capital. So did we give exit to existing investors? I believe there are already existing set of investors there. Or this was just a fresh capital infusion?

Rajeev Kumar: No, this is just primary infusion, Rushabh.

Rushabh: Okay. And just last question, if I want to ask. You had Mr. Kannan as a senior leadership team some time back. Just want to understand what is the mandate given to him? Is it for the bromine derivatives or the marine chemicals or new product development?

Ranjit Pendurthi: Sorry, so if I can take that question. So Mr. Kannan has joined as Executive Director in Archean Chemical Industries, which is a parent company for all the subsidiaries that we talked about today. So the broad mandate for him is leading and being responsible for all these initiatives, including the primary company, Archean Chemical Industries.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: So my first one on the silicon carbide investment. We've also had some research funding that we gave to IIT Bhubaneswar, I think a quarter ago, we had stated about that. Now with these two investments in place, what are the synergies you're trying to derive because I think the technology has already been established in U.K., where you have invested around 21%. So is there a plan to bring that technology to India? And how would the research funding that you have given help us in any way? And if you could slightly elaborate a bit more on maybe the 3- to 5-year outlook on this particular venture. How will it shape up, if you can answer those.

Ranjit Pendurthi: Sure. So I think, as you know, the semiconductor industry is a large industry, right? So choosing technologies, finding partnerships and getting someone to share the technology is not a very straightforward or easy process. However, the company that we have tied up with in the U.K. and have taken the equity stake is precisely to do that. Now we have access to not just the current generation technology, but we also have access to ongoing future improvements and future technologies as well.

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So that's the most fundamental thing that you need to look at when you look at investing in something like this in this industry, right? It's not about today, but it's about years down the line, the capability to deliver on changing technology, updated technology and having access to it is most important. So we have been able to secure that.

The second thing is in terms of the synergy with IIT Bhubaneswar initiative. So we have taken a bit of a different approach. we are working with IIT Bhubaneswar on the research part of actually making silicon carbide crystal, right? This, I think, is being pioneered within India and no one has done it and very few, I think, have done this globally as a comprehensive combined effort within the semiconductor industry in terms of a company doing the silicon carbide as well, crystal growth.

So we are trying to marry the research initiatives with the commercial aspects of developing the silicon carbide wafer fab. So the

synergy will come from having our own silicon carbide crystal growth as well as being able to deliver on the wafer fab with the classic investment and tie-up on technology for India.

Archit Joshi: Sure, sir. Sir, this 21% stake that we have done in U.K., does that give enough access from a pure percentage perspective that -- or maybe there would be further investments required to kind of take a much better control of those assets or that particular venture so as to have a better

synergy in and around the semiconductor industry in India?

Ranjit Pendurthi: So I think at the moment, our focus is on access. As I mentioned, it's not about control. We have a very good relationship with the U.K. company. And I think our tie-up provides for current and future access to technology. And we don't foresee any more investments into the equity side. I think we have got what we wanted in first phase. But I can't comment about what the future holds. As things may change, as things may develop, we probably will be the first in line to see if any other productive relationship will happen. But at the moment, I think we are restricting ourselves to what we have done already.

Archit Joshi: Sure, sir. Sir, just coming back to the base business. I think we definitely had some ambitions to have flame retardants in our bromine derivatives portfolio. Has that been derailed for the nearer term? Or have we had any closure on that account? Any expectations that we can build into our numbers?

Ranjit Pendurthi: I think it's a commercial call. It's not derailed for sure. I think it's delayed, as I mentioned, I think on the previous calls as well. It's easy to always put capital, but I think we want to take a measured approach. As someone else asked earlier on the call, it's about return on capital invested. So we already have a couple of initiatives going on. We would like to first deliver on these. And then I think the access to flame retardant and the technology and the market will always be available to us.

So we always have a continuous dialogue with the partners on this because having our own bromine is our strength. Even if not now, we can always look at doing the flame retardants in the near future. But it is definitely not derailed. I would say that it's delayed.

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Archit Joshi: Sure, sir. One last on the base business before I come back in the queue. Sir, if you can share in your opinion...

Moderator: Please may I request you to return the question queue for follow-up questions as far as some other participants waiting for their turn. The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So first question, again on the silicon wafer initiative. So we have mentioned that we are targeting to manufacture these devices over the next 24, 36 months. So is there going to be an exclusive manufacturing by us only for any requirement of the entire company despite we are having maybe 21% stake as of now.

Ranjit Pendurthi: I'm going to answer this question in a manner that I have understood it. So please correct me if I'm wrong in my understanding. We are going -- it's going to be a commercial enterprise that's going to manufacture for India and for the global market, India, first, of course, because our need within our country is already there.

And this is going to be sold manufactured by our subsidiary wholly owned and commercially sold to the market. There's nothing captive about this industry. But as you're also aware, a lot of this depends on what kind of -- as Rajeev, my colleague mentioned on government incentive and support, which we are hopeful of getting because that is also critical.

Rohit Nagraj: All right. Just a clarification. So we will be having the exclusive manufacturing rights in India and then distribution across India as well as other markets. Is that correct understanding?

Ranjit Pendu

rthi: Yes. So the agreement is only on the exclusivity of the technology tie-up for India. In terms of manufacturing and sales, it's not bound by any agreement. That's purely our company's prerogative.

Rohit Nagraj: Okay. Fair. That's helpful. Second, again, on the second acquisition, the Offgrid Energy Labs. Here, too, we have a similar kind of arrangement that we will be doing the manufacturing on an exclusive basis as far as Indian market is concerned?

Ranjit Pendurthi: The investment in Offgrid is a bit different. It's not -- it's a pure ownership into the company because, as we said, the synergy between zinc-bromide and our bromine business. So here, I think we are taking a different position. We will have the opportunity and access to the technology to manufacture of setup giga battery facilities. And alternatively, as shareholders or investors, as you can call it, where we also license the technology to others in other countries to set up similar giga factories.

Rohit Nagraj: So, we will be getting probably a royalty from this initiative, wherever we are selling or distributing technology to other players.

Ranjit Pendurthi: I would largely think so. I think I would maybe call it like a licensing royalty fee.

Rohit Nagraj: Right. And just one last.

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Ranjit Pendurthi: I think it's a bit premature to structure that and was broadly saying because there can be various combinations of how we benefit with somebody setting up the factory. It could be licensing royalty, it could be also on sales. So I think that structure will evolve as and when we finish our pilot plant and we get to demonstrate the commercial scale, which we're on track to do.

Rohit Nagraj: Fair. That's understanding. Just one small suggestion. We've had this exceptional item during this after the Q2 numbers. However, it occurred sometime in the month of August and September. So just a suggestion if you can give it other good corporate governance practice to share this particular detail, so that it doesn't become a surprise element only during the results. So just suggestion from my side.

Ranjit Pendurthi: I think absolutely noted, I think the difficulty with something like salt is dissolves in water. And it takes us some time to precisely understand the extent of the loss. So we got around to be able to only quantify this, I think, during the audit time for the Q2 numbers. So we've taken the necessary steps accordingly in terms of information, but the point noted.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Firstly, can you please give sales volume breakup of bromine, salt and SOP for this quarter?

Raghunathan: Yes. For this quarter, Q2, the sale of salt is around 792,000 versus 976 in the previous year's quarter. And with respect to bromine, it's on 4,800 plus.

Krishan Parwani: 4,800. Okay. SOP is nil?

Raghunathan: SOP is at around 27 tonnes.

Krishan Parwani: Okay. And just a follow-up on that. I think in the initial remark, Ranjit mentioned that bromine production of 20,000 tons is planned for this fiscal. And I think you've already sold close to 9,500. That means very limited divergence to derivatives. So when do you expect this to pick up? And what is the envisage bromine production for next fiscal?

Ranjit Pendurthi: So I think the 20,000 will include some part of our captive production -- sorry, production as well. So I've not differentiated between captive and third-party sale, which also is the reason why I said we are trying to push to all in beyond 20,000 for the year. I think for next year, Raghunathan, sir, do we have a projection?

Raghunathan: Sir, next year are likely to be at around 20,000, 25,000 tons.

Krishan Parwani: Okay. Got it. And secondly, so I think with the new investments that you have done. So can you please highlight the capex for, let's say, various ongoing

g projects, including the new investment

for this and the next year? The total outflow, I mean, if you can highlight the investment into the capex?

Ranjit Pendurthi: I think our initial year after this outflow of investment on the equity side, for the next 6 months, we don't see too much of capex apart from what we're doing with Oren, I think maybe I would broadly put with existing initiatives, probably we will probably be between INR50 crores to INR75 crores over the next 6 months at the very most. The newer initiatives, I think, will

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probably extend beyond that beyond the 6-month time frame. In the next 6 months, we don't anticipate any large capex.

Krishan Parwani: Okay. So for this fiscal, probably whatever that investment that you have done and INR60 crores, INR70 crores for the Oren Hydrocarbons, that's it? Or is there anything else that previously and the finishing and derivatives?

Ranjit Pendurthi: And derivatives, yes. I would say until March, I think that's a very generous number to take.

Krishan Parwani: So for derivatives, how much should we take? Should we take INR70 crores, INR80 crores or should we take more like INR120 crores. I think.

Ranjit Pendurthi: No, no. No, I would say -- no, derivatives almost finished with the capex. There's not much else left. So that's why I said it is a very generous number, I would say, between INR50 crores and INR75 crores till March, definitely not more than that.

Moderator: The next question is from the line of Sunaina Chhabria from Chola Securities.

Sunaina Chhabria: So I have a couple of questions. First, relating to the new ventures that are there. So with Offgrid Energy Labs, what is the estimated market size that is there globally and in India, and the clients that you are wishing to service, are these in collaboration with Offgrid? Or would this be separate? And are you also planning to further invest in the company?

And my second question and the further question is, what would be like the profit sharing over here or some kind of return on investment, if you could write?

Ranjit Pendurthi: Okay. So maybe, Rajeev, you can take the question and also mention the existing investors in Offgrid.

Rajeev Kumar: Yes, yes. Certainly. So the first part of your question, Sunaina, was on the market size. The current market size for this energy storage is quite huge. It is estimated around \$25 billion globally and expect it to grow over the year. Also the energy storage, stationary energy storage

market is growing at a great pace in India. Just to give you a reference, last year alone in FY '24 7 gigawatt hour of storage were awarded, which is roughly around \$1 billion.

Our investment in Offgrid is strategic in the sense right now and this was answered by our MD previously also that the return ratio or expectation or the mechanics in which we will get the return is still not something which has been finalized. Right now, the aim is to enable Offgrid to make the pilot plant, which will help them creating a blueprint for a giga factory.

Sunaina Chhabria: Okay. Got it.

Rajeev Kumar: So also, Sunaina to add, in Offgrid, like we mentioned, the infusion is primary in nature. We are not taking out any current investor. And currently, in Offgrid, you have Shell ventures as an investor. You also have Ankur Capital, which is a deep tech investment firm. So these two companies are already invested there, and they are also participating in the current round, current series.

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Sunaina Chhabria: Okay. Great. My next question is relating to the Sulphate of Potash vertical. So the revenue contribution from SOP has been on a declining trend. And as previously mentioned, this was due to production being impacted by a high level of sodium chloride in the raw material. So is this a problem that you foresee

going on in the future where the -- either the production would sort of stabilize or decrease even more.

Ranjit Pendurthi: So I think if I can take this question. So the SOP, like I think we have said before, it's a chemistry problem. I think we have solved for it. We are working with our German partners as well as an Australian consultancies now. So we've already done the trial tests at the lab in Germany. We are going to be visiting them in the next couple of months for doing the pilot test also.

And we will, before the next monsoon run these tests at a plant scale at our plant in Gujarat. And we believe that whatever modifications and rectifications have to be made will be made. And we continue to remain very bullish on SOP because the product demand -- remains firm and there are very few producers to be able to produce this grade and what I would probably venture to also a risk to say is green brine of SOP, the natural sea brine. So I think you will definitely hear encouraging news over the next year or so.

Sunaina Chhabria: Okay. And for the capex that was also mentioned of about INR50 crores to INR75 crores, there is no further capex being done in like the first -- the main three verticals that would be there of Bromine, Industrial Salt and SOP, right? It would only be.

Ranjit Pendurthi: Not before March.

Sunaina Chhabria: Not before March. And beyond that, is there -- is the company looking into further expanding the capacities?

Ranjit Pendurthi: I think at the moment, we've already put in money into both the derivatives as well as the Oren Hydrocarbons acquisition and our main plant in Rann of Kutch. I think we don't anticipate too much capex in these businesses even after March '25.

Sunaina Chhabria: All right. And my last question is related...

Moderator: May I request that you return to the question queue for follow-up questions, as there are several other participants waiting for their turn. The next question is from the line of Tushar Raghatate from KamayaKya Wealth Management.

Tushar Raghatate: I just wanted to know like the guidance which you gave in the bromine of near 22,000 metric tons and on the salts of 4.5 million tons. Do you hold that guidance for FY 25?

Ranjit Pendurthi: Sorry, you're not very clear. Can you repeat that question?

Tushar Raghatate: So the guidance of the bromine and the salt business was near to 22,000 to 25,000 metric tons for the bromine and for the salt was 4.5 million tons, if I'm not mistaken. So do you hold that guidance for the current financial year?

Ranjit Pendurthi: I think give or take, I think there would be a 10% variance to be honest, simply because of the cyclone, et cetera. But I believe that we will continue to push for whatever we've guided.

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Tushar Raghatate: Okay, sir. And sir, in the salt business, like what percentage of a logistic is FOB and CIF, like what is the mix?

Raghunathan: Yes. Mr. Tushar, CIF is 5% to 8%, and almost 92% really on FOB basis.

Tushar Raghatate: Got it, sir. And sir, in your new energy business, battery storage. So bromide would be what percentage of the total cost in zinc-bromide battery?

Rajeev Kumar: So this is something which depends on the various trees and also the composition of electrolyte in the battery. So the answer is not currently available.

Moderator: The next question is from the line of Dipak Saha from KRChoksey Share ad Securities Private Limited.

Dipak Saha Sir, on the Offgrid side, the investment that we have done, just one question. It's a pre-revenue company from my understanding. So do they have any particular space there any solution already available or the solution is under discovery currently? And which is where we are trying to run this pilot project.

Ranjit Pendurthi: You're asking about the battery project?

Dipak Saha Yes. Yes. On the battery side. The investments we have done in Offgrid.

Ra

njit Pendurthi: Okay. again, I don't know if I understood your question correctly, but I'll answer it to the best of my ability. I think zinc-bromide technology is not new in that context. But I think what Offgrid has done and with their technical capabilities is found ways to make it, one, as we said, in terms of stability, in terms of cost and in terms of reliability, I think they have discovered something that is unique and possibly the only ones in the world who have done what they have done. Now I think the idea is to move into commercial scale demonstration and I think that's what the pilot plant is meant to do.

Dipak Saha Okay. And since because of this limitation of questions, just one more question, I'll get back on the queue. So on the Chinese side, I mean, we are dealing with a lot of Chinese players. So recently, we have seen a lot of recovery related stimulus being given on the Chinese front. So any kind of commentary if you can give, what are the early indications we are picking from -- I think we have two of the large players in China are delivering some of your specialty chemicals. So if you can just highlight that what is the incremental commentary on trend we are picking from China front?

Ranjit Pendurthi: I think you asked me a very global question. I don't know how many experts there are out there, who are trying to still figure out what goes on in China. So I won't claim to be one of them. I think from our own little exposure to the Chinese market in terms of what we do. I think the companies we deal with a large, very stable and they're fundamentally sound. And I think from what our demand is looking like, I think we are continuing to see a stable demand from our customers.

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Yes. I think prices across all industries, not just chemicals, but I think across all industries, I think is a bit of a challenge and a bit of a struggle in China. And we will not be an exception to that. But I think, as I mentioned in my earlier commentary, that as the market evolves, suppliers, we also have to evolve. But I think we have to keep an eye on the longer-term benefits of these relationships.

Moderator: We will take that as the last question. I now hand the conference over to the management for closing comments.

Ranjit Pendurthi: Thank you, everyone, for joining us today. We appreciate your support and your patience as our company continues to perform and deliver on its various strategic initiatives, and we continue to be encouraged by your faith in the company and what we do and showing interest and taking the efforts to reach out to us.

In case of any queries, please feel free to get in touch with us or SGA, our Investor Relations advisors. And we look forward to meeting all of you shortly over the next call over the next few quarters. Thank you, and wish you all a very happy and prosperous New Year and Merry Christmas as well as we will probably be talking after that in the new year. Thank you once again.

Moderator: Thank you very much. On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
18th February 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015 ("Listing Regulations")

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended, please find enclosed herewith the transcript of the earnings call held on 12th February 2025 post announcement of financial results of the Company for the quarter and nine months ended 31st December 2024.

The above information shall be made available on the website of the Company at www.archeanchemicals.com

Kindly take the same on record.

Thanking you

Yours faithfully
For Archean Chemical Industries Limited

R Natarajan
Chief Financial Officer

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"Archean Chemical Industries Limited Q3 & Nine Months FY
'25 Earnings Conference Call "

February 12, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th February 2025 will prevail."

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR , ARCHEAN

CHEMICAL INDUSTRIES LIMITED
MR. NAGAYANALLUR RAMACHANDRAN KANNAN – EXECUTIVE
DIRECTOR, ARCHEAN CHEMICAL INDUSTRIES LIMITED
MR. NATARAJAN RAMAMURTHY – CHIEF FINANCIAL OFFICER,
ARCHEAN CHEMICAL INDUSTRIES LIMITED
MR. RAJEEV KUMAR – DEPUTY GENERAL MANAGER FINANCE,
ARCHEAN CHEMICAL INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Archean Chemical Industries Limited Q3 FY '25 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*", then "0" on your touch tone phone. Also, before we go ahead, we would like to inform you that this conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinion and expectation of the Company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now have the conference over to Mr. Ranjit Pendurthi, Managing director of Archean Chemical Industries Limited. Thank you and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, everyone. A very warm welcome to all of you joining our Q3 and nine months FY '25 Earnings Call today. I truly appreciate all of you taking the time to be here with us today. I know it's a busy morning and busy time in the market, so let us go ahead.

Before we get into the business updates, I would like to take a moment to introduce our new CFO – Mr. Natarajan Ramamurthy, who has joined us last month. He's a qualified Chartered Accountant and a certified public accountant from the US, bringing over three decades of experience from a diverse range of industries. His insight and expertise will be invaluable to us as we continue on our growth journey. We welcome him onboard.

At the same time, we would like to also thank and appreciate our erstwhile CFO, Mr. R. Raghunathan for his contributions to the Company. And we would like to wish him the very best for his future.

Today I am also joined by Mr. N.R. Kannan – our Executive Director; Mr. Rajiv Kumar – DGM, Finance; and SGA, our and Investor Relations advisor.

We had uploaded our investor presentation last night, and I assume everyone had a chance to go through the financial results and the presentation. And this is available on the Stock Exchange as well as on our Company website.

I will give you a quick snapshot on the recent developments of the Company, post that Mr. Natarajan – our CFO, will walk you through the operational and financial performance of the Company as well.

To start with, the market overview and business outlook:

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As you know, the current macroeconomic conditions and uncertainties have heightened across the globe, and the chemical market and industry remain quite challenging. And, however, despite this, your Company, we remain confident about our long-term trajectory and our growth vision.

The domestic consumption and demand in major global markets including the US, China and Europe have faced some challenges. And some of them remain sluggish, resulting in an oversupply of certain raw materials, feedstocks; and to gain market, aggressive pricing from major suppliers. Consequently, as you are aware, average realizations for the chemical industry as a whole have been under pressure for some time. While post to Chinese New Year, for our own business, we expect a partial recovery in both demand and pricing. And we are seeing this uptick happen as we speak. Of course, the impact of ongoing tariff changes on global trade will have to be ascertained as we go forward. And everyone has to have their own strategy to deal with the same as and when it happens, and if an impact happens on any of us.

On the domestic front:

India remains a strong structural growth story within the emerging markets, offering new opportunities. We obviously have a dominant position within the bromine space in India a

nd we

continue to build on that. We are committed fully to navigating these challenges while staying focused on expanding our market share and improving operational efficiencies.

Coming to our Company itself:

We are happy to announce that your Company has been awarded the Responsible Care certification in the past quarter by the Indian Chemical Council, which is valid for the next three years. This recognition is a testament to our continued deep commitment to sustainability, safety and ethical business practices. I want to personally thank our employees for making this possible. It's their dedication that keeps us moving forward and the faith the shareholders have in the Company.

For Q3 FY '25, our revenue stood at Rs. 255 crores. While we have seen some short-term moderation in demand, we believe these are temporary. Our order book continues to be healthy. And for the next six months to 12 months, both bromine and salt have locked in volumes. We have been actively working to strengthen our relationships with customers, optimize cost, and enhance supply chain efficiencies. More importantly, we have also been successful in onboarding new clients, which is a strong indicator for future growth. And also, the confidence that buyers have in us for the long term.

With the weather-related disruptions that caused some slack in the supply chain and logistics that flowed into last quarter and some part of towards the end of the last quarter, this is largely now behind us. And we have been consistently improving our logistics performance this quarter, and we will continue to do so in the coming quarters. This obviously will help us do better in terms of both volumes and realizations.

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Coming to the segmental performance:

Elemental bromine, the bromine business is showing signs of recovery as we anticipate a gradual pickup in demand ahead. And especially with China's recent stimulus measures, we are seeing some pick up on the ground in terms of construction activity and other projects in China. Prices have remained stable, and in some cases we have seen slight improvements as well. We expect to produce nearly 20,000 tons to 25,000 tons of bromine in FY '26, including captive consumption.

Moving on to industrial salt:

As informed in our last call, we had faced some challenges last quarter due to monsoon and cyclone Asana. And obviously, things are getting back on track. A dispatch process has been smooth and likely to improve further, as I mentioned a few minutes ago, improving our volumes. We are optimistic about achieving 1 million to 1.2 million tons run rate in the coming quarters and constantly working on improving the supply chain as well on this front.

SOP, our SOP trials are progressing well. We see improved performance from this vertical in the very near future.

These three core businesses form the backbone of our Company, ensuring a steady cash flow and giving us financial flexibility to invest in future growth projects.

Coming to Acume, our subsidiary for bromine derivative products:

The ramp up of our bromine derivatives plant is progressing steadily and we anticipate meaningful revenue growth in FY '26. On the clear brine fluids, we have successfully dispatched few trial shipments and we are working closely with clients to refine their specific requirements. However, as you all are aware, approval from oil and gas procurement departments is a bit slower because of the technical specifications and grades involved. But we are confident of getting these trials accepted and also the quantities improving in the coming quarters. We expect a healthy contribution from CBF segment in the coming quarters.

In PTA synthesis, the demand remains steady, supported by growth in textiles and packaging industries. We see good opportunities here as polymer consumption increases. In all, we believe th

at the bromine derivatives business will pick up in the next few quarters and we are confident of achieving the growth targets that we have set ourselves up for FY '26.

Oren Hydrocarbon, this is the Company that we had acquired through the NCLT route in July 2024. We are making good progress on bringing these units back into operation. After a number of years of being non-operative, refurbishment works obviously takes time. And we plan to restart two units this quarter with two more in the coming months. This business complements

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our CBF, which primarily caters to the oil and gas industry. The order inquiries look promising, and we are optimistic about its future potential as well.

Coming to our strategic initiatives, which we have shared over the last few quarters:

Investment in the semiconductor manufacturing business. One of the recent developments for us has been the groundbreaking of our semiconductor facility at the Utkarsh Odisha conclave during end January 2025. This is an important step for our Company and a proud moment for

all of us.

Through our subsidiary, SiCSem Private Limited, we will eventually invest about Rs. 3,000 crores in a compound semiconductor facility, the first of its kind in the country, which integrates wafer fabrication for key industries such as electric vehicles, energy storage, industrial tools, data centers, fast chargers and consumer appliances, etc. The state government of Odisha has allotted 14.32 acres of land in Bhubaneswar for this project. Under the Odisha Semiconductor and Fabless Policy 2023, further reinforcing commitment to India's semiconductor ecosystem, which is encouraged and envisaged by ISM, India Semiconductor Mission.

Earlier, we have made a strategic investment in Clas-SiC Wafer Fab Limited, a UK based Company specializing in silicon carbide wafer manufacturing. This is India's first investment in a Company with silicon carbide MOSFET/devices production capability. Primary subscription of GBP 10 million and secondary purchase of GBP 2.5 million is completed, and the balance GBP 2.5 million will be done at a later stage.

Coming to our investment in energy storage solutions:

Our Company has committed a total investment of \$12 million in Offgrid Energy Labs Inc, Delaware, US, a Company specializing in zinc bromide battery technology. This investment aligns with the Company's broader strategy to enter the energy storage sector, particularly focusing on renewable energy and industrial storage applications. A bromine business synergizes directly with the zinc bromide-based batteries. We are confident that this will be a significant growth area for us in the future with the increasing focus on sustainable energy solutions in India, and as well as storage solutions globally.

We continue to remain a net debt free Company with a strong balance sheet. This financial resilience allows us to make strategic investments and sustain long-term growth. Our focus is on executing our business plans effectively, and continuing to create value for all stakeholders in both the present businesses and in the new growth businesses that we have identified and started investing in.

Now, I request our CFO, Mr. Natarajan Ramamurthy to give highlights on the financial performance.

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Natarajan Ramamurthy: Thank you, sir. Thank you, and a very good morning to all the participants on the call.

I would like to give you a quick financial summary of Q3 FY '25 on standalone basis:

Total income increased to Rs. 2,547 million in Q3 FY '25 from Rs. 2,520 million in Q2 FY '25.

Operational profit increased to Rs. 755 million in Q3 FY '25 from Rs. 698 million in Q2 FY '25.

Within the operating revenue, the export market contributed around 76% and the remaining 24% came from domestic market. Our business m

ix are as follows in Q3 FY '25.

Bromine contributed 38% of the operating revenue, whereas industrial salt contributes around 61% of the total revenue.

EBITDA for the Company stood at Rs. 963 million in Q3 FY '25, with a margin of 38%, an improvement over last quarter. FOREX gain in Q3 was Rs. 4.27 crores.

Coming to nine months FY '25 performance highlight:

Total income stood at Rs. 7,301 million in FY '25, the previous year total income was at Rs. 10,791 million. Operational profit stood at Rs. 2,104 million in FY '25, previous year it was Rs. 3,491 million.

Export market contributed around 75% and remaining 25% came from domestic market.

Our business mix are as follows in nine months FY '25.

Bromine contributed 40% of the total revenue, whereas industry salts contributed around 60% of the total revenue.

EBITDA for the Company stood at Rs. 2,710 million in nine months of FY '25, with the margin of 37.1%. We have started sourcing power from renewable resources, backed by reducing our carbon footprint and achieving the financial saving.

FOREX gain for the nine months of FY '25 was Rs. 7.32 crores. We continue to remain net debt free and have a strong balance sheet.

Thank you. Now I request SGA to open the floor for Q&A.

Moderator: Sure. Thank you very much. We will now begin the question-and-answer. The first question is from Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan: Yes. Thank you, sir for the opportunity. Just a couple of minutes. Sir, first on to the bromine business. As you mentioned in your commentary that you are witnessing an uptick, I believe, sir, Archean Chemical Industries Limited

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so almost around six-monthly volumes and prices are already contracted, so this uptick would

be largely visible from Q1, is that a fair assumption to make?

Ranjit Pendurthi: Yes, I think it is a fair assumption to make, and I think you will continue seeing that go through the remaining quarters as well, because obviously as we keep finishing the contracts, we keep getting into the new ones, so yes.

Aditya Khetan: Okay, okay. Sir on to the salt business, sir, we are seeing some moderation into the prices of salt. And there also, sir, I believe almost one year of the volumes and prices are contracted, so this moderation in prices you see the new contracts which we will be making that will be at lower prices. And because 60% of our business comes from salt, do you see any sort of decline in the salt business from here on?

Ranjit Pendurthi: I think the salt business continues to be very healthy. And given the fact that we have been in this business for a long time, most of our customers, again, are large customers. However, at the same time we have tweaked the strategy a bit. There is an opportunity to make a little bit more on the pricing if we are doing some business on more spot basis. When I say spot it does not mean we fix today and ship tomorrow, it means one month out, right. So, I think between that blend, the pricing would be I think still on a very firm footing. If we compare it to the last year's contract pricing, yes, it will be a bit below that. But at the same time, I think given the fact that some of these are C&F contracts, we may gain some on the freight given that oil prices have also bit moderated now. So, overall, I think on a contribution basis, we will still endeavor to maintain that margin.

Aditya Khetan: Okay, got it. Sir my next question is on to the recent investment like we have planned for 2028. So, this Rs. 3,000 crores investment would be done solely by Archean, or it could be done by your subsidiary, SiCSem?

Ranjit Pendurthi: The investment will happen on SiCSem Privat

e Limited's books. Archean Chemicals will play a role either in helping with the financing as a parent or in terms of providing some ancillary services like industrial gases, etc., which are a very important component of the semiconductor plant.

Aditya Khetan: Okay. And sir, this big investment, I believe, sir we have not done any such big investment till now. Sir, how you see like things will shape up, like what would be the asset turnover? I believe this is a business which is more capital intensive, so what sort of a number you can, if you can guide anything like from '28 to around also 2030, this two years how this business will shape up in terms of the financial performance? And for this, how much debt will we take? I think for this our balance sheet also would be leveraged to some extent, considering even though operating cash flows and cash which we have, you see like balance sheet also like, so leveraging a bit on that part? And how will the numbers shape up?

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Ranjit Pendurthi: So, I will answer the first part and last part of your question, and I will address the middle part of your question. The first part is, I think in terms of any investment, right, small or large, ultimately you need to keep two, three things in mind. One is, does it create value for all stakeholders in the longer term? If we invest today, what is the risk and what is the reward? And is it a right industry to be in from a growth perspective, and is it future looking in terms of both, does it serve unmet need within the domestic market and is there potential for an export market? So, we understand the markets well, right, both domestic and export. Now, in terms of risk and reward, obviously, we have done that analysis and we believe that it is the right project to invest in. And the third part is, I think does it create long term value? For sure it does, in our view. Now the last part of the question in terms of leverage, I think we are very sensitive to leverage. As you know, since listing also we continue to be a Net debt free Company. And we would like to see how best we can use the balance sheet without having to expose the parent unnecessarily. But at the same time, we will have to go to the banking system and then we have to see what kind of financing we are able to structure around this.

At the same time, I think in terms of your middle part of your question in terms of what is the outlook in terms of cash flow, etc. between '28 and 2030, I think that's a bit of putting the horse before the cart. I think at the right time, when we do the financial closure, I think it will become clearer and we are more than happy to update the stakeholders at that point. My colleague Rajiv would like to add something here.

Rajeev Kumar: Good morning. Also on the financing side, a good part of this CAPEX will be provided as a subsidy by the state government, which is approved by the Odisha State government under Odisha Semiconductor and Fabless Policy 2023. Our project is also pending under review with Indian Semiconductor Mission. So, the whole financing mix we will be able to answer once we have a clarity from the central government as well.

Aditya Khetan: And one last follow-up on to this. So, what would be the like peak revenue from this business? And our overall margins are somewhere around 30%, 35% range. So, since this is a capital intensive business, margins would break down on consol basis, any sort of a number sir you can

share, like what would be the peak revenues?

Ranjit Pendurthi: I mean, at the moment, we are I think not ready yet to share. But at the same time, I want to quickly also mention that not all capital-intensive businesses need to be low on margins. I think it's a sector specific. I mean, if I go back in history when we invested Rs. 1,200 crores, Rs. 1,300 crores in our Archean Chemicals project, it was

considered high CAPEX related to anybody else having done a similar investment in a similar field. But we have been able to deliver healthy margins consistently for many years. And going forward we plan to do that as well. So, I think like I said, things will become clearer once we move towards financial closure and we will be happy to update I think the business projections at that point.

Aditya Khetan: Okay. Thank you, sir. Thank you.

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Moderator: Thank you. The next question is from Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Yes. Good morning. Thanks for taking my question. Let me first start with a bookkeeping question, sir. Can you help us with the segmental revenue and volume sales?

Natarajan Ramamurthy: Okay. This is Natarajan. In Q3, industrial salt sales was 758,000 metric tons, and the bromine was 4600 metric tons.

Sanjesh Jain: Okay. And what was the revenue?

Natarajan Ramamurthy: Revenue in industrial salt was Rs. 1,491 million and bromine was Rs. 929 million.

Sanjesh Jain: Okay. And there was no sales from the SOP side this quarter?

Natarajan Ramamurthy: Yes, there was a sale of some Rs. 4.3 million SOP.

Sanjesh Jain: Okay, very small. And volume would be?

Natarajan Ramamurthy: Volume already given, 82 metric tons.

Sanjesh Jain: 82 metric tons, that's very clear, thank you. Now coming back to the bromine, Ranjit sir, you mentioned that you are looking at 20,000 to 25,000 metric tons including captive. How much do you expect captive will be required next year? Because we are looking at gradual ramp up, both in clear brine fluid and PTA, and this year itself I think in the elemental we will be reaching about 19,000 – 20,000 metric tons, so we are not looking at a significant jump in the elemental as well.

Ranjit Pendurthi: So, thank you, Sanjesh, for the question. I will probably have Mr. Kannan, our Executive Director, answer that question on how much captive we plan to use for next year, which is primarily in our downstream unit.

N.R. Kannan: Hi, Sanjesh, this is Kannan. So, currently this quarter our share for captive will be around 5% to 7%, which will obviously grow next year, next full year. And this can exceed about 20%, 25%, that's the kind of numbers we are looking at.

Sanjesh Jain: In that case, what we are looking at elemental is not a material growth for the elemental, so what's stopping us driving that elemental to a potential of 28,000 metric tons, which we were earlier aiming at?

Ranjit Pendurthi: I think we continue to give a conservative estimate because we would like to ensure that we are able to deliver. I think two quarters in to the next year we possibly will have a chance to review that number and see if we need to maintain it or upgrade it. But the improvements that we made in the last quarter and continue to make this quarter, I think we would like to start seeing those results before we promise more. But the fact is that we know what we would like to consume in

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the downstream unit and we know what we can produce at the minimum on the parent level. So, in that combination, if we are achieving 25,000, so as Mr. Kannan said, 20% to 25% gets consumed. And if you back work, you do end up at about 20,000-odd, which is what we are doing at the moment. So, we would like to be a little bit cautious that be aggressive and promise things.

Sanjesh Jain: But how is the demand outlook? I got that cautiousness, but when you talk to the customer, do you see next year volume coming up in a normalized way? Are you seeing increased competition from ICA because they keep telling that they have pitched in a lot more volume for them?

Ranjit Pendurthi: So, I think, I will probably answer a part of this question and then give it to Mr. Kannan. So, I think it's good

that ICL is pushing more volume, which means the market is healthy, right, and it really absorbs. So, it only comes down to how much more we can make. As you know, we have never struggled with having to sell the bromine, so we continue to sell whatever it is that we make. And our backlog also indicates that the offtake continues to remain healthy. And with the little price uptick that's happening, I think that will also flow down to our bottom line as well.

So, on the demand side, we are not seeing any let up of any sorts. And I think as you continue to build that customer base as well, adding a few more customers, spreading the material a little bit, this will also ensure in years to come we have a more diversified customer base. But maybe a little bit more insight into market Mr. Kannan can give, because the domestic market is an important one here in bromine.

N.R. Kannan: Yes. Thank you. So, basically, the growth of ICL if you look at from the different supplier share, it's also likely that a decline from one supplier would have contributed to ICL's growth, that's also a possibility. But overall, the other dimension which impacts our demand, our supply is basically some sectoral variation. For example, the agro chem. Industry in the last quarter has not been very, very strong, but it has been maintaining its share not in a very aggressive way but in a muted way. That we are looking at a revival is likely to happen maybe later in this quarter, and definitely when we move into Q1 of next financial year we see a revival. And accordingly, where they are already present, that's a sector space we are already present, and we will grow in that. So, overall, as Mr. Ranjit said, we are not really worried about demand. There is a good demand, and we will rise up to the requirements and meet those demands. That we are confident of.

Sanjesh Jain: Got it, got it. Next on the pricing of the bromine, I think rupee depreciation itself should add good 5%, 6% to the realization. When we say that we are looking at uptick in the realization, are we talking in dollar term or rupee term?

Ranjit Pendurthi: So, we are talking in rupee terms. Basically, there are two factors. One, as you rightly said, there is a realization of increase, with the depreciation of the dollar there's improved realization, but we also have some past contracts which are continuing. So, it's a combination of factors which has resulted in the rupee level gain for bromine, some past contracts at older price having a benefit of dollar depreciation, and certain rupee transactions in Indian market which have also
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been increased. So, it has been a combination of both factors, which you see as final impact on the realization for bromine.

Sanjesh Jain: Got it, got it. My next question is on the SOP and on Oren side. SOP, Ranjit sir, you said that you are looking to restart the plant and a gradual ramp up in volume is possible. So, next year, can we again touch the historical number of 20,000 metric tons what we used to do earlier? Is it possible to achieve that number consistently and grow because we are sitting on a very large capacity And on Oren, I think you mentioned that you are planning to start two plants this quarter and another two plants in next few months, any outlook for FY '26? The historical peak for Oren was almost Rs. 400 crores, the commissioning of these four plants should be touching us a 50% revenue target say in FY '26?

Ranjit Pendurthi: So, I think on SOP we are in the process of initiating the pilot runs and trials at site, basically moving it from lab where it's been tested, and the results are what we wanted. So, that should happen, we are aiming to do it pre-monsoon, because that's the best time to test it. So, if that does happen, then the ramp up will start post monsoon in the dry season. And we think we should be able to

get some meaningful contribution from SOP. At the moment, I am not very sure of committing 20,000 tons number. But yes, I think ideally that would be a reasonable number to expect.

On Oren itself, the two plants basically are products that go into, again, oil and gas drilling. They are almost ready. And I think the trials, etc., with customers have started and we will probably have clarity over that I think towards the end of March or beginning April. But we are conscious that we would like to start bringing in revenues from that unit. Our investment, of course, remains low considering the other CAPEXes that we have. But at the same time, since July effectively when we got position, etc, it was almost I think August, September. So, in four, five months we managed to get two plants up and ready. So, I think we would start seeing meaningful revenues from there as well. I think over the next quarter we will probably be able to be in a better position to commit more on what the exact numbers would look like.

Sanjesh Jain: Very clear. One last question, on the bromine derivative you said, when we say that we are looking at a captive consumption of around Rs. 4,000 crores of bromine, this implies that CBF and the PTA volume should be upwards of 10,000 metric tons?

Ranjit Pendurthi: Yes, for sure.

Sanjesh Jain: Yes, that's the right understanding, correct?

Ranjit Pendurthi: Yes.

Sanjesh Jain: Any update on the flame retardant or it still remains in the pause?

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Ranjit Pendurthi: No, we have restarted I think the dialogue on transfer of technology on flame retardant, given that I think we have always believed in that business being a natural extension of our derivatives business. And I think we have, like I said, we restarted work on that on paper, and over the next few months we will hopefully start working on the ground in that direction. And given that, of course, on the electronic side there's a lot of movement on FR products, it continues to be an attractive area for us as a bromine manufacturer.

Sanjesh Jain: Got it. And it will be with the long term contract or just the technology transfer?

Ranjit Pendurthi: Well, I think we would like to have more flexibility with pricing, and not have to necessarily tie ourselves up into a buy back type of arrangement. So, I think we would like to see a product that's technically qualified from an end user perspective. And if we are to do any sort of long term contracts, we would like to probably do them with end users and not intermediate players.

Sanjesh Jain: Got it. Super helpful, sir. Thanks for answering all those questions. And best of luck for the coming quarters.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. The next question is from Rohit Nagaraj from B&K Securities. Please go ahead.

Rohit Nagaraj: Yes. Thanks for the opportunity. Sir, the first question is again on the semiconductor initiatives. Do we have any project timelines for the same given that we have already done the ground breaking ceremony, what could be the milestones that we would achieve over the next two to three years? Any basic timelines if you can share.

Ranjit Pendurthi: Yes. So, I think we are obviously very excited about the ground breaking. And I think it is definitely an important step in our journey towards getting this project up and running. However, I think between ground breaking and actually starting construction is obviously a whole host of things that need to be in place. One of the important ones is land, which again we already have and allotted, so I think that's an important step as well. And then we move into the local permissions, etc. for construction, and then start calling and reviewing tenders, bids, etc. So, we are evaluating working with a large firm for managing this. And I think that will assist us in putting things together very quickly and having to maintain a lean team internally, but at the

same time, bringing better execution capability than what we may have internally. And I think these are the factors that will take into place over the next few months. So, I think, again, this is something possibly we will have a clearer and better update for you in the next quarter. But between now and then, I think we are putting the pieces together in the background.

Rohit Nagaraj: But would it be safe to assume, and then we had earlier indicated that it would take about 24 to 36 months, is that the timeline that we can expect from early January 2025?

Ranjit Pendurthi: No, I think once we put shovel to ground, I think it's 24 to 30 months, not from January '25.

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Rohit Nagaraj: Fair enough. Again slightly delving into it, given that it's a combination of projects with the Government of Odisha, does that not lead to faster approvals, at least from the regulatory perspective that land has been given and the allied approvals? So, I mean, is it fair to assume that those EC, etc. which states usually between six months to one year should be probably we will be able to get it faster than the normal process?

Ranjit Pendurthi: I think we have great support from the Odisha Government, which is why we have been able to get it up and running in terms of approvals etc. that we got so far. And also, the Government of India has also very strategic and important role to play in the semiconductor space. So, I think it is a combination of both supports that we will need to get this project ready and commissioned. Yes, I think the fact that the Odisha Government is 100% behind this project and has committed to helping us in any which way they can, it should help us in being able to navigate the approvals etc. at a quicker pace.

Rohit Nagaraj: Sure. Just last clarification, so in terms of these products that we will be manufacturing here, it will be the acquisition that we have done on the Clas-SiC wafer fab, so the products and technology that we will be receiving from this investment, those are the products which will be manufactured in SiCSem? Or there will be, I mean, additional things which could also come in?

Ranjit Pendurthi: So, the investment in Clas-SiC is for the technology and the process know-how to make certain products. So, that will be obviously used by SiCSem under the licensing royalty and consulting agreement. And for the products that we make at SiCSem, we will be solely responsible for what we wish to make and want to make. So, that's within our domain, we are not bound by an agreement as such with anyone. So, I think that call we will take given the very large end use for the product. So, it's a very vast area. So, we will start working with industry on that front.

Rohit Nagaraj: And the technology that we will be using here we will be paying royalty for the same, but we do not have restrictions in terms of using those technology products only in India so that we can have the global market as well, so is that the right assumption?

Ranjit Pendurthi: So, the technology is for a fab to be set up in India, but the end product can be sold anywhere.

Rohit Nagaraj: That's very helpful. Sir, a couple of questions on the legacy business. One is in terms of the salt

volume, you Q2 the volumes were impacted because of the cyclone, why has it continued even in Q3? And if you can give just nine months volumes and revenue figures for all three products.
Natarajan Ramamurthy: Yes. Okay. This is Natarajan. I will give you the number up to nine months. Sales quantity of industrial salt is 2.2 million and the bromine is 14,000.
Ranjit Pendurthi: That is 2.2 million for the first nine months.
Rohit Nagaraj: Right. And the revenue as well?
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Natarajan Ramamurthy:

Rs. 4,140 million.

Rohit Nagaraj: And for bromine?

Natarajan Ramamurthy: Bromine is Rs. 2,769 million.

Rohit Nagaraj: Okay. And salt volumes, I mean, why there was impact again in Q3?

Ranjit Pendurthi: So, I think this I had mentioned during my introductory comments. So, I think we had some logistical challenges on mobilization and transport, but I think that's effectively what we have ironed out over the last month or so, towards the end of the quarter. Having that done, you'll see that the volumes pick up this quarter and in the coming quarters.

Rohit Nagaraj: Right. Just one last question, on the lease front any new update that we have received from the government?

Ranjit Pendurthi: It's I think a work in progress. I do not have any fresh update as such. But I think we continue to await the approval. And we have just been, I think, told that it's under progress.

Rohit Nagaraj: And is there any similar incidents with parallel maybe companies or so where the approval has elongated for such a long time?

Ranjit Pendurthi: To my knowledge, again, my update is a few weeks old. I believe people are waiting or companies are waiting.

Rohit Nagaraj: Fair enough. That was very helpful. Thanks a lot. And all the best, sir.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. The next question is from Rushabh Shah from RBS Investment Managers. Please go ahead.

Rushabh Shah: Hi, sir. Good morning. Just in terms of FY '26 direction on the revenue growth front, given that you are anticipating pickup in the base business as well as the derivative business coming on stream, so can you expect double digit kind of growth in revenues in FY '26, is that a reasonable assumption?

Ranjit Pendurthi: Sorry you were a little muffled, I could not hear the question, can you repeat?

Rushabh Shah: Okay. So, I just want to understand directionally from your end in terms of revenue growth for FY '26, given that you are expecting pickup in base business as well as derivatives coming on stream, so is a double-digit revenue growth kind of a reasonable assumption for FY '26?

Ranjit Pendurthi: It is.

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Rushabh Shah: Okay. And secondly, sir, we mentioned that we may be eligible for the central government subsidy under ISM, so what's the probability that we might get that subsidy? Or when can we know the decision of the government?

Ranjit Pendurthi: I think as a Company I can only be very hopeful for the sake of all stakeholders. But I think do we have a very good application put in? Yes, we do. And I think it checks all the boxes. So, now we have to leave it for them to evaluate. And I think given the track record they have shown in the last couple of years, I think they have been very sensible and very pragmatic in how they have approved projects. And I think they are a very capable set of people, and I think we will get the right evaluation done. And we can only hope for the best.

Rushabh Shah: And just last clarification from my end. We had pledged certain shares of the Company at the promoter level. Just want to understand what is the use of the money and are we going to further pledge this holding Archean Chemicals?

Ranjit Pendurthi: I think the pledge that happened is not necessarily connected to Archean Chemicals or the business on the Archean Chemicals at the promoter level. So, I think on and off there is some amount of funding required which is what the pledge serves as. But we do not anticipate any big movements in the pledge. So, I think at the moment we are at about 3%, so I anticipate we should not be crossing more than 5% now or in the near future.

Rushabh Shah: Okay, sir. Thank you. All the best.

Moderator: Thank you. Next question is from Srishti Jain from Monarch AIF. Please go ahead.

Srishti Jain: Thank you for the opportunity. Sir, with respect to the Rs. 3,000 crores investment

in the

semiconductor facility, will the investment ex-subsidy whatever it may be, be shared between us and the partners considering it's a 70% holding subsidiary?

Ranjit Pendurthi: Yes, we hold 70% in the subsidiary and there's co-founder with us, a gentleman with the background and the know-how of the semiconductor business. What is the question again, madam?

Srishti Jain: Will this investment be shared between us? So, is he just the technology provider or will be --

Ranjit Pendurthi: Understood. No, I think he's an operating partner cum shareholder, so he's Managing Director of that Company. So, the investment will be from our side.

Srishti Jain: Understood. And sir, the state wants to attract a lot of companies. So, we are expecting a lot of companies to set up shop in the semiconductor space. So, what we think is a right of win here?

And are we expecting more tie ups like in classic way for tie up?

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Ranjit Pendurthi: I mean, I can give you a generic answer because I do not know the strategy of each state, but obviously each state runs their own invest in so and so state programs, which I think is great for the country as a whole. The more investments come in more jobs, the economy moves, there's multiplier effect, we create higher paying jobs, we develop skill sets in areas that we do not have today, institutes get to play a role in it, premier, local, etc. So, I think as an ecosystem, I think, it's a great thing.

I think one cannot be afraid of competition, because even if you are novel today in the business you do, tomorrow somebody may set it up and compete with you. So, I think each one has their own strategy in how to address the market, similar to what we have, right. So, there is a certain capability that we have, there's a certain faith we have in the business, there's a certain belief we have in the future of the business. And then, like I said earlier, when we measure the risk reward metrics, we take a call that it is a good place to put money into, and then we move forward. So, I think to answer your question, I think it's good if more investments come in because you have a larger talent of people resources available to carry them on the business.

Srishti Jain: Sure. But are we also looking at more tie ups in terms of technological or any other way?

Ranjit Pendurthi: At the moment, I do not think we need any more tie ups. I think we got the most important one, which is the process know how for the compound semiconductor. And I think with our equity investment also in the Company that's giving us that, I think it gives us a very sound firm footing.

And I think as I said in the commentary, this makes us unique in our position in India. We probably, irrespective of the size, we are I think the only ones who ventured and made our investment in a compound semiconductor fab overseas. Albeit small, but the size is not the important thing, the process know-how and the capability of the Company invested, that's the most important thing in the semiconductor business.

Srishti Jain: Understood, sir. And sir, one last question on Offgrid Energy Labs. Sir the two year road map that we have is for the pilot plan to set up in UK, right?

Ranjit Pendurthi: Yes.

Srishti Jain: And post this you will think about a factory, if at all, required in India?

Ranjit Pendurthi: Yes, definitely. I think that business also, obviously, the growth potential is pretty large. The market is large, especially for stationary storage systems and energy storage. I think that's a growing market. The fact that it ties in with a bromine business through zinc bromide technology I think helps us on both fronts; one, for our own business of bromine; as well as secondly, getting into a high growth space with a very sound battery technology that remains under control and can be produced without having to depend too much

h, or maybe, if anything, nothing at all on imported parts or components.

Srishti Jain: Sure, sir. And do we expect in the near term any additional capital commitment here?

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Ranjit Pendurthi: I think in the near term, in the next six months to a year, I do not think we have any big capital commitments, maybe towards these two projects. Not necessarily Offgrid, but semiconductor maybe things related to ground work, civil, etc., some advances on equipment and all those things. But beyond that, we do not have any large CAPEXs planned at the moment.

Srishti Jain: Sure, sir. Thanks a lot.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. Next question is from Chetan Joshi from Tulsi Capital. Please go ahead.

Chetan Joshi Yes. Thank you for giving me an opportunity. My first question is that in June '24, that was the lowest quarterly sales which we have done in last two and a half, three years. So, can we expect that that will be the lowest and from here we will see improvement and try to achieve the figures which we were doing earlier in '21-'22 or '22-'23? And the second question is which product,

the battery one or the semiconductor one, which will go on sale first?

Ranjit Pendurthi: I heard the second question clearly, but the first one was a bit muffled, so I will answer the second.

Chetan Joshi Okay, can I repeat?

Ranjit Pendurthi: Sure, you can repeat, yes.

Chetan Joshi: See, in June '24 that was the lowest sale which we achieved for June quarter '24 in last two years. Now, can we expect that that is the bottom which was there and from here onwards the benchmark will be that definitely there will be improvement in the sales in coming quarters after the addition of these two new units which we have bought?

Ranjit Pendurthi: So, I think the June '24 quarter, I mean, apologies I do not have a figure right away in front of me because it's six months old. But anyhow, I think going by your question, yes, I think we do not anticipate to be hitting anywhere near that number in the coming quarters. Like I said, I think our volumes are picked up over the last couple of months and we will continue to do so on both bromine and salt. And I think we will continue to endeavor to improve those volumes.

The second part of the question, I think which will come first, I think you are talking about 24 to 30 months. However, the second one, Offgrid Energy is first going to be commissioned in the pilot plant stage, which itself is maybe 18 months, 24. So, in all probability we would anticipate that the semiconductor project would come up first, from a commercial revenue generation perspective.

Moderator: Thank you very much. Due to time constraints, we will take that as the last question. I would now like to hand the conference over to Mr. Ranjit Pendurthi for closing comments.

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Ranjit Pendurthi: Thank you. Thank you, everyone, for joining us on this earnings today. We appreciate your time and showing interest in our Company. We understand things are challenging, the market on the chemical industry side is challenging. However, I think we are holding our ground. And I think your Company continues to be resilient to market forces. And we continue to see improvements on the ground. And we are firmly behind our commitment to keep it going. And our investments that we are making also will create, we believe, a longer-term value. And that's the vision we have. And we would like to look beyond a quarter or two. I think the Company has been set up in a way that it will deliver value in the immediate term, as well as in the longer term and our investments will pay off.

So, however, in case of any queries, please feel free to get in touch with us or SGA, our Investor Relations advisors. And thank you once again and we look forward

to meeting all of you over

the next call. Have a good day.

Moderator: Thank you very much. On behalf of Archean Chemical Industries Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

Archean Chemical Industries Limited

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Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
May 13, 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
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Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Intimation of Earnings Call dated May 04, 2025

Pursuant to Para A Part A Schedule III of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call held on May 07, 2025 post announcement of financial results of the Company for the quarter and year ended March 31, 2025.

The above information shall be made available on the website of the Company at
www.archeanchemicals.com

Kindly take the same on record.

Yours faithfully
For Archean Chemical Industries Limited

Vijayaraghavan N E
Company Secretary and Compliance Officer

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Q4 and FY'25 Earnings Conference Call”
May 07, 2025

“E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 07th May 2025 will prevail.”

MANAGEMENT : M R. RANJIT PENDURTHI – MANAGING DIRECTOR – ARCHEAN
CHEMICAL INDUSTRIES LIMITED
M R. N.R. KANNAN – EXECUTIVE DIRECTOR – ARCHEAN CHEMICAL
INDUSTRIES LIMITED
M R. NATARAJAN RAMAMURTHY – CHIEF FINANCIAL OFFICER –
ARCHEAN CHEMICAL INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Archean Chemical Industries Limited Q4 and FY '25 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranjit Pendurthi, Managing Director, Archean. Thank you, and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, everyone. A warm welcome to all of you joining our Q4 and FY '25 earnings call. It is an active morning, so thank you for making the time to be with us today. On this call, I have the pleasure of being joined by our Executive Director, Mr. N.R. Kannan; our CFO, Mr. Natarajan Ramamurthy; and the SGA team, our Investor Relations advisors. I trust you have reviewed the financial results and investor presentation available on our website as well as the stock exchanges. I will begin with an overview of recent developments and business updates; after which, our CFO, Mr. Natarajan, will present the financial performance for Q4 and full year '25.

To start with the market overview. The Indian chemical market continues to stand strong on the basis of innovation and diversity with over 80,000 commercial products across various sectors. The year gone by has posed several challenges for the industry at large, particularly to demand variations from key global markets as in the West as well as Far East.

However, amid these global headwinds, Indian chemical manufacturers have proven to be resilient and have demonstrated strength and adaptability. Along with many of our peer group companies, Archean Chemicals has also managed to withstand the pressures and has improved its operational performance.

This resilience underscores our strong foundation and agility in navigating a dynamic global environment. On a broader scale, we are beginning to see some signs of recovery in the global chemical industry; however, every day is a new challenge from a geopolitical perspective. Improving demand trends and more stable supply chains are helping a cautious optimism. While the recovery may remain uneven across geographies and sectors, the overall momentum for us is gradually building.

At Archean Chemicals, we are seeing clear and consistent traction in client demand for our key products, which proves to be an encouraging sign and that is reflected in our Q4 FY '25 performance as well. This reinforces our belief that sustainable growth is rooted in long-term thinking, strategic agility and operational excellence, along with strong consumer and customer relationships.

Coming to our segmental performance, specifically.

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We'll start with Bromine. Elemental Bromine contributed approximately 1/3rd of our total revenue during FY '25. We continue to focus on bromine, which is our strength, and we continue to remain India's largest exporter and manufacturer.

Contracted volumes remained broadly in line with the prior year. For FY '26, we are targeting an increase in the total bromine volumes including captive consumption in the range of 22,000 to 25,000 tons for FY '26.

Industrial Salt. Industrial Salt, again, we are the largest exporter from India and have been so for many years. This accounted for almost 2/3 of our total revenue. We saw a solid recovery in Q4 with volumes reaching 1.3 million tons for the quarter. Operational challenges from earlier quarters, primarily around logistics, have been largely addressed. We have added our own fleet to help augment the logistics.

With the commissioning of

our additional washery and investment in the dedicated logistics fleet, we've expanded our capacity to over 5 million tons on an annual basis, and we expect the quarterly volume run rate to remain above 1 million in the coming quarters. This is also aided by the fact that our long-term relationships with customers allow us to have longer-term contracts and these remain in force.

Sulphate of Potash, the trials are continuing steadily and continue to be very promising. We have completed most of the trials at the test phase and at the pilot phase, and we are moving to demonstrate this at the plant scale in the next quarter. We anticipate meaningful contributions, as I've stated on earlier calls, from this vertical starting in second half of FY '26.

We remain one of the few manufacturers of Sulphate of Potash in the world, and it is a fertilizer that is not easily made elsewhere, and we believe the market continues to remain firm for this product.

Bromine Derivatives. Our Bromine Derivatives operations are up and running, currently between 20% and 30% capacity utilization. Clear brine fluids and catalysts for Purified Terephthalic Acid (PTA) synthesis, contributed to Q4 FY '25 performance. We obviously expect the utilization to rise to more than 50% in the near term. The products have been well received, and we have started exports of the same from the facility.

Regarding the flame retardant bromine project, this initiative is being actively now pursued, and we will provide an update soon once we finalize the key arrangements at our end. To date, we have invested approximately INR160 crores to INR170 crores in the Bromine Derivatives platform, and this has started yielding results both on the top line and on the utilization rates.

On Oren Hydrocarbon, this is the business, as you all may recall, we bought in 2024. We have made progress in reviving Oren hydrocarbon's operations. Of the four units, the two facilities in Andhra Pradesh are now ready, while the two remaining units in Gujarat and one in Tamil Nadu are likely to commence operations towards the latter part of FY '26.

But having said that, we continue to remain focused on the two that are going to get operational soon and start contributing revenues shortly. Debottlenecking and refurbishment works has been
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going on in all sites. We expect Oren Hydrocarbon to contribute approximately INR150 crores in revenue during FY '26 on a conservative basis.

On our new strategic initiatives, as you all may be updated, we have made investments in two areas for the future, keeping eye on the development across the industry, both from a domestic perspective as well as from a global perspective. The semiconductor manufacturing initiative, the land acquisition process for the project has been completed.

The company is now working closely with both state and central government officials. As previously communicated, we have submitted our application to the Indian semiconductor mission and are awaiting approval. The project has been approved at the state level in Orissa, and now we are waiting for the final approval to come from the centre.

On the energy storage battery business, the zinc-bromide batteries specifically, the company's planned investment in Offgrid Energy Labs, a U.S.-based zinc-bromide battery innovator, is progressing well. The Offgrid team is currently advancing site identification and vendor selection for the pilot plant in the U.K. And we hope in the coming quarter, this will be finalized and the start-up will have begun.

In summary, the company has maintained margins, expanded customer engagements and advanced strategic initiatives in both the Bromine Derivatives business, semiconductor and the energy storage business. We remain a net debt-free company, supported by a strong balance sheet and disciplined capital allocation, which positions us well

I to pursue long-term growth opportunities.

The key being for us to be vigilant, agile and be conservative in how we use our cash, but at the same time, pursue opportunities that provide long-term growth for the company and for the shareholders.

With that, I would now like to invite our CFO, Mr. Natarajan Ramamurthy to provide the financial highlights for Q4 and FY '25. Thank you.

Ramamurthy Natarajan: Thank you, and a very good morning to all the participants on the call. We are pleased to report a notable performance for the quarter gone by. To give the summary of Q4 FY 2025 on stand-alone basis, total revenue for Q4 FY '25 stood at INR3,333.3 million.

Our business mix are as follows in Q4: Bromine contributed 24% of the total revenue, whereas Industrial Sea Salt contributes around 76%. Sales volume of business are as follows: Volume sales of bromine for the quarter 4, 2025, stood at near 3,600 metric tons. Volume sales of Industrial Salt for the Q4 FY '25 stood at 1.3 million.

EBITDA for the company stood at INR1,011.2 million in Q4 FY '25 with a margin of 30.3%.

Increase in other expenses during the quarter was largely due to increase in operating expenses due to increase in salt quantity by 55% and year-end provisions. Net profit for Q4 FY '25 stood at around INR583 million.

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On FY '25 highlights. Total revenue for FY '25 stood at INR10,634.5 million. Our business mix

are as follows: Bromine contributed 35%, whereas Industrial Salt contributes around 65%. Export market contributed around 77% and the balance 23% were contributed by the domestic market. Volumes sales of Bromine for the FY '25 stood at near 18,000 metric tons. Volume sales from Industrial Salt for the FY '25 stood at 3.5 million metric tons.

EBITDA for the FY '25 stood at INR3,721.2 million with a margin of 35%. Reduction in the employee cost was driven by ESOP utilization and MD submission compared to last year. Net profit for FY '25 stood at around INR1,849.2 million. Net debt to equity stood at 0.03 level. We are delighted to share that the Board of Directors have recommended a final dividend of INR3 per equity share of INR2 each for the financial year ending March 31, 2025.

With this, we conclude the speech and open the floor for Q&A. Thank you.

Moderator: Thank you. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Sorry, it's a repetition. I know you said this earlier in your opening remarks, but still can you give me this quarterly revenue breakup between salt and bromine and bromine SOP?

Ramamurthy Natarajan: Yes. Okay. In Q4, FY '25, sales metric ton Industrial Salt was 1,270,035 metric tons; Bromine 3,604 metric tons; SOP 26 metric tons.

Sanjesh Jain: Revenue?

Ramamurthy Natarajan: Revenue Industrial Salt is INR245.4 crores, bromine INR76.25 crores, SOP was INR0.09 crores. Total INR321.74 crores.

Sanjesh Jain: Got it. Got it. Now what was the derivative? Because, I guess, there is a decent derivative sale even in this quarter, if I do console minus stand-alone, almost INR24 crores of derivative sales that should be assumed. So what is the derivative volume we sold during this quarter?

Ranjit Pendurthi: So Sanjesh, this is Ranjit here. So yes, you're right, we did start derivative sales this quarter, which is why I think I mentioned that we're quite well placed in the coming year. So we sold about close to 500 tons of product for the first quarter -- first quarter as in the operation, commercial sales as in FY '25 Q4. So we did sell about 500 metric tons.

Sanjesh Jain: That's a great start, actually. 500 metric tons, even at this stage, we are talking about 6,000 metric ton already, right?

Ranjit Pendurthi: Yes.

Sanjesh Jain: So we guided 10,000 metric ton for FY '26 in the previous call, that still stands or do you think there is an upside risk to that?

Ranjit

Pendurthi: Sorry, Sanjesh, can you repeat that question?

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Sanjesh Jain: You mentioned that for FY '26 in the previous call, we are looking at derivative sale of 10,000 metric ton, so with this 500 metric tons already being sold in Q4, do you think that 10,000 metric ton can be surpassed easily?

Ranjit Pendurthi: I think, when we discussed this the last time on the call, I think we were having that projection, and I think that's what we'd like to target. But we also have to see with changes having happened on the geopolitical side. For example, I think you know this more than anyone else, how the oil prices have come down from 70-odd to now 56, 60-odd.

But having said that, I think the silver lining remains that the producers have increased the output, which means that the more they supply, the more they will need chemicals for the more they drill. So I think that's, I think, one green shoots that we see that will support demand and offtake.

And the second one is also, I think, with all that's going on in U.S., there may be other opportunities also that may open up for supplies. But on a volume basis, I think -- it's not incorrect to say that is it achievable or not, it is probably achievable. But we'd like to see performance happen over the next couple of quarters and stabilize.

Sanjesh Jain: Got it. Next question on the bromine 3,600 metric tons with prices are going so sharply. I thought it was more demand-led, right, rather than the supply-led. The volume metric ton really is not encouraging for the Q4. Are we facing any sort of capacity constraint or how it is?

Ranjit Pendurthi: No. Actually, I mean, we've always been in this position with bromine that demand exceeds what we're able to supply for our own customers. But the reality has been that we've had an extended, I think, winter. So what's happened in January and February, generally, Q4 is our traditionally our strongest quarter for bromine also.

But this year, with evaporation rates staying subdued because of the extended winter Jan-Feb, that caused a lower concentration, but I think you would see the pickup happen through March. And as we are speaking, I think it's gone to a pretty healthy rate beyond what we actually budgeted as well.

Ramamurthy Natarajan: But, offtake, upgrade, whatever we are able to make, we're able to sell.

Sanjesh Jain: But from the offtake perspective, I thought we have a lot of ponds which can be developed to

meet this offtake. Practically speaking, what is the capacity which we can drive bromine out of the ponds, which we have developed and the water resources we have?

Ranjit Pendurthi: The infrastructure that we have, we can go in excess of 30,000.

Sanjesh Jain: And that can be enhanced or that is where we will hit the peak?

Ranjit Pendurthi: No, that can be enhanced. So I think we still have areas to be developed. We still have brine efficiency management in the fields, that's an ongoing process. So I think those improvements are being done as we speak. So in terms of our ability to do more does exist, with not a large expenditure.

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Sanjesh Jain: Very clear. And just last question. Any comment on the bromine pricing?

Ranjit Pendurthi: Well, the bromine pricing, see, I think the climb was steep. I think as the market may know, in a matter of, I think, a month, the prices almost jumped 70%. But also, like everything else, it comes down. And we've always held a conservative view, you know this, on what the bromine pricing will be from a long-term average perspective. But at the moment, it is higher than it was last couple of quarters.

Sanjesh Jain: And the long-term contracts we signed, they don't change, right?

Ranjit Pendurthi: They don't change, because I think our reputation is what people come to us for. They expect us to honor contracts. And because

it works both ways. We expect our customers to also honor

contracts. So despite all that's been going on, the turbulence worldwide customers continue to honor their contracts as well, so for whatever they signed. So I think our customer engagement is very strong given our track record and history of working with them.

Moderator: Next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, my first question is for the next 2 years, like we had like -- so major geographies, whether it is U.S., China, Japan, U.K., everywhere, the growth is slowing down. And I believe, sir, what guidance you have given for bromine in terms of volumes, that is surpassing '25 volumes, I mean, on to the growth part. So what is giving us the confidence that this stronger growth can be achieved? And any outlook or any sort of volumes you can share, - for the Salt business in FY '26?

Ranjit Pendurthi: So thank you for the question. So I think the reason why we feel that bromine is well placed is because there are only a handful of manufacturers who do produce bromine. And the fact that we are one of the largest on a global basis as well. I think our customers come from a range of industries, right?

We are not focused on any one end use. So we have flame-retardant importers, we have spec chem, we have pharma, so that diversification of industrial base allows us to be confident of being able to move the volume.

Aditya Khetan: But we're talking about a growth of upwards of around 20% to 25% in terms of volumes.

Ranjit Pendurthi: Yes. So I think that's based on the contracts that we have and the visibility we have with these customers, like I said, these are the products that are needed. There's no substitute for them. So it's not that because the price has changed that somebody can swap out for some of other input. So I think there's a base demand for it and that base demand is still not being met. So I think that difference will allow us to keep moving a little bit more volume than we did this year for sure.

Aditya Khetan: Got it. Sir, the spot pricing which has moved from \$3 to \$5 in a span of weeks only, any particular reason? And is the price so volatile like it can move from \$3 to \$5 in a week's time only and it can again come down to the same level? I believe -- what is the reason, sir, for this moment?

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Ranjit Pendurthi: I think market participants and shareholders understand that supply shocks generally only lead to such a rapid increase in price. So I think, that the supply disruptions from West Asia and I think that caused the spike. But in our conversations with customers and as well as we ourselves as a company knew that this spike won't last. So I think trying to plan on the basis of a spike is not, I think, realistic.

So we need to keep our head down, understand the long-term trends, end-use industry trends, end use industry prices and then accordingly model ourselves into what prices we expect. So for the current prices that we are doing, we're happy. I think customers appreciate that we didn't try to take advantage of this temporary spike. We honor our contracts, and I think that's what keeps our customers coming back to us.

Just to give you an insight, most of our bromine customers are more than 10 years old. So they don't expect us to sway as the wind goes.

Aditya Khetan: Got it. Sir, just one last question. Sir, in Q4, the business mix has tilted more towards the salt side. I believe from 50-odd percent for revenue mix now, it is around 65%. Sir, considering salt is more of a low entry barrier business, it doesn't have any sort of an edge, how you see this mix moving ahead? Will Bromine mix move up or it will remain in this direction only?

Ranjit Pendurthi: So I think -- see, we have to see the business holistically. While we are a specialty chemicals company with bromine and br

omine derivatives are our key products and key focus areas, right?

Salt also is an important product. So we don't fancy one over the other. I think the first fundamental thing is both make money, both have a good healthy contribution to the effort and the business bottom line, both do it.

So I think, I'm not going to choose one over the other, but at the same time, I will add this, our intention is to keep growing the bromine and bromine derivative business, because we see the future there and the distinction between us and many others coming from that strength. Salt will continue to be a product that we continue to sell because it's a large volume mover and has a healthy contribution. So I think it will be an all-round performance, but our focus will continue to be on the bromine and bromine derivatives.

Aditya Khetan: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archit Joshi: Good morning, sir. Thanks for the opportunity. Sir, first question, again, harping a little bit on the bromine pricing. I believe a lot of our contracts have different time frames that we operate in. But would it be conceivable that the new contracts that will be repriced, let's say, 3, 6, 9 months down the line, would be at a higher price? Where I'm getting from is just to get a sense of how should we look at pricing of bromine in FY '26?

Ranjit Pendurthi: So I think, there are two parts to this, Archit. One is that today, I think we are amongst a few companies where we don't have a demand problem. So I think we should be fortunate for that.

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So the prices of the contracts we've signed people are still buying and wanting. So I think that's a good thing. So which is why I keep saying our demand at the moment continues to be stable. The second one is on future pricing. I think, given all that's happening, right, it is very dynamic. I think it would be hazarding too much of a guess what's going to happen in 6 months' time or 9 months' time. But having said that, I think the contracts that we have signed towards, I think, Q3 or Q4 or Q3 last year or Q2, Q3 last year, I don't personally see the prices being below that. And I think this is an observation we made last year saying that someone asked us, has the prices bottomed? I said, I don't know if they hit bottom, but I think there is no reason to think that they will fall any further. So similarly, I think there's no reason to think that the prices will fall when the renewal time comes. But at the same time, is there an upside? I think, there is an upside. But most of that upside, we would like to capture it through our derivatives business, not necessarily on the elemental bromine business.

Archit Joshi: Sure, sir. That clarifies. Sir, second question, again, like you mentioned on derivatives, I think when we had planned this entire project of whatever investments we have done till now INR160 crores, INR170 crores that you mentioned earlier, we were supposed to have a good 20%-odd value addition on the derivative space.

I think, a large part of it could have been driven by flame retardants because that typically had a more demand visibility and I think you stalled it, but would those economics still stand through even without flame retardants as we speak because we're doing about 500 tons, like you mentioned, before? So any thoughts on that?

Ranjit Pendurthi: So, I think, our focus today is on ramping up the utilization of the plants. So I think once that happens, obviously, margins do move up. For this year, I think assuming a 20% margin would not necessarily be too true simply because the investment has to start paying off and the utilization has to move up.

But going forward, I think the margin that we have stated earlier is possible to achieve. As we also changed the product/mix and as we k

keep moving between various industries, not just oil

and gas, right, so I think our R&D team has done a great job. We have a few interesting products lined up coming up over the next 2, 3 months. And so I think this will make us as a unique manufacturer of some of these products for end-use industries in pharma and agri chem.

Archit Joshi: Sure, sir. One quick last one. As we plan to resurrect the flame retardants capacity once again, anything with regards to timelines as to when that plant will be operational? And since you already spent INR160 crores, INR170 crores, I'm assuming that there will be common infrastructure, etcetera, involved in that already. So what will be the incremental capex on to

that?

Ranjit Pendurthi: So I think our overall project cost for the bromine derivative business was INR250-odd crores. So at the moment, we are Phase 1 and Phase 2 included. So I think at the moment, the first phase has been completed under budget. So kudos to the team for doing that. But the additional capex should happen within that same INR251 crores, give or take a little bit, given the inflation, etc., on certain things. But yes, a large part of the infrastructure is already in place.

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Archit Joshi: So sir, incremental INR250 crores or incremental INR90 crores, INR100 crores? I didn't get that part, sir?

Ranjit Pendurthi: No. The total Phase 1 and Phase 2, including flame retardant was INR250 crores, of which INR160 crores to INR170 crores has been spent. So the balance INR80 crores to INR90 crores that is available -- will be what will be used for the flame retardant project. So it's well within what we had estimated earlier.

Archit Joshi: Sure. Sir, and time lines with regards to the commissioning of the project? Anything that you could guide?

Ranjit Pendurthi: We probably will have a better update on the next call. Hopefully, we'd have made some progress, so there'll be something more meaningful to convey. But ideally, we would like to see if we can do it within this FY '26.

Archit Joshi: Sure, sir. That's great. Thanks and all the best.

Moderator: Thank you. Next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Hi, good morning Mr. Ranjit. So my question is with respect to the bromine prices. So one is your long-term contracts, if I'm not wrong, is largely for the export markets; and domestic, you have certain open contracts as well. Is that correct? And how does your pricing change in the light of this mix?

Ranjit Pendurthi: Resham, thanks for the question. So you're right, the contracts for a longer-term tenure and price is for the export market. So that continues. On the domestic side, we have a combination of those that are basically quantity based or period based for a certain quantity. So I think when and where those have finished in the last couple of months, we have renewed them at better prices. So that is on a rolling basis on the domestic side. So we are seeing no issue on the offtake, and we are benefiting from an uptick in price on the domestic side.

Resham Jain: Understood. Got it. And the other thing is, in your initial remarks, you mentioned that next year, you are budgeting for 22,000 tons of bromine. Is it production or is it sales because you'll be consuming a bit of for in-house as well?

Ranjit Pendurthi: Yes. So I think it is sales.

Resham Jain: Okay. So 22,000 tons plus you will consume whatever bromine derivative you will manufacture, you will use, consume there as well. That will be how much quantum approximately?

Ranjit Pendurthi: So we are looking at -- like the reason I said in my initial comments, between 22,000 to 25,000 tons was sales. So in that, between 22,000 and 25,000 tons we anticipate that extra quantity will come from our captive consumption.

Resham Jain: Understood. Okay. Lastly, if you can help us with the bromine

derivative realization for -- I

presume there will be different kind of products, but on an average, if you can just help with the realization of bromine derivatives?

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Ranjit Pendurthi: Yes, give us a second here. Resham, I think we probably have to get back to you on that, if you don't mind. Mr. Natarajan, our CFO, will reach out to you, because like you said we are doing multiple products and some have a recycled component to it. So I don't want to give you an answer that's incorrect, but the data will be given to you post the call. No worries.

Resham Jain: Okay. Because based on the data you have given 500 tons and INR24 crores revenue, it comes out to INR480 per kg. I don't know whether that is correct or not?

Ranjit Pendurthi: No, that's -- yes, that's why I think we should be careful, even there is -- is the product mix. But definitely, we're not selling anything that low. We are making money for sure.

Resham Jain: Okay. Perfect. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Hi, sir. Thank you for taking my questions. Couple from my side. First, your salt sales volume guidance for FY '26 is north of 4 million tons or what is it exactly?

Ranjit Pendurthi: Yes. Thank you, Krishan. So I think our volume, we expect in excess of 4 million.

Krishan Parwani: Okay. So any -- it's like more closer to 5 or 4.5 or what is it?

Ranjit Pendurthi: Yes. So the completion of our washery, the second line has added the capacity. And as I said, it has taken us to 5 million tons plus on an annual basis. So ideally, we should be able to use as much of that as possible. So I would say between 4.5 million to 5 million.

Krishan Parwani: Got it. And secondly, on the bromine price. I know you've answered quite a lot. But just during the last up-cycle, we saw your peak bromine realization was \$4.7 a kg, even when the spot price was \$10, \$12 a kg. So let's say what's the peak realization you think you can get if prices or spot prices sustained at \$4-odd?

Ranjit Pendurthi: I think, if spot prices stay at \$4, our endeavour would be to be as close as possible to that. You're obviously not going to get the spot price for a long-term contract naturally. Those are all for people who are wanting to just do a months export and just get some benefit out of it. But long term, generally, if we take the hypothetical situation of \$4 spot, I would assume long-term contract will be between \$3.25 to \$3.4, \$3.5 because there is a local duty element in China and all those things.

Krishan Parwani: Got it. So probably at a 20% discount roughly, give or take?

Ranjit Pendurthi: To spot price, yes, I would assume that would be a safe thing to assume and then build your business around that.

Krishan Parwani: Got it. And just last two bits. So what's your capex and for FY '26 and '27 considering investments for Offgrid and delay?

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Ranjit Pendurthi: We'll revert back on that. But I think on salt, we don't have any outside capex other than just regular maintenance. On bromine derivatives, like I said a few minutes earlier, if we do the flame retardant, as we plan to, it will be within that original budget capex of INR250 crores, so there's no new capex as such from that perspective.

And on the Offgrid this year, apart from the investment, we don't have any capex. And on the semiconductor project, I think any meaningful capex at only next year. I think for this year, probably we may have INR50 crores, INR60 crores at best. And we, of course, the only, I think one that really is focusing on pure capex is the SOP plant start-up, where we do obviously get the immediate revenue and cash flow and sales. So I think will happen between now and September-October, that we estimate about

NR20 crores to INR30 crores. So we don't have any large capex as such.

Krishan Parwani: And what about Oren?

Ranjit Pendurthi: Oren is already underway. So we don't -- again, it's within the original budget we've given last year of about INR25 crores, INR30-odd crores. So we don't have any large capex planned outside of these. But to be more accurate, I think Mr. Natarajan will get back to you on that.

Krishan Parwani: Okay. Got it. And last bit, if I may. So when do you expect, let's say, derivative business to be profitable on the PAT front?

Ranjit Pendurthi: On PAT?

Krishan Parwani: Yes. Because I think there's a console minus standalone is INR5 crores of loss, right?

Ranjit Pendurthi: Yes. So I think on a PAT basis, definitely, we want to see a positive figure this year, for sure.

Krishnan Parwani: Okay. Got it. Thank you for answering my question. Wish you all the best.

Moderator: Thank you. Next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Sir, first question is on Oren Hydrocarbons. What is the total capex including the acquisition cost that we are looking at? And you already mentioned that this year, we are expecting about INR150 crores of revenues from this asset. What is the peak potential that we are looking at from the current investment that we are making or that we have made?

Ranjit Pendurthi: Thank you for the question. So I think we bought the asset for about INR77-odd crores. And I think since then, we have spent about INR10-odd crores on the refurbishment. As you know, these were running plants. And -- but the last 4 years, they were shut. So it did take that -- it took more time than actual real capex, simply because we have to go in there, post the NCLT orders and all that and look at what's not working and lot of those things, long lead items, etc.

So yes, so that's all we have spent for the moment out of the INR25 crores, INR30 crores, we have budgeted when we had bought the asset itself. And I think peak revenues before the company had got into trouble, I think they have touched almost close to INR500 crores in top line when they still didn't have, I think, a couple of the plants operational.

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So as a business, there's a lot of potential there, and I think we are slowly climbing that wall and to start with that INR150-odd crores I think, estimate we have given is on that basis.

Rohit Nagraj: Sure. This is helpful. The second question is on the Industrial Salt. So generally, how has been the trend in terms of pricing of Industrial Salt and do we expect at least, say, inflation-adjusted price increase in salt or what is your estimate for maybe a couple of years from now on?

Ranjit Pendurthi: I think, a couple of years projection or prediction I think, is very, very, I think, difficult. I think most industries aren't even predict what's going to happen next quarter. So I think, I wouldn't have a guess for 2 years, for sure. But all that I can add and say is that as you see our volume, again, is back up over 1 million tons.

I think, the first objective is to touch what we have projected with the enhanced capacity for this year, that I think at the contribution levels of what we got in Q4 and hopefully that continuing.

The focus will be on moving that volume and having a tight cost control to ensure that the contribution level stays thereabouts what we accomplished in Q4. So I think if that is achieved, I think we would have added a significant top line and bottom line from the volume.

Rohit Nagraj: Sure. Just one clarification. I mean, generally, the salt prices do increase or they have been largely stable and there is marginal increase, which happens?

Ranjit Pendurthi: They have largely been stable. There is, I think, maybe a drop of 5%, 10%. But I think, like I said, I think the volume far more than makes up for

that. And I think we are not overly concerned

on our ability to be able to move to that 5 million mark for this year.

Rohit Nagraj: Got it. And just one last clarification on the lease, any incremental update?

Ranjit Pendurthi: On that, I think, it is continuously work in progress. We are making headway. I think we are in touch with the authorities and they've assured that they will move on this quickly, because I think they will receive a larger number of representations from many others on the same subject.

Rohit Nagraj: Thanks and all the best, sir.

Ranjit Pendurthi: Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.

Ranjit Pendurthi: So thank you, everyone, for joining us on this earnings call. We appreciate your time and showing interest in our company. In case of queries, you can get in touch with us or SGA, our Investor Relations Advisors. We look forward to again meeting all of you over the next call and meanwhile be safe and Jai Hind.

Moderator: On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
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Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Intimation of Earnings Call dated July 28, 2025

Pursuant to Para A Part A Schedule III of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call held on July 31, 2025 post announcement of financial results of the Company for the quarter ended June 30, 2025.

The above information shall be made available on the website of the Company at
www.archeanchemicals.com

Kindly take the same on record.

Yours faithfully
For Archean Chemical Industries Limited

Vijayaraghavan N E
Company Secretary and Compliance Officer
M. No. A41671

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"E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 31st July 2025 will prevail."

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR – ARCHEAN
CHEMICAL INDUSTRIES LIMITED
MR. N.R. KANNAN – EXECUTIVE DIRECTOR – ARCHEAN CHEMICAL
INDUSTRIES LIMITED
MR. NATARAJAN RAMAMURTHY – CHIEF FINANCIAL OFFICER –
ARCHEAN CHEMICAL INDUSTRIES LIMITED

MR. RAJEEV KUMAR – DGM FINANCE – ARCHEAN CHEMICAL
INDUSTRIES LIMITED
SGA , INVESTOR RELATIONS ADVISORS – ARCHEAN CHEMICAL
INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Archean Chemical Industries Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr . Ranjit Pendurthi , Managing Director. Thank you and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, everyone. A warm welcome to all of you joining our Q1 FY 26 Earnings Call. Thank you all for taking the time to be here with us today. On this call, I am joined by Mr. N.R. Kannan , our Executive Director; Mr. Natarajan Ramamurthy , our CFO; Mr. Rajeev Kumar, our DGM Finance and the SGA team who are our Investor Relations Advisors. I hope you all had a chance to go through the financial results and the investor presentation available on our website and the stock exchanges. I will start up with a brief overview on the recent developments and market trends. Post that, Mr. Natarajan, our CFO will give you a financial overview for the quarter.

To start with the market overview, we are witnessing mixed trends across the chemical industry with early signs of recovery in select segments. Inquiry levels are steadily improving, indicating a more favourable business environment in the coming quarters and years ahead. However, the recent tariff uncertainties have obviously held many global MNCs from making decisions while re-evaluating sourcing and investment strategies.

The Indian specialty chemicals industry, nevertheless , is poised for significant long -term growth supported by rising domestic consumption, supply chain diversification and government led incentives, etc. Recently, NITI Aayog has released a report in July 2025 outlining a roadmap for India to become a global chemical powerhouse with potential to reach USD 1 trillion dollars by 2040.

Despite mixed signals and industry challenges, Archean Chemicals has demonstrated resilience and agility while overall improving its operational performance despite volatility in the market. We began FY '26 on a strong note, delivering a 30% year -on-year revenue growth in the first quarter with a steady product mix.

Coming straight to our performance, we'll start with Elemental Bromine. We continue to be India's largest manufacturer and exporter in the space. Elemental Bromine contributed approximately 30% of our total revenue in Q1 FY '26, with overall business performance remaining broadly stable as compared to the previous quarter. We are confident and we are seeing consistent demand and expect gradual improvement in volumes over the coming quarters. We're also seeing more traction from domestic clients at the same time.

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Just to reiterate again, any sharp movements in spot prices do not immediately impact us as most of our contracts are long -term and bilateral in nature, therefore providing the underlying resilience to our business model. While the pricing environment has been challenging from the last couple of years for the chemical industry in whole, we have reported a steady volume as well as some green shoots and uptick in price movements, helping the Bromine segment.

At the same time, our strong relationship with our customers, whom many of them have been with us for more than 5 -7 years, continue to place orders with us and continue to demonstrate their confidence in our capability to meet any extra volume that they need, both domestically as well as internationally.

Industrial Salt. As you all are aware, we produce a Grade 1 superior

quality of Industrial Salt

that is primarily exported to the Far East, and to over 10 countries overall. Our end customers are chlor -alkali manufacturers, particularly those in the chlorine value chain. Purity and consistency in delivery is a requirement for most of these global manufacturers, both on the

chemical side as well as the petrochemical side.

Globally, only a handful of manufacturers can meet this level of purity and we are among them and continue to be India's largest exporter of Industrial Salt. During the quarter, we have maintained sales volume of 1.1 million tons, as we have indicated in previous quarters that that would be largely our run rate and maybe a little bit more in the coming quarters.

Earlier operational challenges, particularly related to logistics, have been largely resolved. With strong demand visibility and once again with long -term contracts with end customers across Asia, we expect to maintain this run rate and also continue to work towards increasing the volumes in this segment.

On Sulphate of Potash, our trial runs are progressing very well. We are very confident with the efforts that we are putting in now on improving the conversion ratios. We are also working closely with the technology partner to progress from pilot scale to plant scale trials. Activities to enable this such as plant modifications are under progress already and we are now preparing for plant trials in the coming quarter and are confident of replicating the pilot plant performance where the trials have proved to be very encouraging.

And we continue to believe that SOP will be a mainstay business for the company in the quarters and years to come. We are one of the few very global manufacturers of SOP, and the market remains very firm in terms of demand for this specialty fertilizer, of which we are one of the very few in the world who make it. As stated earlier, we expect meaningful contributions from this vertical in the second half of FY '26.

On Bromine Derivatives, Bromine Derivatives operations are up and running and currently operating between 30% to 40% capacity utilization. Clear brine fluids and catalysts for Purified Terephthalic Acid (PTA) synthesis has contributed in the Q1 FY '26 performance. We expect the utilization to gradually improve to greater than 50% before the end of this financial year. Once again here, we are encouraged by the response we have received from clients, both domestically

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and internationally, primarily in the Middle East where the oil fields are based. Both products have been received well and have started engaging with ongoing certifications.

Regarding the flame retardant, FR project, as I told you on the earlier call, we have initiated work on this project and this initiative is being actively pursued now and we will provide an update in the coming quarters once the finalization has been done at our end. As you're aware, FR is a very important chemical that's used primarily in electronics and the recent government initiatives on PLI schemes, etc and the thrust for the electronics sector .

We believe the scope for FR continues to remain robust domestically and continues to be so internationally.

On Oren Hydrocarbon, which has been renamed as Idealis Mudchemie , we acquired this company in 2024, and as you are aware , took possession of the assets in the last quarter of that year. Over the past 6 months we made steady progress in reviving and refurbishing the units. The trial runs have commenced in 2 units and product qualification has also commenced. We have started receiving acceptance from certain customers domestically and internationally. And we continue to focus on starting the commercial production soon and starting to contribute meaningfully to the top line and bottom line this year.

On our new strategic initiatives, Semiconductor , the

land acquisition is completed for this project in Odisha and we have also tendered out RFQs for running the project management office last month and we expect to commence groundwork post monsoon. On the energy storage business, as you're all aware, we have invested in Offgrid Energy Labs, a zinc -bromide battery innovator with a robust IP portfolio of 50 patents and more across cathodes, anodes and separators. In May 2025, we successfully acquired an 18.14% stake with the remaining commitment expected to be fulfilled over the coming quarters. Offgrid has finalized the pilot site and vendor selection for the pilot plant in the U.K., marking a significant milestone. Upon successful pilot execution, we shall plan to scale up to a gigafactory, which is expected to take 18 to 24 months to materialize.

On closing remarks, to sum up, our business fundamentals remain strong and robust. We maintained healthy margins, deepened our relationship with clients, and laid a strong foundation to invest in high potential sectors like Bromine Derivatives, Semiconductors and Energy Storage . We continue to be a net debt free company backed by robust balance sheet and disciplined capital allocation.

This financial strength and business robustness ensures healthy cash flows and provides the strategic flexibility to invest confidently in long -term growth opportunities. With that, I would now request our CFO, Mr. Natarajan Ramamurthy to share the financial performance for Q1 FY '26.

Ramamurthy Natarajan: Thank you, and a very good morning to all the participants on the call. We are pleased to report a notable performance for quarter gone by. To give you a summary of Q1 FY 2026 on standalone basis, total revenue for Q1 stood at INR 2,915 million, 30% growth on a year -on-year basis. Our
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business mix are as follows in Q1: Bromine contributed around 30% of the total revenue whereas, Industrial Salt contributes around 70%. Sales volume of business are as follows: volume sales of Bromine for the quarter 1 FY '26 stood above 4,000 -ton level. Volume sales of Industrial Salt for Q1 FY '26 stood around 1.1 million. EBITDA for the company stood at INR 958 million in Q1 FY '26, a 13% growth on a YoY basis. EBITDA margin stood near 33% for the quarter. Increase in other expenses during the quarter was largely due to increase in packing, dispatching and freight for higher salt sales made and ECL provision. Net profit for Q1 FY '26 stood at around INR 518.5 million.

On a consolidated basis, Q1 FY '26 performance stood as follows. Total revenue for Q1 FY '26 stood at INR 3,005.9 million. EBITDA for the company stood at INR 863.2 million in Q1 FY '26. Net profit for Q1 FY '26 stood at around INR 401.4 million. With this we conclude this speech and open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got three of them. I'll list them. First, can you give us a bookkeeping exact sales volume and revenue for all the three segments? That's one. Number two, there is a purchase of goods, which is a very unusual item in our P&L. Can you help us understand what is the purchase of goods we have traded in this quarter?

Number three, is on the gross profit margin in the Acume s, which is standalone minus consolidated. Last quarter, it was 25%. This quarter, it is 5%. There is a steep deterioration in that. Now it is just because trial and hence volatile or how should we see this gross profit margin on a steady -state basis?

Number four, on the Bromine guidance, you mentioned 22,000 to 25,000 metric tons for FY '26 and 4.5 million for salt. Does that hold good for the year, seeing how the quarters are unfolding? These are my questions .

Ramamurthy Natarajan: Yes. Product -wise

revenue for Q1 FY '26 is total ling INR 279 crores, out of which Industrial Salt is INR 194 crores and Bromine is INR 84 crores. And sales metric ton is 1.1 million of salt and Bromine is 4,054 .

Sanjesh Jain: 54?

Ramamurthy Natarajan: Yes.

Sanjesh Jain: And SOP?

Ramamurthy Natarajan: SOP is 52 metric tons.

Sanjesh Jain: And revenue?

Ramamurthy Natarajan: Total is 279 -- SOP revenue is INR 26 lakhs.

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Sanjesh Jain: INR26 lakhs. Not material. Got it.

Moderator: Our next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Sir, my first question is on to the Bromine side. Sir, when we look at the global player s commenting, so whether it is in Agrochemicals, Pharmaceuticals and on electronic side, most of the companies have stated that the demand is weak and their capex, what they are planning for the next 2 years, that has been also cut by roughly 40% -50%.

So structurally, it seems like the demand will remain weak. But sir, our guidance of 20% -25% in Bromine. So sir, I just want to know this guidance which you have given, what is the confidence you have got in terms o f data, if you can just mention a nd what is the outlook in the Bromine segment in the global market?

Ranjit Pendurthi: So thank you for that question. I'm also going to answer Mr. Sanjesh's question from the previous segment, which I think was -- I think one of them was left unanswered. So on the Bromine and salt volumes, there was a question if they will hold good. I think to answer that question, Sanjesh, they will hold good.

As you are all aware, these are long -term contracts that we have in place. And I think customers continue reporting faith in both the supply side with us as well as their own operations where they continue to consume. So at the moment, both remain strong f or us, and the off take continues almost at 100% of what we make, we are able to sell. So that is answering the previous

question.

And coming to your question on the market itself, I think Bromine on the pricing in the last few months, we are seeing a little bit of an uptick, as I mentioned. I think the readjustment of product portfolios by various Agrochemical companies across the globe as well as India and the chemical companies in China where we sell and export Bromine too.

I think they have been quite resilient. And there has also been an uptick in some volumes in some of these chemical companies in terms of sales, whether it be within Asia or whether it be exports from India. And I think we are starting to see that during conversations with some of these manufacturers.

Now, obviously, each company is unique in how it operates, what are the strengths, what are the constraints within that environment. So, however, I think our history has shown that even in a tough market, I think our company has continued to be very resilient in volumes for sure. And we've also tackled pricing in a very methodical manner because most of these, again, are locked into contract.

Aditya Khetan: Okay. Got it. Sir, these long-term contracts which we have signed, ideally, sir, from next quarter, if we look what guidance you have given, this quarter we have got some 4,000 tons of a run rate in Bromine. To achieve that number, what you've said of 20% - 25%, ideally, the next quarter Bromine run rate should be around 5,500 tons. So are the long-term contracts in place so that these numbers would be achieved?

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Ranjit Pendurthi: I will answer that question in a different way. I think our order book is full. And like I said, today -- and it has been in the past the same way, whatever we're able to make, we're able to sell.

Aditya Khetan: Okay. Got it. Sir, on to -- coming to the other businesses of -- so like the Bromine Derivatives. Sir, t

he difference in top line, like, INR 292 crore s is on consol and what sir has given -- so the revenues from Bromine and salt, they are INR 278 crore s. So the difference is into the Bromine Derivatives?

Ranjit Pendurthi: Yes. We are doing about INR 25 crores -- close to INR 23 crores to be exact, but for the first quarter. And as the capacity utilization keeps going up, that sales will keep moving up to the rest of the year. But at the same time, we'll also be introducing 2-3 other products in the Bromine Derivatives space.

Aditya Khetan: Got it. Sir, we have seen like some news has been floating in the global market that -- so toxic flame retardants, so that -- there are chance that some of the countries might look to ban for it. How do you see this changing in our business? Like when we set up a plant, are we also manufacturing similar set of the flame retardants?

Ranjit Pendurthi: I think the flame retardant portfolio, I think, we'll come back to it when we finalize the plan, because there are different kinds of flame retardants. And so I think there is regulation around certain categories of them. But at the same time, I think there is also, like I said, a large arena of products in the flame retardants. So as I said in my comments earlier, when we finalize the flame retardant portfolio, I think we will come back and answer that question with a little bit more clarity for all of you.

Aditya Khetan: Sir, just one last question.

Moderator: Sorry to interrupt I request to all participants please restrict your questions to two per participants. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani : Two to three from my side. Firstly, when will our Bromine price move up from current \$2.4 per kg that we've been seeing from the last two to three quarters?

Ranjit Pendurthi: So I think we've moved -- thanks for the question, Krishan. So I think we've moved past that number. So we are closer to USD 2.5 and a little bit more, in fact, on some cases.

Krishan Parwani : Okay. In July, you mean?

Ranjit Pendurthi: It will come through -- I think it started already in May, June. So it's a mix of old orders and new. So you may not see the full impact of it. But as the old orders get extinguished and the new ones fully kick in, you'll see that come through this quarter and the next quarter.

Krishan Parwani : Got it. And so on the -- some clarification on the derivative business. Did you mention INR14 crore s for the derivative business or INR24 crore s this quarter?

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Ranjit Pendurthi: INR 23 crore s, INR 23 crores and change for this quarter. It's primarily come from the brine fluids -- clear brine fluids and the other products will get introduced over the next couple of

quarters.

Krishan Parwani : Okay. But when I do the math, like, let's say, INR194 crores from Industrial Salt, INR84 crores from bromine and you have done INR292 crores on a total top line basis. So it just comes to INR14 crores from the Bromine Derivatives. What am I missing?

Ranjit Pendurthi: No, the combined top line is consolidated is INR3,009 crores, I think or INR3,005 crores.

Krishan Parwani : Okay. You mean with the other income?

Ranjit Pendurthi: So it's INR3,005.9 crores total revenue on a consol basis. (Errata: Actual Number to be read as Millions instead of Crores)

Krishan Parwani : But that includes the other income, right?

Ramamurthy Natarajan: Yes. This is a consolidated basis in which intercompany sales are set off.

Krishan Parwani : Got it. Anyway, I'll move to the last question, which is, are we still on track to deliver INR150-odd crore s revenue from Oren Hydrocarbon in F Y '26?

Ranjit Pendurthi: I think that is the endeavour . The product certification, like I said, is taking a bit of time, but at least we've actually started getting s

ome local approvals, the local offices of MNCs and certain

Middle East customers who sell these to oil companies, I think, have tested it and ap proved. So

the endeavour is to kick start the sales in this coming quarter.

I mean, I would like maybe to make an observation largely on the market. So I think the market for those products still continues very healthy. So it's just a matter of time for us to start and be able to sell. So I think we are getting there and we are still hopeful of that.

Krishan Parwani : So you don't want to lower your guidance of INR 150-odd crores revenue from there?

Ranjit Pendurthi: Well, I think if I were to look at it conservatively, I would possibly lower it. But I think is INR 150 crores realistic? I think we should aim for that.

Moderator: Our next question is from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Sir, we've had faced certain logistical challenges in the previous quarter. So in the recent quarter

-- I mean, recent past, are those challenges have been completely taken care of? And incrementally, that should not be a challenge from our growth perspective for the exports market?

Ranjit Pendurthi: Thank you for the question. So yes, we have largely resolved them. We've added a lot more equipment, both owned and leased and third -party equipment, both on the transportation as well as on the operations side at site. So as you can see, the volume has pi cked up, and we are hopeful that this run rate will continue, and we'll try to expand that a bit more.

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Rohit Nagraj: Right. And on the salt side, generally, how the pricing behaves? I mean, is it -- has it been relatively stable over the last few years or on a year -on-year basis, at least there is some price increase based on the operational increase or operation cost in crease or how structurally it moves?

Ranjit Pendurthi: So I think over the last year -- let me correct that. Over the last 6 months, there has been a little bit of weakness, but that's largely made up by the efficiency improvements at our end. Because you have to also remember that on a global scale, right, th e petro chemical business and the chlor - alkali business has not had the easiest of times.

But nevertheless, some of the customers that we sell to are very large and very strong operationally. So we look for more continuity in the off take, which has happened. All the customers continue with their off takes. And I think the price has been, I would say, given all that's happened in the market, has fairly been resilient.

Moderator: The next question is from the li ne of Pratik Oza from Systematix .

Pratik Oza: Sir, our standalone entity reported a PAT of INR 518 crores, while our consol PAT was substantially lower at INR 401 crores, so if you can provide a sales breakdown of the difference of the pre -tax loss between your subsidiaries that is Acume Chemicals and Idealis Chemicals?

Ranjit Pendurthi: Sorry, you'll have to repeat that question with a little more clarity because we could not hear you very clearly. We can hear you, but it's not very clear.

Pratik Oza: Yes. Sir, so what I was referring to was your standalone entity had a PAT of INR 518 crores and consol PAT is substantially lower at INR 401 crores. So there is a negative difference of about INR 117 crores. So I just wanted to know the breakdown at pre -tax loss for the subsidiaries of Acume Chemicals and Idealis Chemicals. I guess, our subsidiaries must have posted a loss and that had impacted our consolidated PAT ? (Errata: Actual Number to be read as Millions instead of Crores)

Ranjit Pendurthi: Okay. So your question is at a standalone, it's INR 500-odd crores and why is it -- sorry, INR 51 crores and wh y on a consol basis, it's lower.

Pratik Oza: Yes.

Ramamurthy Natarajan: That is because of the subsidiaries' initial losses

being the first year of full operation. Acume and all, we have some small losses. After setting off, that is the net profit.

Rajeev Kumar : So when we start a business in a new subsidiary, generally, the first few quarters, you buy raw materials and all more than your production for next 1 quarter or 2 quarters. And then you expense them also. So that is the differential.

Pratik Oza: Okay. And sir, how are things shaping up now for the subsidiaries? I mean, given that in the last quarter, you had said that the derivative business would achieve PAT positivity in this fiscal year. So how are things panning out?

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Ranjit Pendurthi: I think as I said earlier, I think despite the challenges globally and with all this tariff uncertainty, etc, I think the products that we sell, there continues to be a good demand for them. And we continue to have encouraging feedback from clients who we are approaching for approvals and technical certifications. So I think we have -- our only job is to now make the product, and I don't think sales is a problem.

Moderator: Our next question is from the line of Archit Joshi from Nuvama.

Archit Joshi : Sir, just one question. I wish to get your thoughts on what we have been hearing about the anti-involution policy that China is trying to implement or rather in the stage of implement ?

Moderator: Sorry to interrupt. Archit sir, can you please keep your device close to you, because your voice is breaking.

Archit Joshi : Sir, I believe that China is trying to implement certain policies to limit the capacity addition in the view of subdued pricing that is seen in the chemical industry. And I believe flame retardants also is one of the products where there is significant bit of overcapacity in China. And they are trying to do something on that account with regards to creating a level playing field possibly or to cut down this deflationary pricing that we are seeing over the last maybe 18 months. So anything that we hear on that account, your thoughts on that?

Ranjit Pendurthi: To be honest, we have not really heard anything, because we do exports every month. So none of us -- in fact, just this morning, someone has said, can you please speed up the consignment?

So -- and I think -- so I'm not aware of any such thing. So it would be hard for me to comment.

But one of the things that you mentioned, what they're trying to do, I don't know what it is they're trying to do domestically, but obviously, there's a lot of policy reviews going on within China.

But at the same time, they still need the Bromine. So I think in that context, I think we are not concerned from at least what our customers are telling us.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, If I look at the breakup that you gave of the derivative segment, so it seems the differential is because of the Bromine sales that you do internally, which if I do the rough math, is about 10% of your Bromine segment sales, which roughly assuming 10% of your Bromine volumes also is sold internally.

That would mean -- and last quarter, that was -- there was no internal sales of Bromine --

Elemental Bromine. So that would mean the Elemental Bromine external sales have declined quite a bit. So just trying to understand, was it just a timing issue or you are focusing more on your capital versus the exports or external?

Ranjit Pendurthi: So Dhruv, thanks for the question. I'm just going to repeat it so that we understood you clearly.

What you're saying is that -- you're asking us about the internal sale of Bromine from Archean Chemical to our subsidiary, Acume, is it?

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Dhruv Muchhal: Yes. So okay. Just to clarify, sir, the Bromine sales number that you have given, is it the overall sales or

is it just the external sales? So what you sell to the subsidiary .

Ranjit Pendurthi: So it's the overall sales.

Dhruv Muchhal: Okay. So the subsidiary sales are also given in the volume numbers, 4,054 that you have given, that includes the Elemental Bromine sales to the subsidiary?

Ranjit Pendurthi: Yes. So in the last quarter, we had about 400 -odd tons sold to the subsidiary.

Dhruv Muchhal: In 1Q?

Ranjit Pendurthi: Yes, Q1. Yes.

Dhruv Muchhal: Yes. So, sir, that is what I was trying to understand. In the previous year quarter, your external -- 4,700 tons. And this year excluding your internal sales, it's about 3,600 tons. So there is a decent decline in your external sales of Elemental Bromine.

Dhruv Muchhal: Yes. Sir, I was saying that your external sales of Elemental Bromine has come off from 4,700 tons last year quarter to about 3,600 tons this year quarter. So just trying to understand what's

driving this?

Ranjit Pendurthi: So as you're comparing it to last year same quarter --

Dhruv Muchhal: Same quarter. Yes.

Ranjit Pendurthi: Yes. So we would probably have to come back to you. Mr. Natarajan, our CFO, will reach out and clarify that.

Dhruv Muchhal: Okay. Sure. No worries, sir.

Ranjit Pendurthi: Yes, we don't have that figure in front of us.

Dhruv Muchhal: Sure. And sir, the second question was on the potash commentary. So you see -- if I'm not wrong, your commentary was incrementally more positive. So if you can -- so have the pilot trials been successful and now you're starting for the plant scale trials at your site, if I understood that right. And how do you see the progress? I mean, how does it happen? What are the time lines or what are the milestones that you will have to cover for it to scale up?

Ranjit Pendurthi: So no, you're absolutely right. The pilot trials have been done and they have been successful, which is now why they're moving to plant scale trials. At the plant scale, we've already ordered the equipment that's required to be put into place. So that work is going on, on the ground. And in the next couple of quarters, we will get that up and ready.

And we are confident that we will be able to -- well, we have also harvested KTMS, which is our mixed salt, which is a raw material for the SOP plant for this year already done. So that stock is also already available. So that will be also available to be used when the plant is up and ready.

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So in terms of raw material, we have it in place. So the plant scale equipment is being put in place. So which is why we said that we expect meaningful contribution to come this year in SOP.

Dhruv Muchhal: Got it. That's nice. And sir, this should also -- if I'm not wrong, this should also aid in ramping up your Bromine volumes, Elemental Bromine volumes, once this plant is up and running?

Ranjit Pendurthi: Not directly, but you do have a point. There is an indirect correlation, because the more KTMS we get, it would imply that there is enough brine available for more Bromine as well. But that will be gradual. It won't be -- I mean, unfortunately, these things have to evaporate over a period of -- over a large area of land. It doesn't happen instantly.

Dhruv Muchhal: Yes. I mean over a period of time. Yes.

Ranjit Pendurthi: You're right. So the most important thing is, as you rightly observed, we are in place and doing those things. So you'll see that improvements coming over the next few quarters much more than you've seen in the last two, three quarters.

Dhruv Muchhal: Got it. And sir, last question is just on a particular point, your EBITDA on a Y-o-Y basis has grown by about -- from this year to last year same quarter is about INR7-odd crores versus just your salt sales volume have grown by about -- salt sales revenue has grown by about INR80-odd crores on a Y-o-Y basis quarter

ly.

I would assume your salt business does about 25%, 30% -- to 20% to 30% margin. Just that delta should have contributed to your EBITDA, which is not completely getting reflected. So just wanted to understand, is there some drag in some business, which is leading to this mismatch?

Rajeev Kumar: So Dhruv, see, salt, while you are aware that we don't do product-wise margin, and it is also not possible in our case. But yes, there's not much pricing pressure on salt. The lower EBITDA that you are seeing more comes from the downstream derivative of Acume, etc, overall consolidated performance.

Dhruv Muchhal: Okay. So it's just the ramp-up of these subsidiaries, which is taking some cost.

Ranjit Pendurthi: Yes.

Dhruv Muchhal: And once that normalization happens, they should get reflected?

Ranjit Pendurthi: Correct.

Moderator: Thank you. The next question is from the line of Rikin Shah from the Boring AMC.

Rikin Shah: I just have one question. Are we seeing any sort of inventory build up on any geographies where we are selling at the moment?

Ranjit Pendurthi: We are not hearing that from our customers. And a lot of them actually have always, not just now, have always been very lean on inventory. So which is one of the reasons why they continue to lift and do the off take as per contract.

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Moderator: Our next question is from the line of Chetan Doshi from TM Financial.

Chetan Doshi: I have two questions. One is, this Idealis Chemicals, it is the -- we are going to start trials. So

when the trials will be completed and how much it will contribute for the financial year '26? And second question is, are we exporting anything to U.S.? And if yes, what is the quantity?

Ranjit Pendurthi: So the trials have already started on certain products related to the starch chemicals and as well as liquid chemicals for oil drilling. So the end markets are the Middle East right now. We have no exposure or business with the U.S. in either the parent or the subsidiaries.

Chetan Doshi : Okay. And how much this Idealis Chemicals will contribute for the full financial year '26 in the top line?

Ranjit Pendurthi: Top line, we have given a guidance of INR 150 crores, but I think someone had asked earlier, are we maintaining this guidance? So we are, for the moment, sticking to it. But I would also leave the door open a little bit because the ramp -up or the technical approvals are taking a bit taking more time than we anticipated.

So we're already halfway through the second quarter. So I would more focus on actually getting the plants up and ready and start shipping out products, because you have to also realize that most of these businesses are not done over one or two quarters. They are contracts. So the robustness of the long -term off takes are more critical for us than be very concerned about immediate one , two quarters, especially for a business that we are trying to revive that we bought in NCLT. So that's our focus right now to get certifications of the products and to start the sales.

Chetan Doshi: So this will start from which quarter?

Ranjit Pendurthi: This should start from the third quarter.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to...

Ranjit Pendurthi: Sorry, I think there was one question, Sanjesh, was still unanswered. The purchase of goods is actually, generally what happens is this is good for all to know. So in August and September, we generally get some rains, unexpected, unseasonal sometimes it moves on in September. And we always have a little bit of a difficulty in restarting shipments from our regular facility at Jakhau . And then there's a delay of another two weeks to three weeks.

So what we have done to mitigate that risk, because we always run at 100% on salt exports and logis

tics, we have purchased some extra material as a buffer and that will allow us to kick start the season immediately without having to wait post monsoon from Jakhau . So this gives us that buffer for at least two shipments with a clear runway of being able to lock in that revenue and not have to wait on that quarter. Please continue.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you and over to you, sir.

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Ranjit Pendurthi: Thank you very much. Thank you, everyone for joining us on this earnings call. We appreciate your time and continued interest in our company. In case of any queries, please do get in touch with us or SGA, our Investor Relations Advisors and we look forward to meeting all of you over the next call. Thank you. Have a good day.

Moderator: Thank you, sir. On behalf of Archean Chemical Industries, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
November 21, 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Intimation of Earnings Call dated November 13, 2025

Pursuant to Para A Part A Schedule III of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call held on November 18, 2025 post announcement of financial results of the Company for the quarter and half year ended September 30, 2025.

The above information shall be made available on the website of the Company at
www.archeanchemicals.com

Kindly take the same on record.

Yours faithfully
For Archean Chemical Industries Limited

Vijayaraghavan N E
Company Secretary and Compliance Officer
M. No. A41671

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"Archean Chemical Industries Limited
Q2 & H1 FY '26 Earnings Conference Call"
November 18, 2025

"E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange
on 18th November 2025 will prevail."

MANAGEMENT : MR. RANJIT PENDURTHI – MANAGING DIRECTOR
M R. N R KANNAN – EXECUTIVE DIRECTOR
M R. NATARAJAN RAMAMURTHY – CHIEF FINANCIAL
OFFICER
M R. RAJEEV KUMAR – DEPUTY GENERAL MANAGER

FINANCE

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Moderator: Ladies and gentlemen, good day, and welcome to the Archean Chemicals Limited Q2 H1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Ranjit Pendurthi, Managing Director of Archean Chemical Industries Limited. Thank you, and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, everyone. A warm welcome to all of you joining on our Q2 and H1 FY '26 Earnings Call. I appreciate you all taking the time today to be here with us. On this call, we are joined by Mr. NR Kannan, our Executive Director; Mr. Natarajan Ramamurthy, our CFO; Mr. Rajeev Kumar, DGM Finance; and the SGA team, our Investor Relations Advisor.

I hope you've all had a chance to go through the financial results and investor presentation that is available on our website as well as notified to the stock exchanges.

I will start with a brief overview on the recent developments and market trends. Post that, Mr. Natarajan, our CFO, will give you a financial overview for the quarter and the first half. To start with, I would like to inform you all that we have obtained the India semiconductor mission approval for our SiCSem project, a compound semiconductor project, which we believe is a major milestone for the company's growth. So, I only thought it was important for us to mention this at the very beginning.

Also, I'd like to inform you that the income tax department conducted a search and seizure operation from September 4, 2025, to September 9, 2025, at various locations of the company, and its subsidiaries under the Section 132 of the Income Tax Act, 1961. The company extended full cooperation with authorities and continues to do so.

Moving on to the Market Overview. On part of the Market Overview, the chemical industry continues to see a mixed trend. As we look back on the quarter, it's important to recognize the complex global environment we are operating in. Persistent macroeconomic headwinds, supply chain disruptions and geopolitical developments continue to influence strategy, demand trends, pricing and overall operations across industries.

We view these challenges as temporary, and the long-term growth story for India remains strong, and for the chemical business is no exception. As we navigate through this continuously changing environment, our focus at Archean Chemicals remains clear, building a strong foundation for sustainable long-term growth and meaningful diversification in line with our strategy.

Now coming to the performance H1 FY '26 performance. While we began FY '26 on a steady note, the first half of the financial year grew by 10%, and to INR5,232 million despite all challenges. As you are aware, seasonal and uneven monsoon patterns also impacted business in terms of production, sales, logistics, et cetera. As a group, we are confident that the fundamentals of our business remains robust and team on the ground continue to focus on operational

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efficiencies, improving customer engagement and execution across all key initiatives, which we have taken over the last few years and especially so over the last couple of quarters.

Coming to our segmental performance. We will start with the first one, elemental bromine.

Elemental bromine contributed approximately 30% to 31% of our total revenue in H1 FY '26.

Overall, bromine demand was robust and price was healthy. However, due to lower efficiencies in our plant due to some technical reasons, the production volumes were below target.

However, we have already started taking the corrective m

asures and are implementing the

action plan to improve the same. Performance is expected to improve in the coming quarters, supported by a gradual pickup in the subsidiary operations as well. In the near term, we do not see any major challenges on either the demand or supply side.

On the pricing front, we are seeing encouraging trends. As we move forward, our performance will improve along with production. Just to reiterate from the long-term perspective, any sharp movements in spot prices do not immediately impact us as most of our contracts are long term and bilateral in nature. Our strong customer relationships continue to support our business. Their consistent orders and confidence in our capabilities have helped us maintain our position as India's largest manufacturer and exporter in this space.

Secondly, on Industrial Salt, to the quarter gone by, we sold nearly 0.9 million metric tons, which

contributed to more than 65% of our total revenue. While the reported volume is shy below the quarterly guidance of 1 million, we would like to highlight that the shortfall is temporary and was mainly due to the prolonged monsoon season, which impacted the overall production and transportation.

We have a strong demand visibility and long-term contracts in place with customers. We're confident to export close to the guidance we have given of 4.5 million tons in FY '26. As I mentioned earlier, globally, only a handful of manufacturers can meet the highest level of purity at scale, and we are among them continuing to be India's largest exporter of industrial salt primarily to the Eastern part of the world.

On sulphate of potash, like I mentioned in the previous call, the pilot trials have been done and they have been successful. Presently, we are working closely with the technology partner to progress from pilot scale to plant scale trials. Plant modifications have started and are under progress, and we are now preparing for plant trials in Q4. We're confident of replicating the pilot plant performance where the trials have proved to be very encouraging in terms of results and recovery.

Site work has started and equipment is already ordered. We are one of the few global manufacturers of SOP and the market remains very firm in terms of demand for the specialty fertilizer. As stated earlier, we continue to believe that SOP will be one of the important business drivers for the company in the coming quarters and years.

Number four, on bromine derivatives. Our bromine derivatives business operations are up and running, currently operating between 30% and 35% capacity utilization. Ideally, we would like

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to have been at a higher rate. However, the clear brine fluid sales uptick expected after qualifications and approvals from end users are received.

Going forward, we expect the utilization to improve gradually to at least 50% by the end of this financial year. We are confident of receiving the necessary approvals from clients, which is an ongoing process, primarily in the Middle East where the oil fields are based and have started engaging with them for the necessary certifications as well.

Regarding the Flame Retardant project, as I mentioned in the earlier call, we continue to pursue this initiative actively, and we will provide an update soon in the coming months. Of the total direct capex of INR250 crores originally envisaged for the bromine derivatives towards plant and machinery, to date, we have already invested close to INR190 crores.

On Oren Hydrocarbon renamed as Idealis Mudchemie post takeover by us. As you're aware, we took position of the assets in the last quarter of the previous year. Since then, we have made progress in reviving and refurbishing the units. We are through with the trials in 3 units and are awaiting necessary approvals to start the production soon. Samples have been sent out to customer

rs, and we are waiting for the go ahead.

For the past few months, our team has been working through several on-ground challenges. As you know, it is -- we bought the company through NCLT to restore operations and improve output. This has caused some delays in our revenue contribution, and it was further affected by the lower global crude prices leading to slow rig activity and delayed in the onboarding of new suppliers like us by the oil majors.

Now coming to our new strategic initiatives. Number one, Semiconductor. During the quarter, our semiconductor business achieved a major milestone. Our project was among the select few approved by the Union Cabinet under the Indian Semiconductor Mission. The project underwent a thorough evaluation covering technical capabilities, specifications and long-term planning. This marks a landmark year for our company, and I would like to thank our entire team and all our stakeholders for their trust and continued support.

We are pleased to inform you that the ground-breaking ceremony was conducted on the first of November 2025, marking the commencement of the plant's commissioning activity. We have outlined INR2,067 crores investment in the first phase, which will include both the central and state's fiscal support along with our own contribution.

With the recent developments in the sector and the government's emphasis on building an entire semiconductor ecosystem, we are confident that this initiative is timed perfectly to harness the sector's growth momentum, both domestically and globally.

The second one on the energy storage battery business. On the energy storage business, as you're all aware we have invested in Offgrid Energy Labs, a Zinc Bromide battery innovator with a robust IP portfolio of over 50 patents and more across cathodes, anodes and separators. In May 2025, we successfully acquired an 18.14% stake with the remaining commitment expected to be fulfilled over the coming quarters. The company plans to set up a 10 megawatt -hour demo manufacturing facility in the U.K.

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The work has already started, and further its research and development in the pipeline for next-generation stationary energy storage solutions and commercialize its patented ZincGel batteries through certification, testing and finalizing the blueprint for the giga-factory. Upon successful pilot execution, we shall plan to scale up to a giga-factory, which is expected to take 18 to 24 months to materialize.

To sum up, our business fundamentals remain strong and robust. We maintained healthy margins, deepened our relationship with clients and laid a strong foundation to invest in high potential sectors like bromine derivatives, semiconductor and energy storage.

We continue to focus on our core business and improve efficiency and production and the overall numbers there as well given the support we are getting from the market and healthy demand from the market. Importantly, we continue to be a net debt-free company backed by a robust balance sheet and disciplined capital allocation.

This financial strength ensures healthy cash flows and provides the strategic flexibility to invest confidently in long-term growth opportunities, and we look forward to the shareholder support in this.

With that, I would now request our CFO, Mr. Natarajan Ramamurthy to share the financial performance for Q2 and H1 FY '26.

Natarajan Ramamurthy: Thank you, and a very good morning to all the participants on the call. We are pleased to report a notable performance for quarter gone by.

To give you a summary of Q2 and H1 FY '26 on stand-alone basis, Q2 FY '26 performance, Total revenue for Q2 FY '26 stood at INR2,317.8 million and 8% lower on a year-on-year basis. Our business mix are as follows in Q2. Bromine contributed around 33% of the total revenue, whereas Industrial Salt contributed around 67%.

Sales volume

of business are as follows: volume sales of Bromine for the Q2 FY '26 stood above 3,000 metric ton level. Volume sales of Industrial Salt for the Q2 FY '26 stood at around 0.9 million metric tons. EBITDA for the company stood at INR759.9 million in Q2 FY '26, a 15% decline on a year-on-year basis. EBITDA margin stood nearly 33% for the quarter. Net profit for Q2 FY '26 stood at around INR384.6 million.

H1 FY '26 performance. Total revenue for H1 FY '26 stood at INR5,232.3 million, a 10% growth on a year-on-year basis. EBITDA for the company stood at INR1,717.9 million in H1 FY '26, 2% lower on a year-on-year basis. Net profit after exceptional item for H1 FY '26 stood at around INR903.1 million, 28% growth on a year-on-year basis.

On a consolidated basis, Q2 and H1 FY '26 performance. Total revenue for Q2 FY '26 stood at INR2,395.6 million. EBITDA for the company stood at INR689.8 million in Q2 FY '26. Net profit for Q2 FY '26 stood at around INR290.4 million.

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H1 FY '26 performance. Total revenue for H1 FY '26 stood at INR5,401.5 million. EBITDA for the company stood at INR1,553 million in H1 FY '26. Net profit for H1 FY '26 stood at around INR691.8 million.

With this, we conclude the speech and open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Sucrit Patil from Eyesight Fintrade.

Sucrit Patil: I have 2 forward-looking questions. My first question is looking beyond this quarter numbers. I like to understand the bigger picture. Archean operates in a space where global demand for Specialty Marine Chemicals like Bromine and Industrial Salts keep on changing very quickly. Over the next 1 to 2 years, what is the 1 big thing or the 1 big change you're driving that will make Archean stronger and more trusted in the global markets. Just curious to know whether this is more about expanding the technology platforms or building deeper customer relationships or shaping the company in such a way that makes it hard for your competitors to copy your business. This is my first question. I'll ask my second question after this.

Ranjit Pendurthi: So yes. So, thank you for that question. I think over the next couple of years, we continue, like I said, to focus on the core business, most importantly, which is our industrial salt, bromine and sulphate of potash business. We anticipate enough and more growth available in those 3 areas. Salt, of course, because we have been a market leader, we have a lot of customer engagement. And we will continue to do that. And we are also having new customers that we're approaching and we'll continue to build the volumes. Quality always will be a primary concern. And as we scale that volume, we should ensure that the quality parameters continue to be the best in the world.

On bromine, we already have the capacity installed. So, we want to increase the utilization rate. The quality already is among the best, which is why there's a continuous demand for our product,

both domestically and globally. So, I think there, our focus will be more on the elemental side to increase the volumes that we are producing, which is one of the reasons why, as I mentioned in the last call, we're also doing certain capacity enhancements at the site in terms of field evaporation area, etc., to increase utilization rates. So, the demand is not a problem there. The third one is the Potash business. Obviously, we have made good progress. And over the next couple of quarters, we should see those results coming in as well on the trial plant side. And then I think starting post monsoon next year, we should be in a full-fledged state to start production and utilizing the installed capacity.

So large part of this doesn't require any real capex apart from regular operation maintenance. So, on these three products at the core, we will continue to drive volume, quality, delivery and expansion and utilization of existing capacities.

Now having said that, going down, of course, the bromine derivatives unit will play a big role in enhancing our utilization of in-house bromine. And there, there's a deeper engagement, both

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with customers and the application side as well as conversion of the bromine into various other inorganic and organic bromides.

And additionally, the Flame Retardant project also should come online in the next 12 to 18 months and that's what we're driving at.

Sucrit Patil: My second question also a forward-looking one, specifically on margins and cost planning. Whenever cost rises, we see a collateral pressure on the margins, whether it is through raw materials, energy, logistics or any compliance that you have to follow. I just want to understand how you think about protecting the profits without slowing down growth. Means like do you rely more on smarter sourcing or pricing control or is there any other USP that the company is following?

And how do you balance these parameters in practice so that Archean stays strong and profits keep on clocking even when sometimes things get out of control or sometimes when things don't go planned as they are supposed to.

Ranjit Pendurthi: So, I think, as you rightly said, today in the business environment, volatility and uncertainty are a given. We have to be able to navigate on a daily basis since changes happen on a daily basis. But I think the macro environment is something we can't control. Unfortunately, we end up reacting to it. However, at our end, as a company, what we can do is be very, very conscious of cost.

If you see over the last few years, we've been able to manage that very effectively. It's a combination of both good practices as well as continuously trying to see where we can reduce cost. Logistics is a big cost for us, simply because we had a remote location, so we need to necessarily move the salt, for example, by trucks, but I think the government is hinted that they're going to build a railway somewhere in that area, which may happen sooner than later. And if that does, then we would look at using a combination of that sort of transportation method to reduce cost.

And then in terms of bromine, I think it's about efficiency. If you're operating at ex-efficiency, the idea is to be able to extract more from the given raw material. So, I think that helps bring down cost as well. So, there are certain factors that are in our hands that we will continue to tackle as we have been. But certain things are market driven. For example, the price of fuel, fortunately, I think it's been pretty consistent over the last couple of years. But that may change. We don't know. But I think when that happens, we'll have to find other places to become more efficient.

Sucrit Patil: I think that's good guidance from your part. And I wish the entirety best of luck for Q3.

Ranjit Pendurthi: Thank you.

Moderator: The next question is from the line of Vinay from Hathway Investment.

Vinay: I have just one question. If I have to look at the volumes of -- if somebody can just give us the sales volumes in the quarter in Industrial Salt, Bromine and SOP?

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Ranjit Pendurthi: Sure. Mr. Natarajan?

Natarajan Ramamurthy: Okay. In quarter 2, the sales of industrial salt is 889,193 metric tons, Bromine is 3,160 metric tons, SOP 26 metric tons.

Vinay: And corresponding last year?

Natarajan Ramamurthy: Q2 last year?

Vinay: Yes.

Natarajan Ramamurthy: Yes, 792,365 metric tons industrial salt, bromine 4,683, SOP 26.

Vinay: Okay. Now this SOP for the last -- such a long period that we have been looking at. I'm still not

getting on though we are -- it's an extremely promising category. How long do you see this extending now? When will we start in the commercial production and the sales

coming in?

Ranjit Pendurthi: Yes. So, as I mentioned, I think the trials have been finished and the pilot plant is being erected as we speak. So that will come into the trial production will start in Q4. Like I said, the work has already started on the ground and equipment has been ordered. And we are confident that it should be successful as it has been in the lab scale.

And we believe that we will start production of this post monsoon next year because generally, during monsoon, we don't ideally run SOP plant because it makes -- material is very hygroscopic. So, we generally don't -- we avoid monsoon. But that has been the plan, and I think we are sticking to that timeline.

Vinay: So, we'll see Q3 FY '27, the sales of SOP getting into books?

Ranjit Pendurthi: Yes.

Vinay: And this is margin accretive business, right? The highest margin among the 3 products?

Ranjit Pendurthi: Well, assuming that the current prices hold, it's likely to be because the capacity is already installed, and we have about 130,000 tons that we can put to production and sales because the market is there and the prices are pretty firm in -- because being a specialty product.

Vinay: Okay. This is 130,000 per annum.

Ranjit Pendurthi: Per annum, yes.

Vinay: Okay. So, what kind of roughly margins are you looking at? Can you share that? Or is it confidential?

Ranjit Pendurthi: Well, I think, one, it's confidential, but more importantly, I think we'll probably provide a better update once the pilot plant is up and running in Q4, because then I think we will also be giving you a fair idea about where we should end up on margin front.

Moderator: The next question is from the line of Archit Joshi from Nuvama Wealth.

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Archit Joshi: Sir, a couple of questions. First one on Oren Hydrocarbon. I mean, now that we've already done quite a lot of work here. What are our expectations in the second half, are we deriving any revenues from there? Have we seen any ramp-up? If you can throw some numbers, if possible, what to build in second half and expectations for FY '27?

Ranjit Pendurthi: So, thank you, Archit, for the question. On Oren, it has been disappointingly slow. Ideally, we should have already been able to start sales by now. But I think the fact that we have bought the company from NCLT, I think we underestimated the challenges on the ground in terms of dealing with regulatory authorities, etc. So, there has been a delay even though the 2, 3 of the facilities are up and ready. We're still dealing with some of the challenges coming over from the acquisition.

But having said that, I think we've been able to start sending samples to customers, and I think the products are coming out well. So, there is momentum there. For the rest of the year, I would not really consider any meaningful contribution from Idealis, ex-Oren, simply because I think we would like to start showing some results on the ground in terms of sales before we start giving an idea on that. But yes, there has been a delay.

And I think we are 6 months behind than where we want to ideally be. But nevertheless, I think the encouraging part is reception of the products being made and the ability to make them, I think that's something that we are happy about.

Archit Joshi: Sir, FY '27 and onwards, the ramp-up should be strong, should that be a good assumption on Oren?

Ranjit Pendurthi: Yes. I think FY '27, we expect some of those products to definitely start selling. And apart from, I think, the earlier question that was asked, what happens with the core business and SOP, etc. I think FY '27, we'll see a lot of additional revenues and products coming in from Oren, from the core business as well as the derivatives.

Archit Joshi: Understood. Sir, secondly, on the INR2,067 crore capex that you are planning to deploy within the Semicon field. How should we number it in the model? How do we

see it being deployed?

Is it like a 2, 3-year thing? Can you give some broad timelines as to when -- what amount of money will be spent in FY '26, '27, '28 in that manner?

Ranjit Pendurthi: Fair question. I think it's a bit early to commit to that spreadsheet you want to build. But I can tell you this that we kickstarted work on it. We have finalized the consultants who have come on board last week for the construction project management, for the go-to-market, for the technical evaluation, for the bidding, etc., and for other support on documentation and other things. So, the work has started. And very soon, we hope we'll be able to give, I guess, a notification to stakeholders on the commencement of construction.

Archit Joshi: Sure. Just one follow-up on the same one. And the subsidy that you are expecting to receive

Moderator: Sorry to interrupt, sir, but I request to rejoin the queue for the follow-up as there are more participants left in the queue? Thank you. The next question is from the line of Aditya Khetan from SMIFS.

Aditya Khetan: Just a couple of questions. Sir, when we look at the bromine volumes, so we are sitting at some 10 to 12 quarter has structurally changed in bromine. I think, sir, in last year also that there was 1 one-off in the salt business. In this year, we are witnessing salt volumes are picking up, but bromine is going down, although your initial commentary suggests that so there are no challenges on supply and demand side. So why is the volume low, and our target are we on track to meet by this fiscal FY '26 of 25%, which we stated early?

Ranjit Pendurthi: Thank you for that question. So, I think 2 things. One is, as you pointed out on the supply and on the demand side, right? In fact, bromine, I think, is holding steady, and there has been no fall in demand. And as I also mentioned in my commentary, the price trend is encouraging. It's moving up over the last quarter or so. And I think we are witnessing that coming through to us as well. Primarily on our side, it's been a production challenge. There has been a bit of a prolonged monsoon, not to mention erratic, even as recently as October end, it has been raining including places like Bombay, the Coast and up in Gujarat.

So that's obviously not helping our production. But having said that, there are certain steps that I mentioned in my commentary as well, we are doing. And you will see these coming through in the next quarter onwards. We are fixing certain problems at the equipment level. But the demand stays robust. In fact, I think we have almost 10,000 tons plus backlog in orders. So yes, so I think it's two sides of the same coin.

Aditya Khetan: Got it. Sir, on to the bromine derivatives, can we share the volume figure and the revenue share in this quarter? And what is the outlook for FY '26 and '27?

Ranjit Pendurthi: Sure. I'll have Mr. Natarajan give you the volumes for the derivatives. Just give us a second.

Natarajan Ramamurthy: Yes. One second. Just -- yes, what we in H1 we have done 3,135 metric tons. And value of INR43 crores.

Aditya Khetan: 43 crores. Okay, okay. Sir, my next question is on to our SOP. As you have highlighted earlier that SOP -- so trial runs have concluded. So how bigger business this can be, whether it can be a INR500 crore or INR1,000 crore top line business earlier because when we look at the capacity side, the figure can be this big. But what is the plan like at the initial by FY '27, '28, how big this can be?

N R Kannan: So, this is Kannan. I'm answering it on behalf of our MD, Mr. Ranjit. Basically, this has got a potential to reach the kind of numbers which you mentioned. But the clarity will emerge once our trials are completed, the process, it goes through certain changes. Our old process in the plant. There are some changes which are required in

that. And once those changes are completed, we will be able to kind of definitely say what's going to be the rating of the existing plant, but as a potential for this product, definitely, it's got the capability to reach the kind of numbers which you mentioned.

Aditya Khetan: Got it. Sir, in your initial commentary, you mentioned about the 50% utilization. This is for the Oren Hydrocarbon, right?

N R Kannan: This is for Acume.

Moderator: The next question is from the line of Sunaina Chhabria from Chola Securities.

Sunaina Chhabria: Yes. My first question is relating to the bromine that -- the bromine production that was there. Could you speak on why the efficiency was lower? What was the internal difficulty that was there beyond a prolonged and erratic monsoon? And the initial target that was given a 22,000 to 25,000 would this be lower for the next year? Do you see buildup of the order book of about 10,000 that you were speaking about? Would we be closer to 20,000 metric tons? Or would it be lower?

N R Kannan: So, I think -- this is Kannan again, responding on behalf of Mr. Ranjit our Managing Director. I think during the call, when Mr. Ranjit was speaking, it was already mentioned that there were some technical challenges primarily contributed by the heavy rainfall, unseasonal rainfall which led to a dilution of the bromine concentration and the brine and consequently, lower efficiency of the assets. So those aspects are being addressed and they are being worked around. To your point, with respect to what the volumes will look like from going forward, certainly, this year, we will need to overcome these challenges.

So, to that extent, we are looking at definitely more than H1 performance in H2 for this financial

year FY '26 and definitely looking forward to the order -- kind of order of volumes, which we had indicated in our previous guidance for FY '27. So, this will be a progressively ramping up activity, and that's how we see the whole thing.

Sunaina Chhabria: Okay. And my second question is relating to Offgrid Energy Labs. What is the update over there. Would this be something that's coming into play into FY '27, '28. The investment, I know will be done in FY '26. So, if you could provide a bit of colour over there?

N R Kannan: Rajeev, can you take this call?

Rajeev Kumar: Yes, sure, sir. So, thank you for the question. See, Offgrid Energy investment is a long-term investment -- the idea there is twofold. One, of course, once the pilot plant is set up, the 10-megawatt our pilot plant, which is being set up by the Offgrid team in United Kingdom. That should take at least 12 to 18 months once the pilot plant is up, the idea is to create a blueprint for a giga-factory. And then see the possibility of setting up the giga-factory in India.

And the second rationale is the electrolyte for Offgrid Energy is Zinc Bromide and Acume one of the product that Acume, subsidiary of Archean Chemical, is making or going to expand is Zinc Bromide. So, these are the 2 rationale for that investment.

Sunaina Chhabria: So, we would see pilot being done after 12 to 18 months. What's the investments or the expense that would be there for this be margin dilutive for the parent company?

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Rajeev Kumar: No. So, the investments are already made this so that it is clear. The investment is already done. Archean Chemical has made the investment. That investment has given them around 21% to 22% stake in Offgrid Energy. And the investment proceeds will be utilized by Offgrid to set up this giga-factory. And the investment proceeds will also cover the capex and opex for the next 2 years for the -- sorry, for the pilot plant.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: So, first question is on the Odisha investmen

t of almost INR2,000 crores. What would be our contribution given that there will be government subsidies. And what could be the timeline in terms of funding our equity for the product?

Ranjit Pendurthi: I think Rajeev is available to take that question, Rajeev?

Rajeev Kumar: Yes, sir. Thanks, Rohit, for the question. See, INR2,066 crores is the overall capital expenditure for Phase 1. We are currently in the process of signing the fiscal support agreement. As you know, this is the first compound semiconductor fab approved by India Semiconductor Mission and the Ministry of Electronics and Information Technology. The fiscal support agreement signing is currently under progress and it's in very advanced stage.

Once we sign that agreement, we'll have a fair idea about what will be the overall funding mix of the project in terms of equity or subordinated debt support from Archean, and also the support from Government of India and Odisha state, but it will certainly be around 60% to 65% of the overall capital, the INR2,066 crores. And the funding pattern will be pari passu, in the sense that, whenever the project fundings are envisaged, this will be funded by all the 3 parties in proportion.

Rohit Nagraj: Sure. That's helpful. So, we'll await for more clarity on this. Second question in terms of the first half performance and then what we are expecting from FY '26 perspective, I think most of the people have asked this question, but just to get a little more granularity.

Industrial salt, we continue to maintain about 4.5 million tons. Bromine first half, we have done about 7,300 metric tons. Second half, are we likely to make at least last year volumes of 18,000 tons? And then similarly for bromine derivatives and Oren Hydrocarbons, what could be the absolute number of revenue that we are looking for FY '26, given that there have been delays and probably even the scale-up will happen in second half and more so in FY '27.

So just a little more clarity in terms of how the numbers will shape up for FY '26 and FY '27 from a volume perspective and from the absolute revenue perspective from derivatives and hydrocarbons?

Ranjit Pendurthi: So, I think on the remaining part of FY '26, we are, at the moment seeing how to balance the pricing in the market vis-a-vis our own intention of keeping the margins intact. So, I think that is being discussed internally and we want to ensure that the volumes are not hampered on the salt. On bromine, our endeavour is to at least meet last year's production volumes.

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However, as I said, the erratic monsoon has played a bit of a spoil sport generally, as you know, in Gujarat rains end in September. But even in October, it has rained. It hampers production only because of the dilution of the concentration in the brine as such, that affects the efficiency. However, I think all efforts are on to meet the figures that you have mentioned.

On Oren, I think I answered this with an earlier participant who asked me about what FY '26 looks like. The real numbers will only come in through FY '27. The plants are ready, certifications are ongoing. So meaningful revenue will come from FY '27, because all the capex will have to go in is already done.

The same with the bromine derivatives, the rest half of the year, I think we will do a little bit more than we've done in the first half of this year. But that one also is a bit of an R&D and a gestation period in terms of getting certifications from the end users. But having said that, I think the first hurdle we had to cross was establishing ourselves as a producer. Second is being a reliable producer and the third is quality.

So, I think the oil majors through the various distributing -- distributors we have been working with, I think are convinced and the volumes obviously will grow in FY '27.

Now specific what it will be, it will definitely be

better than FY '26 for sure. And how much

better? I think over the next couple of quarters, we will have a better picture on that.

Moderator: The next question is from the line of Ranjit from IIFL Capital.

Ranjit: First one is just a bookkeeping one. You shared your revenues for the second quarter on the bromine derivatives, which is around INR43 crores. It would be helpful if you can also provide the same figure for the 1Q FY '26. And the 33%, 67% revenue mix that you have shared was that for the first quarter -- sorry, the second quarter or the first half? That is my first question.

Ranjit Pendurthi: Ranjit, sorry, can you repeat the question, what do you want to know specifically?

Ranjit: The INR43 crores of revenue that you have mentioned for bromine derivatives, which was for the 2Q, if we can get a similar figure for first quarter FY '26.

Ranjit Pendurthi: Sorry. Sorry, the INR43 crores is for H1, not Q2, it's H1.

Ranjit: Okay. Then if I can get it for 1Q and 2Q, that would be helpful.

Natarajan Ramamurthy: Sure. It is INR23 crores in Q1 and INR20 crores in Q2.

Ranjit: The second question is largely, if you can update on the investment that we have or rather that tie up with the Bhubaneshwar University for silicon carbide thing. Have we made any progress on that one?

Ranjit Pendurthi: Yes. We invested close to about INR65 crores, and we have successfully demonstrated and produced a silicon wafer fab and I think what we set out to do in IIT Bhubaneshwar, at the Research Park with our investment, we have achieved that and also demonstrated it. So, I think we are happy with -- and lots of -- I think people are impressed from the community --

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semiconductor community. Many people have come and seen in those proprietary. So, I think we're happy with the outcome there.

Ranjit: And that is what would be translated or used in the new facility that we would be setting it up?

Ranjit Pendurthi: It will be one of the future phases where we will set that up because the starting point is silicon carbide wafer, as you may be aware, and I think the fact that in India, in India, we've been able to demonstrate that. It reduces a large dependence factor on this raw material.

Ranjit: And on the last bit, the 33% and 67% of revenue, is that for first half or second quarter?

Natarajan Ramamurthy: Okay. Can you repeat?

Ranjit: Revenue mix?

Ranjit Pendurthi: It is for first half. It is 31 and 68 is the first half.

Ranjit: Can I get that for the second quarter?

Natarajan Ramamurthy: I will get back to you separately.

Ranjit Pendurthi: We'll break it up and tell you.

Moderator: The next question is from the line of Mohit Mishra from ICICI Securities.

Mohit Mishra: I just had a small bookkeeping question. I wanted to know if you could help me with the revenue figures for all the segments during the quarter.

Natarajan Ramamurthy: You mean quarter 1?

Mohit Mishra: Q2, Q2. Second quarter.

Natarajan Ramamurthy: Q2. Yes. already given. So early 889,193 metric tons of industrial salt, 3,160 metric ton of bromine and 26 metric tons of SOP.

Mohit Mishra: Sir, the revenue numbers, not the volume.

Natarajan Ramamurthy: Yes, industrial salt is INR148 crores, bromine INR72 crores. SOP small amount 14 lakhs.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Sir, did you mention the derivatives revenue of INR23 crores in 1Q? Because I think in the previous call, you had mentioned INR194 crores salt, INR84 crore bromine. So, the balance comes out to INR14 crores. So, what's the difference?

Ranjit Pendurthi: You're talking about the Q1?

Krishan Parwani: Yes.

Ranjit Pendurthi: Just give us a second. We'll clarify Q1.

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Krishan Parwani: Yes. And just a request, because I think in every call, we need to check the volume and the

revenue number. Anyways, you give it out, right? So maybe just put it out in the presentation, it's the request because we have to keep asking for it and then there is always a confusion. So, volume and revenue numbers, if you could put out in the presentation, it would be very helpful.

Ranjit Pendurthi: So, point noted, we will take that into account for sure. Thank you.

Krishan Parwani: Yes. Okay, no worries. I mean, if you find the question later on, if you find the answer later on, you can -- so I can just go ahead with the second question. So just the second question is, I mean, we're seeing that the company has been struggling to ramp up bromine derivatives or start Oren Hydrocarbon.

Oren Hydrocarbon is rather recent but derivatives is almost like 2.5, 3 years since we have actually started to work, maybe 1.5 years since we actually completed the construction but there is a struggle. There's a holdup. And even our existing products, there is always a holdup probably it's the rain, it is the logistics. So, what gives us confidence that you'll be able to commercialize semiconductor chemicals, which is probably rather a new area for you altogether?

Ranjit Pendurthi: I think it's a fair question. So, I think on the semiconductor front, obviously, we work with both the state and the central government. So, in one sense, everything is far more time bound and far more detail oriented, which is why, as I said, we have brought on 3 consultants on board that bring the required expertise along with our own skill set on handling large projects, right? The type of the industry is different. Hence, we have used the outside help to do that.

So, for example, we have one of the big 4 on the project management side. We have one of the world's leading semiconductor consultancies, helping us on the go-to-market technical evaluations, etc., as we build the plant, right? So, we have taken due care, and I think we are confident this is a right approach using the right set of people with the right talent to bring on board and complement our own skill set of executing difficult projects.

Krishan Parwani: Okay. Understood, sir. So just a clarification on that. So have you chopped out a capex plan for the full company for FY '26, '27 and '28 because I think you mentioned INR2,067 crores, you will have 60%, 70% government support, but you'll also be spending some amount on Oren, Acume and this -- your semiconductor. So, can you just chalk out the plans for us? It will be helpful.

Ranjit Pendurthi: So, I think on Oren and Acume, we don't have any large capex as planned. The only one may be the Flame Retardant project, which is already accounted for in our initial investment plan of INR250 crores, give or take, maybe 10% with inflation. And the only other capex, the large one that will start will be on the semiconductor project.

That I think, as Rajeev mentioned, that will become clearer over the next quarter once we sign the fiscal support agreement with ISM, and then we will start looking at the funding options available once the number is frozen on in terms of who contributes how much, Centre, State and us.

Krishan Parwani: Understood. Very helpful. And did you get some clarification for the first quarter or no?
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Natarajan Ramamurthy: We will send it to you separately.

Moderator: The next question is from the line of Rupesh from Long Equity Partners.

Rupesh: I think, first of all, let me congratulate you on successfully demonstrating the growth of the wafer within collaboration with IIT Bhubaneswar. I mean what an amazing achievement. So let me just congratulate you with that. So, most of my questions are on SiCSem because time is very less.

So, this IIT Bhubaneswar project, my understanding was for 200-millimeter. If you can just confirm that. Then whatever 60,000 wafers per year project we are doing, that is a 150-

millimeter line, if you can confirm that, then this INR2,067 crores capex, what is the timeline? How much time will it take once we achieve financial closure?

And then in that capex, I mean, which part of the line of the entire line will be doing? And will we be growing wafer as well? Or will just be doing epitaxial deposition or will be setting an ATMP line, some split, I think, would be very helpful.

And then the final in that area is what is the involvement of Clas-Sic in the capex execution, how many 150-millimeter fabs or 100-millimeter fabs do they have? How is there a track record? How involved are they in this? If you can give some colour around this. So, these are some questions around SiCSem. Yes.

Ranjit Pendurthi: Well, thank you for congratulating us. I will start backwards. So Clas-Sic, as you know, is a strategic investment for us because we have an access to technology, both current and future by

virtue of the equity stake we have and sitting on the board.

We also have a licensing royalty and consulting agreement with them, which provides not only for technology but also training manpower, both at their facility in U.K. as well as coming to India and training our people here as and when the construction and the operation of the plant starts.

Number two is the work we've done with IIT Bhubaneswar, as you rightly said, is a 200-millimeter project. I think the idea was to demonstrate that we can produce 200 millimetres on our own as SiCSem/Archean. And I think that's what we demonstrated. And as you rightly said, our line is for 150 mm in SiCSem, the project, 60,000 wafers.

But I think the way the technology works is 150 mm, if we're able to do a 200 mm, you know what, bringing it down to 150 mm is anyway being provided by Clas-SiC. So, we're just thinking ahead of the future as well concurrently to what we already have a license for.

Rupesh: Okay. Okay. And then the timeline and the split?

Ranjit Pendurthi: The timeline, we have a pretty aggressive timeline. But as you know, it's better to be conservative. So, at the moment, we're looking at around 30-odd months.

Rupesh: 30? did you say 30?

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Ranjit Pendurthi: Yes, 30.

Rupesh: Okay. Okay. And the split also, sir?

Ranjit Pendurthi: Split of the funding.

Rupesh: Yes, yes. I mean this INR2,067 crore, how much is that rates are growing, -- how much will be for epitaxial epi wafer, how much will be for process fabrication?

Ranjit Pendurthi: So, at the moment, that information is not publicly available, simply because I think we are yet to sign off on some paperwork. So, I think that will become clearer once we get that done over the next quarter.

Moderator: The next question is from the line of Sanjay Kumar from ithought PMS.

Sanjay Kumar: Just one question on SiC capex. Given that we are still in an R&D phase for growing bolts or the wafers, have we sort of signed agreements to secure wafer supplies for 150 mm for our line?

Because what's happening in the sector is every global player is securing long-term contracts and agreements with the wafer manufacturers. So, what is our plan for securing wafer supply?

Second, on Clas-Sic, I believe they have 1,200 voltage product, what will be our product mix, sir, in terms of voltage? Will we be around 1,200 and sub 1,200 or do we plan to move to the higher voltage of, say, 3.3 kV and more?

Ranjit Pendurthi: So, I think -- so both the questions you've asked are pretty confidential. And the way I will answer it is, it is meant to just -- it's not meant to be evasive but give you as much as I can publicly disclose. I think we are comfortable where we are in terms of supply of wafers. We don't see a problem with that. We've taken due care.

And on the second part, I think Clas-Sic has a range of voltage products. And obviously, now we continue to work with them on both their present portfolio as well a

s future products because

it continuously evolves. Different applications have different voltage needs. So, I think we are in step with Clas-Sic on that. And apart from that, the other people also we're working with, which in due course, we will disclose.

Moderator: Due to time constraints, we will take that as the last question for today. I now hand the conference over to the management for closing comments.

Ranjit Pendurthi: Thank you, everyone, for joining us on this earnings call. We appreciate your time and showing interest in our company. We will work through the challenges we have right now. But as I said, the market remains robust. We are well placed in the marketplace. And I think with all the initiatives we have taken, the business will continue to grow and show good returns.

In case of any queries, you can get in touch with us or SGA, our Investor Relations advisors.

And we look forward to meeting all of you over the next call. Thank you very much. And although it is early, I wish you all a very Happy New Year in December. Thank you.

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Moderator: On behalf of Archean Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Archean Chemical Industries Limited

Life's god with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
February 11, 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) Phiroze Jeejeebhoy Towers Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Intimation of Earnings Call dated February 02, 2026

Pursuant to Para A Part A Schedule III of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call held on February 06, 2026 post announcement of financial results of the Company for the quarter and nine months ended December 31, 2025.

The above information shall be made available on the website of the Company at
www.archeanchemicals.com

Kindly take the same on record.

Yours faithfully
For Archean Chemical Industries Limited

Vijayaraghavan N E
Company Secretary and Compliance Officer
M. No. A41671

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MANAGEMENT : MR. RANJIT PENDURTHI – EXECUTIVE VICE
CHAIRMAN
MR. RAMPRAVEEN SWAMINATHAN – MANAGING
DIRECTOR

MR. RAJEEV KUMAR – DEPUTY GENERAL MANAGER
FINANCE
MR. NATARAJAN RAMAMURTHY – CHIEF FINANCIAL
OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to Archean Chemicals Industries Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ranjit Pendurthi, Executive Vice Chairman of Archean Chemicals Industries Limited. Thank you, and over to you, sir.

Ranjit Pendurthi: Thank you. Good morning, everyone. A warm welcome to all of you joining our Q3 and 9 Month FY '26 Earnings Call. Thank you for taking the time to be here with us today.

On this call, we are joined by Mr. Rampraveen Swaminathan, Managing Director; Mr. Natarajan Ramamurthy, CFO; Mr. Rajeev Kumar, DGM Finance; and SGA team, our Investor Relations Advisor.

First update is on the changes in the senior management team. Further, the Board has appointed Mr. Rampraveen Swaminathan as the Managing Director of the company. We would like to welcome him to the Archean team.

Rampraveen Swaminathan has over 28 years of experience in business leadership, operations and strategic transformation across industrials, energy and manufacturing sectors. He has led large-scale growth, technology-enabled transformations and operational turnarounds across multiple geographies and industries. He's most recently served as the MD and CEO of Mahindra Logistics Limited, where he repositioned the company as an integrated technology-driven logistics provider and significantly scaled its revenues.

Our colleague, Mr. Kannan, has decided to move out of the company due to personal reasons. I would like to place on record our thanks and appreciation for Mr. Kannan for his contributions to the company. Mr. Kannan will continue to work closely with Ram and myself over the coming months as part of the leadership transition.

We are at a very exciting phase in Archean Chemical's businesses across the range of businesses we operate. And to further lead this exciting phase of growth, Ram has agreed to come on board and lead the management.

I will now hand over to Ram to provide an overview of the business performance. Thank you.

Rampraveen Swaminathan: Good morning, everyone, and thanks, Ranjit. I'm pretty excited to be joining the team as we focus on developing the organization and scaling up our businesses further in the future. I'm also looking forward to engaging with our investor community, including all of you on the call today and taking your inputs and insights as well on this journey.

I hope you all have had a chance to go through the financial results and the investor presentation, which is available on our website and the Stock Exchanges website. I will provide a quick summary of the overall business performance and then hand it over to Natarajan for a quick financial summary and then revert back for the Q&A and closing comments.

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So starting with just an overall market environment. Over the last -- we have been working -- operating in a mixed market environment driven by some of the uncertainties over the past 3 to 4 quarters. While there are early indications of improvement, we expect the rest of this year largely to be one of stabilization and the operating environment to normalize as we move forward.

We are closely tracking developments across the proposed India-U.S. and the India-EU FTAs, which could be a platform to create new opportunities for the Indian specialty chemicals exporters over the medium to long-term. The India-EU FTA and other regional trade agreements will

provide long-term tailwinds for the sector, though it has short-term -- limited short-term impact on our operating segments.

During this period, our focus continues to remain firmly on strengthening the fundamentals of the business, driving focused growth, accelerating operational excellence, deepening our customer partnerships and capability building across the enterprise.

Our continued focus and acceleration on this will ensure that we are well positioned to benefit from these initiatives and other macroeconomic drivers, which we believe continue to remain extremely positive for our company and the sector as a whole.

Coming more specific to our own performance. As we have mentioned in prior earnings calls as well, the overall business performance in the first 2 quarters was challenging with results impacted by multiple issues, including erratic monsoons, logistics disruptions in our area of operations, some technical issues in our plant operations and lower crude prices, which kind of impacted rig activity and affected some of our end markets. We've also seen a mixed environment on pricing with continuing pressure on industrial salt prices, but favorable movements on bromine.

On a positive side, in the quarter we just completed, I think salt pricing was stable, and that's kind of a good trend as we look forward. Increasing bromine prices have also put pressure on margins in the derivatives segment and demand for some of the downstream products.

Despite these challenges, I think we were able to capitalize on some of the tailwinds and drive a stronger momentum in the third quarter. We saw a healthy demand in the industrial salt segment, which showed strong volume growth year-on-year and also year-on-year growth in derivatives, which partially offset weaknesses in other segments, most specifically the bromine business.

On a consolidated business, the company has reported 11% year-on-year revenue growth for the 9-month period. And for Q3 specifically, our revenues on the standalone operations grew by 12% and consolidated operations grew by around 10%. I'd say growth was limited for us in as much by operational factors as by the market, and I'll kind of talk about them a little bit more as I cover segmental performance.

So going to the specific segments, and I'll start off with elemental bromine. Demand for bromine continues to remain strong. During the first 9 months, India was a net importer of bromine with stable to positive trends globally as well as domestically in terms of demand. Short-term pricing

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trends have also remained favorable, and we continue to have a very healthy order book and are seeing positive traction with our customers. We'll also continue to see growing demand internally from our derivatives business, which is Acume. And overall, I think we believe we remain very well positioned from a market perspective.

And from a demand side, we definitely think that the volume growth is likely to continue to happen. Our engagement with clients remains strong, and they continue to support us. And obviously, this year and next year, we expect bromine consumption from our captive operations to also drive further growth.

During the quarter, as in prior quarters, I think our performance remained constrained by operational challenges and disruptions. These did continue to -- some of the challenges we had in Q2 did impact us in early Q3 as well. We have launched several improvement projects, which we expect will help us get back to steady-state in Q4, and then we'll further try to scale up operations in the coming quarters.

For the quarter, elemental bromine contributed approximately 24% of standalone revenues. And for year-to-date, it has been approximately 29% of our consolidated revenues. On industrial salt, during the quarter, we sold approximately 1.1 million tons of

of salt, kind of reverting back to our quarterly run rate of more than 1 million tons.

The segment contributed nearly 70% of standalone revenue. And for the 9 months, our volumes are now about 3 million tons with demand remaining robust despite the moderation in prices. Sequentially, Q-on-Q, pricing has remained stable, and we expect that to continue in the short-term.

We have a strong demand visibility and our long-term contracts with our customers continue to be in good shape. So we continue to expect to scale this business up with some seasonal uptick in Q4 and continuing kind of expansion of operations as well.

On SOP, which I think just continues to extending from what we had covered in the last quarter. Our pilot stage trials have been completed successfully. During the quarter, we have worked towards progressing from pilot to plant scale trials. The site is ready, and we are on the verge of commencing plant scale trials and expect meaningful contributions from this business in the -- in FY '27, especially the latter half of FY '27.

As we stated -- as we have stated repeatedly, we continue to believe and have strong conviction that SOP has significant potential for the business in the long-term. And we -- our challenges in that business has been obviously around changes in feedstock given brine quality. And those are the technical changes we are making in the plant operating system now, which should -- when successful, will kind of position us well to start scaling up operations again.

On bromine derivatives, which is essentially in Acume, our operations are up and running. We're

currently at around 30% to 40% utilization. We have around 40 reactors and month-on-month, they change, but generally around 30% to 40% utilization. Global uncertainties and obviously
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lower crude oil prices have impacted rig activities, which has further impacted the oilfield chemical market demand.

On the supply side, price increases on bromine have also increased cost pressures. However, we are engaging with clients, availing certifications and approval, right, and expect the volumes to start scaling up. We continue to focus really on product development. We have around 15 new products in pipeline, which are at different stages in terms of customer trials and completion. And this should help us, we believe, in total 50% to 60% utilization in the coming quarters.

We have in the past mentioned about the flame retardant bromine project. So a quick update on that. We are in the project evaluation phase there, and we'll provide a more detailed update on that as we make progress. Current market environment is kind of mixed there. So we are trying to evaluate the feasibility of that business and how quickly we can scale that -- scale volumes up.

Now moving on to our strategic initiatives, especially in what I call the advanced materials space broadly. On the semiconductor side, during the quarter, our semicon business initiative through SiCSem continued to make strong progress. As you're all already aware, SiCSem is among the 10 projects approved by Union Cabinet under the Indian Semiconductor Mission.

The finalization of the fiscal support agreement with the Indian Semiconductor Mission is currently underway and is expected to be completed soon, which will then give further finalization to the overall funding framework.

Execution on the ground has already begun. The 25-acre site in Info Valley, Bhubaneswar has been allotted, and we held a groundbreaking survey on that at the site in November 2025. Land levelling is complete, and we are right now going through topographical survey and soil testing right before we start any construction activity.

Along this -- along at the same time, we're also kind of investing in developing our go-to-market strategy, finalizing our supply partners, including for

fab design, EPC and project execution.

And overall, we believe the project is well positioned. From a timing perspective, we are on target right now in terms of our internal schedules.

And from a medium- to long-term perspective, we continue to believe that this is very well positioned to not just enhance our own business, but also, I think, contribute meaningfully to India's emerging compound semiconductor ecosystem, right? We continue to share -- this is a long gestation project, so we'll continue to share updates with all of you as we move to the next phase of execution.

Our energy storage business, which is the other strategic initiative we have. As you know, we have invested in Offgrid Energy Labs, a zinc bromide battery innovator with a robust IP portfolio of over 50 patents and more across cathodes, anodes and separators.

In May 2025, just to remind everyone, we successfully acquired 18.14% with the remaining commitment expected to be completed over the coming period. The company, as in Offgrid Energy Labs plans to set up a 10-megawatt hour demo manufacturing facility in the U.K. The
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work has already started and is progressing well with the R&D for the next-generation stationary energy solutions kind of underway. Again, this project will continue to keep you all updated on progress in the coming quarters.

Overall, if I kind of look at summarizing at a summary level, our business fundamentals remain strong and robust. Our marine chemicals portfolio is well positioned with high product quality, strong customer acceptance and continued focus on strengthening our cost position.

Year-to-date, we have had some challenges operationally due to some external factors and operational factors really in the bromine business and of course, some external issues around pricing on the industrial salt side. But we remain focused on recovering this in coming quarters. Our long-term investments in advanced materials are on track to continue to position us well for the long-term.

So I'll now hand over to Natarajan to provide a more detailed financial summary for the quarter and for the year-to-date. And then I'll come back for the Q&A and wrap. Natarajan?

Ramamurthy Natarajan: Yes. Thank you, and a very good morning to all the participants on the call. We are pleased to report a notable performance for the quarter gone by. To give you a summary of Q3 and 9 months

FY '26 on a standalone basis, I start with Q3 FY '26 performance. Total income for Q3 FY '26 stood at INR2,608.1 million, 2.4% increase on a year -on-year basis. We have shared the revenue and business mix in the investor presentation for better understanding.

Our business mixes are as follows in Q3. Bromine contributed 23% of the total standalone revenue and industrial salt contributed around 77%. Sales volume of the business were as follows. Volume sales of bromine for Q3 FY '26 stood at 2,403 tons. Volume sales of industrial salt Q3 FY '26 stood at 1.1 million tons. EBITDA for the company stood at INR698.6 million in Q3 FY '26, 27% decline on a year -on-year basis.

EBITDA margin stood at nearly 27% for the quarter. Increase in expenses were largely due to increase in logistics costs, new employees and other overhead costs from the new units. Net profit of Q3 FY '26 stood at around INR343 million.

Coming to 9 months performance. Total revenue for 9 months stood at INR7,840 million, 7.4% growth on a year -on-year basis. EBITDA stood at INR2,416 million, 10.8% dip on a year -on-year basis. Net profit is INR1,246 million, 1.6% decline on a year -on-year basis.

On a consolidated basis, Q3 and 9 -month performance stood at total revenue Q3 FY '26 stood at INR2,615 million, bromine derivative INR142.1 million. EBITDA for the company, INR613.5 million and the net profit, INR240 million. 9 month performance, total revenue, IN

R8,016.7

million, EBITDA INR2,166 million and net profit, INR931 million.

With this, we conclude the speech and open the floor for Q&A.

Rampraveen Swaminathan: Thank you, Natarajan. We will now open for Q&A and I request the moderator to kind of facilitate the same.

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Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: So quickly, I got a couple of questions. But before that, just data keeping questions. Natarajan, sir, can you repeat the revenue for Acume for Q3, SOP and volumes for both?

Ramamurthy Natarajan: Yes, sure. One second. Q3 only, right?

Sanjesh Jain: Yes, Q3.

Ramamurthy Natarajan: Q3 total quantity is 799 metric tons and value is INR137 million. And for 9 months ended...

Sanjesh Jain: No, for SOP. No, 9 months we got.

Ramamurthy Natarajan: SOP, you want?

Sanjesh Jain: Yes, SOP volume and revenue.

Ramamurthy Natarajan: Yes. SOP Q3 is -- one second, okay, Q3 is 71 metric ton, okay, and value is...

Sanjesh Jain: 751, okay.

Ramamurthy Natarajan: No, 71.

Sanjesh Jain: 71, okay. And value is?

Ramamurthy Natarajan: Value is INR32 lakhs.

Sanjesh Jain: Okay, 0.32. So now coming to the questions, you mentioned in the initial remarks that you are seeing pressure on the bromine derivative. But on the other side, if I look at the bromine prices, they have really shot up. Now both really doesn't add up. If there is a pressure on the derivative, how can the elemental prices go up? Or if there is -- or there is some supply constraint which is driving this bromine prices? How should we read this commentary in together?

Rampraveen Swaminathan: No. So I think my comment was that we obviously -- the increase in bromine prices obviously sprint cost pressures on our bromine derivatives business. And what I mean by Sanjesh, obviously, is that given the specific products we are making right now and the way the contracts are, not all of the cost increase is something we're able to pass through to our clients, right?

So you are seeing this trend where obviously, bromine prices are up. I think very favorable for us if our volumes have been better on the bromine side, but that increase is also putting cost pressures on the elemental bromine business.

And that's why you have seen in the Acume side, we've had to enhance our product development efforts towards new products. And also, we've seen some downtick in our revenues because we've had to kind of adjust volumes in some of the products where we had a higher cost impact.

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Sanjesh Jain: No, I got it. There are only 3 products which significantly take away the bromine volumes globally. What we are telling is that the derivative pressure is specific to the Archean, not to the industry, right, then...

Rampraveen Swaminathan: Yes, it's specific more to our products. That's why I made that comment that currently -- our current product portfolio has a longer tail on that, which is why I mentioned we are in the process

of accelerating the 15 products we have in the pipeline.

Sanjesh Jain: Very clear. Second, on the bromine, last quarter, we mentioned that we have a 10,000 metric ton of backlog, the production really not keeping up. Just wanted to understand how much of this backlog is with the lower pricing, which may hurt us because we are not fulfilling that and probably may have to fulfill them in the future.

And number two, that means the realization, we will be in the catching up game. And number two, what really is happening on the production side? Can you help us understand when we say the technical problem, what we really mean technical problem?

Rampraveen Swaminathan: All right. So let me answer the first question first. I think we -- so we have -- much of the order intake we had is rough

ly at the same price. It's still very much still there, Sanjesh. So I think the 10,000 ton or 9,500 ton backlog we had at the end of last quarter, we obviously shipped approximately 2,500 tons of that.

So we have still around 6,500 tons in backlog. We've not seen a significant amount of cancellations there. We are obviously reviewing by contract with our individual customers on what is -- what we can do to reprice those contracts.

If I had to give a simple headline message, I think there will be some carry over the next 1.5 quarters or so, but we hope to then reset to market pricing over the next couple of quarters, right? So there will be some carry in it. I don't have a more specific answer at this stage. We are happy to kind of revert back to you a little bit more detail there, but that's just like a headline view.

On the operational side, I think what's really happened is -- and I think Ranjit and Kannan may have spoken about this a little bit last quarter's call. We've obviously had a fair amount of weather changes in the last -- first 6 months and flooding and kind of weather changes have meant that the brine quality which then kind of drives the feedstock quality has changed in terms of composition.

That has meant that we've had to make some changes in our brine field operations to kind of ensure that we are enhancing the feedstock quality. We've also had to make some changes or improvements in the operation -- in the plant itself to be able to kind of manage a wider range of brine or input feedstock.

So we had a trailing effect of that essentially throughput came down because of that last quarter as well. And we had a trailing effect of that, Sanjesh, in the first half of this -- third quarter as well. We then obviously launched some improvement projects. We had -- that also resulted in some time off because we had to kind of make changes in the system. We ended the quarter getting back on a positive trend.

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And that's why I mentioned I believe that in the coming quarters, in the short -- earlier rather than later, we should be able to get to a steady -state. Steady -state to remind you in my mind, is kind of what we did last year. Last couple of years, we've been at the 18,000 ton kind of level. And we want to get back there. And then obviously, our goal is still in the medium -- near to medium -term to try and get to the 25,000 ton run rate.

Sanjesh Jain: Got it. So we had a capacity of 42,000. Why are we targeting only 25,000? There's a disconnect between the capacity we have and the production we are targeting.

Rajeev Kumar: So Sanjesh, Rajeev here. So see, as we have previously mentioned in our call, the capacity expansion will actually primarily happen between 25,000 and 42,000 in line with the capacity expansion in the derivative business.

Sanjesh Jain: Okay. So as we put up more derivative only then we will be able to extract more bromine or we will be extracting more bromine probably?

Rampraveen Swaminathan: So I think obviously, yes, that's a headline that's overall.

Sanjesh Jain: No. But I just want to understand on the derivative side, there's a sharp drop in the volume. How do we plan to ramp it up? And I think we are lagging significantly in terms of what we thought we could do. I know the market conditions, but can you help us understand how should we look at FY '27 for us?

Rampraveen Swaminathan: Yes. So I think just to answer the question more clearly. See we are right around 35% to -- 30% to 40% utilization. So first, the plant is -- first target for us, and it's just to kind of, we get the utilization up. The second thing, I think, is that the product mix we have, we have essentially 3 to 5 products which are running most of the volume.

Those are things which we would like to kind of move away from or change the mix away from that. So that's the 2

big focuses right now is to get the right product mix, get the right level of penetration with customers. The potential is there. Even though markets are a bit soft, I think the potential is there.

And we have -- we ended -- we started the quarter with around 5, 6 products in the pipeline. Q3 -- and as we speak right now, we've actually expanded products to around 15 products, which are now in trials and going through kind of customer acceptance -- acceptance, validation and so on.

So that kind of the focus is to kind of expand the product portfolio and repivot the portfolio, let me say, towards better yield kind of products for us. What does this translate into math? I think for '26, '27, as I mentioned earlier, we are trying to scale it up to around 60% to 70% utilization at a plant level. And of course, that will move day -to-day or week -to-week based on which reactors we operate.

But just from an overall throughput perspective to get to that 60% to 70% level. That's a product portfolio we've been working on. And I think you will see that step up Q -on-Q. It will not -- it

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won't be -- it's not a one -time switch. But over the next couple of quarters, you should start seeing that scaling up.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited.

Vinay Nadkarni: I have just one basic fundamental question. When I'm looking at your company for the last about 7, 8 quarters now, the -- whether it is Oren Hydrocarbons, whether it is your bromine derivatives, whether it is bromine also or SOP, everything gets delayed as the quarters go by. So every time there is some kind of a delay that is happening. Is there any management bandwidth issue that you have, which is impacting this?

Rampraveen Swaminathan: Hemant, I think -- I don't think that would probably -- so firstly, every company has challenges around management bandwidth, scale up operations. So I'd be cautious -- but that would be an oversimplification of the issue. I think the very specific challenges we've had, right? So obviously, bromine, we have -- we were at a good run rate prior. I think we were at 17,000, 18,000 tons.

We are looking at a run rate of around 25,000. And then as you mentioned earlier, to do a kind of a minor brownfield expansion to take it to a target of 40,000. We've had the setbacks which we talked about earlier. And I think we have good bandwidth on the ground, which is why we've been able to make these changes within 1 quarter, right? It's a continuous process manufacturing plant. And we've been able to make changes, in fact, without any major shutdowns, right? Because we have fairly good bandwidth on the ground. Industrial salt volumes are growing. right? And therefore, we are -- so in that part of the business, I think there are headwinds, but there's no challenge around bandwidth, right? The Idealis investment is -- was always -- was projected saying that it will take us multiple quarters as we had got the assets out of NCLT. We had to make step -wise changes. There are issues in terms of local ecosystem challenges and so on.

The good thing -- and so there -- it's not that we don't have bandwidth. We don't have team working on it. It's just, I think, the nature of the program which we had. And we always, I think, more caution to the fact that given it's an NCLT asset buyout, it will be a staged recovery process and not an overnight kind of scale up. 3 plants are now operational, right?

We have to take -- these products actually have a long customer certification cycle. It's not a commodity product like salt, right? And therefore, it does require a fair amount of customer approvals. So 3 plants are up and running now. We are in the process of scaling it up.

On the Acume side and the derivative side, yes, I think that's a piece which has been --

I think

we have to execute that a little bit better. And those are changes which we are making, right? So I think -- and a lot of that is around product development. We've accelerated that over the last quarter.

And we are continuing to focus on accelerating that this quarter even further, right? So that's a piece where back end is really solid. Operationally, we are in -- the plant is in great shape. It's

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very good. It's got great operating metrics. But the demand side has been -- scale -up has been weak because we have had to kind of rework our go -to-market and our product portfolio. And that I take your point, and that's what we are working on right now.

Vinay Nadkarni: Yes. My observation was also on SOP because that is one high -margin product that you have and which has got a good demand also. But somehow quarter -after-quarter, we see delays getting a little frustrating now.

Rampraveen Swaminathan: So Hemant, as you know, our conviction on SOP, -- Vinay, sorry, our conviction on SOP still remains extremely strong, right? We have maintained that now for several years, right? It's a complex technical issue. And not -- it's not the lack of our resources committed to it or the capability of those resources.

We have strong resources, partnerships globally, but it is a complex technical problem, which takes time to solve. I think we are now getting close to a point where we think we have, I would say, a more enduring fix. We have been trying to do many short-term fixes, which obviously have not given the yield we had expected. So we are now at a point where I think we have a more enduring fix, but it will take us a few more quarters to get there.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Sir, first question is in terms of the contracted volumes for bromine. So if you can just help us understand how much is maybe a medium, long-term contract and how much is spot? I mean the perspective that we want to hear is whenever there is change in bromine prices, whether we'll get that advantage or not?

Because I think last year also, it happened sometimes in the month of April, May, bromine prices went up, but it was not reflected in our performance. In the last couple of months, now bromine prices have gone up beyond \$5,000. So when we will be able to see the tangible benefit in the financials? So a broader perspective in terms of contracted spot will also help us.

Rampraveen Swaminathan: So I think -- so I'll just -- I assumed it in the earlier part of the call as well when I answered part of this in some ways. I think we have around 6,500 tons, you can say, of contracted backlog, right? But that's not backlog, which is like only for 1 quarter or 2 quarters. It's kind of spread over a period of time. And we have a mix of both spot and contract prices.

So we have obviously the balance of both long-term contracts and short-term contracts in the mix. I think the challenge for us is about the production side of it. Obviously, when the production side has been trailing, we have -- don't have enough bromine coming out to actually balance both those customer sets.

And we do have to make strategic calls given our customer relationships. And that's probably the reason why you may not have seen some of this impact, at least this year, I can't talk about last year, but this year's perspective. And I think as I mentioned, we will probably see a trailing impact on some of these contracts for a couple of quarters.

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The exact impact of it will also be a function of how much we're able to get through into our system, right, in terms of production. So at this stage, I mean, that's probably the best input I can give you is that I do think we will see that the contract

will have an impact over the next couple of quarters, but they should probably -- the longer-term contracts should probably represent probably 50% to 60% of our volume and not more than that.

Rohit Nagraj: So once these -- I mean, just a clarification on this. Once these long-term commitments are over, what could be the optimal mix in terms of medium, long-term contracts and spot just to get an advantage of the spot market as and when it arrived, otherwise..

Rampraveen Swaminathan: Let me -- if we can just hold, let me come back to you, specifically on that. I don't have a perfect answer on that right now, right? We're still kind of reviewing some of this as well. But I will try and reach out -- somebody from our team will reach out to you separately outside this call and provide you some info about that.

Rohit Nagraj: Sure, sir. Sir, second question is in terms of next year, given the constraints that we have on bromine, is there a fair chance of reaching at least the 18,000 tons of production, which includes both the element sale as well as for our captive.

Rampraveen Swaminathan: So simple answer, yes.

Rohit Nagraj: Perfect. That's helpful. And one more question I just want to squeeze in. Oren, we had indicated that -- I mean, there have been delays in terms of the revenues. Next year, what is the reasonable number that we can put INR100 crores, INR150 crores based on the current understanding of where we are?

Rampraveen Swaminathan: See, I think as a matter of rule, we don't give guidance, and I think, right. So -- but what I would say, I think, is on the Acume side, I was very specific. We do expect we'll get to a 50% to 60% capacity utilization there. On the Oren side or the Idealis side, I think each -- as I said, we are still in the process of scaling up plants and operations. So at this stage, I probably defer answering that question. But if you can pick the thread on it next quarter, I'll probably be able to give you a better insight on it.

Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.

Aditya Khetan: Just a couple of questions. Sir, on the bromine side, today, so climate change is quite visible, as you mentioned, like there was some bad weather impact. And it seems sir, nowadays like even a smaller wind comes, it takes away our volumes. So, sir, just putting things in perspective, how

many months or days of lost volumes we can build?

And what is the sustainability of the numbers which you have given of 25 kt? How should one put faith in the numbers like this bad weather impact wouldn't be there in the coming fiscal, so 1 to 2 years? And how should this play out like in the long run?

Rampraveen Swaminathan: No, I think the -- so the weather impact is 2 things. Obviously, in some extreme cases, it can result in a total shutdown of operations. But the larger set of issues we've had is more about

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adapting our systems to it. When these changes happen, they obviously change the flow of feedstock and the chemical capabilities of the system.

I'm reasonably confident that I think we should -- we are -- we have solved on most of this implemented now. There is clearly a road map to get to that 17,500, 18,000 number. As I mentioned to the earlier -- to Vinay earlier that we are -- a simple answer, we will be north of 18,000 tons next year. right?

Now the goal is to get to a run rate of between 18,000 and 25,000 at which stage we obviously have to do some expansion work, right? And we're hoping that the derivatives bromine business will also start scaling up meaningfully at that stage, so we can actually make that step up beyond 25,000, right?

But I don't think this is a flash in the pan thing that when it happens, we just end up having going sideways. There is -- there are technical things which one has to do to solve the

problem, and

that's what we have taken care of now. And we should start seeing that coming through in our results as well.

Aditya Khetan: Got it. Sir, on to the bromine derivative side, we have clearly witnessed like the business has not been able to ramp up quite steep. Just sir, I want to know, like you mentioned earlier also, like there is -- demand is not that great today. So is that also related to the higher bromine prices because the feedstock prices are higher. Consequently, the CBF and PTA synthesis prices are also higher, which is where you might not be able to pass on or the demand itself like in the global world that is muted today?

Rampraveen Swaminathan: So let me just take this overall, just several of you might be interested. I think medium - to long - term demand on the derivative side is pretty good, right? Short -term demand across categories is also fairly stable and improving. Our challenge has been -- in scaling up the business has been in some of the specific products we make and driving penetration with our -- with the end user accounts, right?

So that -- there is -- obviously, there is a supply side pressure, which we have to either optimize through our own cost of operations or in different customer contracts, pass it through to our clients as well, right?

So this is not an enduring -- this is not that kind of a challenge. What we have to -- and the steps we have taken, obviously, is to kind of refocus a lot on getting the right product portfolio and increasing the speed at which we're getting products out, right? So that's been the big pivot we have to accelerate in the business.

I think if we get the product expansion out and accelerate the customer acceptance cycle, we should be able to get there. So obviously, we are, I think, probably 12 to 18 months behind. I don't have an exact number because I'm still trying to figure out some things. But I would say that whatever duration we are behind, a lot of this has just been how could we execute here.

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And that's what I kind of commented earlier on that -- to the person who asked me, do we have a bandwidth issue. I think this is one area where we could have executed a little bit better, but we have put the fixes in now. We are putting some more fixes.

So we should be able to get this back on stream in F '27. I won't say that's going to happen in Q1 of F '27. But from a run rate perspective through the year, we should be able to get to that 60% - ish kind of capacity utilization.

Aditya Khetan: Got it. Sir, just one last question. Sir, considering the recent geopolitical tensions between Israel and Iran, is there any sort of -- is there any -- so while talking to customers, are they hinting about diversifying from Israel to India volumes because Israel Chemicals, like which is the biggest player in Israel, is there any sort of like if these things turn out, there could be some short -term supply chain issue, supply issue?

And customers are looking more towards India towards other players. Is there any sort of like things you're talking in? And secondly, sir, if you can also highlight the global supply. Is there

any new player which is entering or existing players looking to expand the supply in China and in other countries, that would be helpful ?

Rampraveen Swaminathan: Yes. I think some supply will come up globally probably next year or so with expansions probably in Australia, right, somewhere towards '27 or so, right? But again, it's -- these are organic changes, which do continue to happen. From a demand perspective, I think our focus markets have actually been around Asia, South Asia and East Asia. And we've not heard any significant repivot.

Demand still is stable and growing, right? And therefore, I don't think anything to be concerned about in that sense. No immediate upside as well because of the w

ay global supply chains work,

but in our kind of focused markets, we don't see anything dramatically changing. I think we've heard from our customers at least.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, one of the challenges in the bromine production, I believe, as you have mentioned in some of the previous calls, was also as you're focusing some bit on the SOP. So as you're confident of the recovery in bromine from next year, also, can you highlight how the SOP trajectory could be? I understand it's still on the plant trial stage, probably starting soon, but some early trends, if you can share something on that.

Rampraveen Swaminathan: No, I think our pilot trials, these are fairly independent programs, as you know, obviously the - and the pilot trials have been successful. The chemistry works. We have been able to ensure that we are getting good yields out. And from a quality perspective, we are good. We have the plant scale trials somewhere in this quarter or early next quarter.

We have kind of got the plant ready. That's one of the reasons why probably volume has been lower in Q3 because we've been getting plant ready. But we should -- I think it's hard for me right now to give a specific number, if that's what you're looking for, okay?

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I think once we finish the plant trials probably in April or May, we will be in a better sense to see what kind of ramp-up will be required. We also have to -- because we'll have to understand what kind of modifications we have to do at a plant level. And we have a preliminary sense, obviously, of what has to be done, but we'll be able to confirm that only after we do the plant trials.

And that's when we'll be able to give a far clearer view on what the projected kind of throughput will be. You already know the capacity numbers. So that's been out there in the public world for a long time. So that's -- so the goalpost is known to everyone, right? We just have to come back with a more specific ramp-up plan, which we'll share with you as the plant trials get complete.

Dhruv Muchhal: And sir, the second question was...

Rampraveen Swaminathan: But I do want to highlight -- I just want to highlight that obviously, if you look at F '27 perspective, there will be plant modifications, etcetera, to be done. Once the plant trials are successful, we'll have to make some modifications in the plant. So hard right now to say even what the F '27 impact will be. A couple of you have asked that question. So I just want to kind of reclarify that.

Dhruv Muchhal: So -- but just to confirm, probably clarify, these plant trials will not have any implication on the bromine production because now that can...

Rampraveen Swaminathan: No, nothing -- they're independent. They're independent value chains. There's a lot of shared infrastructure on utilities and so on in the business, right? And on the feedstock side, but operationally, they are very different.

Dhruv Muchhal: Got it. And sir, the second question was on the flame retardant project. Now I think I could have missed, but the project -- earlier you had mentioned about 12 to 18 months for the project. I think in the commentary you mentioned earlier that re-project -- you're relooking at the project now.

This was to be a downstream project, which could have taken some of the virgin bromine. Does it have any implication in terms of how you ramp up your -- assuming this project is on hold for now, does it have any implications on how you ramp up your elemental bromine now?

Rampraveen Swaminathan: No, I think what I mentioned was that we are evaluating the project feasibility and not the viability, right? So we are going to continue to work on flame retardant. It's only that we are working through the project details and working on that. It has no direct

t impact on our ramp-up

-- so 60% to 70% growth in the utilization I talked about, right, that has got -- that is something which we hope to achieve in either case.

Dhruv Muchhal: No. So the near-term happens -- for example, FY '27 happens, FY '28 also happens because of your other downstream bromines. But assuming this project, I'm not -- still not very clear, but is the project on hold or not on hold?

Rampraveen Swaminathan: No, it's not on hold. It's not on hold. It's just that we are working on it in a fair amount of detail, trying to ensure that we launch the product properly and that we have a clear ramp-up plan, which we deliver on, right? So that's -- so as I said -- and that's kind of what we are working on
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in a very detailed project plan. Like I talked about what we did in SiCSem, SiCSem at a high level.

We talk about SiCSem in more detail, but very similar approach here as well. We're trying to do the project planning in a lot more detailed way, ensure that we feel safe in execution, looking at margins, returns, product mix, etcetera, a lot more carefully. And that's why the execution is taking a longer period of time. But it's not -- it's very much on -- it's not on the back burner. It's not off the burner. It's very much on the burner.

Dhruv Muchhal: Okay. So because if I just -- I was just looking at 2Q conference details, you had earlier mentioned it can come online in 12 to 18 months. So assuming by end of -- in 2Q, so end of FY '27-ish somewhere. Does that time line still remains or...

Rampraveen Swaminathan: Yes. Still remains.

Dhruv Muchhal: Okay. Got it. Okay. So basically, you are just reconfiguring the product and -- that way, okay.

Rampraveen Swaminathan: That was the update I gave, we are working through the project details, and that's all it is. And we give you an update because we mentioned in Q2, that's why we gave an update this quarter.

Moderator: The next question is from the line of Rushabh from RBSA Investment Managers LLP.

Rushabh: Just to get a more sense on the weather impact that we have over the years. So you mentioned that we've done some fixes currently. I just want to understand next time the bad weather hits us, does the impact remain as same as earlier or we are better off now?

Rampraveen Swaminathan: Bad weather is a very broad statement. But as I said, I think what does bad weather do to us? I'm just going to repeat what I said earlier. Bad weather can either have impact on just operating environment or it can just have an impact on our -- on the brine fields and overflowing, etcetera, can change that.

I think we'll be -- technically, we'll be in a strong position to manage those kind of challenges going forward, right? I mean if you have a cyclone or something which requires you to kind of temporarily take safety measures on operations, that's something which I don't think anything which -- any fix sort of protect against that.

But on the feedstock, the brine fields, etcetera, and what higher levels of rain or floods, etcetera, do to that, those are things which I think we've put in the fixes to try and get strong process control and we'll be able to manage that range of it. Sorry. Go ahead.

Rushabh: Yes. Given that we have so much on our plate right now, and I just want to understand on the senior management and the mid-senior management bandwidth, so are we done with hiring? Or what is the progress on that so that next time as industry headwinds appear, we don't falter again. So I just want to understand on that sense, is the team...

Rampraveen Swaminathan: No. I think organization -- let me give you a perspective of someone who is very new to the job, right? So I obviously have a very sharp sense on this. I think organizationally, we are well set
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up, right? And I'm not worried about it as well. We have to add some capacity as the business grows. But I would say that from a capability perspective, there are many pockets in the company where the capability is very deep.

Even some of the changes we made to the bromine operations, as I said, we've done it without long -- without any shutdowns. And we've done it within 6 to 8 weeks in some of the changes we have made. So those are a reflection of the depth we have technically and on the execution side. So I'm not -- I wouldn't be worried about that in that sense. I think we've got plans around it, and we are executing those.

Rushabh: And just the last question to Mr. Ranjit. Post the designation change, where do you devote your time more now? If you just share your thought process now.

Ranjit Pendurthi: So I think I'm happy that the management depth is increasing. I think that's one of our tasks as promoters to ensure that there are people who are right and fit for the job to be able to take it up and then move the company at the speed and execution level that we want. So I think that's the first change that we have consciously made. With your specific question regarding my own role, I think it will remain strategic. I think that's where possibly most of my time will go.

We do have the new initiatives going on. So while I work with Ram on the existing business and making sure that I'm an enabler for him and guiding and helping him make these things happen

in the existing base businesses, I think my focus will also possibly more shift towards the strategic initiatives and making the semiconductor business happen on the ground, team building there and working on that part of the business as well.

Moderator: The next question is from the line of Rikin Shah from The Boring AMC.

Rikin Shah: I just wanted to ask on the Oren side. So in Q4 FY '25, we have guided for INR150 crores, INR160 crores of revenue in FY '26. In Q2 FY '26, we have guided that nothing will meaningfully come this year, and we've shifted the guidance to FY '27.

So we have acquired this asset to NCLT. It was well known to have complexities. So why was the initial diligence so far off regarding regulatory time lines and other challenges? And now that you're guiding numbers to come in FY '27, what is giving you reasonable confidence that this will happen?

Rampraveen Swaminathan: I think the first one is from a diligence perspective, we did a diligence in operating assets, the products which we can make from there. And obviously, what would be a reasonable operational time to get the assets back. And as always, coming out of the NC LT process, there are several other issues we have to deal with as well. There are many other ecosystem factors which we have dealt with, the local environment issues, the local communities we have to engage with , labour groups which we have to engage with.

And so that is something which -- so our ability in any scenario to predict the last part of it perfectly is a challenge, right? So I think the first 2 parts, which is getting the plant readiness back, understanding go -to-market and products. I think those will be fairly in good shape even in terms of what we projected.

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The plants were shut down for nearly 6 years. And we have -- we forecast to be aggressively able to get plants back in a year. We've got 3 plants up in 12 months, right? In fact, even lesser if you actually see the actual operating days we had. But we've had obviously challenges which you had to deal with, right?

And they do -- and therefore, it's been on -off, on -off situation. Now that the plants are -- so that's been the real issue, right? What we could predict, the things which we can control, we can influence which are outside our control. And that's been the factors which has been here. Nobody wants us -- w

e obviously want to -- we bought the asset. We want to ramp it up quickly.

We put in resources to kind of scale that up. So we want to always work on it in the hardest way possible. What gives us confidence now is obviously, our plants are up. 3 of the plants are up. We are operationally there. We are getting -- the customer trials are going on in different products.

So we are in the process of ramping it up. And I think just the fact that we have operational stability now is what gives me the most confidence, right, that we will start seeing scale up. I don't -- I think at this stage, I'm not going to give you a number, say, INR150 crores, INR160 crores, etcetera . But I think you will start seeing meaningful progress in terms of getting this up and going. But that's been the real challenge, which has been there.

Rikin Shah: Okay. Got it. But even in SOP, we are seeing similar pattern that in Q1 FY '26, we have stated meaningful contribution. But in the previous -- in the last quarter, Q2, we have stated that trials will only happen after Q4 and production will start post monsoon next year in FY '27.

So we are seeing persistent delays in other segments. So are there some issues fundamentally? You have obviously clarified on bandwidth issues that you are saying that they don't exist. But just trying to understand why these delays are happening in all the segments.

Rampraveen Swaminathan: Well, I think our -- I mean, it's a fair point in one way, obviously, from outside and view, several of our programs have got delayed. I will take that on as a matter of fact because they are a matter of facts. I think clearly, our ability to -- what I think is the one thing which we can do a lot better on is our ability to see the interplay between external and internal factors and organize ourselves better to respond to them, right? And that's the piece which we are investing a lot more on doing right now.

So if you look at the SOP issue, I think there have been technical delays. We are working with a technology partner there, pilot trials do take time. I won't say it's hit and miss, but there are multiple scenarios which they test on. And we have to do -- it's a bit iterative because you get results from every trial and try to rework it. We went into F '25, '26 thinking that we are in a good shape there.

But obviously, as we did the trials, we give you an update that we will actually require more time on it. I think Idealis is a very unique case because of the NCLT issue, right? I mean these 2 -- in my mind, are 2 big things which, as you called out, probably have been more longer -term shifts. But one is very technical and the other one, I think it is a bit of an ecosystem issue.

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Can we do a better job of synchronizing between external and internal factors? I think, definitely. And that's our job as a management team to execute better. And hopefully, you will see that going forward.

Rikin Shah: All right, sir. And lastly, just building upon was...

Moderator: Mr. Shah, sorry to interrupt you. Can you please rejoin the queue for more questions? The next question is from the line of Rohit Sinha from Sunidhi Securities.

Rohit Sinha: Most of my questions are already answered. Just one thing on the order backlog, which we are trading around 6,500 for derivatives side...

Rampraveen Swaminathan: Elemental bromine, not derivatives.

Rohit Sinha: Okay. So that 6,500 is pertaining to, I mean, which geography or industry, if you can indicate?

Rampraveen Swaminathan: I think it's across the board. There's no specific factor of materiality in that. It's across the board. And the only thing I would say that it's not 6,500 tons, which is all due. Our contracts are stamped for different delivery dates. So it's not necessarily that all 6,500 are actually -- all to be dispatched today. They have to be d

ispatched over a longer period of time, right? And that's why we have a balance between short-term contracts and long-term contracts in the portfolio.

And as the volume starts getting ramped up, you will start getting -- seeing that getting kind of burned out, right? Already it is getting repriced. But there's no specific trend line which has shifted in that. Largely, we remain a lot heavily focused on the Asian markets for the larger part. And our segments still remain pretty much the same, no real shift.

Rohit Sinha: Okay. So industry specific if you can indicate?

Rampraveen Swaminathan: Sorry?

Rohit Sinha: For which industry, these products are arising on? Already we have indicated for the region-wise as Asia Pacific mainly we will be having this. But on the industry side, whom we are going to supply these on volumes?

Rampraveen Swaminathan: We'll provide -- why don't you -- if you can just send an e-mail to SGA, probably I'm not able to understand the question very well. But if you can just send a query to our Investor Relations team, we will give you a more detailed response on it. I'm happy to share whatever is not very sensitive, but please let us know, okay.

Rohit Sinha: Okay. And one just for information sake, for this semiconductor side, if you can just indicate the time line from where this financial agreement will be completed and post how things will be progressing and by when we should start seeing the final output from the plant?

Rampraveen Swaminathan: So I think as you mentioned earlier, one is on the ground, I think we've broken ground. We are going through topographical evaluations, land soil evaluation and so on. So that is one program, Archean Chemical Industries Limited

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one item which is going on. I think the funding framework has to be finalized. That's something which we are having discussions with the Indian Semicon Mission on.

That's an external dependency, which we don't have a clear end date on, right? We are in good shape there. We have got good progress happening there. Once that gets finalized, I think we'll be in a position to give you more specific details on timing and impact.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for the closing comments.

Rampraveen Swaminathan: All right. Thank you all for joining us in the call today. We appreciate your time and continuing interest in the company. In case of any queries, you may please feel free to get in touch with SGA, our Investor Relations Advisor. And obviously, I look forward to meeting all over the next call and some of you probably even before that. Thank you all for your interest and participation.

Moderator: On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Archean Chemical Industries Limited

Life's good with our chemistry

Regd. Office : No.2, North Crescent Road, T Nagar, Chennai – 600017, Tamil Nadu, India. Ph: +91 44- 61099999,
www.archeanchemicals.com, info@archeanchemicals.com; CIN: L24298TN2009PLC072270; GSTIN: 33AAHCA8471D3ZR
May 19, 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza Listing Operations
Bandra-Kurla Complex, Bandra (E) P J Towers, Dalal Street
Mumbai-400051 Mumbai-400001
Symbol-ACI Scrip Code- 543657

Dear Sir/Madam,

Sub: Transcript of Earnings Call

Reference: Intimation of Earnings Call dated May 08, 2026

Pursuant to Para A Part A Schedule III of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Call held on May 13, 2026 post announcement of financial results of the Company for the quarter and year ended March 31, 2026.

The above information shall be made available on the website of the Company at
www.archeanchemicals.com

Kindly take the same on record.

Yours faithfully
For Archean Chemical Industries Limited

Vijayaraghavan N E
Company Secretary and Compliance Officer
M. No. A41671

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"Archean Chemical Industries Limited
Q4 FY '26 Earnings Conference Call "
May 13, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th May 2026 will prevail."

MANAGEMENT : MR. RAMPRAVEEN SWAMINATHAN – MANAGING
DIRECTOR
MR. NATARAJAN RAMAMURTHY – CHIEF FINANCIAL
OFFICER
MR. RAJEEV KUMAR – DEPUTY GENERAL MANAGER
FINANCE & STRATEGY

Moderator: Ladies and gentlemen, good day, and welcome to Archean Chemical Industries Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rampraveen Swaminathan, Managing Director of Archean Chemical Industries Limited . Thank you, and over to you, sir.

Rampraveen Swaminathan : Right. Good afternoon, everyone. Thank you for joining us here today, and a warm welcome to you all to our Q4 and FY '26 earnings call. Thank you for taking your time, once again, to join us. I'm joined here today by Mr. Natarajan Ramamurthy, CFO of the company; Rajeev Kumar, DGM Finance and Strategy; and our Investor Relations adviser, SGA. I hope you all have had a chance to look through the financial results and investor presentation, which is available on our website and stock exchanges.

I will provide an overview of the market conditions and external environment , cover some of the significant events in the past quarter , provide you a commentary on Q4 performance and FY '25-'26 performance and outline some of our focus areas going forward.

Just beginning with the market. I think overall demand for our products from our end key markets has been a mixed bag. For most of the year, demand from industrial salt has been muted, which has been reflected in a tough pricing environment for the product category while demand for bromine and bromine derivatives has been positive in most geographies across the world. Our competitive intensity remains high, especially on salt with increasing capacity in multiple regions and some more being added in FY '26 in Australia and some parts of the Middle East. The year has gone by has also been marked by considerable uncertainty, volatility and a continuously evolving external environment. Several macroeconomic developments, including the India U.S. trade discussions, the India EU FTA negotiations, tariffs imposed by the U.S. government and more recently, Iran U.S. conflict have influenced market dynamics across demand, supply and pricing. While we have managed to navigate these conditions, the impact on our business cannot be over looked . And therefore, this year has been fairly skewed with headwinds outweighing the positives, resulting in a constant focus on recalibrating the business operations.

In Q4, we have seen a heightened impact due to the U.S -Iran crisis and I will cover that in more detail shortly. Now on a positive note, our end - key end customers and industry participants share our optimism for the future. We believe that the categories we operate in, demand outlook in the medium term remains pretty positive, and we are very well positioned in terms of our overall value package.

Looking at some key developments, which have impacted our business during the quarter , let me first begin with our semiconductor business . Earlier this week, our subsidiary, SiCSem, has signed the fiscal support agreement with the Government of India for our semiconductor project Archean Chemical Industries Limited

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in Odisha. This is a very important milestone for us as it now enables us to accelerate the financial closure and the execution of the project.

Just to provide you a recap, we did do the Groundbreaking Ceremony at the site in November . And we have teams which since have been completing detailed engineering, finalizing supply partnerships and do resource development and deployment . Overall, the program remains on track and with the FSA, we hope to accelerate progress i

n the coming quarters.

Another key development for us during the quarter was the impact of some changes in terms of bridges and road notifications in Kutch. In early part of Q4, the local administration of Gujarat has initiated road repairs and construction in a key stretch along the corridor from the Hajipur plant to the Jakhau and Mundra ports.

As a result of that, we saw a significant increase in distance of transportation, which has impacted our fleet availability due to higher TAT and fuel costs as it distance -- effective distance increased by 2x. As we stand right now, we understand this construction will continue until early Q3 of this financial year, after which we'll be able to come back to more normal operations, both in terms of distance covered and TAT of our fleets.

The third big thing which has impacted us in Q3 has been the Middle East crisis. The U.S. -Iran conflict has had an impact on demand, supply chain volatility and commodity costs in our business. The demand for bromine has increased sharply due to global demand and supply

imbalance as a result of the conflict. This, of course, is now becoming normalized as end-user industries are struggling to pass on the cost increase to their customers.

The cost of logistics and global freight has also increased significantly. For our basket of customers and the geographies they operate in, our costs have increased by 18% to 20% on global freight. Since late February, the sharp rise of prices in industrial fuel, our industrial fuel prices have increased by nearly 50% and inconsistent retail availability has had a large bearing on our transportation costs, driven by the fuel increases, which have gone up by approximately 50%. Prices of other key commodities - Indonesian coal, sulfur and propanol have also been impacted unfavorably in the range of 20% to 30%.

So, in a very demanding and difficult environment, despite these headwinds, our focus has been on the key areas I mentioned in the last earnings call - Stabilizing our operations, especially in terms of bromine production, ensuring market growth -- market share growth in industrial salt and derivatives, retaining our key customers in bromine, driving commercial and pricing actions and an aggressive cost reduction to mitigate the impact of these factors.

In this context, let me now cover the overall performance for the quarter and full year on a stand-alone basis as well as some of our key subsidiary divisions.

Industrial salt, for the volume for the quarter was 1.1 million tons, down 7.2% versus last year. Volumes were impacted by nearly 120,000 tons due to customer deferrals on account of the US - Iran conflict and around 250,000 tons of shipments we could not complete because of the logistics issues and challenges I mentioned earlier. For the full year, though, we had sales of 4.2 million tons, up by 22% from the previous year.

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We had earlier shared that we estimated to meet around 4.5 million tons of shipments during the year, which has largely been impacted by the factors I just mentioned. Pricing in the quarter remained under pressure versus last year and was down around 10%, but has been kind of stable versus the prior quarter. Industrial Salt has contributed 67% of the sales in the quarter we just completed, right? 67% of Q4 sales last year and around 70% in FY '25-'26.

Bromine volume -- coming to bromine. Bromine volume was at around 3,731 metric tons for the quarter. It is up 53% from the quarter of the second quarter of '25-'26 and up by 4% versus the prior year. (Errata: To be read as third quarter of '25-'26)

We continue to drive improvement recovery plan in production. And since mid-Feb, we have recovered our production levels to historical levels. During the quarter, we continue to implement pricing actions with select customers and short-term contracts. Real

ization was up

14% year-on-year. Overall, elemental bromine contributed 32% of sales for Q4 last year and around 30% of the sales in Q4 FY '26.

The bromine derivatives business, which is housed in Acume Chemicals Private Limited, continues to scale up. Sales for the quarter were up by nearly 50% year-on-year, and revenue for the full year was up by nearly 300% compared to the previous year. While our margins remained under pressure due to the lower capacity utilization during the ramp-up phase, we estimate that our contribution margins will improve in new products and process optimization initiatives underway, supported by volume growth from some of our existing products like calcium bromide and NPBR.

During the quarter, we launched PBR 3 and also continue to scale up our zinc bromide volumes for select customers. Capacity utilization for the quarter still remained at around 45%, and we continue to focus on driving that up. SOP volumes in F '26 stood at 644 tons, contributing to a very small level of revenue of around INR3.5 crores.

As highlighted in earlier calls, there are complex technical issues for which we are now defining in kind of long-term solution. This involves reengineering of the entire product system and the manufacturing process. This program is currently underway, and we expect to complete plant trials in the first quarter of this year and go into a higher level of production in the second half of the year.

As you are aware, we continue to scale up our operations in Idealis Mudchemie earlier known as Oren hydrocarbons. Over the past 12 months, we have commissioned Three plants and are currently progressing with customer trials. Our Gujarat plant is production ready, but we still await for necessary approvals with state authorities. For the Nagri plant in Andhra Pradesh, we manufacture starch and PAC products. We are in the process of redefining the product road map to better align and productive market requirements.

We expect to have a fairly lean first half of this year in terms of Idealis Mudchemie, but we expect that the second half will start getting to a larger ramp. The aforementioned issues on logistics costs have impacted the short-term profit of Industrial Salt segment. However, our customer relationships and market position remain strong, and we estimate to see a full recovery

in coming quarters with the completion of the highway projects and reduction in commodity and fuel costs as Iran -US conflict subsides.

Coming on to financial performance , to give you a quick summary of financial performance, total income for Q4 F '25 - '26 stood at INR304.7 crores, a 9% decrease on a year -on-year basis. In terms of overall mix, bromine contributed 32% and Industrial Salt contributed 67% . Volume of sales of bromine, as I mentioned earlier, stood at 3,731 tons. Volume of sales for Industrial Salt for the quarter was 1.1 million tons. Overall, EBITDA stood at -- reported was INR66.4 crores, a 34.3% decline year -on-year. EBITDA margin stood at 21.79% for the quarter and profit after tax for Q4 FY '26 was at around INR29.8 crores.

The year -on-year decline in EBITDA was largely driven by the drop in pricing or lower pricing realization and lower volume, both of which happened in Industrial Salt. We did also see a year -on-year increase in logistics cost, but that was largely offset by improvements in bromine, both in terms of realization as well as in terms of volume.

In terms of full year performance, total revenue for the year stood at -- is reported at INR1,088.8 crores, a 2% growth on a year -on-year basis. EBITDA for the year stood at around INR308 crores, a 17% dip on a year -on-year basis. Profit after tax for the year reported was INR154.3 crores, a 17% decline year -on-year.

On a consolidated basis, total revenue for Q4 was around INR306.3 crores. The brom

ine

derivative business contributed around INR23.8 crores with a volume sale of around 1,400 tons for Q4. EBITDA for the company overall stood at INR49.1 crores in Q4 FY '26 and profit after tax on a fully consolidated basis was around INR12.2 crores.

From FY '26 perspective, overall revenue is INR1,108 crores. Bromine derivatives business contributed around INR81 crores, the volume sale of around 5,300 tons for the year. EBITDA for the company stood at INR265 crores on a fully consolidated basis with net profits of INR105.4 crores. A detailed breakup of the constituent elements of our consolidated performance have been provided in the earnings deck on our website for your review.

Let me end my comments by summarizing our focus in the coming year and some reflections now that I completed three months in my role. As we look forward, I think we have established three clear strategic priorities for the company. The first one is to cons olidate the core salt and bromine business.

Secondly, to scale up our derivatives, oilfield and SOP businesses, while we continue to invest in long -term opportunities in advanced materials, both batteries and semiconductors. The underlying focus of these priorities is to ensure that we are driving e arnings quality while also ensuring effective capital allocation across the business.

We are delivering driving these priorities through four strategic levers - driving focused growth where we drive scale and volume in all businesses through differentiated products, long -term customer partnerships and commercial excellence.

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The second one is operational excellence, driving productivity and growth in all our operations, especially on bromine SOP derivatives and developing a world -class logistics capability, while ensuring capital efficiency. Thirdly, responsible stewardship in terms of driving an inclusi ve empower ed organization, focusing on sustainability and supporting local c ommunities.

And lastly, technology and automation to drive increased efficiency, reduce our cost to serve , and drive agility and predictability across our business. I think together, as we look at across these four levers, and we believe that we will continue by volume growth in the core business.

And as we start getting some of external factors and cost stabilizing, we should b e able to get to a historical margin level of performance across the business. With this, I'll open it for Q&A.

Moderator: Thank you very much, sir. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Rampraveen Swaminathan : Good Afternoon Sanjesh.

Sanjesh Jain : Good afternoon sir. Thanks for the opportunity. I got a few of the questions. First on this freight thing the entire long route and the higher fuel cost, how much it did really hurt in terms of the cost during the Q3. So rry in terms of the Q4 earnings, that's number one. Number two, bromine prices globally has gone up sharply. I know we have a long -term contract.

But just to understand how should we see the bromine prices for next year? And in the opening remark you mentioned that we have reached the historical peak of bromine production. I think

historically, quarterly, we were at 5,500 metric tons. This quarter, we are at 3,700. When we say that we have reached the peak, do you imply that we are touching that 5,500 kind of a production?

And an added question to that, we have put up a new area where we are looking to expand the brine pond, and we said that this will only enhance the production. Now including that, what is the peak production we are looking up to? And will it come in FY27 or FY 28? These are my initial questions. Thanks.

Rampraveen Swaminathan : So Sanjesh, I will take them in whichever order which I find , I can remember them. And if I do slip a question, please do remind me again. So I

think firstly, as far as the logistics cost is

concerned, I think simplistically put 3 phases - January was pretty lean. We didn't have a big issue in Jan.

Feb, as you've seen, we had a significant increase because of the route change, and that added nearly INR100 to INR 120 per ton of cost. And in the third month, we had both the diesel price increase and the extended route. So we ended the quarter with roughly around INR200 to INR220 per ton in increase of cost of transportation, okay?

On a weighted average basis across the quarter, probably around INR14 crores to INR 15 crores was the impact because of the higher logistics cost, right, across the three months, but that's kind of the net gross number. As far as the second question was concerned in terms of bromine production, yes, I think as I said, we've come back to historical levels on a daily rate.

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I think our historical peak, and I'm talking about memory was 5,230 -odd tons in a quarter. And that quarter was a 91 -day quarter or something. But roughly, it will be around 54, 55 tons per day, and we are roughly getting back to that range right now in terms of daily production, okay? Now you must , and I just would state here that when we look at modeling it out or forecasting it out, obviously, there are scheduled downtimes, et cetera, which do impact a little bit, but we are in that range right now, okay? Just confirming that.

Sanjesh Jain : Broadly 20,000. So we are looking broadly at 20,000, 21,000 metric tons in FY 27, if we sustain, say, 55 ton per day.

Rampraveen Swaminathan : Yes, if we sustain 55 or in that range with a little bit of hit on the monsoon when it will come down a little bit, we should be in the range which you mentioned. And as far as the third thing which you said, which I think raised was around the brine field expansion. So as you know, we have been expanding the brine field. We remain optimistic about long -term growth. So we do expect the salt business will continue to grow at 10% to 12%.

It is at a historical , it's kind of bottomed out in terms of margins in a large part because of the cost increase we've had on logistics, but that's a structural cost, which will go away. We have line of sight to that kind of ending to some extent. So we continue to be bullish on salt. So the brine field expansion really will help us drive that 10 %-15% growth in capacity of salt. And of course, it also will allow us to provide -- be able to produce more liquor for bromine volume as well.

Sanjesh Jain : So what are we looking at bromine then in an expanded capacity because we had close to 500. We are struggling at 20,000. So how should we look at the journey from here to the nameplate capacity?

Rampraveen Swaminathan : So I think that it's a mixed question, right, because there are multiple factors involved. But I do think that we are expecting or hoping to be able to grow 15 %-20% a year in terms of bromine production. I think that's what we had mentioned last quarter as well. Our next first , what I said last quarter, after the next pit stop, if you may, is to try and get to 25,000 tons and then beyond that to over a period of time to 40,000 tons. And that's kind of what I would really still be anchoring our business on in terms of what we are trying to establish as goals for the company. The 40,000 ton expansion obviously happens along with the derivatives business growth as well. So it kind of happens hand in hand. But that's kind of where we're anchoring it at. Now is it sequential? Is it year -on-year?

There are multiple factors involved. The brine fields themselves are being expanded now. It will be six to nine months before we finish the expansion and then an entire season before we actually fill the ponds and we actually have enough condensation evaporation to be able to basically draw them out as liquor and

salt and crystallization. So it's a stage period, Sanjesh. But the key thing for us has been to start putting capacity ahead of demand and start making that move, and this is what we are doing right now.

Sanjesh Jain : Very clear. And on the pricing, bromine pricing because globally.

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Rampraveen Swaminathan : Yes. On the bromine prices, yes, sorry, I missed that question. Yes. So I think as I mentioned, we had a question last quarter as well and probably heard it earlier as well. I mentioned that we are making pricing actions.

So you've seen some impact of that in Q4 on a year -on-year basis where we have increased the prices on contracts. Obviously, prices went up in a short period of time very quickly. But I think as we look at currently, we have, I would say, renegotiated a large part of our long -term contracts, right?

I won't put a specific number on it, Sanjesh, but we have negotiated a very large part of our long -term contracts for this year. So we've also gone back and reopened or re -discussed with customers on contracts which are going , which still had open windows on them and gone back and renegotiated some of them back as well.

So today, I think as we stand, the majority of our bromine contracts stand renegotiated upwards. I will not put a specific number on that, Sanjesh, but that's kind of directionally at least where we are going.

Sanjesh Jain : Got it. One on the Acume. We had not a great year last year. I thought the ramp -up expectation was much better than what we have delivered. So what are the things which have not gone in our favor?

And what are the measures we are taking to see that Acume really scales up to the level where probably which is more satisfactory. And number two, what's the plan on the flame retardant? It's still under discussion or it is rested for a while? How should we see that?

Rampraveen Swaminathan : Okay. So I think for Acume, there's no question that it has been a year where we've had growth, but we've not seen the growth , not had the growth we expected, right? And I would say two, three things are the areas I think we have kind of been challenged with. I won't say there have been things that are necessarily binding one, but they have just been challenged. I think the first one has been product development.

Some of our products, especially targeted towards pharma applications have been a little bit longer cycle than we expected them to be, Sanjesh. And that's actually taken a little bit more time to get converted into specific orders and pull through. The second thing which has been a challenge has been in terms of commercial pricing. I think we have had to work hard on getting pricing in there. You're an entrant into the market, entrant in an established market where other players are there.

So that obviously puts pressure on you on pricing. And probably we were forced to have slightly more aggressive pricing than we probably would have initially expected the same time last year. The third thing which has been a challenge to some extent has been that, obviously, the Acume business gets its bromine from the Hajipur business. And some of our challenges in the second and third quarter on bromine production obviously translated into a ramp -up at that business as well, okay? So what are we doing to fix that?

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We are facing exactly three things I spoke about now. We have deepened our sales capability. We're expanding both in domestic and exports. Our channel partnerships. We're also accelerating product development.

So in Q4 alone, as I told you, we upgraded the Zinc Bromide product. We launched PBR 3. We are looking at release a couple of more alkali bromide products in the first half of this year, right? We've also been expanding on CBR, CABR and NPB r volumes, which both ,

which obviously

are large markets in terms of the oilfield and the Ag and NAg intermediate usage . So it's more market penetration, more product development, more consistent supply of bromine from the Hajipur plant.

And lastly, we are working a lot in terms of process optimization and process costs. So we actually have to kind of be able to drive that. I'm confident that I think you will see a step change in a significant improvement in the business as we drive that product utilization improvement starting in the early part of this year.

Sanjesh Jain : Very clear, sir. Just one last, sorry, I'm pushing it late. On the semiconductor, can you just help us the milestone from here to the production? What is the time frame and the key milestone we need to track and ?

Rampraveen Swaminathan : Rajeev, you want to take it?

Rajeev Kumar : Yes. So Sanjesh let me take this question. So we have started working on the design aspect. And the early work we have already commenced. Our target is to start the substructure work from

July. And broadly, it should 24 to 30 months from that time.

Sanjesh Jain : 24 to 30 months from now or?

Rajeev Kumar : From July.

Sanjesh Jain : From July. From July of last year, right?

Rajeev Kumar : July of this year.

Sanjesh Jain : From July of this year, we are looking at 24 to 30 months.

Rampraveen Swaminathan : Yes. So Sanjesh, so if you index the period from now to July, probably 27 to 30 months roughly is what it will take.

Sanjesh Jain : Got it. And just one bookkeeping question. What was the SOP volume and revenue for this quarter?

Rampraveen Swaminathan : For this quarter, I will have somebody drop your note. I think I mentioned the full year number, but it's okay. I'll have somebody from our team email it to you.

Sanjesh Jain : Full year number is fine. What was the full year?

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Rampraveen Swaminathan : Full year was INR3.5 crores and 650 tons. 644, I think was the ex act tonnage. 644 tons and INR3.49 crores.

Sanjesh Jain: Thank you sir. I think that is all from my side and thanks for patiently answering all those questions and best of luck for the coming quarter.

Rampraveen Swaminathan : Thanks Sanjesh. Thank you.

Moderator: Thank you . The next question is from the line of Aditya Khetan from SMIFS Institutional. Please go ahead.

Aditya Khetan : Thank you sir for the opportunity. Just a couple of questions. Sir, you mentioned in your opening remarks on to the competitive intensity pressures. Is that one of the reasons why we are not able to increase the bromine prices? Because sir, when we look at the spot prices of bromine over the last three quarters versus Archean 's realizations, there has been a stark difference. Actually, spot prices have gone up in one way. But our realizations look almost flattish only when we look at the last two quarters data also.

Is it because of the competitive pressures which you have mentioned, is that stopping the prices to move higher? And secondly, sir, when I hear d your commentary on to the bromine volumes, you mentioned about some 10% to 15% growth.

But sir, when we look at this number, 10% to 15% growth would still be around some 1 5,000, 16,000 tons only for FY 27 also versus what earlier management was guiding around 22 ,000 to around 25,0 00 tons for FY 26. So there is a stark difference into the number, which earlier management was guiding and what we are seeing for FY 27. Any thoughts on what has changed materially into the business volume ?

Rampraveen Swaminathan : Let me answer those questions a bit more specifically. So firstly, I think on the bromine pricing, it's not a competitive intensity issue as much as the fact that as we mentioned earlier as Aditya, we have a fairly large constraint of long -term contracts. These are contracts we enter typically with annual pricing. And since we enter them w

ith annual pricing, we generally don't change the

pricing based on spot conditions too much. So 70% to , let's say, 70% of our business is long -term contracts.

30% of our business is short -term contracts, which are like , which is deal -to-deal pricing, right?

And therefore, what you will always see is that when the prices go up, it takes us time to catch up. When the prices go down as well, we get the benefit because our customers continue to buy at the old prices from us, right?

And therefore, what's happened in the last 18 months is 15 months roughly has been that prices have been inching up slowly until around February price, March when prices went up substantially, right? We have taken the opportunity to go ahead of the curve t his time in Feb and March and kind of even start renegotiating our contracts ahead of the closure.

And that's why as I mentioned to Sanjesh earlier on, when Sanjesh's question was there, we have repriced now a majority of our contracts upwards. And therefore, I think you will see that being

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different going forward. That said, I think you must not , you must bear caution that spot prices are always , are not a very good reflection of the overall blended price of the market.

Typically, the entire industry on bromine works 60% to 70% on long -term contracts and 20% to 30% on short -term contracts. So when suddenly one company suddenly has a shortage of bromine or has a production problem, then those customers have signed long -term contracts with

them become spot customers in the market.

They often buy at very, very high prices because they have to manage their end customer contracts. So always spot prices are not a reflection of the blended average price for any company. And so we always encourage people look at what we are reporting. Don't look at what the landed Shanghai Index tells you or landed China Index tells you because the other, the short-term elements there logistics pricing, there's transportation, there are multiple factors there. But broadly, we have gone back and renegotiated the majority of our customer basket.

And you should see some of that pulling through. As far as your comment on the bromine volume, I think let me restate what I said. Sanjesh's question was, are you back to the 55 tons per day level? And I kind of said, yes, we are roughly at the 50,000, 55,000 tons per day level, which adds up, which is around 20,000, 21,000 tons. And I said our goal next year is to be 15% above that, right? (Errata: To be read as 50-55 tons per day level)

So this year, we are at that level. And next year, we are at around 15% above that, which gets close to 25,000 tons number, which has been quoted earlier. And lastly, Aditya, on a lighter note, I would just like to tell you that the management has not changed. The management has expanded. The earlier MD is changed to the Executive Vice Chairman of the company.

And therefore, the management has expanded, it has not changed. So we still are very much committed to the numbers, which have been shared by Ranjit and others earlier.

Aditya Khetan : Just one more question, if I can squeeze in. Sir, this quarter, we have seen some INR 13 crores of increase into the stocks, which is reflected into the COGS. Can you highlight like what this change is actually? And second, if you can provide the internal sales volume of bromine for full fiscal FY 26, the captive consumption of bromine.

Rampraveen Swaminathan : So I think the second one, I think I will have to get back to you. I don't have a specific number right now, Aditya. If you can drop a mail to us, our team will respond. Okay. As far as the first question is concerned, the INR 13 crores, I think as I mentioned in my opening comments, we had early initially also kind of hoped to do slightly higher volume of tonnage of salt in the quarter.

And we are not

able to do shipments because some orders got deferred. And also, we had an issue where we had, because of logistics cost, we could not fill those volume. And therefore, salt, finished salt inventory increased during the quarter, and that is a substantial part of what you will see there as an increase in inventory cost.

Aditya Khetan : Got it sir. Thank you sir.

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Rampraveen Swaminathan : Thank you.

Moderator: Thank you. The next question is from the line of Avnish Tiwari from Vaikarya. Please go ahead.

Avnish Tiwari: You were mentioning in context of bromine demand that it increased. And then because, and this industry is not able to pass through your pricing, the demand sort of getting rationed out or getting normalized. Can you expand on that commentary? And will that be a hurdle for you? I mean you have already renegotiated the long-term contract.

But if you can give us the colour around your 30%, which is deal-by-deal business, how is the pricing there relative to your long-term contract versus the spot, which I know is not real, is much higher. Is it in the middle of these two spot versus a long-term contract or more closer to your long-term contract. So these two areas if you can expand upon?

Rampraveen Swaminathan : Sure, Avnish. So I think let me just start off with probably more external facing number, which everybody likes to quote, but that at least generally accumulates. So I think as you know, shortly after the crisis started, bromine prices went up around RMB70,000 to RMB 80,000, right, which is almost like US\$8 or US\$9 per kg. It went up that high because there was a sudden shortage of bromine in the demand of bromine supply in the market. Our end users like companies who make Flame Retardants, et cetera, has their supply contracts to honour.

And so there was a sudden, because of the shortage of supply, they had to basically buy at whatever, and so spot prices went up. Obviously, what most of those end customers are finding is that is not sustainable for them to price it to their users. And therefore, there has been some softening in terms of their end users looking back and not accepting price increases and that coming back through the chain, to us as well. And therefore, there is some amount of softening. And today, if you look at it, I think prices have come back to around US\$5 per kg, US\$4 to US\$4.5 per kg. And then it depends on how much transportation, et cetera, you consider in it and how logistics is, right? So you have this thing which is seeing because of that issue. And you must remember we make an intermediate which goes into a product, which then goes to the end user, right? So the entire value chain has to absorb the price increase.

The first increase which happened was a supply-led increase or supply shortage. That is normalizing itself because that price is not being passed through fully, okay? That said, I do

believe that our prices will reflect the broad movement in terms of market pricing going forward, right? So that's, does that answer your question?

Avnish Tiwari: Yes that's good.

Rampraveen Swaminathan : Thank you.

Avnish Tiwari : Yes. You were also mentioning that this short -term deal by deal pricing, is this more closer to the long -term pricing or this more closer to the spot which is \$4.5 per kg ?

Rampraveen Swaminathan : So, in general, short -term pricing is closer to spot. And obviously, long -term pricing is driven by multiyear relationships we have, end markets we want to play with. We don't want to always

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have -- we don't want to have geographic concentration in one geography. There are multiple considerations, Avnish . What is the end user industries, flame retardants, right, pharma, etcetera, you want to position our product in , oil

field chemicals, what's the geographical diversification we want to have, right?

What is the customer concentration in terms of what's the synergy benefit a customer brings across bromine and across derivatives. So, there are multiple factors, but spot is trending closer to market.

Avnish Tiwari : The second question, which I have is that if you look at your supply shortage you said has now reduced this other supply of bromine, which comes from locations which are under stress right now, has that supply now normalized or that supply is still under normal?

Rampraveen Swaminathan : I think that supply is still trailing probably what historical the past levels were. It is still trailing that. Obviously, there have been challenges, new supply routes have emerged, right? But I would still say that there is that underlying -- there's still a gap in the market, demand supply.

Avnish Tiwari : Israel supply, has it been affected or that Jordan, Israel has not been impacted that much?

Rampraveen Swaminathan : I mean it probably would be unfair to just speak about a specific geography because the geographies I mentioned, there are large companies which are at play and large players. I would say generally, I think if we look at trade route volume , Avnish, I think there is still a gap, right, on those trade routes compared to some of the volumes pre -conflict.

Avnish Tiwari : Okay. So, it's still a shortfall and demand rationing is what is bringing the prices down. Otherwise, it would have been a much higher price, right, effectively.

Rampraveen Swaminathan : No. Well, the short is again, the point to understand that this is -- because most of the industry works with long -term contract pricing, whenever there's a small dip in shortage and also sells long term, capacity gets sold and blocked on a long -term basis , effectively spot capacity, which gets traded all the time is only 20% or 25% of overall capacity. So, one manufacturer suddenly? So that's the impact.

Avnish Tiwari : If I can squeeze one more. If you were to look at your numbers, standalone versus consolidated and there's a loss between these two because of the other businesses you have. Can you articulate where these numbers might go, let's say, in terms of EBITDA or revenue in one or two years' time? I mean I know you mentioned a lot of steps you're taking.

Rampraveen Swaminathan : No Avnish , I don't make -- we don't make forward -looking statements. So, I will probably -- I'll take an exception on that, but not -- I won't be able to give specific guidance on those.

Avnish Tiwari : In the past, have you given the guidance around breakeven points when you can achieve there? Or any like what metrics you can track?

Rampraveen Swaminathan :No, we don't provide specific guidance to that level of detail Avnish . Archean Chemical Industries Limited

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Moderator: I am sorry to say, sir, please, Mr. Tiwari, please return to the queue. Thank you. Participants, please limit your questions to only two questions. We have several participants awaiting their turn. The next question is from the line of Chirag from Keynote . Please go ahead.

Chirag: I would like to understand the reason of significant volatility that is taking place in bromine prices, it has increased from almost \$5000 per ton to almost \$9,000 to \$10,000 and now it is reverting back to almost \$7,000 if I'm not wrong. So just wanted to understand what actually brings such kind of volatility in the market.

Rampraveen Swaminathan : Okay, Chirag, why don't you share all your questions, I will answer them all together .

Chirag: Sure. My second question is related to crude prices have started moving inching up from the earlier \$65 per barrel. So, are we seeing new drilling activities taking place due to which the Mudchemie, Or en Hydrocarbons business is actually starting seeing some new revenue to come in from this particular are

a?

And there are some bookkeeping questions. One is, what actually comes into Intangible s under development that is getting highlighted in our balance sheet ? And were there any devaluations taking place on raw material levels?

Rampraveen Swaminathan : I'll try and answer the first and then Natarajan answer the next, right? But I think what has bromine pricing, as I said a couple of times, the way I say broadly the industry works is that basically buyers and sellers in the industry tend to work on long -term contracting for a large part of their requirements or a large part of their production.

And therefore, what happens is the majority of the market still transacts on that long -term pricing , right? So, for example, if you and I have a contract and we have signed a contract, let's say, \$3.5 per ton and you sign for 75% of your volume requirement, I sign for 75% of my capacity, that volume still transacts at a long -term price only. What happens is that there's a sudden imbalance which comes either because of a sudden spike in demand or a sudden shortage of supply, then that puts pressure on the market and that pressure gets concentrated around the spot business.

So, if there's a sudden spike in -- if there's a sudden shortage in supply, which happens, then what happens is that you have to go and still buy your bromine from somewhere. You tend to go and buy your balance bromine, which I am not supplying on a long -term contract at whatever price you think can afford and that pushes the prices up . And therefore, what the industry tends to share as volatile prices is basically only spot prices. Spot is a fraction of the market.

And we can effort to consistently remind that spot is only a fraction of the market, but that's actually where you see all the volatility. You don't see a volatility in the majority of the market where there's a lot of movement happening. So that's the question around that. Do you want to -
- Natarajan, do you want to talk about revaluation?

Ramamurthy Natarajan : Rajeev will explain.

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Rajeev Kumar: So, the second question, which was intangible asset under development. So SiCSem actually is doing a pilot line for wafer manufacturing at IIT Bhubaneswar. So whatever capital we have spent there so far is under intellectual property development. At the same time, there is a technology transfer agreement with classic wafer fab. The expenditure committed towards that so far is also under IAUD .

Chirag: Got it. So, two more questions. One is, in this moment, are we seeing any positive development related to trials for mud chemicals? And second one is revaluation of....

Rampraveen Swaminathan :I think mud chemicals -- I'm sorry, I missed that question. But I think right now, I mean, the oil and gas demand is still fairly muted because a lot of that space in the Middle East. And therefore, I don't think we have seen anything tangibly move in terms of short -term demand. I think the view is that once the war subsides, then obviously, we'll go through reconstruction phase and that should give us a flip in terms of demand.

Chirag: Got it. And sir, related to that, any revaluation on inventory because there is a significant shortage.

Ramamurthy Natarajan : No revaluation on the inventory.

Chirag: And what would be the capex debt level? What kind of debt level are we comfortable with at company level?

Rampraveen Swaminathan :We don't make a specific view like that. Our view is that capital has to be -- capital discipline is about investing in projects which have got good returns. We are growth oriented, and therefore, we would continue to look at investing in high -growth return projects, which also means that we have to scale up our existing businesses and deliver the right level of returns from them.

Moderator: I'm sorry, sir, please return to the queue Chirag sir. Th

e next question is from the line of Rohit

Nagraj from 360 ONE Capital.

Rohit Nagraj : I'll ask all the questions together. So first on the bromine pricing, so I understand that the long -term contracts would be either calendar year or financial year and probably both would have consummated for the next year ?

So what is the kind of pricing range that we are looking at? And I'm not looking at a specific number, but a range would be helpful in terms of building in for the estimates. Second thing, on Oren Hydrocarbon, we -- when we acquired, we had an estimate of INR150 crores of revenues ? When are we likely to reach that mark? I mean, any time lines would be -- broader time lines would be helpful.

Third is in terms of Industrial Salt, you said there is pricing pressure. I was unable to get the exact point because any which ways it's an export -oriented business and the realizations in terms of dollar terms are certainly -- I mean, in rupee terms, certainly would be better because of the depreciation. And last one book -keeping question. What is the cash as of 31st March on the books?

Rampraveen Swaminathan :I'll ask Natarajan to answer the fourth question, but let me try and take the first three. So, I think -- I mean I'm going to award you a range as well on bromine pricing. I think as I mentioned, we have gone and renegotiated a majority of our contracts even if they were not expiring. We have gone back and renegotiated almost all our LTCs off, right, and gone back and spoken to customers. I mentioned that we'll do this in the earlier call as well.

And so, we have kind of completed a majority of that. And therefore, I think you will see the flow-through of it. However, I will -- we really don't give very specific guidance on pricing for reasons you very well understand right -- and therefore I will avoid giving the range as well. But as I said, you will see some flow-through impact as we've done that.

As far as Oren Hydrocarbons is concerned, I think we had given a guidance of INR150 crores was basically divided across three products: bentonite, which we make in the Mandvi plant in Gujarat, Barite in a plant in Kodur , and the third one has been around starch and Fibroseal products and pack products which we make in the plant in Andhra Pradesh location called Nagri. Around 40% to 45% of our volume was supposed to come from the bentonite product in Mandvi. That plant actually has been under -- we have to work with government on getting licenses cleared and approvals done.

Unfortunately, the Gujarat government has interpreted some of the NCLT provisions or orders in a slightly different way, and we are working with the local government authorities to get aligned on that, which is -- and right now the hindrance in starting the plant up. right? And that's actually what's affecting out.

The remaining part of the business, which was around half that INR150 crores, which we indicated, right? We have some challenges on retooling the product line. The markets have obviously changed a little bit, and therefore, the product composition is slightly different. So, we have developed new products in those plants. Those products are actually under customer trials now.

Obviously, those products are highly focused on the oil and gas market. And given the sluggishness has happened recently and now the crisis now, I'm not sure when we'll actually see a recovery there. But as we go into this year and the second half of the year right now, we hope that this is where we are executing right now on various fronts, we expect that all -- at least two out of the three plants will be in operations at reasonable volume in the second half of the year. And just on Industrial Salt, I think the way I tend to look at it is we supply a lot of our salt goes into South Asia and Southeast Asia, right? And as you know, in salt, th

e longer you go -- the

further you go away from India, the less competitive you are . So, we sell a lot into -- where we sell to markets in South Asia for high-grade applications, where the requirement for NaCl content is very high, where the customers need to pay a premium for low insolubles, we actually get very good pricing. But when you go into some of the geographies like China, we are competing also with locally manufactured salt and salt comes from other geographies which are geographically far closer to the end market. And therefore, we get more pressure on pricing because of that. So, as we're trying to -- so that was my reference to my earlier comments saying that obviously, there's competitive intensity by geography, it's different.

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And the competitive intensity in each geography determines the weighted average of our pricing in our basket. So, there are long-term customers that we have not seen price coming down too much because they are, let's say, in Indonesia or the closer an application where they need a very high-quality salt. But then there are customers who are very far away from India and are ready to use a slightly lower quality salt in their application. And there, we see more pricing pressure. And that's kind of the balance which is there.

And that's what drives broadly the contours of pricing in the market . With that, let me -- and obviously, if those -- if the geographical demand and then demand in those geographies or those customers are growing very fast, we see benefits. If they are not growing, we obviously see some impact of that as well. With that, let me just let Natarajan answer the bookkeeping question.

Ramamurthy Natarajan : Yes, just stand-alone cash, cash equivalent bank balances, INR37 crores and consolidated is INR55 crores.

Rohit Nagraj : Thanks for answering all the questions and all the best, sir.

Moderator: Due to time constraints, that was the last question. I now hand the floor over to the management for closing comments.

Rampraveen Swaminathan : Thank you, everyone, for joining us in the earnings call. We appreciate your time and for showing interest in the company. In case of any queries, you can get in touch with our team or with SGA , Investor Relations Advisers. We will turn back those questions very quickly. We look forward to meeting all of you over the next call.

Just as a point of interest, we have scheduled the date for the AGM, right, which is on June 12 th.

And hopefully, those of you who are able to make it, we'd love to have some of you members join us at the AGM as well, right, Thank you very much. Take care. Stay safe.

Moderator: Thank you very much, sir. On behalf of Archean Chemical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.